Newgen Software (NEWGEN)

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Sub.: Outcome Transcript – Conference Call – Q1 FY'23

Dear Sir/Ma'am

As intimated earlier through our letter dated 18th July 2022 regarding the Conference Call of the Company, which was held on Wednesday, 20th July 2022 at 04:30 P.M.(IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

"Newgen Software Technologies Limited
Q1 FY2023 Earnings Conference Call"

July 20, 2022

ANALYST: M R. ANIKET PANDE – LEAD TECHNOLOGY ANALYST -
ICICI SECURITIES

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN & MD – NEWGEN
SOFTWARE TECHNOLOGIES LIMITED
MR. VARADARAJAN – WHOLE TIME DIRECTOR -
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CEO - NEWGEN SOFTWARE
TECHNOLOGIES LIMITED
MR. ARUN KUMAR GUPTA – CFO – NEWGEN
SOFTWARE TECHNOLOGIES LIMITED
MRS. DEEPTI MEHRA CHUGH – HEAD (INVESTOR
RELATIONS) – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED ~newgen
~newgen fl 1c1c1 Securities

Moderator : Ladies and gentlemen, good day and welcome to Newgen Software Technologies Limited Earnings Conference Call hosted by ICICI Securities. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniket Pande - Lead Technology Analyst from ICICI Securities. Thank you and over to you, Sir!

Aniket Pande: Thank you Peter. Good afternoon everyone and welcome to the Q1 FY2023 results of Newgen Software Limited. Connecting with me today from the management side is, Mr. Diwakar Nigam, Chairman and MD, Mr. Varadarajan, Whole Time Director, Mr. Virender Jeet, CEO, Mr. Arun Kumar Gupta, CFO, and Mrs. Deepti Mehra Chugh, Head, Investor Relations. I now hand over the call to Mrs. Deepti for further proceedings. Thank you and over to you Deepti!

Deepti Mehra Chugh : Thank you Aniket. Good afternoon everyone. I am Deepti Mehra, Investor Relations, Newgen Software, and I welcome you all to the Q1 FY2023 results of the company.
Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties and the actual results could materially vary from the forward-looking statements. Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect or update any forward-looking statements made from time-to-time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website. I now hand over to Mr. Nigam for presentation of the results, which will be followed by the Q&A. Thank you.

Diwakar Nigam : Thank you, Deepti. Good afternoon everyone and thank you for joining us today for our Q1 results call. We are starting FY2023 on a strong note with revenue growing at 18% Y-o-Y. I would like to highlight once again that there is a seasonality in our business due to the license-based model historically. Q1 is a leaner quarter in comparison to the rest of the quarters thus we do not look at the sequential performances in the business.
Having said that, we are now increasingly seeing a growth in Cloud Subscription side of business, which grew by 33%. The Cloud and Subscription revenues put together have now reached 38% of our total revenue. This shift is expected to lower the seasonality in the coming years and lead to more uniformly in revenues across the quarters. The annuity ~newgen

revenue for the quarter was Rs.131 Crores witnessing a growth of 25% Y-o-Y. The annuity revenues comprise now 70% of our total revenues in Q1.
In terms of geographic growth during the quarter was led by Indi

a and the EMEA markets.
Indian market had been subdued for some times now and we are happy to see developments in this market. We have entered into key transformation projects with existing customers including license agreement with an India-based oil major, and a key life insurance player in India. EMEA continues its growth trend since last year. The U.S. market has been lacking traction and we are working across the various initiatives to combat the same. We had new logos win in Q1 2023, 6 totally with two logos in America's region.
Moving to update on our offerings and opportunity. Just as the cloud eased scalability and distribution access at an infrastructure level in the past decade, low-code platforms are now equipping organizations with the ability to develop their business applications faster to digital technologies and abstracted for ease and functional wages.
The next phase of our product journey will be led by Artificial Intelligence and Data

Sciences led digital automation. Organizations are now looking to leverage data to take informed decisions. NewgenOne along with Number Theory has now become a unified platform for meeting all data sciences need of the customers. We continue to work on our long-term platform and cloud roadmap. We have announced NewgenOne with cloud native multi-persona Artificial Intelligence and Data Sciences platform. The platform is further enriched with intelligent document classification and extraction, integrated processes, and RPA capabilities. Also we have strengthened our DevOps for easy application requirements.
We have recently commissioned Forrester Consulting to conduct a total economic impact study and examine the potential return on investment to the enterprise. Enterprises implying our solution may realize Newgen solutions are giving very good ROI. We are happy to share that key findings in terms of the ROI and payback period have been very encouraging.
On operational fronts, we are increasingly seeing the employees back to the workplace in-person meetings, team collaboration, and customer meetings are now increasing, business travel is starting to normalize. We have started hosting and participating in face-to-face events and doing in-person customer meetings. At the same time we continue to offer the required flexibility to our employees, we have been investing in all spheres of talent acquisition, retention development and incentivization to mitigate the impact of elevated attrition cost across the industry.
On the sales and marketing front we are continuously working on building our direct sales channel along with focused alliances with our partners especially the system integrators to expand our markets. With the partnership the system integrators we are driving joint sales, marketing activities and campaigns as well as joint solution development.
During the quarter we entered into strategic alliance with companies like India-based Coforge and Indonesia-based Anabatic Digital as a part of our strategy to accelerate digital for organizations across geographies. We are also exploring partnership with large consulting firms.
Profits and margin: Q1 has historically been a low profit quarter for us given the non-linear revenue across the quarter. Our profit after tax for the quarter was at Rs.19 Crores. We are increasingly witnessing normalization of the cost base. Employee costs have increased on account of salary increments and continuous supply side challenges leading to additional cost. In addition there has been normalization of travel expenses. We continue to invest in our global expansion, our product, in our people.
During the year R&D expense comprising about 11% of the revenue and sales and marketing expenses comprise 25% of the revenue as usual. As an organization we remain committed to our me

dium-term margin targets and working across initiatives to achieve the same. Our net cash generated from the operating activities was at Rs.73 Crores. Our net trade receivables were 226 Crores at the end of the June which resulted in net DSO of 102 days.
To conclude, we believe we have a resilient and growth-oriented business model in place for long-term. Our Cloud and Subscription revenues have been growing at fast pace, providing healthy visibility of long-term revenues. Our products have significant leverage across both sides of the market opportunity, revenue enhancement as well as cost optimization.
We have been continuously investing in improving our strength and solving multiple business goals for organizations. This includes in transforming a business to maximize organizations growth and market share and become future ready, digitalizing the process for enhanced operational efficiency and cost optimization, applying analytics and data sciences to accumulate it for process data generating business intelligence insight for enhanced decision making, building new machine learning model and using these to improve a straight through business process, reinventing business model.
That is it. We are now open to Q&A. Thank you.
Moderator : Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Akshat Agarwal with Jefferies. Please go ahead. Akshat Agarwal : Good afternoon Sir and thank you for the opportunity. A couple of questions from my side; Firstly why is it that we are seeing a steady decline in new logo additions for the company over the past several quarters? It used to be about 20 new logos every quarter it is currently come down to 6 that is one. Secondly we were expecting a step up in growth in the U.S. markets particularly driven by our partnerships with GSI what is happening there and why is it that U.S. markets are not performing the way we expected them to perform? That is it from my side, thanks a lot.

Virender Jeet: First on the new logo front we have historically been able to generate around 50 to 60 logos a year and we have also moved away from some channel-based sales which we used to generate larger momentum of logos there were smaller ticket items. In last two, three years we have deliberately shifted from them and as we are progressing in the markets its getting more and more meaningful for us to get after slightly larger deals which fit in our profile of about 200k of annuity or more. This is one of the switches and one of the reasons in fact where we have also suffered in terms of moving away from such accounts both in U.S. and in other markets as well. While having said that our expectations even for this year is to do around 50 to 60 new logos and some of these logos are very large and they will give us multi-year revenue. Q1 we have missed some orders which have slightly got delayed or deferred, but on a yearly basis we are still on track to do around number of 50 to 60 new logos and we are hopeful that, that is going to happen. On the growth in U.S. market I think we explained that last time also there are a couple of factors. Last year for last six quarters ending up to March we had a one-time PPP revenue which was generally between 5 Crores and 8 Crores on every quarter which was not sustainable and recoverable. The second part of this issue is also we have completely shifted from license sales, some of the license deals which we used to get from Caribbean and other countries we have completely stopped and gone to subscription. So there is a decline, but the other bigger factor is we have realized that in U.S., some tier of accounts which we are pursuing as part of our direct go-to market strategy on banking. We do not see substantial yield coming them as part of repeat busines

s.

So we slightly shifted that to larger accounts and we are hopeful in some time we are able to build that business and go to a more meaningful tier of accounts because getting given those 25 logos we are not able to generate a substantial value in the business. So we are doing some amount of pivot out there. On the GSI front we have been telling continuously I think the funnel though it is very positive, but the deal flows are not at the same speed as we expected. We will close some deals with GSI this year also I think last year also we closed 5, 6 deals. I think we are hoping that this year also will be doing better number than that, but it is not at the same speed. Having said that I think we have reached in U.S. a number which is at the most bottom. This number is based on almost the regular annuity business which we generate from U.S. So any deals which we have got last quarter and this quarter should start adding revenue to the coming quarters and we are hoping towards the next three quarters U.S. will show a growth momentum because the current revenue is at a very base level. I hope that answers your question. ~newgen

 Akshat Agarwal : Thanks a lot. It is very helpful that is it from my side.

Moderator : Thank you. Our next question is from the line of Sachin Jain from Carnelian. Please go ahead.

Sachin Jain : Thank you for the opportunity. My question was largely on U.S. because that is one of the key regions for your larger strategy. So can you give more qualitative comment what is happening at a GSI front though you covered a bit on a previous question's previous answer but can you give more quality because I think it is last one and half or two years you are making efforts towards U.S. and we are not seeing meaningful traction yet. So can you give more qualitative input how it is unfolding for you one from GSI monopoly and second your direct sales point of view?

Virender Jeet: I will try to further give you some color. See what has happened in U.S. as you are rightly saying we have two businesses one is our direct sale business which is typically going in to tier two, tier three banks in U.S. Out there we have a steady funnel of winning deals. Of course during the COVID period those banks behaved very differently and we did not have a lot of banks winning, but the other bigger challenge we did not see long-term potential in some of that account base because they were too small to give us repeat businesses. So the cost of sale our lifetime was not recoverable. So we have done a deliberate pivot of leaving a large part of that market and going to slightly larger accounts. So this is one part and as part of that we have instructed the U.S. team, they are working on that and that will happen over a period of time. The second part of the GSI as I told I think we have done a fuel work on the GSI ecosystem, now we have strategic partnership with multiple players, we have funnel going we are approaching that market but the challenge is our control on the deal has been very less out there in terms of closure cycles and we have seen sometimes the deal will take multi-years for us to close for the GSI because since really substantial. For us to solve that we are looking at acceleration of the funnel , creating more funnel and that is what we are focusing on and we are hopeful that it may we have taken like slightly more time, but over the next quarters the significant results coming out of that exercise.

Sachin Jain : What was your aspiration Jeet as far as GSI is concerned how many deals probably it will have, it was six last year if I understand correctly. What do you think in your opinion this year this number could be a ballpark, I mean, I am sure you also would not have a complete handle on it but generally what is an inspiration what kind of traction in terms of possib

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deals you think from U.S. through GSI channel?
Virender Jeet: We are still expecting at least 15 deals coming this year from this channel.
Sachin Jain : Sorry can you repeat again? ~newgen
 Virender Jeet: Around 15 deals coming this year from the channel.
Sachin Jain : Understood and how do you see the environment because we keep hearing a lot on our demand environment getting deteriorated in USA particularly so how you are reading from your business perspective environment over there?
Virender Jeet: What has happened one last two quarters on the ground the activity has started picking up in fact we are finding more and more interactions with customers in terms of events, physical events, road shows are happening. So there is a lot of activity happening and all these smaller accounts have started reopening for us, but you are right on the other front the larger accounts I think we are talking a lot about what is going to happen down the next three quarters this is a challenge and I do not know today we see any concerns but a lot of people see kind of an apprehension. I do not think it is effecting right now our business but we keep on observing it around next two quarters to three quarters. I think that is specific for U.S. and Europe are more about it but in the markets like EMEA and India we see a very little impact on this.
Sachin Jain : If suppose for some reason GSI and all does not like you see at the Newgen level 15%, 20% growth has typically been would be continued?
Virender Jeet: Yes, we said that GSI is going to be an acceleration engine on our own we have a sustenance of generating around 20% of our growth and that will happen irrespective of what happens on the GSI front.
Sachin Jain : This year also you should see that will happen?
Virender Jeet: We are still planning to hit our target of around 20% growth.
Sachin Jain : What is the reason for growth in India because India has shown a very substantial number and if I compare it to last year so is there anything to read in India's business?
Virender Jeet: Not much I think it is organic I think one of the things is that the accounts in India are quite sizable and they have continued to give us more business and they are using our platforms for more and more things. It has accumulated over multiple quarters and if you see it is not very different from what we did Q4 but Q1 last year was an exception because of everything being shut that is why you see a huge growth compared to that but we think in India most of this growth is sustainable and you will see there is no jerky revenue see unlike in other times, we had a lot of license revenues which determines the jerky part of the nature. This time you would not see that at all so most of the deals we have got in India this year are again either more continuous in terms of revenue and support or on subscription sites. ~newgen
 Sachin Jain : One last question post Number Theory integration how initial feedback how now this platform is being perceived after integration with Number Theory offering with AI side so some color on that?
Virender Jeet: See we are very excited about it so one of the biggest advantages we are having our customers used cases which had requirements of Machine Learning and Data Sciences we are able to service them much better and they are quite excited. So as part of our first endeavor we are integrating this product into our platforms and solutions. We have already integrated in certain lending solutions in our case and we have started taking them to market and we are very happy with the response, but over a period of a time we will be going and integrating this platform into all other aspects of our products and services and that is whe

re
we will see much more value. It is a piece of technology which we are very happy about and we want to leverage it more and more across our production system.
Sachin Jain : Thank you. I will come in the queue for any further questions.
Moderator : Thank you. Our next question is from the line of Giri Shetty from Banyan Tree Advisors. Please go ahead.
Giri Shetty : Sir, thanks for the opportunity. My question was you mentioned about the six logos right, what is the average ticket size of the six logos acquired? That would be my first question.
Virender Jeet: I do not have the exact data but these are all larger logos for us. I think maybe around 400k, 500k would be an average ticket size, but the significant size we can provide you the data if you could mail us.
Giri Shetty : Also Sir I wanted to know about your sales force so if I see a company like an Appian or a ServiceNow. So these if I see their sales and marketing expenses it is quite high it comes to

around 40% to 45% whereas for us I believe it is in the range of 20%. So how does it compare in terms of sales and marketing capabilities as compared to these companies especially in the U.S.?

Virender Jeet: You are absolutely right. Some of the U.S. companies in the same area or similar domain or similar size are spending roughly around 40% on sales and marketing. We are able to do slightly some amount of efficiency because globally a lot of our cost basis in sales also are India centered in terms of all your inside sales, marketing as well as lot of travel-based sales happens out of India. The other thing is also we have been able to successfully generate substantial profits at $100 million size which none of these companies they end up, up to $200, $300 million they keep on burning up to $40, $50 million here. So we are lucky that we have built a business model which is quite healthy as a product company generating roughly around 20% of margins at $100 million. So with that kind of a model that is how ~newgen

 we would like to proceed and in terms of we are not shying away for investing more in sales and marketing, but we have taken a conscious call that we have to maintain a balance between growth and profits and will continue doing that.

Giri Shetty : Does it make it difficult to sell as and when you go there versus an Appian which has a local sales force selling the product to a local customer does that make a huge difference in conversion?

Virender Jeet: I do not think the cost of sale makes difference because finally it's about your strategy, your value prop to the customer your ability to reach those are the issues which our sales and marketing is trying to work and overcome. I do not think its the cost of sale and in case if you find an opportunity to invest more in sales to make that success we will go and invest in that. I do not think the overall budget of sales is how you are modeled as a company rather than what happens on a transaction.

Giri Shetty : No I meant local as in Appian there is a local sales force?

Virender Jeet: In the U.S. we also have a complete local sales force. This is all U.S. nationals or U.S. citizens who are operating as our sales force. We have a large around 14-15 people sales team out there which is all local and we have our sales costs are exactly same as any other guy out there, but in terms of we are able to optimize in terms of sales support, marketing, presales where we have slightly lesser better operational control and minimize the cost out there.

Giri Shetty : Okay got it and the last question is on attrition. So you mentioned about around 35%, 40% attrition last time can we have that number has it come down this quarter how is it and what are your total number of employees right now I believe it was 3284 last quarter right?

Virender Jeet: Yes, it is around same number we

are on 3350 if I am right and attrition is slightly better than last quarter but we have not seen a very significant shift in attritions yet. But we are hoping the planned attritions for next quarter are showing a decline by around 5%, 6% but I think it is too early I think things are changing but the overall sense is that it may stabilize in next two quarters for sure.

Giri Shetty : And you maintain your margin guidance that you have given around 21%?

Virender Jeet: Yes, see I am saying the margin is a factor of our topline, our topline guidance is to keep meeting our 20% growth and in case of that we should be able to be close to our margin guidance.

Giri Shetty : Okay sure, thanks a lot. ~newgen

 Moderator : Thank you. Our next question is from the line of Saurabh Sadhwani from Sahasrar Capital. Please go ahead.

Saurabh Sadhwani : Thanks for the opportunity. I had two questions first is India business means is the business because of the first quarter of Indian financial year licenses getting renewed or the momentum will be sustained throughout the year what do you think it?

Virender Jeet: As I said I think more and more the jerkiness in our business the license is getting minimized so whatever business happens is now more sustainable in terms of the base of that business has gone up. If you look at our subscription or our annuity business now is almost going to reach around 40 million at the end of the year. So the base 70% is of our business is annuity business where you have complete control. So the base itself is changing and the jerkiness part is going away. So I am assuming that India growth what we have achieved in Q1 we should be able to maintain such numbers and grow on those numbers there is no jerky revenue in this.

Saurabh Sadhwani : How many of the new logos, I mean all of the new logos are not our subscription-based right?

Virender Jeet: I think so. I think because most of them I do not see any I think one of them in India is licensed, most of them are subscription.

Saurabh Sadhwani : Second thing about the margin I know you said in the previous concall that the margins are going to decline, will it recover from here for the rest of the year and also want little bit detail on why the margins have been impacted?
Virender Jeet: I think first if you look at margin history of Q1 because of the seasonality of revenue as Mr. Nigam said in this call. Our historical if you track five-year Q1 margins they have been either negative or in the percentage of 2%, 3% at the highest row before this was 6% leaving the last year first Q1 because the cost based were unnatural at that moment of time. So because our costs are front loaded in terms of resources and other things there is not very much variability you can create out there. So on first quarter of any year and last five, seven years there is no margin. In fact our 10% margin this year is healthy compared to our first quarter and as you look at our revenues keep on growing on Q2, Q3, Q4 while the cost shift does not have seasonality, the costs remain in the same. So you keep on unfolding margins in the next fourth quarter. So I am very hopeful that we will be able to maintain our growth momentum for the remaining quarters and in case we are able to achieve that the margins will automatically unfold. They can be a 0.5% here there but it would not be very different from the guidance we provided. ~newgen
 Saurabh Sadhwani : The cost will stay flattish or are they going to increase for the employee expenses and the travel expenses?
Virender Jeet: Slightly more in Q2 and then declining in Q3, Q4 that has been the trajectory.
Saurabh Sadhwani : Thanks. That is all from my side.
Moderator : Thank you. Our next ques

tion is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.
Mihir Manohar : Thanks for giving the opportunity. Just I had a question I mean you mentioned that you are looking to close roughly 15 deals from GSI channel this particular year. I mean just wanted to understand how is the product adaptability moving, I, what gives us confidence that we are looking at this number versus close to six number of deals in this particular financial year so what gives you confidence for that number that was the first question and second question was understanding the operating leverage. I mean more revenue coming in from GSI how would the operating leverage and how would the margins or profitability change for our company so wanted to understand that from a structural angle?
Virender Jeet: First of all the confidence comes from the funnel and the opportunities and cases which are already running in the field. We have roughly around 79 cases which are pursuing right now with GSIs in different areas and we are very hopeful that between Q2, Q3, Q4 even if we are closing three, four cases will reach that number. So that is one, so it is clearly coming from the funnel the confidence is coming from with that. Of course there is an uncertainty on closure and but still having said that specifying that uncertainty we still think that 15 deals are doable. On the operating leverage I think broadly since service delivery part of these deals more often the GSI does. So we have only what comes to us is more higher gross margin revenue either in subscription or in licenses. So operating leverages do expand through GSI deals but unless the GSI revenue on its own becomes substantial it may not change the overall picture. So I think we will have to wait for the GSI revenue to become 20%, 30%, 40% of the business then you will see we should be able to move from 65% gross margin to around 75% gross margin. Does that answer your question?
Mihir Manohar : Yes sure, and just from the deal size I mean the 15 deals that you are looking in what is the average size of the deals that we should consider I mean I understand it is difficult to pinpoint a number but just from an understanding only?
Virender Jeet: Around 400k would be on an average because there will be 250k and there will be $1 million deal but I think around 400k would be an average deal.
Mihir Manohar : For 400k annual. ~newgen
 Virender Jeet: This is my guesstimate so but I can send you more data you can ask Deepti to get more details.
Mihir Manohar : Yes sure that is it from my side. Thank you.
Moderator : Thank you. Our next question is from the line of VP Rajesh from Banyan Capital Advisors. Please go ahead.
VP Rajesh : Thanks for the opportunity. I joined the call late so I am not sure if this question might be asked, but there is a lot of news about some of the large banks in the U.S. pulling back on their IP spends. So I was just curious in that context given U.S. is a big market for us and especially banking segment with that is what we are hearing and what is the view that we have in terms of any kind of slowdown from the strengths from some of these banks in the U.S.?
Virender Jeet: See Rajesh one thing we have seen in our solutions, have a need for growth as well as for

cost optimization. So we have seen cases even in extreme cases of contraction or pull back of spends we have seen, our kind of solutions being deployed to optimize cost to optimize back ends to reduce manpower. We put their use cases to get created in all kind of economies. Having said that today my penetration in large banks U.S. is very minimal so actually we do not have too much of insight into the ecosystem what is happening in very, very large banks. We are still working on tier 2 and tier 3 banks and in that we are seeing right now the a

ctivity has started again in fact they have been sleeping for last two, three years having said that everybody is saying that there is going to be something horrible happening around the corner after two quarters or three quarters, right now we have no idea about on the on the ground our clients have not started showing any signs of that yet.

VP Rajesh : I see. I will get back in the queue. Thank you.

Moderator : Thank you. Our next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agarwal : Firstly what kind of increase in the cost base, have been budgeted for this year?

Virender Jeet: So overall our costs may increase in around 18%, 19%.

Ankush Agarwal : In the long-term like four, five years what kind of sustainable growth in the cost base should we expect will it be closer around 2% or will go back to like 15% which was historically there? The reason asking this question is because this year obviously we are coming off a low base from last year so the number could be higher but in the long run what would be the run rate for that? ~newgen

 Virender Jeet: It is very difficult to predict the future but if I look at how historical data we have been able to grow at 20% of growth with much lower cost of growth around 13% to 15% has been the cost base in those years. Taking this year is an exception because it is starting from a low base, no travel cost we think in future with every 10% of revenue growth we can easily manage between 7% or 6% of cost.

Ankush Agarwal : That is right. Secondly would you like to comment anything on what explains the sharp degrowth and license fee it is just one off for the quarter or it is largely structure wherein more and more subscription base are coming up so it should be something that will stay?

Virender Jeet: I think two things one is deliberate we are pushing back on licenses and which we are taking the hit on that in terms of our topline because of that but the second is also we have seen that we have missed on new logo acquisition this quarter we have got some orders which have got deferred or we missed them by bond base of the quarter and that has been the primary reason, but having said that our license revenues may not grow at the speed at which the overall company is growing in fact there may be a decline, but the right major for us to track is the subscription revenue which we are growing at around 32%.

Ankush Agarwal : Internally we are now more focusing on subscription deals and not license is that what you are trying to say? Then lastly in one of the recent interviews you kind of commented that that your goal is to grow the business of $500 million in next five years can you shed some light on that because internally in the concalls we have been guiding for some 20%, 25% growth but that $500 million target is at least double that as such?

Virender Jeet: I think we are a software product company which is operating in a market size which is roughly around $60 billion with businesses operating in India, Middle East, APAC and now we are shifting to more mature markets. So the addressable basket and opportunity size is very large. Of course it depends on the execution we have a trajectory of growing at a particular percentage. Our initiatives of GSI, our initiatives of entering more mature markets should accelerate our historical growth rates. So that is the plan. So once any of these starts clicking and giving us more sustainable revenue we should be able to accelerate this growth rate much beyond 20% and that is what our business plans are drawn for and our investments are made.

Ankush Agarwal : But earlier I believe you have been making this comment that GSI would be adding probably 4%, 5% extra on top of what we do organically. So is there any change in that or the GSI would probably add much m

ore than what we had earlier expected?

Virender Jeet: It should add but I think it will start with when I say 4% or 5% when I am saying that if I can meet my 15, 20 logos target this year that should add 4%, 5% and next year it can become much bigger than that and you can become compounded but the whole GSI stream ~newgen

 is going to target of accounts which we generally have not been our accounts we have not been targeting those accounts. So it increases our market thus we should be able to increase our growth momentum.

Ankush Agarwal : Internally we do not have any kind of constraints in terms of how much businesses you

want to maintain internally and versus GSI like you are came with even GSI going at 50%
of overall revenues?
Virender Jeet: We are completely going with GSI becomes 70% of the business we have no problem in
that but it takes time so that is a desirable state.
Ankush Agarwal : That was very good. Thank you.
Moderator: Thank you. Our next question is from the line of Karan Doshi from Edelweiss Financial
Services. Please go ahead.
Karan Doshi : Good evening Sir, my question is on the deal that we have signed with Coforge and
Anabatic Digital can you give us some color in terms of what kind of client additions or the
events you can expect from signing this thing with such GSI also have we got a foot in the
door with one of the clients at Coforge or are we still ramping up can you add some color
on that piece?
Virender Jeet: So with both Coforge and anabatic we have got early successes we have already have deals
together and I think Anabatic is in Indonesia if I am right it is a very, very large local
system integrator and have got huge penetration in the market and our deal and signing and
raising the partnership level to a level where we are having joint go to market and plan is
helping. Similarly in Coforge from a tactical deal we have also signed an agreement to
pursue markets in Europe, U.S. and other areas and go after carriers and set up joint targets.
These are business plans. I think they do not have right now direct correlation in terms of
how much revenue we can get but we are hopeful that once we work on these plans over
next to three quarters we should be able to build a substantial business with both these
partners.
Karan Doshi : My next question was just an extension of this if you could explain how do these deals
come into play in terms of how did we get our deal with Coforge and similarly how can we
then penetrate into let us say other similar system integrators? Do we first sign a deal with
the GSI and then move on to the clients or do we have a client interaction first and then talk
to the GSI and extend?
Virender Jeet: Both ways I think what happens but historically the India based ecosystem of GSIs is where
we already had client interactions so we had common clients, we had common partnerships ~newgen
 we had joint cases historically and once there is a more momentum and people see that we
can carry the same solution to different markets that is where the partnership becomes turns
and that is how we work with other GSIs as well so we have moved away from some of
those cases from the tactical client partnerships to having more joint go to markets with
these users and that is what is happening. It is we have a history being in Indian market and
working with these guys for nine, ten years. They have seen our products, they have seen
our platform, they have seen the capability and what we deliver as an end result for client
and together we are very hopeful we can take the same thing to global customers and make
them successful.
Karan Doshi : That is it for me. Thank you.
Moderator : Thank you. Our next question is from the line of VP

Rajesh from Banyan Capital Advisors.
Please go ahead.
VP Rajesh : One question was that how is your sales funnel looking now and vis-à-vis let us say three
months or six months ago has it been consistently going up or are you seeing some kind of
pullback in that?
Virender Jeet: See from last six months I think things have started opening up and becoming better on the
sales activity front also on the result front in terms of we have started converting from more
flattish quarters to more growth quarters. So we see all across especially in markets like
India and Middle East are doing considerably well. U.S. we are trying to pivot and we are
trying to change some amount of strategy of how we are going and other new markets like
Australia will start getting the early wins. So overall we are seeing for us the market activity
becoming better over the last six months.
VP Rajesh : I see and then as you were talking about your gross margins expanding because you will do
more businesses with the GSI partners. So is it because that you stopped doing integration
internally and that is why the margins will expand on this there is some other variables?
Virender Jeet: As part of our know sale there is an element of service delivery today since we are selling
our own systems we are doing also the implementation which is a service delivery part so
any service delivery has got much lower gross margins than the overall license because
generally license and subscriptions are at a very high gross margin. So as the service
delivery is taken by the partner or the GSIs more and more our revenue composition
becomes a higher gross margin in terms of more license and subscription thus improving
our overall gross margins. We may continue to do service from some tactical clients or
some strategic clients but overall more and more services are passed on to that GSI and
higher gross margin revenue gets passed on to Newgen. ~newgen

 VP Rajesh : So in this quarter what percentage of revenue came from services type for us?
Virender Jeet: Good question so on purely services site we are at 180 roughly around 60%, 62% of the revenue came from services.
VP Rajesh : And that is associated with the license revenue you sold?
Virender Jeet: These are all services for us to do with the sale of our license.
VP Rajesh: I am sorry could you repeat that Sir?
Virender Jeet: All our services are associated with the sale of licenses either for implementing the software or having a long-term additional support contract with the customer.
VP Rajesh: If you take out the support part that is what I was interested in that with the new license?
Virender Jeet: The implementation is roughly around 21%.
VP Rajesh: 21% okay and in terms of the business you said you are pushing back on the license deals so this is mainly because the client really wanted to have a license and you were not willing to give him or how is that dynamic working out?
Virender Jeet: We are not having such a luxury that we will completely leave deals but what we are saying that deals which we are of smaller size something in the range of 100k to 200k as license we have not interest in selling them because the annuity component we generate becomes considerably small. It becomes 30k to 40 k so as a long term we lose interest in that account so for a larger license deals we still are ready to accommodate and say yes, but for smaller license deals we are pushing very hard. In fact that also means sometimes leaving it on the table.
VP Rajesh: In terms of our market share if you can comment on that both in our core geographies of India and some of the newer markets as to where we stack up amongst the other providers?
Virender Jeet: Rajesh, there is no official study for that and the global market share I think we are very, very small. We do not even own 1%

of the global market share because the market is predominantly US and Europe. We have got a substantial kind of a leadership position in India and Middle East for sure because almost all marquee customers, banks, insurances we have acquired them at least most of them but there is a 10-year-old study done by IBM in which we were the number one and IBM was number two, but that was very old study so nobody has done a study after that today so I think we are still number one in India. We are still number one in MEA region but in other regions we do not have a substantial market share. ~newgen
 VP Rajesh: Given the size of the market share Gartner or the other analysts firms talking about who are the leaders, who are the challenges, etc?
Virender Jeet: They do not do it in submarket. They do it at a global level. The percentage of revenue across vendors and out there the big guys are the IBMs and Microsoft and Pegas of the world, but on a regional level they not have market share for who because they cannot do that regional size estimate.
VP Rajesh: Understood. Thank you that is all I had?
Moderator : Thank you. Our next question is from the line of Keval Shah from Jeetay Investments. Please go ahead.
Keval Shah: Thank you for the opportunity. Sir just one question that since you mentioned that you are keeping up with our growth target should one assume that with the couple of deals that have got has postponed are likely to get closed or would have got closed in the Q2 and our H1 deal wins would look considerably stronger than compared to last year?
Virender Jeet: I would not go as far as predicting that but I am saying is that with respect of the number of deal wins the way we are building business more on less jerky that means less license based or more subscription MMC we have a continuous growth momentum and even the deals which we have added in the last year Q4 and Q1 will start contributing revenue in Q2 of this year and we will surely add many more deals in Q2 but many more deals we add in Q2 will play a part but may not play a substantial part in revenue of that quarter.
Keval Shah: Absolutely Sir I understand the revenue is a function of the order book that is being there for the last year or whatever time period would it be but I am just talking about orders in specific not really their contribution to the revenue but just independently talking about the order book? Do you think the order flow for Q2 and so should be stronger compared to Q1?
Virender Jeet: Surely better than Q1 yes.
Keval Shah: Alright Sir that is about it. Thank you so much.
Moderator : Thank you. Our last next question is from the line of Vivek Gedda from SBI Mutual Fund. Please go ahead.
Vivek Gedda: Thanks for the opportunity. I was not on the call throughout the time so I am sorry if I am asking this again but I think you also spoke about 15 new deals from GSIs that you were targeting this year firstly I wanted to check how many of them have happened in this

quarter and what gives you the confidence that we will be able to do 15 this year that is part ~newgen
 one and part two on GSIs would the concept of deals be more depending on how they actually subside in? For example we are trying to move away from license but would that be very similar through GSI server? Would they be also be looking for license-based kind of overall deal that might accrue to you?
Virender Jeet: I think both the questions so I first I think on the deals expectation from GSI is completely based on funnel. We are already operating kind of a 79 case funnel with some of those cases are in advanced stages and some we will add also during the year and we are hopeful that we should be able to do better than what

we did last year in terms of deals wins especially since we are opening few more markets like Australia, APAC, we have also deals that are coming from GSI so I am very hopeful looking at that funnel we should be able to do much better than what the current situation is. On the question of deal construct I think selling subscription is quite normal even to GSIs because then this is what the model which every other vendor sells so we do not see but in cases of some large cases if it is a licensed deal and it has been structured in roughly like that so we are quite open to go and pursue that as a license deal with the GSI as long as we are able to get a substantial revenue in terms of multiyear revenue from that client we are okay with that so today the deal construct of GSI is not very different in terms of when our licenses are introduced it does not matter. There are two kind of deals constructs one is if are part of a very large or a fee where we are getting positions then the directly construct remains the kind of model they are buying in then we are go and support that but in case we are creating a single opportunity around our solution then we are normally going with the subscription most of the time. I hope that answers your question?
Vivek Gedda: That is helpful. The other thing I wanted to check is this entire position that Coforge is very interesting? Is there a difference between how you actually, I mean, small size GSI versus a large size GSI would there be probably better connect with the management and potentially a better push from a medium-term perspective?
Virender Jeet: The question is with most of the GSIs we have extremely good relations with their headquarters in India and we have good relations with them but I think finally it determines in the hunger in the market and the opportunities we are able to create in the market and place them. We are hoping with Coforge with some successes in India and in other markets they are quite interested right now. We are quite interesting and we are hopeful that we should be able to build an interesting funnel, but I think it is too early. Let us give it a few quarters and then we see how it unfolds.
Vivek Gedda: Got that. Best of luck and thanks.
Moderator : Thank you. Ladies and gentlemen, this concludes our question-and-answer session. I would now like to hand the conference over to Mrs. Deepti Mehra for closing comments. ~newgen
 Deepti Mehra Chugh: Thank you everyone for attending the call. For any queries you can connect with me or go to our website. Thank you.
Moderator : On behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines. ~newgen

Call: Oct 2022

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(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies
Limited
(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q2 FY'23

Dear Sir/Ma'am

As intimated earlier through our letter dated 14th October 2022 regarding the Conference Call of the Company, which was held on Tuesday, 18th October 2022 at 04:00 P.M.(IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Encl.: a/a

"Newgen Software Technologies Limited
Q2 FY23 Earnings Conference Call"
October 18, 2022

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
D IRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
L IMITED
M R. VARADARAJAN – WHOLE TIME DIRECTOR –
N EWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. VIRENDER JEET – CEO – NEWGEN SOFTWARE

TECHNOLOGIES LIMITED
M R. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
R ELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
L IMITED

MODERATOR : MR. ANIKET PANDE – LEAD TECHNOLOGY ANALYST -
ICICI SECURITIES LIMITED

Please note that the transcript has been edited for accuracy purposes
Moderator: Ladies and gentlemen, good day and welcome to Newgen Software Technologies Limited Q2 FY '23 Earnings Conference Call, hosted by ICICI Securities Limited. From ICICI Securities, we have lead technology analyst, Mr. Aniket Pande, welcoming the management and investor on this earnings call.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star and then zero on your touchtone telephone. Please note that this conference is being recorded.
I now hand the conference over to the management of Newgen Software Technologies Limited for their opening remarks. Thank you and over to you.
Deepti Mehra Chugh: Thank you, Inba. Good evening, everyone. I'm Deepti Mehra Chugh, Investor Relations, Newgen Software Technologies Limited, and I welcome you all to the Q2 FY '23 results of the company. I have with me from the management, Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Whole-Time Director; Mr. Virender Jeet, CEO and Mr. Arun Gupta, CFO.
Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties and the actual results could materially vary from the forward-looking statements.
Past performance may not be indicative of the future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect in future or update any forward-looking statements made from time-to-time by or on behalf of the company. For further details, please refer to the Investor Relations section of our website.
I would now hand over to Mr. Nigam for the presentation of the results, which will be followed by a Q&A by Mr. Virender Jeet. Thank you.
Diwakar Nigam: Good afternoon everyone and thank you for joining us today on our Q2 Financial Results Call.
In the second quarter driven by robust demand especially across our traditional markets our revenue witnessed a growth of 22% Y-o-Y to reach INR 226 crores. We believe cloud and subscription revenue is a good indicator of our business momentum. The subscription revenue had been growing steadily at the healthy pace of 30% Y-o-Y. They now comprise 35% of our total revenues.
The annuity revenues for the quarter were INR 143 crores, witnessing a growth of 24% Y-o-Y.
The annuity revenues comprised 63% of our total revenue in Q2. While the global environment

is uncertain our traditional market continues to remain strong. We strongly believe that our products have significant leverage across both sides of the market opportunity revenue enhancement and cost optimization and efficiency and we can pitch accordingly.
India witnessed a strong growth momentum during the last two quarters with exciting businesses from both existing and new customers. In Q2, Indian market grew by 27%. EMEA and APAC geographies have also been performing well for us growing at 24% and 39%, respectively.
Our US geography, however, has not been performing well. As we mentioned in the last quarter, in the US region, we have been working on altering our sales methodology, moving towards larger-sized accounts with higher mining ability than the current smaller and medium-sized banks and credit unions.
We have also done some reorganization and team changes in the region recently. The quarter

was marked by 14 new logo wins spread across geographies. We had significant deals in existing and new accounts d

uring the quarter.
We are happy to share that we have been a successful bidder for a leading bank, public sector bank for providing solution and services for the end-to-end digital lending platform. The total size, total order size is INR 49 crores spread over five years. We are also executing a midsized product for US based banks operating a network of banking centers throughout Colorado, Kansas, Missouri and Texas.
We also received additional mining business from UAE's largest bank, a cloud base with a private sector bank in India and a midsized project for a leading Indian private sector bank. We have also entered into the cloud deal for a multinational automobile manufacturer in USA to a system integrator.
Moving to the update on our offerings and opportunities. We recently launched our comprehensive configurable and future-ready trade finance platform for banking. The platform is built on low-code framework that lends the flexibility to allow seamless bank specific configurations and management of the complete life cycle.
It helps bank go paperless and streamline their end-to-end credit process while ensuring compliance with domestic and international regulation. The platform involves advanced level of content management and enables banks to process trade finance business efficiently and cost effectively while reducing the turnaround time significantly.
Keeping in mind the evolving needs of business and customers it can be configured easily to launch any new structured trade finance product. It provides cloud-native architecture and low-coal integration engine. Designed by bankers, and experts in trade finance and technology, the trade finance platform is a revolutionary concept.

We are excited about this launch and confident that this will play a vital role in accelerating our company's growth.
We also launched the all-new integrated Robotic Process Automation, RPA, offering -- strengthening the low-court process automation portfolio. We continue to work on our long-term platform and cloud road map.
On the operational front, we see normalization in the workplace with in-person meetings, team collaboration and regular customer meetings. Business travel has now normalized. Attrition level seems to have stabilized across the sector. We have been investing in all spheres of talent acquisition, including campus recruitment and lateral hire as well as retention and development.
In the sales and marketing front, we continue working on both of our sales engine, direct sales channel and partner network to expand our markets footprint. We recently held our in-person customer meet, Newgen Connect 2022, in Mumbai, which received tremendous response and participation from our large Indian customers, system integrators, consulting firms and many prospects.
It was a good platform where we highlighted our road map, customer success stories as well as enable customers, custom integrators and consultant network to provide their input, understanding the product capabilities, collaborate and exchange notes. We will be hosting such events in other markets as well in the next few months.
Profits and margins; our profit after tax for the quarter was INR 30 crores. On the cost front, there has been a continued impact of elevated employee costs given by the industry-wide supply side challenges, which are now gradually abating. There has been pressure on costs on account of increased go-to-market initiative, returning to in-person events and gradually normalizing travel expenses.
We continue to invest heavily in our global initiatives, our products and in our people. During the year, R&D expenses comprised about 11% of the revenue, and sales and marketing expenses comprised 24% of the revenue.
In the first half of the year, our total revenues are INR 414 crores, witnessing a growth of 20% Y-o-Y. Our profit after tax

is INR 49 crores. However, I would like to highlight that given the
seasonal nature of our business and linear costs during the year, usually profits in the second half of the year are higher than the first half.
On the cash flow and balance sheet, our net cash generated from operation activities were INR 57 crores in Q2. Our net trade receivables were INR 258 crores at the end of September, which resulted in net DSO of 111 days. The DSO has been higher in the current quarter. But we expect the number to stabilize in the future quarter.

We are taking prudent steps to tap newer opportunity and combat uncertain environment as we continue our growth momentum. We believe that we have a solid product in place that is highly appreciated by our customers and add significant value.
We have a loyal customer base in place. Our cloud and subscription revenues have been growing at a fast pace providing healthy visibility of long-term revenues. We continue to invest cautiously in improving our product and marketing strength, and transforming business for growth and operational efficiency. We are now open for question and answer. Thank you.
Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Anyone who has a question may enter star and one. Ladies and gentlemen, we will wait for moment while the question queue assembles. Our first question is from the line of Aniket Pande from ICICI Securities.
Aniket Pande: Hi, thank you for the opportunity to host you and wishing all the members of Newgen Software a happy festive season ahead. I had couple of questions. Your revenue growth looks quite impressive at around 22% Y-o-Y in this quarter. Earlier you have mentioned a guidance of 20% Y-o-Y revenue growth for FY'23, which implies around 20% Y-o-Y growth in your second half of this year. It seems like you can easily exceed this guidance based on your historical trend. Any comment on that?
Virender Jeet: Thanks Aniket and good evening, and wishing you the Happy Diwali. And you're right, generally, our Q3 and Q4 are higher revenues, but so has been the case in the past year, revenues are higher. So it is a seasonality, so to do 20% growth in both quarters is on a much higher base than on a Q1, Q2 base.
So these quarters will be larger than Q1 and Q2 per quarter. Thus, they will have a higher degree of margins. Right now, we are looking at accelerating growth and finding ways to accelerate that. What percentage we'll hit, I think it's an outcome very, very difficult to comment on that.
Aniket Pande: And sir, how are your conversations going on in US and European markets, actually? Are you seeing any impact because of macro headwinds? Has the deal closure cycle further elongated as compared to last quarter? Or is still, as of now, you aren't seeing any incremental pain coming?
Virender Jeet: Yes. So fortunately, right now, our growth is driven from the markets which are beyond US and Europe. That's our traditional markets, like India, Middle East and Asia Pacific. US and Europe, we have as last quarter. We said there is clearly a much more pain in those markets than we see in the traditional markets.
And the profile of customers which are very large, we are seeing -- hearing conversations of no uncertainty. Does it really affect our business growth this next quarter? It's very difficult to say.

But right now we have a large number of opportunities, where clients are confident that in this environment also they can go ahead and do those deals.
But this is – nobody can comment on completely this because as the situation is unfolding, all businesses are redefining their plans. And unless, we are completely in a more stable environment, we don't know what's going to happen. So there is an uncertainty in deals. But surely, the interest is right now quite high in what we are doing.
Aniket Pande : One last question, your annuity-based revenue share has improved quite a lot at around 70% as of last quarter, but it has dropped a bit in this quarter. So how should we look at annuity base revenue going forward from here on?
Virender Jeet: Yes. As we grow, the annuity will keep on growing because that's what -- you will see those streams are growing at much higher rates than the company. So SaaS, ATS as well as support, these -- all three are growing at a much higher rate than the overall growth rate of the company. Looking at it on a quarter-on-quarter basis may not be fair because what happens is if there's a license component higher or lower will determine the percentage of annuity. But on a yearly basis, I think last year, we were sub-60%. This year already for the first half, we are much higher than 60%. So at the end of the year, we'll do substantially better than last year.
Moderator: Our next question is from the line of Akshat Agarwal from Jefferies.
Akshat Agarwal: Thank you for the opportunity and I wish you very happy to Diwali to all of you from the Newgen Management Team. I have a few questions. Firstly congratulations, on a good set of numbers particularly, on the growth side. This year -- this quarter the growth has finally been led by the India and the Middle East markets besides the group step-up in APAC, could you

please help us understand what sort of growth can we expect from India and Middle East over a two to three year period?
I was under the impression that we have a very high market share in these markets. So structurally these markets are expected to grow slower, compared to US or the newer geographies like you're looking to expand, particularly Australia. That's the first question. I'll ask my follow-ups after this.
Virender Jeet: Good evening Akshat and wishing you Happy Diwali. You are right. This quarter, the growth has been, and in the last quarter the growth has been predominantly led by India, APAC and Middle East and they have grown at a substantial rate.
If you look at next three years, though we have a strong penetration of our presence in India, it's not exactly true in Middle East and Asia Pacific. I think our penetration out there is quite thin yet, because a number of countries is very large and the kind of markets we operate is still very few on there.

Having said that, there's one fundamental difference, which is happening in all these three markets, we are getting into larger accounts with larger deal sizes, which is making a difference. So, I would say that the potential of these markets, if the oil remains stable and the overall, the economic situation remains good in these markets. There is no reason why we will not continue to grow in.
So India has been always going for us, it's only that during the COVID era. It was really, really in a bad state in terms of spending for many, many sectors. That's the time, but if you see that last year, India did some growth and this year. I think first it’s been leading the growth by almost 30%, 35% H1 growth.
Same is true with APAC, and I think Middle East will also do a good growth on a very high number as last year. So I don't see any reason why the next three years, they can't be the grow drivers up to this percentage. In terms of when I say doing around 20% growth.
Having said that, our long-term story of higher numbers of growth has to come from mature markets and that's where we are investing in building the strategy. Right now, we are pivoting out there a bit in terms of redefining what we have

been doing in banking. As in the earlier call,
Mr. Nigam has stated that, in the banking we are trying to shift to slightly larger accounts, because of the lifetime value of those accounts is going to be much better than the businesses we have pursued so far and as well as looking at our sales strategy and various ways to how to accelerate that. So I'll stop there. I hope that answers your question.
Akshat Agarwal: No, that's very helpful. Thanks a lot sir, just a follow-up on this. So that's supposing your strong growth in India, Middle East and APAC to US where on constant currency terms, perhaps your revenue growth would have been flattish to slight decline on a year-on-year basis.
Is it fair to assume that over the next couple of years the traditional markets are going to be the growth drivers, while US might take longer than expected to, again become the growth driver like it was in '21?
Virender Jeet: No. So we are not waiting that long. So I think our strategy, we are waiting for a couple of quarters to bring it to a better growth trajectory. So it will, you see in the US this quarter would also grow a bit and it will continue growing over the next two quarters. And next year, we should again look it as one of the growth engines at least at, equal terms to other markets, if not higher. So we are not waiting for two, three years. We are waiting typically for next two quarters to reset the market.
Akshat Agarwal: That's very helpful. Final question from my side and that's on margins. So this quarter we've seen a very sharp increase in other expenses, as a percentage of revenues on a year-on-year basis. Has this entirely been driven by higher marketing and travel costs? Or is there any one-off over there?

Virender Jeet: Yes. So no this is predominantly marketing and travel and also in terms of the offices have restated the other costs of running the facilities that has gone up. And there is no onetime thing in this.
Akshat Agarwal: So in terms of your margin expectations, could you just give us some sort of an outlook of what sort of margin should we be expecting from Newgen, maybe this year and the year after that? Any sort of guidance would be helpful?
Virender Jeet: I may not be able to give you exact guidance. But what happens if you look at historically, the

Q3, Q4 will have much higher expanded margins. If we meet, our growth targets on those markets. So those quarters and so from the current H1 around INR 50 crores of PAT we should be able to have a much significant larger number in the H2 of that. This business generates high gross margins.

As you know, it's around, between 65% and around that gross margin and rest depends on our top line growth of that year as well as investments. So investments in sales and marketing and R&D are almost set at 10%, 11% and around 24% this year, they won't change much. No, it completely depends on the top line we hit and then the margin which unfolds.

Moderator: Our next question is from the line of Mihir Manohar from Carnelian Capital.

Mihir Manohar: Congratulations on the good revenue. Largely I had a question on GSI side of the business. I mean I just wanted to understand what is the GSI traction now? What are the numbers of deals that we have won from GSI? And what is the traction here?

Second question was on the currency impact. I mean we are having 22% Y-o-Y revenue growth. If you could quantify what is the currency impact, currency depreciation here? That will be very helpful, and my third question was on the local trade finance platform and the launch that we have done.

So just wanted to understand the strategy behind this? What is the market that we are targeting? What is the market size over there? What kind of strategy are you going to adopt and what is the internal revenue target that you have been looking for this particular platform over

the next three
to five years? Yes, so those are the three questions?

Virender Jeet: Thank you Mihir for asking. So on the GSI front, we are continuing to push that strategy and we are increasing our funnel. The funnel has improved from deals up to almost 90 deals now in the funnel we have. We are also spreading across going into other GSIs which have shown more interest beyond the traditional ones, where we had already done the leads.

This quarter we have closed two deals with GSIs, one in Australia and one in US and we expect that momentum to keep on improving slowly. Of course, it's not at the same rate as we had expected to GSI, that's why we are trying to look at various strategies of helping that business

to grow further. So, on the GSI front I would say that, in terms of investment, enablement and building that structure. I think that there's a lot going on.

On the funnel lot is going on. But on the conversion it's a bit slow, it may take a bit more time for us to accelerate that. On the currency impact, yes there has been in terms of, currency gains in terms of, on a constant currency. We have roughly around 16% of growth. If you're, that was your question.

And there's also in terms, there will be some amount of losses on cases of, in terms of some out of on the hedging. So we can, Arun can give you more details about that, if you want. On the low core trade finance, I think we are very excited about. We have been always creating product lines based on our local platform and we were very lucky to get opportunities of redefining products for some of the most leading financial institutions in India on trade.

So we have been able to launch this new product. The market is very ripe for this product in emerging markets like Southeast Asia, India, some part of Middle East and -- but Europe. Europe is a very large buyer. Trade is on our understanding is trade is also on the verge of being transformed. All the current solutions are around seven, eight years old.

We have a new generation product, which solve the current trade problems, which business is looking at. And right now we are pursuing at least 30 different opportunities in our funnel across various geos and we do expect that this year. We will close another three, four trade opportunities. The difference is that these opportunities are pretty large. Unlike our traditional the deal sizes out here and the long tail is very pretty large.

So we have not really done, how much of revenue on its own will come from this product line. But we are in the process of setting the business plan. Maybe in the next few quarters we'll have more clarity about, how independently it can be a growth driver for the company.

Mihir Manohar: And I have just one more question on the margins. I mean, you have anticipated for 18% to 25% kind of margins for the full year. When I do ask for the second half of the year that comes to around 30% plus?

So just wanted to understand how confident are we of having 30% gross margin are given the fact that now non-COVID costs are coming back and travel costs are coming back, R&D costs are coming back. So how should we see the margins for the best part of the year and consequence of the guidance that we had for the year?

Virender Jeet: So on our guidance we only have a number which is 10 historically and we have clearly said that last year margins, are not the reflection of business. Because a lot of elements of our business, which we are pursuing have not the costs were factored in.

We had a history of having roughly around 9% of our revenue is travel which was zero last year and similarly SG&A expenses were much muted and the manpower which is this onetime correction in the market, which has led to around 25% of growth in the manpower cost. Having sai

d, that our cost basis in Q1, Q2 generally tend to be the highest cost base. From here the cost for the remaining part of the year is slightly lower. Not substantially lower, it is slightly lower in Q2 and Q3.
Now in terms of doing higher level of revenues compared to Q1, Q2 and stable or lower cost base in Q3 do expand margins. Now whether they will be significantly higher as high as 30%, 31% or more like 27%, 28% will have.
Moderator: Our next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. There seems to be no response from this line. We will therefore move to our next question. That's from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar: Sir, I just wanted to understand, number one, I was reading an article in PTI. So there it was mentioned that, we expect to double our revenue to $200 million by FY'24 on the back of this recently launched trade finance platform? So just wanted to understand your perspective on it?
Virender Jeet: See, we are in that range of 100 million and we have an ambition target of going, taking this company to the next step of 500 million over the next five, six years. There are multiple drivers for that, and the trade initiative is just one of the drivers on that.
On its own, it will, I think it will play a significant part in pushing the growth up. But I think the exact date of doubling it by '24 is a press freedom. They take that, they take a freedom to the next level. But yes, but I think we are looking at accelerating growth beyond.
No, if you can see we are doing a significant growth without the US engine firing right now. And with US and GSI giving us some momentum, I think we should be able to accelerate the growth and meet those aspirational goals.
Deepak Poddar: So our stance means that we are looking to accelerate growth on the back of this new game-changing platform that you kind of indicated today?
Virender Jeet: Exactly.
Deepak Poddar: And at a higher operating leverage. I mean the revenue base. What is the sustainable EBITDA margin that our kind of business can see on an annual basis after factoring in the seasonality that we have in our business, right? So is it in the range of 25%, 30%? Would that be a fair, also assuming now the travel cost has come back? So that 25%, 30% range, is that a fair kind of EBITDA margin level that one can see in our business?

Virender Jeet: We are a product based business with high, very high gross margins. So in case you stop investing like in a very bad year. You end up expanding margins, because finally, the gross margin starts reflecting the net margin position. But our aim is to invest our growth, invest in product development, go and spend on travel, go and spend on sales and marketing.
So what we have said that on a way we want to maintain it around kind of a 18% to 20% net margin with around 23% to 25% EBITDA margin in the medium term. Whether we reach that into this year, next year those depends on how the top line and the costs unfold. But, you're right product companies can generate much higher EBITDA margins any time their growth rate slow down for some time, because overall the business is generating a lot of margin.
Deepak Poddar: Absolutely. But it's not one either, right? I mean we can do both continue to invest as well as per optimum requirement as well as, continue to generate healthy margins for us as a company?
Virender Jeet: I hope so. I think that happens more at bigger sizes. I think right now with this kind of a turmoil, in the system in terms of cost basis, high attrition, uncertainty, you will have to sometimes reinvest for the growth to return or sometimes also wait for just the returns and not invest in growth like we had the last two years.
So you can't balance it every time, but on a long term, yes. I think the business will keep on expanding margins as

a percentage of subscription revenue growth as a percentage of volume of business growth, because your cost bases are fixed.
Deepak Poddar: Fair enough. That's interesting. And my last query is interesting that you mentioned about $500 million revenue in next five to six years, right? So that factor in your growth that you might see from trade finance platform and even this robotic process automation that kind of you have

recently launched as well and more product into the pipeline, right?
Virender Jeet: So our long-term goal of being a first $1 billion company or doing 500 million over the next five years, these goals -- all the initiatives are towards those goals/ vision. So there is not a single entity even the current product lines have enough capacity to take us there and we'll keep on doing these new initiatives.
So we have, so the idea of what we are trying to communicate is we will always be interested in growth, spending aggressively for that growth. And pursuing all avenues to make sure we grow at much higher speeds than traditional growth rate.
Moderator: Our next question is from the line of Harsh Shah from Dimensional Securities.
Harsh Shah: All right. I just wanted to understand that in one of your slides, you mentioned that the subscription revenues at around INR 79 crore and then when you give the revenue breakup below that, you have mentioned that SaaS revenue is 10%, which comes to around INR 22 crores. So, just wanted to understand the difference between INR 22 crore on SaaS and INR 79 crore on subscription revenue?

Virender Jeet: Yes. So I think the SaaS is typically the revenues as we have changed the licensing from perpetual licenses to cloud-based or SaaS-based licenses. This is the licensing part of annuity-based license we are generating. That has reached around 10% of the business. On the other hand on the traditional license sale we are charging an annuity, which is called traditionally called the ATS.
That is remaining part of our, around INR 55 crores for the quarter. So collectively between subscription revenue which is a combination of our SaaS subscription and traditional license subscription, which is called ATS which is roughly around, now INR 79 crores, INR 80 crores for this quarter.
Harsh Shah: This -- sorry.
Virender Jeet: Please go ahead, Harsh.
Harsh Shah: Yes. So the INR 22 crore, which is the 10% of our revenue which you qualify as SaaS? This is typically based on volume basis, right? This is the revenue which is based on per transaction or per item basis?
Virender Jeet: Yes. This is typically per user per month sold at per user per month or sold as an annual license charge. So on this license fee, there is no perpetual right to license. This is kind of a consumption based license or a PUPM based license on that.
Harsh Shah: And the remaining INR 55 crore is fixed in nature, regardless of volume?
Virender Jeet: No. It is not. It also varies, but for that to vary you have to sell additional license to the customer on which you will generate 20%, 22% of the ATS. So the first one, is equally divided. The second one is the majority is upfront loaded which you've already realized previously and only are getting only 22%.
Harsh Shah: And other question following is to, do we have any plans to get into the transaction side of the business? Because, globally the payment side the payment business, not typically transaction but payment business, which is expected to grow phenomenally well. So are we already present there? Or do we want to be there? Any thoughts on that?
Virender Jeet: So we would continue to be a software product company and providing software products in various spaces and in financial services we keep on expanding into different verticals. But we don't, we are not a payments business or a transaction based payments business. We don't have any p

lans to go into that business.
Harsh Shah: No. I mean you reframe it. Not getting into business what Paytm does, but would you be an enabler for them the back end, which someone like Paytm or you have many fintechs, which are into BNPL, all that kind of stuff. Would you be into software services, which enables them or helps them in doing that things?

Virender Jeet: We have software products which help those businesses, and there are some customers who are using our software products in part of their payments businesses. But it's one of the spaces in many spaces we operate, but in terms of looking at it as a focus area on which we want to build growth we have not paid too much attention to that right now.
Harsh Shah: Understood and on the annuity part. So when we say our annuity revenue is around INR 142 crore for this quarter. So do we mean that if you stop investing this is the revenue, which we will continue to get?

Virender Jeet: Yes. This is, so what we call annuity is generally the contracts, which are renewed year after year. So while there's two parts of this. One is the subscription, which is typically our license profile, where the gross margins are in the range of 90% or higher.
The second part is about a higher degree of support, which is a customer support which people contract for year after year. The revenue profile is more like service revenue profile. But both these things are contracted year after year as a renewal contracts. That's why we call them in part of the annuity revenue so.
Harsh Shah: So subscription revenue is a subset of annuity revenue? Is that correct?
Virender Jeet: Yes. Exactly, subscription is a subset of annuity revenue.
Harsh Shah: So the INR 142 crore includes INR 79 crore?
Virender Jeet: Includes INR 79 crores. The difference is the INR 79 crores is a high gross margin revenue. It has got a license gross margin kind of no cost. While as the remaining part of INR 63 crores has got the margin profile, has a service margin profile.
Moderator: We'll take our next question from the line of Utkarsh Katkoria from PGIM India Mutual Fund.
Utkarsh Katkoria: Just continuing on this revenue split. If you could please explain, it's in your presentation, revenue split by segment. So when we talk about annuity plus subscription revenues, what does that include? So when I look at revenue split by segment, it says implementation, 16%; support, 28%; ATS/AMC, 25%. Can you help us understand that chart?
Virender Jeet: Yes, so if you look at the revenue segment, there are 3. One is the sale of software, which is the license software sale, which is perpetual in nature...
Utkarsh Katkoria: Which is SaaS?
Virender Jeet: No. So SaaS is a license sale, which is sold as subscription, but traditionally since we are still older customers and existing customers who buy in the perpetual license mode, there is a onetime license sold and only the ATS get started, added to the annuity part of the business. So that's roughly around 15%, then you have this -- sorry, not 15%.

Yes, so then the second part of which is called the SaaS revenue or SaaS license, which is around 10% of our revenue. This is typically software sold as PUPM basis. Generally, on cloud or an in premise, but the licensing model is PUPM. The third one is the ATS/AMC. ATS/AMC is that for the traditional perpetual license we have sold for many years. I get a 20% annuity for all that same every year. So that is what the 25% of that is my revenue is coming from ATS/AMC.
Support is another head, which is typically people beyond our standard ATS contract as for additional support in which because they have larger complex implementations, they got more people to have a dedicated support team. So that is...
Utkarsh Katkoria: Support classified as subscription pl

us annuity or support is not classified in that category?
Virender Jeet: Support is part of annuity revenue because the profile of revenue is that it gets renewed every year. But it's not put in subscription revenue because the margin profile, that is very different.
Utkarsh Katkoria: So can I safely say that support plus ATS/AMC plus SaaS is your subscription plus annuity revenue? That pool includes these 3 buckets?
Virender Jeet: Exactly. We call it together annuity revenue.
Utkarsh Katkoria: And implementation and other services and sale of products outside the annuity revenue?
Virender Jeet: Exactly. Yes.
Utkarsh Katkoria: And we expect this annuity revenue stream to keep increasing, which has relatively better margins?
Virender Jeet: Exactly. So that's the whole idea, so because that's more predictable revenue we are able to remove the jerkiness in our business. We want to be able to smoothen the quarter or the lopsided nature of the businesses by increasing this annuity portion.
Utkarsh Katkoria: Okay, and just a follow-up, if you can explain what is the sale of products?
Virender Jeet: Sale of product is generally, before we used to sell our software license as PUPM, we used to sell it as perpetual license. And even today, we do in some deals, we have perpetual license.
Again, if a government is coming with an RFP and they want to buy software, they would say they would like to buy a perpetual license. That means they get right to use it perpetually, but they will pay you a recurring support charges or on EPS charges, which is typically for upgrade, maintenance. So that is what...
Utkarsh Katkoria: And implementation is just a onetime thing, right? You implement the software for your client and that is done? That revenue accrues and then there is nothing recurring about that?
Virender Jeet: Exactly and it's also customers can again contract you for something more, but yes, once the contract is over, there is no recurring element of the implementation.

Moderator: We'll take our next question from the line of Saurabh Sadhwani from Sahasrar Capital.
Saurabh Sadhwani: Congratulations on the good results. I wanted to know some details about the trade finance platform. So how are you pricing the trade finance platform? Is it based on a per-transaction charge or is it based on a per user per month basis? And secondly, what would be the average deal size for the trade finance platform?
Virender Jeet: Yes. So there are different. So first, to understand about trade finance, first of all, licensing model remains as same as the underlying platform licensing. The way we sell our low-code platform, the content management platform, which is based on some kind of usage, whether it's number of users, number of transactions, number of servers, it depends on that. Over and above that, depending on the complexity of trade, there are multiple levels of trade solutions. So the smallest trade deal on, can be like a few crores. It can be roughly around INR 3 crores, INR 4 crores, and the larger one could be like as large as INR 15 crores to INR 20 crores. So it depends on the usage and a number of modules which that business is buying.
Saurabh Sadhwani: So the average deal size would be, average yearly revenue from a client in trade finance platform would be around?
Virender Jeet: Can be easily around INR 5 crores, INR 6 crores.
Saurabh Sadhwani: And what was the deal size for the logos added in this quarter, the average deal size for the 14 new logos that we have added?
Virender Jeet: I'm sorry, I don't have that data offhand, but maybe you can write and we can help you.
Saurabh Sadhwani: Yes, sure. No problem.
Virender Jeet: So on our average deal size has continuously for so many years kept on growing. They would have grown on this time, so we can send you the exact data.
Moderator: Our next question

is from the line of Jitendra Chawla, an individual investor.
Jitendra Chawla: I have just one question from you. I mean our business doesn't require rather than the promotional spend that you do, which you call investment every year. And hence, we are net cash flow-positive. So, and that cash pile is kind of increasing and it's affecting our ROCE negatively. So what plans do we have to utilize this cash? Are you looking at any inorganic opportunities and if not could there be a possibility for a buyback, because our valuations are very attractive? Any buybacks which you do would be very EPS- accretive? So if you can show some light on that.
Virender Jeet: Thanks, Jitendra. So you're right. So we have accumulated cash and I think we are very happy that as a product company, $100 million, we are generating cash and profits, which is a rare thing. Having said that, our core focus right now is all on growth and invest whatever we have

for growth. So that means also exploring inorganic opportunities in markets which will suit us for really rapidly growing further.
We are giving ourselves some time, maybe a year or so, to look at options and beyond that, in the meantime, we'll still be accumulating and generating more cash. And if we are not able to successfully deploy it, then we'll look at various options of returning, either higher dividend or buyback to shareholders.
Moderator: Our next question is from the line of V.P. Rajesh from Banyan Capital Advisors.
V.P. Rajesh: Happy Diwali to you all. My question is regarding the growth you said that in five, six years, you will be a $0.5 billion company. So that suggests a very high growth rate. So the question is that, are you thinking of inorganic growth during this 5-year period or the products that you have will lead to such a wonderful growth outcome?
Virender Jeet: Thanks, Rajesh, for the question. So on the answer, let me clarify. So the aspiration of doing $500 million has not been translated directly into a target. Having said that, we are looking at all avenues as, inorganic is not off the table.
We are looking at inorganic ways but right now, the kind of products that we have in terms of the low-code product and the content management product, there's enough market globally for that. The market itself is growing. And we have got excellent customer base. We're showing a lot of confidence in that product. So we don't see the product or the product coverage being a challenge in doing that.
But of course, the challenge is in terms of how fast can we establish ourselves in the mature markets, how fast can we exclude the GSI ecosystem selling our products. Those will be some of the challenges we'll keep on investing on and working on that. The current product, whether it's trade or RP or the new version, they will all help in that cause.
V.P. Rajesh: So let's say, if we think about three year timeframe and let's exclude any inorganic growth, what kind of organic growth can we expect from the current and future products in the business?

Virender Jeet: See, we have grown for a very, very long period of around 20%, and with some of these initiatives, we want to accelerate it beyond 20%. So I would say that next two, three years, we should be able to -- if everything fires, we should be able to accelerate this much beyond 20%. And that is where we can reach on that, but it's very difficult for me to put our number right now on that.
V.P. Rajesh: So you're saying the floor is 20%? And depending on how the market develops for some of these newer products, it could potentially be in that 25% plus range? Is that a fair way to understand your thinking?

Virender Jeet: Yes. I think that we have a bare minimum expectation of doing 20% because that's what historically the minimum com

pany has been delivering. And now all these initiatives and all the investments which we have done in various areas should accelerate the growth further. We are anticipating and having hopes of even higher than 25%.
Moderator: Our next question is from the line of Ankush Agrawal from Surge Capital.
Ankush Agrawal: Sir, firstly, on the increase in our cost base that we have seen, it's been a sharp increase Q-on-Q as well. And in Q1 in the last quarter, you had mentioned that this year you're budgeting around 18% to 19% growth in the cost for the year. But if I look at this number and if I assume that you don't do the same kind of cost number for next 2 quarters as well, we are broadly going to increase our cost sales of more than 25%. So what's changing that outlook from 18%-19% to this very high number, if you can highlight that?
Virender Jeet: Yes. So I don't think we have an outlook of 18%-19% ever. We had a high -- we have already an outlook of around more than 20% of growth. So 22%-24% was already projected as possible. So there is no surprise on the cost front. The only surprise is probably on the manpower side, we had higher cost because the market kept on pressurizing. And even for the first H1 of this year, there were higher attrition, which would increase the cost base. There's an element of growth also, which will factor in that cost.
So on the cost base, we don't have too many surprises. We see that over the next 2 quarters, the cost remaining or even reducing from this level and with our targeted growth rate achieve that, we should be able to expand margins.
Ankush Agrawal: So what you're saying is the cost this for next quarter is going to remain flattish on the absolute terms that you are saying?
Virender Jeet: Exactly. On the absolute terms, yes. Compared to the Q2 cost of this year, Q3 and Q4 is going to be slightly lower.
Ankush Agrawal: Okay, and this would be a recurring phenomenon for coming years that Q1 and Q2 would have the hike and then stay flattish from the beginning of the quarter?
Virender Jeet: Exactly. So what happens generally in April and our June, this is the largest increment cycle in the company, and that is where the – because a lot of fresh people get regularized on that and a lot of people have increment cycles in the capital. That's why I think Q1 and Q2 are the higher quarters and then it gets normalized for Q3-Q4.
Ankush Agrawal: Okay, and another comment that you made, I think, last quarter on the cost front as well that going ahead, we can do 10% kind of revenue growth with every 6%-7% kind of cost increase. So does that hold through in the going through the coming years as well or does this change in that outlook given that you are now targeting the $500 million in very high growth rate?

Virender Jeet Yes. So what I had explained is that we don't need proportionate manpower for the revenue growth. So for every 10% of revenue growth, we need more like 5% of manpower growth, so because a lot of our revenue streams are disconnected from manpower. So, but manpower is a part of our cost. What has happened today, the costs are going more in regularization of travel, which is around 5% of the overall cost revenue and then also regularization of SG&A expenses, improved marketing, face-to-face events, offices. So this year, it's generally going to be resetting the cost base and next year onwards, then we should be able to track and win the efficiency in that.
Ankush Agrawal: Good. Lastly, again something on the cost fronts...
Moderator: Mr. Agrawal may we request you to return to the queue? There are several participants waiting for their turn, sir. We take the next question from the line of Sameer Dosani from ICICI Prudential Asset Management.
Sameer Dosani: Just I'm not sure whether you clarified or not. I joined in late. So look at US based SaaS

compa

nies have been speaking about a slowdown in decision-making and having an impact on
their top line. So are you seeing similar trends in US and what is the overall outlook, if you can
just throw some light? Are you seeing, is there some impact of the recession or any slowdown,
do you think?
Virender Jeet: Yes. So Sameer, we answered this question a bit. I think probably you missed it. I think on the
US side, there is a much bigger pain than what we can see in India, APAC and Middle East
because of -- and a lot of customers are sharing that there is an uncertainty around corners. So
as a result of that, we do see uncertainty in decision making.
But how much does it translate into business and what numbers do we hit is very difficult to
predict? We think that in next 2 quarters, we should still be able to push a bit of growth in US,
but how fast is a different thing.
Sameer Dosani: And UAE and I mean middle East and India is not affected by that in that sense?
Virender Jeet: So far, we are not finding it. I hope it remains that way, and Middle East is oil price has the
economy, I think right now, it's holding well in India. I don't think it's getting touched.
Sameer Dosani: And also looking at the current performance, our 22% to 23% margin guidance, does that hold
or are we seeing medium term, we would have that? But in the short term, in FY '23, do you
think that will be a risk FY '23 and FY '24?
Virender Jeet: See, generally, in this year, I think as I said, we are -- this is a process of resetting the cost base.
Lot of costs this year are also unnatural. In terms of some manpower costs are unnatural, in terms
of number of cycles of increments, number of the churn because of iterations. So you have to
add and you lose talent very fast.

The travel is not returning, and the efficiency of that travel and the business development will
start reflecting in the turnover in next two quarters. So I think this year, we have, as I said last
year, last year's margins are unrealistic because a lot of those things we are not...
Sameer Dosani: I'm just comparing your guidance because that is what you had spoken about right, 22%, 23%?
Virender Jeet: Yes. So we are generally looking at still have a target of between 17% to 18% of PAT. We may
fall short of that. It depends on how we hit on the top line.
Sameer Dosani: And lastly, how is the GSI relationship going? Because you have worked hard for that. How are
you seeing things, is there some progress that you can share on that?
Virender Jeet: I think we are extremely happy with what's happening out there. I think more and more GSIs are
finding very interesting to carry over products. The funnel is growing. We are not very happy
with the conversion rates out there and the deal flow so far.
Having said that, we did close 2 deals this quarter as well, and we expect in the remaining part
of the year to have some acceleration in that. But it is still a long way to go, and we're working
on it.
Sameer Dosani: These two deals are US-based?
Virender Jeet: One is US, one is Australia.
Moderator: Ladies and gentlemen, that was the last question. I now invite the management of Newgen
Software Technologies Limited to add a few closing comments. Over to you, sir.
Deepti Mehra Chugh: Thank you so much, everyone for participating in the call. For the pending queries, would like
to connect one-on-one if possible and for any other further questions, you can also go to our
website. Thank you.
Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities,
that concludes this conference. Thank you for joining us, and you may now disconnect your
lines.

Call: Jan 2023

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Date: 23rd January 2023

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(NEWGEN/INE619B01017)
Scrip Code – 540900
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(NEWGEN/INE619B01017)

Sub.: Outcome Transcript -Conference Call – Q3 FY'23.

Dear Sir/Ma'am,

As intimated earlier through our letter dated 12th January 2023 regarding the Conference Call of the Company, which was held on Tuesday, 17th January 2023 at 04:00 P.M.(IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .

This is for your kind information and record.

Thanking You.
For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Encl.: a/a

"Newgen Software Technologies Limited
Q3 FY '23 Earnings Conference Call"
January 17, 2023

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
M R. VARADARAJAN – WHOLE-TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. ARUN KUMAR GUPTA – CHIEF FINANCE OFFICER
– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M S. DEEPTI MEHRA CHUGH – INVESTOR RELATIONS –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '23 conference call of Newgen Software Technologies Limited. As a reminder all participants line will be in the listen-only mode and there will be an opportunity for to you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepti Mehra Chugh. Thank you, and over to you, ma'am.

Deepti Chugh: Thank you. Good evening, everyone. I'm Deepti Mehra Chugh, Investor Relations Newgen Software Technologies Limited, and I welcome you all to the Q3 FY '23 results of the company. Wishing you all a very happy New Year. Joining with me today on our call is our management, Mr. Diwakar Nigam, Chairman and Managing Director, Newgen; Mr. Varadarajan, Whole-Time Director; Mr. Virender Jeet; Chief Executive Officer and Mr. Arun Kumar Gupta, Chief Finance Officer.

Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and actual results could materially vary from these forward-looking statements.

Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect or update any forward-looking statements made from time to time by or on behalf of the company. For any further details, you may please refer to the Investor Relations section of our website.

I will now hand over to Mr. Nigam for the presentation of the results, which will be followed by a Q&A. Thank you.

Diwakar Nigam: Good afternoon, everyone and wishing all of you a very happy New Year. Thank you for joining us today for our Q3 financial results call. 2022 has been an exciting year for us. We completed 30 years of Newgen. We had a new look with the new logo launch. Most importantly, we were excited to interact, engage and celebrate with our customers and stakeholders in person through various events, leaving behind the phase of COVID. We are happy to share our progress and performance in the third quarter.

This is our first quarter with revenue exceeding INR 250 crores at Newgen. We witnessed a strong revenue growth of 26% year-on-year. All our geography witnessed growth for us. Our traditional markets continued to be the drivers of our growth. India, EMEA witnessed a growth of 40% and 27%, with good business from both existing and new customers. APAC and US region witnessed a growth of 18% and 13%. We are seeing continued adoption of subscription-based business model.

The overall subscription revenues have been growing, steadily at a healthy pace of 37% Y-o-Y and were at INR 84 crores in Q3. These are the building blocks of our long-term sustainable revenues. The annuity revenues for the quarter were INR 154 crores, witnessing a growth of 38% Y-o-Y. The annuity revenue comprised 61% of our total revenue in Q3.

It is noteworthy that these growth numbers incorporate the continuing transition to subscription from license-based model and is expected to result in faster growth and higher revenue visibility over coming quarters. The quarter was marked by 16 new logo wins spread across geographies. We had significant deals in existing as well as new accounts during the quarter, including a cloud deal with a full-service financial institution in the Southeast region in America; a license-based project for a financial institution in Am

erica providing offerings for life and health insurance;
annuities, pensions, real estate, banking and investment wins.
In India, Newgen won a large-sized project from a leading public sector bank and a private sector bank, a midsized project in Singapore for a global financial services group, a project for one of the fastest-growing banks in India currently.
Moving to update on our offerings and opportunities. Our platforms are well equipped for handling large varieties of complex processes and use cases, helping our customers in meeting their end-to-end digital journeys. NewgenONE platform has capabilities for automating complex processes and content services at scale. The AI/ML capabilities of Number Theory are now fully integrated with our product platform and philosophy. Our trade finance platform is also receiving a good response from our customers.
As mentioned in our press release earlier during the day, we are excited that for yet another year, we have been positioned as a niche player in 2023 Gartner's Magic Quadrant for enterprise low code application platform. While many platforms are offering more citizen and simple low-code application development, our low-code application development platform provides the enterprise-wide large-scale applications development that needs to be scalable and robust. We will continue to work on our long-term platform and cloud goal.
On the operational front, attrition has stabilized now. We continue to invest in strengthening our team wherever required, including campus recruitment and lateral hires. Our focus is on adding such talent, working on their development needs and making them productive in a short period of time. A lot of emphasis is put across on training and developmental work of our employees, with regular training across various aspects, including product, business management skills, team development, etcetera.
We are trying to build large capacities at a reasonable cost to deliver large business opportunities we are seeing in our geographies. On the sales and marketing front, business travel has fully resumed, leading to in-person customer interactions. Following the customer meets in Mumbai in September, we had successful in-person customer meets in Dubai and Delhi after a break of three years. The response received was tremendous, participation included existing and new global customers, system integrators and large consulting firms.
It served as a good platform for showcasing our products road map and customer success stories as well as enabling customers, system integrators and consultant networks to provide their input, understanding and product capabilities, collaborating and exchanging with us. In the long term, we believe partners will strengthen and drive our growth along with the direct sales channel. We are rigorously working towards enabling these channels.
Our profit after tax for the quarter was stable at INR 48 crores compared to Q3 FY '22. During the year, R&D expenses comprised 10% of revenue and sales and marketing expense comprised 22%.
In the first nine months of the year, our total revenue was INR 669 crores, witnessing a growth of 22% Y-o-Y. Our profit after tax was INR 98 crores.
On the cost front, this year is marked by the continuing impact of elevated employee costs, higher costs on account of increased go-to market initiatives, return in-person events and gradually normalizing travel expenses. We are continuously investing in widening the employee pyramid by higher intake at bottom of the pyramid and working on their training and

development to make the products sale through. We see large-scale development needs in the future.
On the cash flow and balance sheet front, our net cash generated from the operations activity was INR 100 crores for the nine months. Our net trade receivables were INR 283 crores at the end o

f December, which resulted in a net DSO of 115 days.
Our compelling value proposition in the market includes our low-code platform approach, which is capable of handling complex content and process requirements at scale as well as the growing opportunity for digital transformation across organizations. We are thankful for the continuing support and faith shown by our customers and for giving us newer opportunities to show cause the immense value our solution can bring to their organizations.

Our cloud and subscription revenue continued to grow at a fast pace, helping us in developing a long-term sustainable business model. We will continue with our investments in our people and their development to build a future-ready organization. We are now open to Q and A. Thank you.
Moderator: The first question is from the line of Mihir Manohar from Carnelian Asset Management.
Mihir Manohar: Congratulations for a good set of numbers. Sir, I just wanted to understand your traction on the trade finance platform, I mean, given the fact you launched this platform in September. So how is the traction over there? And what kind of inquiries or what kind of conversations are you having over there?
And my second question was on the GSI. How did GSI pan out this particular quarter? And my third question was on the margins. I mean we have seen sequential improvement in margins, but the fact that since travel cost has normalized or still on a Y-o-Y basis it is down 500 basis points. So as you know, we as investors, how should we see margin for the balance part of the year or even for the next year earnings? Yes, those were all my questions.
Virender Jeet: And I'll try to answer them one by one. See, on the trade finance, what we launched a few quarters back, I think we have developed a very promising funnel across all regions, and especially in Middle East, India, APAC the funnel is. In fact, we have also got some interest in US in certain customers. So, we are going slow, because, right now, we're looking at also our capability to execute on that front.
We closed a deal on trade finance in this quarter as well, and we have at least two or three more closures left for the quarter to come. So broadly, these deals are substantial in size and are very different in size and execution compared to our traditional size. So we are looking at potential to close three, four, five deals a year. This also gives a substantial jump to our revenue. So we're very hopeful and we are running it very aggressively.
On the GSI front, we continue to invest in that. And I think we are happy that the funnel overall keeps on improving out there. This quarter, we have been able to close three deals with GSI, in the US and Australia. It's still a very long way to go in terms of what our expectation for GSI is,,but it does continue to grow at only an organic pace rather than a state which could disrupt the market for us.
On the margin side, you're right. I think we have come back to that previous margin which was prior COVID area on account of normalization of travel and normalization of also operational costs. And also as Mr. Nigam said, I think there's a lot more of cost pressure on -- in terms of talent management, wages, and that seems to be one of the most important challenges still we are facing in terms of managing the talent.

So what we had indicated was that last year's margins were not a sustainable benchmark because a lot of our operational and business activities were not being conducted. But even in near term in Q4 as well as next year, I think we aim to achieve a margin percentage of net margin between 17% to 18% and EBITDA between 22% to 23%. Now we are at roughly around 14.5%, 15% for 9 months. Q4 is generally a very strong quarter for us. And if we are able to meet the historical trends of Q4 and meet that growth rates, we should be very

close to our estimates of what we
have estimated at the beginning of the year. Does that answer your question?
Mihir Manohar: Sure, sir. That is really helpful. Just on the trade finance side, I mean, you mentioned that the deal sizes are higher here. So I mean, if you could throw some more light. I mean, what kind of deal sizes are there? And just on the differentiation side, there are several players offering this particular platform. So what is the differentiation over here? What is our right to win in this particular offering?
Virender Jeet: Generally, for trade finances, eventually -- while the traditional deals which we are close between 400k, 500k, the trade deals are roughly between $1 million, $2 million upfront. But the long-tail revenue in them is very strong because these projects take a large amount of teams, a large amount of engineering activities to manage them over the lifetime. So the lifetime account value may be multiple times than the traditional size for us.
Mihir Manohar: So upfront revenue is $1 million to $2 million?
Virender Jeet: Yes.
Mihir Manohar: All right. Sure. Yes. And just on the right to win side.
Virender Jeet: Yes. So I think -- see, like we are the challengers in this market. And luckily, we have got some of the best cases and customers eventually. So we have seen that there's a lot of activity on the trade portal and trade origination which has not been completely addressed previously. And our technology of process of automation, low-code and content -- complex content -- so it's a very compelling value prop to the customer out there. This is an area which people are finding a lot of interest in and coming back to us. We've been lucky to get first four, five customers which

are the marquee names, and that is building strong credentials for us. But every market we'll have to really discover. I think we have touched so far on India and Middle East. We have not really got deals still in Europe, US or UK So I think we'll have to go and discover that as we enter those markets.
Moderator: The next question is from the line of Harsh Shah from Dimensional Securities.
Harsh Shah: My question is on the Indian market. So this quarter has seen a sort of sharp increase in the revenues. We were around INR 65 crores sort of run rate. And this quarter, we saw around INR 86 crores, INR 87 crores. So just wanted to know is there any one-off in this quarter or is this the run rate going ahead for Indian markets?
Virender Jeet: Harsh Shah, this Indian market keeps on surprising us. Every time we say that it's going to slow down, it keeps on bouncing, and every two, three years, it delivers very strong performance. I think last year and this year, we are in that cycle that India market is delivering performance about 30% for us. Though in a particular quarter, a steep jump can be because of some license deals coming in, which could have upfront revenue realization. But overall, if you look at the whole nine month period, it's a substantial growth. So nine months period is also close to 40% growth.
So we think right now the market in financial services and also in other product side is really strong. People are investing very aggressively for growing their businesses. And that's where we are able to get a lot of renewals of large contracts from existing accounts as well as penetrate new logos. So I would not call it one-off. There is no one-off major deal which could disrupt the

revenue but yes, some amount of fluctuation in quarters can happen because of large license deals.
But on a year -- I think for us to look at regional -- I keep on saying that it's very important to look at an annual result for a regional performance rather than a quarterly because the numbers are still small-- when the numbers are in the range of INR 30 crores, INR 40 crores, INR 50 crores, a single deal can

change all percentage gains. But if you look at a nine month result, India has been very strong, which concludes that this year is going to be very strong for India.
Harsh Shah: Okay. Just if I may follow up on this. Is the investment coming from the fintech side, the smaller emerging companies? Or the investment is in across all segments and the larger banks and NBFCs are participating?
Virender Jeet: Predominantly, banks and NBFCs, not fintechs, because fintechs are generally IT shops on their own. So the automation platform which we provide to banks and financial services, fintechs are generally creating most of the technology in-house or having a very alternate way of doing that. So customers in public sector, customers in NBFCs, private banks are our primary drivers of this growth.
Harsh Shah: Okay. And what is the outlook for the SaaS companies now globally? I mean, post-COVID the industry was gung-ho, there's a lot of funding coming around. But with the funding squeezing a bit, a lot of companies going out of the business. And even the employees cost has gone down quite a bit. So is the buy versus build narrative still going on? I mean SaaS segment will continue to be strong or people are shifting towards building their own team and building their own software?
Virender Jeet: Yes. So I'm not probably the expert to comment on what's going to happen globally to SaaS companies, but I can tell this buy versus build narrative has been there for last 15, 20 years. More and more customers depending on the nature of business and more and more complex things are coming into a buy phase rather than build, because just the time to market and the advantage to get something quickly launched for their customers is very, very important.
So I think broadly if I can answer on that, there is a huge interest to look at products, look at ready-made things which customers can absorb. And really, customers want to focus on their business rather than large engineering cycle. So that way, we find the same traction. And it's true for our own offerings as well. More and more customers are taking our ready-made solution escalators and deploying them for complex businesses around that. But SaaS companies is a very different business. I would refrain from commenting on that.
Moderator: The next question is from the line of Ankur from Jefferies. The current participant has left the question queue. We'll move on to the next question from the line of S. Chatterjee from AS Capital.
S. Chatterjee: So annuity is now currently 60% of our business, so SaaS, ATS and support. So if one of our clients in this segment wants to cut cost and switch to a different vendor, what is the switching cost? I mean, what is the type of problem they will be facing if they switch their vendor? How sticky are they?
Virender Jeet: So you're absolutely right, the annuity keeps on growing. We have a constant endeavor to grow

the annuity business. But to understand, we are still in the enterprise business space, where cost of engaging for a vendor or just engaging with the customer is very high because these systems are very deeply integrated in customer ecosystems, integrated with core banking, ERPs, multiple vendors running core business activities. So technically, everything can be switched, but we have seen almost negligible switching over last 15 years.

So what we sell to customers are their primary business solutions. I think in banks it will become probably the second most important system after the core. Same is true in insurance, same is true in financial services. Our shared services, we are the core shared services platform. Technically, it can be switched, but enterprise products if they are running fine and the customer's technology is not obsolete, they continue to be used.
So I don't think the switching happens to get a better deal or an off

er. The switching only happens
that if your technology stack becomes obsolete or you're not able to meet the customer business requirement. And so far, I think we have been ahead of the curve over there. That's not been the challenge.
S. Chatterjee: My question is, today, we are a $100 million company and we had an aspiration to go probably $500 million in probably next five to seven years. So what are the challenges in it and what will be the growth drivers, I mean, whether that's GSI, corporate finance platform or anything else?
Virender Jeet: See, we are very confident with the products and the solutions and customer reference ability we have. The potential is there. Of course, there are a couple of strategies which we need to execute. And one of them has been what we've been working over some time over GSI, where we have built the ecosystem, but on the results, it's still slow. I'm not saying that the results are not there, but they're coming at a slow pace.
The other part of it is really getting a strong foothold in mature market and Fortune 2000 clients where GSI is a strategy, but we are also augmenting that with our own go-to-market, whether we are opening subsidiaries in Australia, UK, US. Now, of course, it's a very organic process. I think things start picking up. Last two years on COVID, I think we have been slightly less behind on that initiative, not able to execute really on those business plans. But I think this year, we have started showing the business momentum. And if we are able to keep this momentum for next six, seven quarters, we should be able to really create a direct linkage between the time line by which we can reach there.
Moderator: The next question is from the line of Ankur from Jefferies.
Ankur: Yes, I'm sorry for the last time. So could you provide some color on your various markets that you have and the outlook for each of these markets? Especially US, I see that there has been a 13% growth this year. So what has been the growth in terms of constant currency? And there's been a doubling in terms of your SaaS revenue. So what has led to that? So my first question is this.
Virender Jeet: Yes. On the various markets, I think you can see through the results clearly what's happening in the emerging markets, which have been strong for us, continue to be performing very strongly. India is driving that growth. But also Middle East on the value terms, if you look at on nine months and year base, will become the primary growth driver for that. APAC also is becoming very strong. I think from hardly being 4%, 5%, 7% of our business, it has started growing to more like 14%, 15% of our business.
And with Australia subsidiary also kicking in from next year -- we should be able to build a much more stronger impact. US, we have pivoted in strategy a couple of times. We are deliberately working out on some amount of business which was not really leading to long-term growth and margins. So we are pivoting on that. So we have recorded a growth of 13%, but it's very weak compared to what we have been able to traditionally do from US. So US is one of our bigger challenges right now which we are trying to solve.
Coming back to the SaaS and growth of SaaS. One thing we started last year in November. Now it's almost like four quarters. We started deliberately shifting a lot of our deals to subscription-based deals. And s which also led to -- we didn't have a lot of revenue realized in those quarters. Now that, that revenue is coming in slowly, you will see the subscription and the SaaS-based

revenue growing at a much more compounding speed. In fact, in this quarter, out of 16 logos, 9 logos which we have won are completely subscription-based logos. So they will start adding into future quarter revenue.

So on the order book side, we have a far better performance than what is reflecting on the to

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line because of the deferred revenue coming from subscription deals. So it's very natural on the SaaS growing at this speed, and we think that we can continue to grow the SaaS at a much higher speed over next four, five quarters. Does that answer your question, Ankur?
Ankur: Yes, yes. That's very helpful. And on the other -- I see the other expenses have risen quite sharply this quarter. Anything around that, like what led to that? I understand business travel is one part of it. But do you expect it to go further -- higher incrementally or sequentially for the next quarter and also for the next year? How do you see that line item?
Virender Jeet: Yes. So I think generally our other expenses will have significant growth compared to last year because on account of normalization of travel, operating costs and also more marketing activities which we are starting. Other expenses will go sequentially up slightly because -- for next quarter, they will not go substantially up. In fact, as we grow and start investing more in travel and marketing, they may sequentially go up. They will keep pace with the growth of the company. But the base is pretty large. We do expect to spend more on marketing, more on travel next year. It will go up, but the jumps will not be comparable to this year's jump, because this year's jump is on a very artificial base.
Ankur: All right. And if I did catch your earlier comment right, your EBITDA margin that you expect, 22% to 23%, was for next year, right? That is the kind of number that you're looking at, right?
Virender Jeet: Yes, surely for next year. Yes, next year also, our attempt for this year was also around the same percentage. We are having some amount of challenge because we're at 14%, but -- although historically Q4 is always a larger quarter for us and more – because the costs almost are recurrent. Q4 on the cost front is not going to be substantially different from the Q3. But any increase percentage of top line growth will completely reflect in the margin side.
Ankur: So the cost would be flat and you are planning to -- and the revenue would be, hopefully, competitively higher. That's what you're saying?
Virender Jeet: Yes, and that has been the tradition. If you look at last five year's data, this is exactly -- most of the margin actually comes in Q3 and Q4, and predominantly in Q4.
Moderator: The next question is from the line of Devang from IDBI Capital.
Devang Bhatt: Congratulations on a good set of numbers. So I have a couple of questions. One is, what is your CC growth in the quarter? Second, will you be able to surpass the Q3 performance in Q4 and FY '24? What led to the dip in government revenues? I have two more questions, but I'll come after your answers.
Virender Jeet: Okay. Then let me see on the constant currency, our Q3, we're at around 19.5%, if I'm right. So around 19.5%. That is – on the Q3 versus Q4, historically, Q4 has been always stronger than Q3. But Q3 since we have delivered at 26%, we do expect the base for our business keeps on improving because of the subscription revenue we are building. And our attempt is to have a stronger Q4 compared to Q3. But how strong? I think that will come when the results unfold. But yes, it's not that the Q4 can be weaker than Q3. So it will be strong. On the government revenue, I think right now government for the 9-month period -has grown by 70%. And for the period of Q3, it's minus 6.4%. That's why I said, the quarter numbers when you break further into verticals and segments and regions, they become so small that a single deal makes the percentage look odd. So it will be better to look at either nine months or a 12-month number. So

this year, I think the banking, government and insurance are still performing strong. We are slightly becoming weaker on the shared service and manufacturing side, which we are trying to

recover.
Devang Bhatt: And on the FY '24 side, will you be able to maintain the FY '23 revenue growth?
Virender Jeet: See, our endeavor is to even exceed that, because as we said, we have aspiration of investing aggressively for growth. And depending on if the market is favorable and we are able to execute our plan, there is no reason why we can exceed the growth of this year.
Devang Bhatt: And how much was travel as a percentage of revenue this quarter or nine-month basis, whichever is? And with increase in direct sales, how much the cost will increase? Despite that, you will be able to maintain that 22% to 23% band?
Virender Jeet: So I think this year, you should look is what has happened in terms of whatever additional cost of INR 20 crores from travel or SG&A or manpower cost, has all got into eating in the margin. But historically, since now the next base of margin has been set up. We have a travel of roughly around INR 30 crores to INR 40 crores is going to be this year. And also, SG&A costs have been -- we are operational on almost 80%, 90% of our capacity.
So now the cost growth for even historical -- for any x percent of growth, our cost only grew by

almost half of x on the manpower side. That has been traditional. Because as we generate high gross margin business, roughly, around 60% to 65% is our gross margin historical as well. So there is a lot of operating leverage in terms of multiple revenue streams, ATS, license, SaaS. We don't have any direct costs associated with. So for getting 25% growth, we don't need to spend 25% more cost. We need to spend incrementally more like 13%, 14% of the cost. So there is going to be operating leverage at gross level. And I think next year, even as growth rates similar to this year, we should be able to expand the operating leverage.

Devang Bhatt: What was the contribution of GSI to revenue? And is your US margins which you did this quarter, is that sustainable going forward?

Virender Jeet: I think quarterly margins, again, is not the right way to look at. I think annual margin is what -- I think we should be able to do better in US because our US Q1 and Q2 were weak. Q3 and Q4 if they become strong, we should be able to restore some margin. But next year, we don't expect US to be weak at all. We expect US to the growth driver for the company. And once it's a growth driver, there's no reason why the margin contribution will not be happening there.

Devang Bhatt: And what will be the contribution of GSI this quarter?

Virender Jeet: I think this quarter, see, GSI percentage revenue is still very small. We look at partner revenue, which is roughly between 20% to 25% of our revenue. But the GSI is -- we look at number of deals which GSI has really brought in. So this quarter, three deals were brought in GSI out of 16 deals we got.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Sir, first, I just wanted to understand, I mean, the comment that you made in the -- to the last participant, that for -- I mean a 25% revenue growth, our cost will grow only at 13%, 14%, right? It will not grow proportionately?

Virender Jeet: Yes.

Deepak Poddar: So ideally, but then if it stands today, if we take this quarter as a base, already our PAT margin is 19%. So ideally, then our PAT margin if we have to look at maybe three years down the line,

it should cross 22% to 25% in that range ideally if our revenue grows at 25%, whereas our cost grew at only 13%, 14%?

Virender Jeet: Yes, Deepak. You're absolutely right, the business keeps on expanding margins at gross level as we expand and scale but then what happens is, though direct cost would grow at the same level, but we keep on growing our cost in sales and marketing and R&D, because as, if you want to compete at the global space, right now, our sales and mar

keting costs are at 22%. If you look at global product companies, they go all the way up to 40%, depending on if we can hit the high growth.

So when you look at net margins, it's also a function of business: Am I trying to pre-invest in growth? Am I trying to match it along with the growth rate? So sometimes when we see clearly that there is an opportunity to grow and invest in markets, then we go and invest in those markets. So we increase our sales and marketing and R&D expense. And that's why we are saying that being listed in India we endure to at least meet that kind of a margin, but then as a business, of course, can deliver much higher margins.

Deepak Poddar: So the net margin of 17% to 18% which you mentioned is considering all these factors, right? I mean, in spite of...

Virender Jeet: Considering all those factors, yes.

Deepak Poddar: And $500 million in next five to six years effectively means you have to grow at a CAGR of 25%-plus for next five to six years, right? So that's what we are looking at?

Virender Jeet: I think much higher than that. And for that, multiple things have to kick in. And I think the GSI has to kick in, sales percentage contribution from US and Europe has come to almost 60% of the revenue because the larger addressable market is in those areas. And that's what we are spending on marketing for expanding regions out there, investing. And those will be the investment activities which we will do over next three, four years.

Deepak Poddar: So that's a very high growth we're talking, I mean, much higher than 25%, maybe if I have to assume 30% CAGR over next five to six years. So what can go wrong according to you? I mean it's a big growth we're talking sustainably for next six years, right?

Virender Jeet: Yes. See, the only thing which can go right is we end up doing it. And everything else can go wrong. So I think our ability to penetrate mature market clients, our ability to build brands in mature markets. See, I don't see there's a challenge on the technology stack. Our products are very well recognized globally for last 14 years. And depending on the kind of customer base we have, we are able to stay ahead in the market and really prove our credentials.

We keep on updating the product at that investment. Our ability to sell, market and position ourselves is the biggest challenge. And especially, we have to pivot from emerging market player

to a mature market player. And there are multiple activities associated. GSI is one initiative and we are also looking at multiple initiatives. And at some time maybe we'll have to look at also inorganic steps to complement that.
Deepak Poddar; So any kind of inorganic steps also kind of factored in this $500 million that we have taken as a vision in next six years?
Virender Jeet: So it's a vision. So nothing is left out of it.
Deepak Poddar: So that is kind of, I mean, included in it?
Virender Jeet: Yes.

Moderator: The next question is from the line of V.P. Rajesh from Banyan Capital Advisors.
V.P. Rajesh: The first question is just, you called out about the Indian business being very strong on the growth side. So if you can just elaborate a little bit more as to why we are winning in the Indian market? Is it because the banks, etcetera, are becoming more automated, or are we replacing somebody else? Some color on that will be helpful?
Virender Jeet: Yes. So one thing is clearly, so India we have been traditionally very strong in all the banks, insurance companies and most of the shared services. So almost all enterprises end up using us in one way or the other. So what happened basically over the last few years, especially in financial services, there's a lot of money being spent on digitization, automation and also transforming their business models to digital. So we have been one of their prominent players and we are getti

ng our share. Also on the other hand what we are doing, as we are getting into any vertical, we keep on extending our portfolio of products in that vertical. So like in banking, we started with digital onboarding and lending origination. Now we have gone more-and-more into these. Now we are doing complete digital lending journeys from major banks and those projects are substantially different sizes.
And that opportunity is opening in multiple areas at the same time. And we being an incumbent out there and having a good relationship with customers, we end up getting an advantage out there. So we are competing with the SIs out there, we are competing with international players, all financial services players. So it's not that, the competition is quite wide. But I think in Indian market, Middle-East market, in financial services we are very-very strong depending on the kind of engagements we have done or the kind of relationships we have out there.
But the market is really opening up and the digital lending is one of the drivers and any other area in enterprise where they could digitize which has not been digitized traditionally. Service request management is another large area. Trade Finance we've recently launched, and that's another area which is picking up. And so these are some areas which are developing the traction.
Does that answer your question, Rajesh?
V.P. Rajesh: So just if I can summarize. It's not necessarily replacement of other vendors. It's more about either the processes being automated or new things or new way of doing business that is coming up which is flowing to you, is that a way to understand this?
Virender Jeet: Exactly. Yes.
V.P. Rajesh: And then second question is, as one of the participants here was talking about that the funding has come down for the start- ups. So globally, are you seeing your competitive landscape changing, where some of these start-ups who were coming into your space either have become less aggressive in the marketplace or have gone away?
Virender Jeet: So I don't think they will go away. I think the ones which are worthwhile and have a sustainable business model will stay and will disrupt the market. And then at some places, we partner with them, some places we complement. And one of the things what I have seen at least in the financial services, as soon as a partner or an incumbent or a challenger becomes sizable, he gets the same, he gets hit by regulation as other structured financial institutions. So all of a sudden, the business model again comes back to the same area.
So I think there is a challenge in terms of smaller entities always disrupting the market. But we always find our space either complementing them, augmenting or substituting the same capabilities. I don't think that they're going to vanish. I think this change of -- the challenger ecosystem, also keeping everybody on the toes, is going to be there in the market. That's what I feel. And it's healthy also. They also end up providing us a lot of other ideas what can happen.

V.P. Rajesh: But incrementally, if you go back one year or 1.5 years back versus today now, would you say it has come down, or is it same as what you were experiencing a year ago?

Virender Jeet: See, on the business side, I don't think it was material at least for our business right now. But I could say, the noise is less maybe. But yes, I think it has not changed too much for us. The other thing is, we are still -- in US and Europe, we are on the fringe. We are not still in the core. We are a very small part of the market. So that's where there is a lot of action happening. In traditional markets, we are very-very strong and I don't think so far these guys have been able to challenges us in larger areas of what we do.
V.P. Rajesh: And then finally, on the US side and the European side. So what is not going right in the U

S, for
example? You said that you are making some changes. Is it the product set that is lacking in some ways, or is it the sales and marketing capabilities? What is the thing that you need to fix to start increasing the US business because that's the largest market?
Virender Jeet: So I think its presence and sales and marketing. Presence in terms of localizing your organization, but predominantly sales and marketing, and marketing-led sales rather than sales on that. Because it's a product brand. At the end of the day, somebody is buying a platform which he's going to use for 20 years. So his ability to be comfortable, knowing the company, analysts, recognizing that company in a better shape, a lot of people talking about it is very essential to close deals for them. So I would say, the number one is our marketing-led sales, and number two is going to be typically much more deeper presence in markets.
V.P. Rajesh: And in terms of your retention, what is the retention you're experiencing in the subscribers in your SaaS business?
Virender Jeet: Yes. So I think what, the way we look at retention is any customer which is above INR 50 lakhs of annuity to us, whether it's a SaaS or non-SaaS. We almost have 95-99% retention in those cases. There's a churn if customers which are smaller come into channel partners and all. So SaaS, since US customers were smaller size, some of them, so there has been an element of churn. But still we have more than 90% retention on that level. But globally if you look at non-SaaS customers and our enterprise customers, larger ones, we almost have 100% retention. We don't have losing too much out there.
Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.
Chirag Kachhadiya: Congrats on a good set of numbers, sir. I have a few board questions. Last five years, what strategically we changed in our business model, like coming into -- since we listed in market to streamline the processes which earlier were not there? In conjunction to the ballpark vision of reaching $500 million turnover we have in mind. So can you just throw some strategic highlights on that?
Virender Jeet: Yes. So Chirag, last five years or more continuously what has happened, but I can tell you specifically what we have done slightly in last three years, and that is the time line when we started working on the GSI. And the idea was not working on GSI. The idea was to find a way to enter Fortune 2000 market, and that could not be directly only sales-led.
I think we have invested a lot on creating the GSI enabling ecosystem, which is typically a GSI sales team out of India which is working with relationships, competence center, practices sets of software. And we have augmented those sales teams out there, so it's whole enablement, training, certification model for that. So a lot of investments has happened in that. And that's a framework which will continue to give us returns over next many-many years, because at whatever speed the GSI grows or the partner ecosystem grows, we'll keep on leveraging that framework.
The other thing is we have started increasing our investment in mature markets. We're opening up the Australia subsidiary, strengthening the UK subsidiary. Extending the enterprise sales team

in US, those will need some other initiatives. And third have been predominantly about looking at positioning, branding and the product, which is typically to look at how the product, so we are recently coming up with the next, very happy that probably we'll be releasing it in this week, one of the products which is typically to address a lot of concerns around or opportunities of our mature markets in terms of what people expect of the product, both of the user interfaces, compliances, regulations.
So I think a lot of -- so I will say if you summarize, more-and-more p

reparing ourselves for
mature markets and finding ways to really succeed out there. That is where the investment. On the other hand, to protect ourselves and to grow strong in our traditional markets we have gone deep into the creating multiple verticals within the same business segment. So banking we came and prepared digital lending products, collection, service request management. Insurance we got more deep out there.
So working on two things. One is wherever we have a named account strategy, we know what we are selling, we are going very deep in those verticals and trying to protect our market share

out there, expand within the same accounts and get more accounts. And on the mature market, really investing in sales, marketing, GSI ecosystem improvement, product, brand. And I'll stop there. Yes. Does that help?
Moderator: The current participant has left the question queue. We'll move on to the next question from the line of Sarang Sanil from RW Investment Advisors.
Sanil Sarang: My first question is, in general, how the situation in US and Europe right now considering the ongoing macro events, apart from us walking away from the deals of long-term focus in the US.
And on the same line, if you could provide what percentage of EMEA, Europe?
Virender Jeet: Yes. Sure. I think I'll answer the second one, it's easier. So EMEA for us actually is predominantly Middle East, Africa. Europe is very small. I think we just grew roughly around $3 million of revenue in Europe just that too also in London with a few clients. So Europe, we are completely starting our journey. US is roughly around 27% to 30% of our global revenue.
So first of all, generally, in Europe, we have seen there is a slowdown. And especially coming, the feedback coming from our system integrators or partners, we are finding it challenging.
They're really looking at how to optimize right now their operations. US, I would say, we are still in the account profiles which are very small, and I think they have been sleeping in the pandemic era and they have not even come back after that. And so that area.
But on the larger account size, where -- I think there has been a -- at least last three quarters, there has been a kind of conversation about that there is probably a recession around the corner.
They need to optimize. They need to go slow on that. Has it affected our business? I wouldn't say that, because our share of the business is so small. And I think our own actions right now determine our outcome rather than the overall global market.
Sanil Sarang: So my second question is, when can we see the net DSOs going down, because in the last quarter it was told that it could stabilize soon, right?
Virender Jeet: Yes. So I think we have done that journey of taking it from 200 days to 110 days, 115 days. And next phase of our endeavor is to bring it to sub-90 days, roughly around that. And what you're -
- so when I break this problem into multiple regions, we have sort it out for most of the geos apart from Middle East and Africa. These are the only geos. Since it's a large territory, it's affecting us still.
So I think slightly, it has slightly shifted on the upward because of -- one is, of course, the higher revenue being clocked in last two quarters, but also on account of some amount of inability to travel in those regions. And again, the currency fluctuation is happening in Africa over last 1.5

years. I think we are looking very strongly on that and I'm sure as soon as we are able to get the EMEA under control, I think we should be able to get a much stronger number all across. I would say in next two years, I think we should be there.
Sanil Sarang: Probably in two years, is it 90?
Virender Jeet: Yes.
Sanil Sarang: So my last question is, also what is your exposure to UAE in general? Just to understand the impact you could potentially have in

case corporate tax is imposed in the region. And any
comment on that? Are we in tax-free zone or anything of that sort?
Virender Jeet: We are in tax-free zone out there. I think there is none right now because most of the building, it's a branch office in UAE. So right now in the existing contracts, there is no taxation. But we are also looking at localizing in both UAE and Saudi in a period of time and we should be able to come in the taxation. And if there's a taxation, we don't think there's a substantial impact on that. So right now, see, our UAE and Africa region is quite distributed. There is no single region which is giving us. So we are having business in Dubai. We are having large business in Saudi, Qatar, Oman and then other territories as well. But I don't have the numbers of exactly which territory. Maybe if you can contact Deepti, she can send that details.
Moderator: The next question is from the line of Rohit Balakrishnan from ithought PMS.
Rohit Balakrishnan: Sir, just a couple of questions. One was, sir, can you share, what are your gross margins in nine months FY '23?
Virender Jeet: Yes. I think it should be around 65%.
Rohit Balakrishnan: Is it possible to probably share that, I mean, in the presentation as well? I mean, you shared the employee costs, and that would also include R&D and also I think some bit of sales and marketing. So if it's possible to separate that out and just to because as you explained earlier, probably as more subscription business becomes greater, then probably gross margin, it's easier to track that gross margin evolution for us from the outside. So if you can share?
Virender Jeet: Sure. I think we can, okay, I'll ask Deepti to look at that and see that we can present it. Yes, I think you're right. Historically, see, we have been in this range of between 60% to 65%. And you're right, as we get into more in subscription and more annuity businesses, it will keep on

expanding.
Rohit Balakrishnan: And sir, second question was on your US and more advanced market strategy. So in these markets, I mean, how are we going, how are we trying to go after the markets? And you mentioned that marketing is something that you need to work on. But in terms of the customers, are we targeting the Tier 1 customers, or you're first going after the smaller customers and then eventually going to those larger customers? If you can share a bit around that, that will be also useful?
Virender Jeet: Yes. So I think US, we don't have one strategy. We have multiple strategies. So in certain core verticals where we know exactly what the customer wants, we go directly to the end accounts, which is what we call a direct sales strategy. So like in banking, typically Tier 2 and Tier 3 banks, we have a direct sales strategy. So we go and we know exactly whether we are going to do a digital lending journey out there, an origination or any other solution out there. So this is where we have a direct sales team which is distributed across different regions in US and they're trying to enter these accounts.
For Tier 1 accounts, other accounts which are larger accounts, we are going through the GSI strategy, where we are saying that the GSI is already an incumbent, they have worked on

multiple projects with us across geos. Now if there's an opportunity either which they bring in or we are able to sense, then we can always go with the partner. So between, enterprise sales of GSI strategy, and other is the banking sales strategy. So we have these two strategies going on in parallel, and we are continuously refining them so that they deliver.
Rohit Balakrishnan: And sir, on this GSI one question was that you mentioned a couple of times in this call that it's going a bit slower than what your expectation was. So one question is why is it slow? And second, is there something that you can do to change, o

r is it just a normal evolution that it will take some time for it to deliver?
Virender Jeet: Yes. So question is, first of all, why? If I had answers, I would have sorted it out. But what we are doing, we are not happy with that doesn't mean that we'll reconcile to that. So we recently did a exercise with a lot of consulting companies to look at outdoing, borrow a GSI strategy. We're adopting those changes. We are also looking at complementing the whole strategy with our own brand presence, our own aggressive marketing in US.
See, what happens for product companies. It's a general trend that at around size of $300 million, $400 million, 60%, 70% of the revenue is partner-led or what you call GSI has been partner-led. So we'll have to go and replicate that. So whatever we are investing is the right path to grow. So there's no way that we can slow it down. We have to find ways of aggressively pursuing it and getting returns out of it. So this is not in one of the strategies. So this is the more prevalent sales go-to-market strategy coming in next three, four, five years. So we'll have to find a way to really escalate it.
Now we do get roughly around nine to 10 logos a year. Now we could be very happy or disappointed. That depends on whatever end aspirations are. So our aspirations are very high. That's why we are not happy with that. But getting 10 logos to GSI is also a good feat.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Deepti Mehra Chugh for closing comments.
Deepti Chugh: Thank you so much, everyone, for joining in. For any further queries, you can connect with me or you can go to our website. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of Newgen Software Technologies Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q4 FY’2 3

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 28th April 202 3 regarding the Conference Call of the Company, which was held on Tuesday, 02nd May 2023 at 04:00 P.M. (IST) , please find enclosed herewith a copy of the transcript of the said ca ll with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Encl.: a/a

“Newgen Software Technologies Limited
Q4 FY '23 Earnings Conference Call”
May 02, 202 3

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
MR. T.S.VARADARAJAN – WHOLE -TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN KUMAR GUPTA – CHIEF FINANC IAL
OFFICER – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES

Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to Newgen Software Technologies Limited Q4 FY '23 Financial Results Conference Call. As a reminder all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Deepti Meh ra Chugh, Head Investor Relations. Thank you, and over to you, ma'am.
Deepti Chugh: Thank you. Good evening, everyone. I am Deepti Mehra, Investor Relations, Newgen Software Technologies Limited, and I welcome you all to the Q4 FY '23 results of the compan y. Joining with me today on our call is the management, Mr. Diwakar Nigam, Chairman and Managing Director, Mr. Varadarajan, Whole Time Director, Mr. Virender Jeet, CEO, Mr. Arun Kumar Gupta, CFO.
Before we move on to the discussion, let me highlight that this call may contain certain forward - looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward -looking statements.
Past performance may not be indicative of the future performance. The company does not undertake to make any announcement in case any of these forward -looking statements become materially incorrect, or update any forward -looking statem ents made from time -to-time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.
I will now hand over to Mr. Nigam for presentation of the results, which will be followed by Q&A by Mr. Jeet.
Diwakar Nigam: Good afternoon, everyone. Thank you for joining us today for our Q4 results call. It is a happy moment for us at Newgen as we crossed the INR1,000 crores milestone to total income in this financial year. We witnessed a growth of 25% in revenue over last year. The growth was primarily driven by our traditional markets with India growing at 41%, followed by EMEA at 28%, APAC at 17%, and US at 10%. We have made significant progress as an organization and delivered strong performance across all key business metrics during the financial year.
Expansion of subscription revenue. While accomplishing the growth in the revenue, we continued with our smooth transition from license to subscription revenues. Our subscription

revenues have now reached INR323 crores. This revenue stream is predictable and recurring in nature and grew faster than the overall revenue growth rate of the organization at 31% Y -o-Y. This comprised 33% of share of our total revenue.
Growing large customer base, our solutions t oday are driving deeper penetration into our customer base. We have been seeing an increasing trend of average ticket size per customer. Of the 520 -odd active customers today, 51 customers had a billing in excess of INR5 crores for the year compared to 38 last year. At the same time, we continue to maintain low level of client complaints.
Moving to updates on our offerings and opportunities. Innovation is at the core of Newgen, and we continue to invest 10% of our revenues on various R&D initiatives. We are excited to see that our innovative offerings are well positioned to tap the large market opportunity for automation at scale by enterprise.
With the new version of NewgenONE, we are enabling our customers to achieve their digital goals and automate their operation at scale. Our platform is ideally suited to achieve enterprise goal of revenue enhancement,

increased productivity and optimization of costs and business operation and team collaboration. It helps businesses deliver exceptional customer experienc e, achieve operational excellence and drive continued innovation.
The solutions are so quick to implement and very cost effective. NewgenONE is backed by

cloud -native, multipersona AI/ML data sciences platform for enhancement of document classification and extraction capabilities, integrated process and robotic process automation capabilities. And it strengthens DevOps for easy application deployment and update. Newgen's RPA compliments the low -code application development capabilities and is expected to fu rther empower our customers to achieve end -to-end process automation.
Our trade finance solution is taking us deeper into the banking and financial services vertical, opening up opportunities for larger deal sizes. We are now targeting larger size banks an d financial institutions across the globe. We are thrilled to be recognized as a leader by various reputed industry analysts across segments. During the quarter, we have been recognized as a leader in the Forrester Wave content platform report. We believe this recognition validates our dedication to empowering business with cutting -edge solutions as we remain at the forefront of content management innovation. NewgenONE has been also acknowledged as a strong performer in the Forrester Wave RPA report.
On the operational front, the year marked prioritization of initiatives aimed at enhancing employee engagement, talent management, and capability building. Our focus has been on fostering culture of inclusion, promoting diversity, investing in learning and devel opment and empowering our employees. We believe that by investing in the growth and development of our employees, we can enhance their skills, knowledge and capabilities, while also driving the retention of top talent. This is a feature for driving our lon g-term growth.

On the sales and marketing front, we are continuously working on building our direct sales channel, along with the focused alliances with our partners, especially the system integrators. To expand our market, we have been participating in an d hosting multiple face -to-face events across the globe. We also hosted customer meets across Delhi, Mumbai and Dubai for our customers during the year.
We continue to work towards strengthening our relationship with the GSI. We are driving joint sales and marketing activities and campaigns as well as joint solution development with our partner. We have recently entered into a strategic partnership with Mambu, a leading cloud banking platform based in Amsterdam, and Sopra Banking Software of Europe to expan d our geographic business.
On profits and margins, we delivered healthy margins during the year. Our EBITDA was stable at INR212 crores, resulting in a margin of 22%. And profit after tax was INR176 crores, leading to net margin of 18%. During the year, ap art from investing 10% of our revenues and R&D initiatives, the company invested 22% of revenues on various sales and marketing initiatives.
Our balance sheet is strengthening with every quarter. We have a strong network, no debt on our book, and a healthy cash and bank balance, enhancing our financial stability.
Our net cash generated from operating activities during the year was at INR136 crores. Our net trade receivables were INR388 crores at the end of March, which resulted in net DSO of 145 days.
In Q4, our revenues were at INR305 crores with a growth of 32% Y -o-Y. This is the first quarter for us where we crossed the revenue milestone of INR300 crores. We witnessed acceleration in business from customers, especially in US and India region during the q uarter.
As we close this financial year, we are excited for the year ahead as we believe there are huge opport

unities for automation at scale in enterprises, especially in banking and financial services domain. Newgen continues to empower enterprises towar ds a more holistic or enterprise -wide automation, which is built for change. This is essential towards building a sustainable organization for the future. This would, in turn, ensure faster time to market, minimization of cost, and superior customer experi ence, all building blocks of the organization of the market.
We are very fit to take this journey with our cutting -edge products, focused on innovation, skilled team and deeper customer relationships across the globe. We are now open to Q&A.
Moderator: Thank you very much . The first question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.
Baidik Sarkar: Hi Mr. Nigam, Virender and the rest of the team. Congrats on a very strong trend. A couple of questions. You have shown good traction this quarter. But in light of the systemic banking crisis that the US is subject to today, is there a risk to our pipeline per se? What's the sense from your current conversations?

And secondly, our go -to-market success in the US this quarter, was that courtesy our system integration partners, or was it courtesy our organic initiatives? What's your sense of traction in the geography per se except banking?
Virender Jeet: Thank you, Sarkar. And I think for the US, as you currently understand, our bus iness is pretty diversified in geos. And the presence for us, in US, is in accounts which are typically in financial services and some large enterprise coming from GSIs.
Today, we don't see any risk in terms of our pipeline on that. Probably, we don't have the same concerns as the larger GSIs, because I believe that most of our business is still growing from licenses, and which are -- opportunities have generated on both sides in terms of when people are looking at efficiency and reduction of costs, our pla tform plays a very important play, as well as when we are looking at growth and scaling up.
So in that case, I don't see a substantial risk right now. And I think it's not visible for us from the accounts we are dealing with. What has happened in last quar ter, I think we have closed some deals organically from our banking side. But also, we got some support from the GSI deals, especially from the existing accounts, which we have already acquired over previous quarters.
For the year, since we are resetting the US strategy in terms of some amount of shifts from our traditional banking accounts to slightly larger accounts, I think some amount of early wins have started coming in, but it's still a long way to go before we are completely out of the woo ds out there. But if US has started contributing towards growth, that's what we are happy. At the year - end, it was still a significant two -digit growth. However, first two quarters was not really good in the US. So going further for the next year, as of no w, we don't see any systematic risk or any risk in terms of recession or any other thing from account [inaudible 0:14:21]. Did I answer your question?
Baidik Sarkar: Yes, it does, Virender. On the same line, the Middle East, one really understands the corr elation between energy prices and growth investments. Do you reckon we can continue with this momentum, or would you caution saying that this is a cyclical high just given the commodity prices have been and it will be difficult for us to kind of repeat thi s kind of performance. Your sense of the Middle East business?
Virender Jeet: So it's not cyclic in a way. But what we have always cautioned about Middle East that the market's behaviour changes when oil hits very extreme low levels. More in a moderate cli mate, even oil going up to $50, $60 or so, I don't think there's any impact on our business. And so I think there's two parts of th

is Middle East business.
I think though it is an oil -based economy, but now as many countries are trying to release their economies from oil, there's a lot of economic activity happening in territories like Oman, Saudi has been a great territory, even UAE. So I don't see anything which would bring substantial change in the whole scenario in the market. So what we have delivered over the last two years, three years in Middle East, I don't see any reason why we should not continue the growth momentum this year out.

Baidik Sarkar: Right. That's helpful, Virender. So given where your pipeline and conversation is, you reckon you're on course for a 20%, 25% kind of growth this year as well for your overall business?
Virender Jeet: See, we don't give guidance, and I think that's a standard answer you guys are used to. But what I'm saying is, I think we have a historical kind of going abo ut 20%. And what we have aimed for the last two years, three years is to accelerate that growth rate. Somewhat of that acceleration has come in last year. And as of now, if all things remain the same, we think that we can continue the growth momentum going next year.
Baidik Sarkar: Sure. The last question before I get in, gentlemen. Your payout this year relative to your cash flows has been rather muted. So what are the broad thoughts on that? There's a cash pile that's increasing. I don't think we are of t he DNA that will make aggressive M&A. So what's the long - term plan on your cash build -up and your distribution to stakeholders?
Virender Jeet: So I think we are following the policy of a dividend payout we have maintained over last year, which is a kind of a percentage of what we make as PAT. And of course, you are right, we are generating a bit of cash. And so far, we have not deployed it for any other purpose. But the organization's whole purpose is to invest for growth.
And we are aggressively looking at opportunities, both on organic side and inorganic side, for that growth. I think it will take us at least a few more quarters to come up with a reset policy, either on dividend or looking at how do we deploy that cash. So till that time, we'll have to be a little bit patient on that.
Baidik Sarkar: So look forward, gentlemen. Thank you. All the best.
Moderator: Thank you. Next question is from the line of Mihir from Carnelian Capital. Please go ahead.
Mihir: Yes, hi. Thanks for giving the opportunity. And congratulations on a good set of numbers.

Largely, I wanted to understand the traction on the trade finance side of the piece. I mean, how are you seeing the traction on the trade finance platform given the deal sizes are slightly larger here? And also wan ted to understand in this context, I mean, you mentioned that you are moving from traditional banking to larger accounts in the US. So I mean, given the fact that -- how are we looking at trade finance platform plus this comment that you made upon? And how is the organic sales channel specifically panning out in the US? So that was my first question.
And second question was on the GSI. I mean, how is the traction now in GSI? If you can quantify the number of deals won this particular quarter and for full ye ar? And how is that compared to last year? And how do you see traction here building up? So those are the questions.
Virender Jeet: Thanks, Mihir. And let me try to answer, and number one -- remind me if I miss something. So I think you're right absolutely on the trade finance. We did this -- it has been almost like 1.5 years since we hit the market with this, and we are finding substantial traction in the market.

And the traction so far what we are converting is predominantly in Middle East and I ndia. That's the market we are really going to focus on. Having said t

hat, we do sense an amount of interest
coming from US and other markets as well. But right now, I think if you ask from a business planning perspective, we have closed some significant d eals in these markets, some marquee accounts, I think, which we'll be very proud of once we announce, once we have the permissions to announce.
And going this year, we have actually seven more deals across these geos for trade finance, which should help ou r software in growth as the deals are substantial in size. But as you know, these are projections and I think we'll have to wait for actual results to come in.
For the US, we have seen interest on trade finance, but I would be slightly cautious in terms of we don't have a real go -to-market strategy built around trade finance right now. We are still focusing on moving up the value chain on accounts which are slightly bigger than $20 billion on banking side and try to sell our traditional products, which has been typically in the lending side, both on commercial as well as retail, as well as there's an opportunity of looking at our platform sales with ECM and BPM and low -code platform what we are trying to sell. That's the market we are focusing on.
Out there, we have started seeing early signs. Last quarter also, we closed a few deals on that front. So we are saying that strategy probably is going to show some kind of returns in coming months and coming quarters. On the GSI traction side, as we have shared, th e GSI momentum in the business, it has added -value, but has not added -value at the speed we've expected. Having said that, as Mr. Nigam said, we have formed new relationships and new alliances with a lot of other companies and other product -based companies which are adding to the funnel side.
We did close around three deals, if I'm right. I mean, I'll be sure about the number in this quarter, which are our new deals. But also, we are able to get substantial deals from the existing accounts which were closed previously. Compared to last year, the number of new logos acquired from GSI, the number is not significantly very high, but on the revenue realization from those accounts, we are at a much better position. So Mihir, I will stop here. Does that answer you r question?
Mihir: Yes, sure. That's really helpful. And lastly, on the margin side, I mean, given the fact that we saw a margin recovery happening in 4Q. Yes, 4Q is a seasonal quarter. But how should we see FY '24, FY '25 going ahead, given the fact that there is like a 300 basis points kind of a decline at least on a Y -o-Y basis for FY '23?
Virender Jeet: Yes. So Mihir, I think, as you see that, in the last year, the margins have not been what it has been in the previous year because the previous year cos t base was not realistic. And last year, for the whole of industry, the manpower costs have been revised substantially, and that has been the predominant cost base growth.
Also, what has happened is our travel restoration as well as the operating expenses of -- I mean, almost 99% of our workforce has in some way started coming back to office, whether on part -

time or on full -time basis. So on operational, this is a new cost base. And we had set up a target of being around 18% of net margin and around 21% to 20% of EBITDA. I think we are very close to that.
Going this year, we are still looking at this year as our growth here. So we'll continue to invest aggressively in both sales and marketing side and our building capacity for that growth. A lot of

manpower costs which have been incurred last year will also have an impact this year. So I think we should be able to maintain these margin levels for this year and then really have a bit more base for growth.
Mihir: Sure, yes. That’s it from my side. Thank you ver y much.
Virender Jeet: Thank you.
Moderator: Thank you. Next question is f

rom the line of Harsh Shah from Dimensional Securities. Please go ahead.
Harsh Shah: Hi, good afternoon, sir. Just wanted to understand how the competitive landscape is emerging, especially in your traditional markets? And also in the US, given that the larger companies are seeing some sort of pressure or some sort of slowdown in their revenue growth. So is there any sort of pricing pressure that you are facing? So how is the competitor scenario emerging now?
Virender Jeet: Yes. Thanks, Harsh. Regarding competition, I think for our core product categories, I think the competition is pretty standard. And those are -- typically, if you look at the Gartners and Forrester quad rants, you will see all the needs out there. Predominantly, they play in all the markets. Beyond that, for our vertical products, what we do in lending, what we do in origination, or what we do in trade, there are different set of each activity, what we ca ll vertical banking products. Those are the competition.
One of the important developments which has happened is on the core product category, which is ECM, where we have also been rated as the leader by Forrester and S&P. There has been lot of consolidati on. And in fact, now we do only see two or three key players emerging in the market. And we think that should help us in terms of if there's a modernization of content management, we should be able to make more inroads.
On the larger what's happening in US and companies, since our revenues are diversified across these territories, we are not seeing the same impact or we don't have the same insight into what's happening with larger companies in the US. And we are growing fast, but on the revenue side, some o f the problems of larger companies are from the base accounts, which we are sitting in, probably typically in Tier 1 in US and Europe, and that's where we are seeing the pains.
For us so far, we are not seeing that coming into our -- but I think as the nex t few quarters show, I think more clarity will come in. We have a very extremely healthy funnel for the next year.
Our order books have improved beyond the revenue numbers we have done. So we are quite confident we should be able to have a good year. But e nvironmental conditions can be very acute

these days, and we saw that a couple of years back. So we have to keep our fingers crossed until actual things happen.
Harsh Shah: Thank you. And if I have to talk about our growth potential for next three years to five years, how do you expect the growth to come? Will it be largely from more client addition, or will it be more from increasing the revenue per client? How will that pan out?
Virender Jeet: So as a software product company, our aspiration is to be a $5 00 million and a $1 billion company. And that aspiration is based on that there's an unlimited market potential for the product categories we play in. And what we are thinking that our penetration in mature markets is going to give that potential raise in size. Having said that, we have seen enough growth coming in emerging markets over the last three years, four years. We have been growing, and there have been multiple drivers for that growth as they are adopting technology. So I'm very excited that next f our years, five years, we are designed to grow at a much higher speed than our traditional growth rates.
The growth is coming predominantly from two factors, you've said right. One is, I think as a product company, net client addition is important. We are pivoting towards slightly larger deals. So our ability to add roughly around 15 new logos in terms of which are the new names is the run rate we're working on. We do expect to improve that in the next two years, three years. But on average deal sizes, as w e are shifting to larger accounts, that is improving, as well as ability to mine from existing cus

tomers as our solution stack becomes broad, we are able to do. So per account realization is improving, average deal sizes are improving, but acquiring new lo gos is very essential to building long term the tail for the business. Does that answer your question, Harsh?
Harsh Shah: Yes, certainly. Thank you, sir. I’m wishing you all the best.
Virender Jeet: Thank you.
Moderator: Thank you. The next question is fro m the line of Chirag from Ashika. Please go ahead.
Chirag Kachhadiya: Yes. Congratulations on good set of numbers. I have a couple of questions. In your opening remarks, you mentioned that we are targeting large banking and financial groups. So I would

like to understand what strategy we are following to tap such large corporates?
And second, on logo addition front, the net logo count compared to previous years is relatively on lower side. So what strategies are there to increase the momentum in te rms of logo addition? Yes, I would like to know these two questions.
Virender Jeet: Thanks, Chirag. So Chirag, when I said, our ability to -- we are trying to shift. So initially, our banking in US was focused on typically banks which were somewhere in say sizes of $1 billion to all the way up to $20 billion. We have slightly pivoted and started focusing typically on banks which are at least $10 billion or more, upwards all the way up to $50 billion to $100 billion.

And what we have seen is as we have been able to garner some more support in terms of reference ability in US and our solutions have become more mature, we have seen we are able to enter those accounts. We are still not talking to Tier 1 banks. We are still talking about mid - level Tier 2 banks ra ther than Tier 3 banks and that. That's what I meant in that US banking. And we already have responsibility in that market. We have got early wins. Even this quarter, we closed some deals out there. So we think that's going on as per plan.
On the logo side , you're absolutely right. I think at one time, we have moved over the last four years, five years from around 60 logos, 70 logos to around 50 logos. That's also to do with a lot of smaller account deals, which we were initially pursuing as through channel partners or through in terms of direct sales. We have slightly moved away from that market and looking at lifetime value of those customers have not been in our favour . So we have slightly pivoted. And the acceleration over the next two years, three years will come from more markets where entered. Our Australia has started showing results. Our UK subsidiary has started winning logos. And US, as soon as we stabilize our strategy in banking, we should see the acceleration in logos. Having said that, our trad itional markets are driving the growth right now. India, Middle East and APAC also have huge potential. We are actively looking at how do we diversify to more adjacent verticals, which can grow for us. And I think over the time, we'll see that there is goi ng to be an acceleration in number of logo acquisitions. Does that answer your question, Chirag?
Chirag Kachhadiya: Yes, sir. Sir, one follow -up question. You mentioned that we are targeting new geographies for logo addition. So the new geographies have si milar size of deals which we're targeting to the existing geography?
Virender Jeet: Yes, Chirag. I think the new geographies are typically the mature markets. So we expect the deal sizes to be same or better.
Chirag Kachhadiya: Okay. All the very best, sir . Thank you.
Virender Jeet: Thank you, Chirag.
Moderator: Thank you. Next question is from the line of Saurabh Sadhwani from Sahasrar Capital. Please go ahead.
Saurabh Sadhwani: Hello everyone. So I have two questions. First one, given the macroeconomic situation, that the free money has stopped and the EBITDA negative nature of the business of our peers,

are we
seeing any passiveness in bidding by them and have we been able to take advantage of that?
Virender Jeet: Yes. Saurabh, thanks for the question. Saurabh, I think the business, most of the conversation what we hear about Indian IT and the economics is typically from service companies angle and I think predominantly driven by the Tier 1, Tier 2 companies, which operate at a very differe nt size and ratios. So we are not very sure about how to answer that question because we are slightly not in that business. We are still in the business of acquiring accounts and being in terms of what we call a hi -tech sale or what we call serious enterpr ise sale.

In terms of right now, what we have seen traditionally before the COVID, before the demand cycle really went down the route, we really felt that the GSI ecosystem was more hungry for these, and they were fighting for these more aggressively in th e market. So what I sense is if there's going to be a tightening of probably the economic situation, we will see more -and-more hunger coming in GSIs to go and approach customers and these.
And that happens in some -- and in that case, we are looking at tha t, that should help our costs, what we have built in terms of investments along with that [inaudible 0:32:03]. Other company is in a downturn, I think every company is more hungry for business. I don't think there is any lack of competition. So I think the re's going to be a more heightened competition in terms of -- if there's a slightly downward economic side.
Saurabh Sadhwani: Okay. And the second question was related to a simple business clarity that I wanted to

understand. Our Product Division's product s are built in India. And given the labour arbitrage that we have, do we make our products at a lower cost compared to given? So all else equal, we should be always winning on pricing, right?

Virender Jeet: Yes. Saurabh, you are absolutely right. I think t here is a 6%, 7% advantage on R&D costs. The same R&D, if it was supposed to be done in the US, the cost would have been roughly maybe 20% of the revenue or 22% of the revenue. So there is a cost advantage, you're able to do. With lesser costs, you're able to do and more. So you have an inherent advantage of doing things. But then I think that advantage that gets balanced by the size of some of our peers.

Generally, we are fighting much larger companies. So they have much larger budgets at the size they are in terms of R&D. So I think the whole cost side of arbitrage is that the advantage to at least compete out there. And the cost of developing R&D does not translate into cost of the product. Cost of the product is the market reality, the benefit we've tran sferred to the customer. So pricing the products are benchmarked towards how the market determines. So there's no direct correlation. What you're saying is true more directly related to services.

Saurabh Sadhwani: Okay. Thank you. That’s all.

Virender Jeet : Thanks.

Moderator: Thank you. The next question is from the line of Manoj Bahety from Carnelian Asset Management. Please go ahead.

Manoj Bahety: Hi, good evening. Thanks for taking my question. And c ongratulations for good set of numbers and superb execution. I have a couple of questions. First one is, just wanted to check that our GSI strategy particularly, the way the things are shaping up, like last two years, three years, we are trying to get inro ads with our GSI partners. So just wanted to understand, is there something not clicking or something which is leading to a delay in terms of getting the traction on GSI strategy? So if you can give some more colour on that, that will be helpful?

Virender Jeet: Manoj, thanks. And you're absolutely right, last two years, three years we've bee

n building on this GSI strategy. And I think we're very lucky to get some extremely good early wins, which really established both recall of Newgen within the GSI mind s hare, and also have relation to other GSIs. See, in terms of success or failure of GSI is determined by the ambition we have around that. We do get a lot of business with GSIs. I think in fact, 20% of the revenues today are driven by partners. And we have some amount of marquee wins every year with GSIs. What we expect this to drive the next phase of big growth in mature markets for us. Out there we haven't really reached a number where we could say that, hey, it is a little delta of 5% or 10% lower revenue . So it is all adding up, but not at the speed we desire. Having said that, I think we have looked at that strategy. While we continue what we are doing out there, we have expanded the ecosystem. We have looked at pairing partners out there. We also look a t ecosystems beyond GSI, which is the product Mr. Nigam talked about some of the relationships what we are trying to build with Sopra or Mambu or any other company.

So we're expanding. The reality for a product company is that their next stage of growth do es come from the partner ecosystem, what we call a GSI other thing. I'm very sure our company will continue to perform great and grow as the markets which we are operating in right now have huge potential and upside for our kind of products. But I'm very s ure that for our $500 million and $1 billion achievement target, the GSI and the partner ecosystem strategy has to fire. And it may take one year, two years, three years, five years, but we'll be on it till it fires.

Manoj Bahety: Just further on this, lik e when you enter into a partnership with a GSI, I'm sure that GSI must be dealing with your competitor's product or they may have other competitive products. So just wanted to understand that vis -a-vis their existing products, what kind of -- or in terms o f our offering vis -a-vis their existing product, generally is it a cost factor which plays big consideration, or is it something else?

Virender Jeet: Yes. So Manoj, I think that this is typically a very, very large question and a very large answer. But I'l l try to summarize. So what is happening in any product company? I think we've become very good in certain areas of our operation. Today, Newgen, for any content -based process automation or any automation which needs scale in terms of when you're doing hun dreds of processes, we are probably the best product in the market. Now the whole world may not know it. But some of these GSIs do know it because they have done this work with us for multiple customers in different geos. So they understand our positioning .

Having said that, they also have in their portfolio other products. So one is that GSIs do understand the value we bring in, and that value is in terms of the coverage of our product, the value is in terms of flexibility which we exhibit as we have a clo ser relationship with them. But also as a company, it is finally our goal to sell to the end customers. So we have to influence the end customers. That's about our brand, that's about our presence in Gartner and Forrester. That's

about our size of business .
So it has to work on both sides. While we work with GSIs, show the unique value prop we provide them, show them the advantage of cost and flexibility, but also, we have to work with

the end customers in terms of that there is a customer willing to buy my product. So most of the products are not sold by the GSIs. It's also the customer has a big play in 70% of the cases what product they choose. The issue is, if they choose me, then do they think that there is a trained GSI ecosystem which has an implement ation capability to implement that. So that's what we cover with GSIs.
Manoj Bahety: Right. That's hel

pful. And I have one last question. If you can touch briefly on operating margin, because what I understand, our kind of business has a scope of big opera ting leverage. And as you mentioned in one of the questions earlier that right now your emphasis will be growth rather than expanding margins, but in terms of operating leverage, how do you think that after what level, what scale, operating leverage will s tart kicking in and we will start seeing good expansion in margins along with top line growth?
Virender Jeet: So the question is, we are already sitting at decent margins. And I think, yes, product companies generally can generate much higher margins as ou r gross margin position is much better. I think we do generate around more than 64% of gross margin, and roughly around 5 0% of our revenue has no direct cost associated with that, which is our license, subscription, ATS. But also you have to understand, fo r product companies to exist and survive, we have to continuously invest in R&D and sales and marketing.
Now the global benchmarks for the product companies are much higher than what we invest in today, because we got some amount of operating leverage beca use the cost base is in India. So as I said, our bias is for growth and to maintain healthy margin. But naturally, once you become a very sizable company, and sizable companies, we have seen roughly around $400 million and above companies. And if they beco me on slower growth trajectories, they have to keep on expanding margins for many, many years. So I think our ability to generate net margin of somewhere between 18% to 20% is what we think right now is feasible for the next two years, three years and then investing everything else on growth.
Moderator: Thank you. Manoj, sorry to interrupt you. I request you to join the queue again for a follow -up question. The next question is from the line of Devang Bhatt from IDBI Capital. Please go ahead.
Devang Bhatt: Hi. Thanks for taking my question. Congrats on a good set of numbers. So one of your GSIs highlighted that low -code and no -code is gaining traction. So are you seeing such increased traction in major markets in the current scenario?
Virender Jeet; So I thi nk we are very -- see, I think we have a methodology over the last 20 years of pushing low-code, no -code. And I think we have come through different names, which is BPM, iBPS, low-code, no -code, hyper automation . These are all categories of the same name. There's a huge interest in enterprises across the world that they don't want to take the traditional engineering methods for building their apps. They want the low -code method. So that way there's an interest. Having said that, in terms that interest is al so very horizontal.
So every customer, every application has to be low code . So that's a huge market opportunity across the globe. And we are very, very excited about helping customers in that automation side.

So we are seeing interest in a lot of RFPs coming on low code across market. It's not only US market, but also other mark ets. And we are really strongly pushing our strategy on low -code and hyper automation to be one of the core product players in that space.
Devang Bhatt: So a follow -up is that, will you be able to see a higher US growth in this year because of this? And wi ll you be able to sustain the Q4 kind of margins that you have seen this quarter?
Virender Jeet: Yes. So I think that as part of what we sell, all things we sell are based on low -code strategy. So I don't think there is any different thing out there. We do expect that as soon as in the downturn and the cost optimization projects come, there's renewed interest in automation. And automation is low code based automation because we don't want to have very, very long projects. So there is an interest. Now I thin k we'll have to wait fo

r how the market unfolds in those opportunities and how many opportunities a GSI can take us out there and how many can we generate on our own. So that's about low code . Sorry, what was your second question?

Devang Bhatt: Just a bookkeeping, like in your tax rate, it has been lower around 19%. So will you be able to sustain this kind of tax rate in FY '24?
Virender Jeet: Yes. So I think on the tax rate, we are fine for next one year, two years or so because we are still under the SEC rules for many of our revenue. On the Q4 margin, I think you should also understand that we are still -- since there's a large percentage of our revenue which is license based, there's a sequential revenue growth from Q1 to Q4. Q4 and Q3 being the larg est quarter for us. So the margin positions in the cost are very flat. Generally, you have very substantially large margins in Q4. But on Q1, Q2, you will have little margins, and then Q3, Q4 margins will be like that. So having said that, we should be abl e to sustain the overall margins for that, yes.
Devang Bhatt: Sir, my question was more related to the US Q4 margin, because we have seen some dip and then improvement in US. So that margin...
Virender Jeet: Yes, I would say, we have still smaller revenue size to look at segment margins. I would still focus as a company on the overall margin, because in segment margins, a lot of our cost is attributed cost because we operate out of India. Predominantly, all the services are provided to that. So if the top l ine growth is high in US, the margins will be high. But I would still recommend that we look at the margin positions at the company level and at the annual level.
Devang Bhatt: Thank you, sir. Thank you for taking my question.
Moderator: Thank you. Next qu estion is from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain: Yes, hi. I just have one question that you talked about the partnership with Mambu and Sopra. Can you just explain how these are beneficial? And what are the intersectio n of the offering? And what are the complementary elements involved here?
Virender Jeet: Yes. So thanks, Rahul. So Rahul, I think what we have done is we are looking at the whole partner ecosystem more broadly in terms of finding what are the complementing products and

go-to-market strategies. So these are typically, these are both to do with banking. So while in Sopra we are working on the digital lending side, how we can sell our digital lending product in Europe and adjacent areas, because Sopra is very strong in those markets and that's our alliance. And Mambu, I think this is a core banking product, basically more for digital banks. Again, we are looking at how to extend beyond core banking, more structured loan products, enterprise content management, customer communication management products with them. So both these things, we are in the early stages. And I think with Mambu, we have some successes in the market. We're also working quickly to have some more success on the Sopra side.
Rahul Jain: So spe cifically, let's say, for example, for Sopra, don't they have their lending solution as of now?
Virender Jeet: So what we have as a product in lending, which is a low code based lending platform configurable, I think we have found that to be more attractiv e, what they can carry to their larger customer base. They have other product categories, and it complements their offering.
Rahul Jain: Okay. And in this kind of a go -to-market arrangement, where they are also primarily a software business. So are they go ing to sell on their own, or this is also through their partnership eventually being sold by SI and how the revenue share would come in case they generate these leads for us?
Virender Jeet: So see, they have got a huge customer base across those places. Th ey are looking at their cust

omer base and their prospect base. So that's a direct sales for them and we are selling jointly along with them. Wherever we are selling, we are looking at net to Newgen revenues. And finally, the net to Newgen revenues is what predominantly is either list price or somewhere around 35% -minus list price. So in our books, it's always net to Newgen.
Rahul Jain: Okay. And how do we define the market in terms of what is targeted through this channel versus what is targeted directly an d what is targeted through SI in these markets?
Virender Jeet: So I think it's a much more detail ed discussion .. Basically, we follow named account strategy. In all our markets, we have set up target accounts and some target verticals where we have six, seven offerings, which we want to take through as enterprise sales.
With the GSI, we focus on more horizontal products, enterprise content management, replacement, modernization, low code offering, where they can go to any vertical, because they have the kn owledge of other verticals. With alliances like Sopra, Mambu, it's around adding capabilities to their overall go -to-market strategy they're offering. So we are predominantly adding our content management and lending capabilities to their product offering.
Moderator: Thank you and s orry to interrupt you, sir. I'll request you to join the queue again for a follow -up question. The next question is from the line of Dhruv Bhatia from AUM Fund Advisors. Please go ahead.

Dhruv Bhatia: Hello. Can you just throw li ght on the increase in DSO days to 145 days in the current quarter?
Virender Jeet: Yes. So yes, it has increased over the last year. So generally, what happens, our year -end DSOs are very high. As I said, a lot of billing happens towards the later part of the year. And that's the lopsided nature of our business where we do license sales. We have done roughly around more than INR350 crores of billing. And predominantly, the last month would be a significant part of that billing. That does affect the DSO. So our billing has grown at much higher speed than our revenues. So there is much higher DSO.
Having said that, we have optimized it from a very large number, and we are targeting that to be around 120 is the right number and safe number to be around like and then look at optimization beyond that. I think in some markets like EMEA and India, we are slightly higher that number, that's pushing it up. But in APAC and US, we are at much lower number. So I think, again, our endeavor is going to keep on bringing it down to a number of 120 and then. So it's going to be generally for the next three quarters, it's going to be a much smaller number. But as an annual number, we are targeting that at the year -end it should be less than 100.
Dhruv Bhatia: Okay. Thank you .
Moderator: Thank you. Next question is from the line of Jiten Parmar from Aurum Capital. Please go ahead.
Jiten Parmar: Yes. Most of my questions are answered. I have only one question, more of, what do you think is the threat of AI and basically the way things are moving in that particular domain? So if you can throw some colour on that, will it be beneficial for us or it could be some threat?
Virender Jeet: Yes, Jiten, it's a million dollar question. And I think everybody is -- I have a personal opinion on it. I don't know the official -- but I think when you look at any disruption in technology, significant technology dis ruptions like cloud, mobility,, we have always seen that it helps for the companies because they end up leveraging that technology faster than the market and then creating more products and services around using that technology.
So the recent -- what has h appened over the last four months in the generative AI, we think that shows up a lot of opportunities for us in content services, in search optimization, in content ge

neration, so there are a lot of areas for us on the table as an opportunity next three ye ars, four years. So I believe that the speed by which we can innovate over the next three quarters, four quarters is going to determine whether we lag or whether we can ride this.
But there are other wide implications of generative AI which will happen ove r the next three years, four years in the markets around augmenting capability for engineers, being able to do much more faster work. I think those should be much more operational benefits which we can get. I think some amount of challenges which the IT in dustry is looking at generative AI is more from the services nature in terms of when you are deploying hundreds and thousands of people to do some routine jobs. Fortunately, we are not in that business. We're still in the business of innovation. And if gen erative AI can help our innovation cycle, I think we should be very happy with that.

Jiten Parmar: Great. Thank you. That’s the only question I had. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, we'll take that as our last question. I wi ll now hand the conference over to Ms. Deepti Mehra Chugh for closing comments.
Deepti Chugh: Thank you so much, everyone, for joining us on the call. For any further questions, you can connect with me or you can go to our website. Thank you.
Moderator: Thank you very much. On behalf of Newgen Software Technologies Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Jul 2023

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Date: 25th July 2023

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Sub.: Outcome Transcript – Conference Call – Q1 FY'24
Dear Sir/Ma'am

As intimated earlier through our letter dated 13th July 2023 regarding the Conference Call of the Company, which was held on Wednesday, 19th July 2023 at 04:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .
This is for your information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Enc.: a/a

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"Newgen Software Technologies Limited
Q1 FY'24 Earnings Conference Call"
July 19, 2023

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. T.S. VARADARAJAN – WHOLE TIME DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER J EET – CHIEF EXECUTIVE OFFICER – NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN KUMAR GUPTA – CHIEF FINANCIAL OFFICER – NEWGEN SOFTWARE TECHNOLOGIES

LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
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LIMITED

MODERATOR : MR. SUMEET JAIN – ICICI SECURITIES LIMITED
t?/jnewgen
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Please note that the transcript has been edited for accuracy purposes
Moderator: Ladies and gentlemen, good day, and welcome to the Newgen Software Q1 FY '24 Earnings Conference Call hosted by ICICI Securities. We have with us today, Mr. Diwakar Nigam, Chairman and Managing Director; Mr. T.S. Varadarajan, Whole Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Arun Kumar Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head, Investor Relations. We will start off with the remarks from management. After which, we will open the floor for Q&A session.
As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Newgen management. Thank you and over to you.
Deepti Mehra Chugh: Good day, everyone. I'm Deepti Mehra Chugh, Investor Relations of Newgen Software, and I welcome you all to the Q1 FY '24 results of the company. Joining with me is the management team at Newgen. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.
Past performance may not be indicative of the future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to th

e Investor Relations section
of the website. I would now hand over to Mr. Nigam for presentation of the results, which will be followed by a Q&A by Mr. Virender Jeet.
Diwakar Nigam: Good afternoon, and thank you for joining us today for our Q1 financial results call. Getting you straight into the business performance. The first quarter of the fiscal continued the strong growth momentum of last year. Q1 witnessed revenues of INR252 crores, up 34% with robust growth across all geographies. APAC market witnessed a growth of 46%; EMEA, U.S. and India markets witnessed a growth of 38%, 36% and 25% respectively.
Historically, the business has been seasonal in nature, with Q1 being the leanest quarter. We have been in the process of reducing the seasonability by increasing annuity business, and thus, Q1 growth is reflecting that.
Our annuity revenues have been getting larger and we are at INR168 crores. We continue to steadily build our subscription revenues. They were INR89 crores in Q1 and comprised almost 35% share of our total revenue. It was a strong license growth quarter as well with license revenue at INR42 crores, growing 1.9 times compared to Q1 last year. During the quarter, we witnessed strong traction and booking from both existing and new customers. ~newgen

These include large orders from existing bank customers as well as healthy new logo additions. We added 13 new logos across the geographies in Q1. Some key customers include providing digital account opening solution for a privately held bank in Americas region, providing lending origination and management solution to a leading diversified business group in Saudi Arabia, operating across 7 core sectors, providing Trade and Supply Chain Finance Solution to a leading financial institution in the UAE market.
We are witnessing expanded opportunities across different segments, particularly in banking. The renewed thrust on digital journeys across the banking sector has resulted in significant increase in our orders particularly from existing bank customers. We are also witnessing revival of new journeys in insurance and government segment, creating a high demand for service

accelerators in these verticals. Globally, there is a growing emphasis on automation at scale, especially in financial organization like bank, wealth management growth, etc.
These organizations are actively planning to integrate their front and mid offices, leading to a surge in interest from customers. This increased interest has translated to large licenses and implementations indicating a strong market. We are excited to see that our innovative offerings are well positioned to tap the large market opportunity.
The new generation of our product suite, NewgenONE, is designed to provide enterprises with the tools they need to build, deploy and manage applications, building automation silos and streamlining the processes.
Our platform's modular design, advanced AI capability and cloud-first approach will enable organization to deliver superior customer experience, operational excellence and business innovation. It has contemporary user interfaces and more integrated environment. The NewgenONE also produces better applications using low code principles. It allows development of attractive portals with very little effort, facilitate end-to-end integrated processes at enterprise scale.
We are adding AI/ML capabilities in process automation for suggestive and prescriptive intelligence. For work introduced timelines can be estimated, work can be diverted to suitable person, etc. We are enriching our lending solutions with the AI/ML based auto decisioning and no touch, low-touch strategy. In our recently launched trade finance solution, we are again using our AI-based strategy for extracting data from paper images and PDF docs.
On the operational front, we have been working extensi

vely at enhancing employee engagement,
productivity, talent management and capability building. In fact, we are working on utilizing the different AI technologies to enhance employee productivity. At the same time, we are also focusing on expanding strategic hires to lead our growth.
In the sales and marketing front, we are strengthening our direct sales channel, along with a focused alliance with our partners, especially the system integrators to expand our market footprint. As a part of growth strategy, Newgen is building across relationships with 4 types of ~newgen

strategic partners: GSI, the Global System Integrators, consulting firms, technology partners for enhancing capabilities and largely marketplace partners like Mambu and Guidewire.
On profits and margin, we delivered healthy growth in profits during the quarter. Profit after tax was INR30 crores, witnessing a growth of 57%. As we grow, we are investing heavily in technology and sales and marketing initiatives, while maintaining cost discipline. During the quarter, apart from investing 10% of our revenues on R&D initiatives, the company invested 24% of the revenue on the various sales and marketing initiatives.
On the balance sheet front, our net cash generated from operating activities during the quarter was at INR57 crores. Our net trade receivables were INR359 crores at the end of June, which resulted in a DSO of 126 days.
For the year ahead, we are excited about the growth opportunities across geographies. Newgen is dedicated to staying at the forefront of technology and innovation and continue to empower enterprise towards a more holistic automation. Newgen is working on leveraging AI to bring in enterprise-wide transformation, such as meeting the ever-changing customer expectation and empowering employees to make intelligent decisions. We are looking forward with this interesting journey and driving a positive change to our products and solutions. Thank you. We are now open to Q&A.
Moderator: Thank you very much sir. The first question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.
Baidik Sarkar: Congrats on a strong quarter. The beat we've had this quarter on the license revenues was good to note. Should we read this as a sign of acceleration to come in the product -- in the licensed product side of the business given your go-to-market efforts, especially in the U.S. over the last 2 years? Or would you caution this as a one-off? And does this in any way change the H2 loaded license revenues that with you anyway?
Virender Jeet: So, thanks, Baidik. Yes, your question about the license. See, as part of our growth, we are already seeing strong license business, because that's our primary business. The issue is about realization of those licenses. In some cases, we have perpetual license sales. In some cases, we have annuity-based license sales. In annuity-based license sales, the revenues are deferred. So, talking about this quarter, we had some of the perpetual deals coming in, and they were coming across all territories, including U.S.
We do still expect this year to be very strong on licenses, because we need to get at least a substantial level of perpetual licenses again in this year, along with other subscription licenses.
So, I don't think the license is going to be onetime. It's going to be always a continued journey

for Newgen.
In regards to U.S., generally, the U.S. sales are subscription-based sales. I think this time license sale is slightly surprising, but I think there are also many more prospects who are now spending and shifting to more perpetual license sales. There's a kind of a pushback from market from traditional subscription and SaaS sales. So, you're finding that kind of a trend happening across ~newgen

all geos. So

, it will be difficult to say what's going to happen in future, but we will see that both kind of license, subscription as well as perpetual license sales across all regions.
Baidik Sarkar: That's good to know, Virender. So, keeping that in context, how should we read the growth in order book that was quantified in your opening statement? From an annualized number, from annualized book to the ratio, is there a number -- is there a range that you could share? And what was the quantum of growth that we've seen here in the order book, both from an annualized basis and otherwise? I understand you don't disclose the number, but at least the growth number can be spoken about?
Virender Jeet: See, as Mr. Nigam had just said, some amount of transition from the lopsided revenue in terms of you look at a transition for the last 3, 4 years, the Q1 has been a very small quarter. We have moved from a revenue percentage of 16%, 17% to roughly around 20% of annual revenue. And that transition is happening. So, we do expect normally that Q1 to be a stronger in terms of percentage growth Y-on-Y. For the overall year, we are still maintaining that we'll have a strong year, and we have a historical growth momentum, which is about 20%. We will try to meet that and exceed that. But right now, I think, we are too early in the year and there are a lot of other variables. Taking -- this percentage is that kind of year is not a fair way of looking at.
Baidik Sarkar: Sure, sure. No. Actually, Virender, I was trying to understand what the momentum in your order book was looking like, right? So, is there a range that you can help us understand? Because you did allude to the fact that there was a very healthy growth in your order book. So, from an annualized order book perspective, 12 months earning and the gross number. How much is that? I'm just trying to understand what kind of momentum you're seeing -- you expect to see in the quarters to come?
Virender Jeet: So far, the last year order book was substantially better. And I think the growth in order book at an annual level was much higher than our growth in revenue. So, we were at -- if I'm not wrong, around 30% of growth in order book, whereas the revenue grew by around 24%. So, there is a tailwind on the previous year. So far in the Q1 this year, that momentum continues. The order book is still growing at a substantial pace than the last year's Y-o-Y for the same quarter. But it's very difficult to predict and project trend for the year. So, we have to wait for that. So, I'm saying that all the variables are looking very, very fine for right now. We are not seeing any challenges in the market. The business is -- there's a lot of interest from the customers, especially on the digital journey side for us. And we hope to continue the growth momentum.
Moderator: Thank you. The next question is from the line of Ashish Chopra from Goldman Sachs Asset Management. Please go ahead.
Ashish Chopra: Just a couple of questions. First one, just as a follow-up on the license sales that you did this quarter. So, you mentioned that there is no one-off over here. And when I look at your historical trends as well, just like you mentioned in the overall business, even the license sales tend to be released in the first quarter and then they build as the year goes along, at least that's been the trend in each of the past 5 years. So -- is that something that is likely on such a high base of license number in this year as well? Or do you see that being a little bit different considering just ~newgen

that you need to triple from where you were in the first quarter last year on the license sales front?
Virender Jeet: Yes. Ashish, what's happening, if you look at last 3, 4 quarters, I think there has been an overall growth in the business. And that growth translates into deals which are sometimes licensed and

sometimes subscription. Luckily for some of those deals in the last 3 quarters have been on perpetual license side. So that's why last year, though the license growth was less than the company's growth, but this quarter, the first quarter, there has been substantial license deals for us.
I don't see the base number in such a large number that we can't exceed that growth target. We will continue to sell a substantial number of licenses every quarter. And I don't think this is a

one-off thing. But what is one-off is that, as you are rightly saying that in some territories like in U.S., we've got a substantial license deal as well as the Q1 being lean, generally, this time, it has defined that leanness, whether that's a one-off thing or is it going to continue, I think we'll have to wait. But I don't see any reason why we can't continue the growth momentum in the next few quarters.

Ashish Chopra: Fair enough, Jeet. And just secondly from my side. So given that the annuity based, or subscription-based revenue is now almost 2/3 of your total revenues. Does that not give you a good semblance of visibility in terms of how the years pans out? And I mean, I'm coming from the perspective that if you are, let's say, 30%-plus Y-o-Y in the first quarter, what would you back from having a clear visibility of at least a 20% plus growth, what has to go wrong for growth to be lower than 20%, when you have an annuity base, which is as high as 2/3? Just wanted to understand some nuances of the portfolio.

Virender Jeet: Yes, Ashish, I will share your enthusiasm. The only thing what you read is slightly wrong that what you're seeing that annuity 2/3 is basically for this quarter. You extrapolated for the year. Through this quarter is smaller, our annuity is still at between 55% and we may reach up to 60% of the revenue this year. So still, the total annuity is not 2/3. It's more close to 60%. So, there is still variability depending on license businesses.

So, when you're looking at this 2/3 number, you are taking this quarter number, because this quarter, since the other -- generally, it's a smaller quarter for us. So, the traditional business lines are performing much better. So, I hope that over the next few quarters, we can keep on increasing this annuity. And as said, as we are able to explain the subscription sale, expect the mature market sales, we do expect this annuity to go all the way up to 70%, 75% of the business, which should give us much higher availability in the whole year.

Ashish Chopra: Fair enough. And just lastly from my side. So, you articulated that you're not really witnessing any significant pressures in your U.S.-based customers. But anything that you could share on the traction in your own efforts to grow your client base there as well as maybe the results of the GSI channel model? ~newgen

Virender Jeet: So, Ashish, so I think the U.S. performance this quarter, I don't think you should be taking the reflection that everything is all right on that market, and we are still working on as resolving. Like we said last time, we have already pivoted -- we're pivoting our strategy from going to larger banks. Some of those deals have come this quarter, and we expect to repeat that. But it's not that all quarters are still firing. We are resetting our GSI strategy out there. We are working on multiple initiatives on that. So, I think this is still some quarters to go before we start building a much more stronger U.S., which mean -- that is the growth for Newgen.

As of now, I would say that, last year was very weak for the U.S. This year, in percentages, it was strong. But I think we'll have to wait for some time before we can really say that U.S. is going to be the growth driver for the company.

Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kuma

r: Congrats for a great set of numbers and thank you for taking my question. Sir, my first question is on the jump in the other expense. So, while this quarter is lean and Q4, last Q4 is heavy. Other expenses increased to INR75 crores from INR67 crores. So, can you explain the reason? And what can the expectation on this?

Virender Jeet: So, I will have to, excuse me, because other expenses, could you be more specific? So, these are all our SG&A expenses. This is about including our marketing and our all other travel, marketing and all other expenses. So as the business grows, there is already kind of an investment happening on the marketing side and there is some amount of what you call cost base growth on all other head sales there. So, I could not understand, is there a... Yes. I think last year, the first quarter was not even quite open. There is a -- in fact, we have budgeted. So we are in fact, slightly lower than what we had budgeted for this year. So, we don't see any concern on other expense side.

Ankur Kumar: So, any guidance on this number going forward?

Virender Jeet: See, I think, the Q1 cost base is generally, I think, going to be the similar for the -- most of the things. Only the manpower expense would vary after the increments and other things taken. But generally, these are the cost bases we operate for most of the year now.

Ankur Kumar: Got it. Got it, sir. And another question is to the previous participant. You said now Q1 should be around 20% of revenue is generally happening. So even if we assume it to be 20%, this year should be north of 25% of growth. So, am I right on my assumptions on that front, sir? Based on the visibility that we currently are having?

Virender Jeet: So yes, I think, what I said is that our historical trend rates have moved. The Q1, which was 17%

has moved all the way up to 20% up last year. So, we do expect that momentum to continue this year. But I think, it will also depend on our performance on the subsequent quarters. So, if everything remains the same, we can extrapolate the data, but I think that's not going to be that. But having said that, right now, we are quite hopeful of maintaining a strong year this year. ~newgen

Ankur Kumar: Got it, sir. And on margin side, we generally are talking about 18% to 20% of PAT margin. So, any color on that front?
Virender Jeet: I think, actually staying at around 20%+ on EBITDA and around 17% to 18% on PAT, depending on our investments that year. And generally, the cost bases are very pretty much fixed, as where we reach on the top line will determine the net margin.
Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Advisors. Please go ahead.
Mihir Manohar: Congratulations on good set of numbers. Sir, largely, I wanted to understand on the FSI side of the piece. So, what is driving that? Is it financial services? Is it banking, is it insurance? Is it market?
Virender Jeet: Mihir, I'm sorry, we couldn't hear the second part of your question. But if you can hear me, then I can repeat, I can answer the first part of the question. Mihir, we can't hear you. So -- but I think -- let me answer the first, maybe if you can hear us, let me answer the first part of his question.
Mihir, the -- as you said, the growth momentum, I think we are very strong in BFSI and I think, in fact, the banking is driving the growth. Banking in our emerging markets like India, Middle East, APAC, we are talking about Tier 1 accounts.
And as Mr. Nigam had just said, it is typically the journey, which is an onboarding journey or a digital lending journey which is driving a lot of traffic. And we have pivoted from our earlier deal sizes, which were a few crores to much larger deal size across all these regions, India, Middle East and APAC.
In U.S., we have been focusing on mid-market, and that was our

kind of a bread and butter out
there, but we pivoted slightly to banks which are bigger than 20 billion, 50 billion and above.
Again, in those, I think the origination journeys, the digital journeys is driving. So banking is number 1 where we are finding traction.
But beyond banking also insurance is looking positive. Though we have not converted as many deals as we do in banking, but insurance is looking at also very strong. And again, I think the need for digital revamping, attorneys infrastructure, everything is there. So, I'll stop here, probably Mihir if you can join again and then we could have a chat. Because right now, I can't hear you.
Moderator: Thank you sir. The next question is from the line of Chirag Kachhadiya from Ashika Institution Equities. Please go ahead.
Chirag Kachhadiya: Yes. Congratulations to the entire team for a very strong set of numbers in the lean quarter. And again, it's very really transforming the result on a revenue profile perspective from transition to tradition to the annuity and subscription. So, I have a couple of questions. Let's say, after a few quarters, our revenue largely start coming from annuity and subscription base, then what kind of cost structure are we looking for? And on a sustainable basis, the ballpark aspiration, to reach ~newgen

500 million of turnover, which we have been provided since last couple of quarters. At that time, what margin profile are we looking forward? And what is your attrition during the quarter? Yes.
Virender Jeet: So, as the revenue mix keeps on change, in terms of becoming more annuity, that happens because of either we sell perpetual license and the ATS part of, the annuity part of license gets compounded, or we sell more subscription licenses. So, it will keep on improving.
In terms of our margin, I think it's not directly connected to that. As company grows, our gross margin position will keep on becoming stronger as the larger percentage of revenue will come from what we call our licenses or subscription sales. But it will depend on our opportunity of growth in market and how much we invest in our R&D and sales and marketing. So that's why when we give a broad guidance about meeting some numbers, we are saying assuming that the larger part of the margin will get reinvested in businesses for growth. So, we'll continue to be around 20%, 21% of EBITDA and 17%, 18% of PAT. On a healthy growth line of anywhere around 20%, that number should be -- we should be able to deliver that.
In terms of attrition, and as I think attrition have come down significantly. I think, we are almost talking less than half what it was last year in the same quarter. But it's just 1 quarter, and I think

less date, I think the market is still looking up now for most -- again, software industry. Let's see how it unfolds.
But I think we are -- on that trend, I think the larger problem of industry, I think we are much away from that problem right now. And we think that this year, we should be at a much, much lower number than compared to the last year. So, I think what was -- I couldn't get your third question, because.
Chirag Kachhadiya: Okay. Sir, 1 more question I have. Like when the wage hike impact is to be there in the quarter, in which quarter we're going to increase the payroll and all. And also, will it be similar to like what we used to give in previous years? Or this time, is there any differentiation considering the growth we have achieved in the last couple of years?
Virender Jeet: No. I think wages are dependent on our growth, our own perception of where we want to be and as well as the market reality. I think, our increment cycles are divided across 3 quarters. April, June and predominantly January. So, I think the impact will -- there is some amount of impact on this quarter. It's already -- there has been increment and there is going to be

some increment
in fact on next year, next quarter. As well as the there's going to be a substantial number of people getting increments in the last quarter. What percentage is, I think, it's a very difficult call right now. I think we'll have to take it very close to that.
Moderator: Thank you. The next question is from the line of Sumeet Jain from ICICI Securities. Please go ahead.
Sumeet Jain: Thanks for allowing ICICI Securities to host your call. So, Jeet, first question I had is, generally the health of the midsize bank in the U.S. Generally, we have heard both the banking crisis in March, the overall technology demand from them has been a tad week because of the consolidation and merger happening. Now in your client base, within the U.S. portfolio, have ~newgen

you seen such kind of a pressure playing out because as per your numbers, it doesn't seem like anything of that product played out.
Virender Jeet: No, Sumeet, thanks for your question. So, Sumeet, you're absolutely right. I think, what we are seeing is quite visible in the U.S. I think the midsized banks, particularly a smaller end of the midsized banks are struggling. And right now, I think the spend on IT is quite weak.
In terms of -- when you look at our performance in banking, it is still, I think, the deals which we have won or what we are winning are slightly in the larger accounts. And we are -- as we said, we are pivoting towards those accounts. And the banking in U.S. right now is under cost pressure. They are looking at projects which we can optimize. And some amount of a player for products is in terms of challenging that existing cost base and doing things at a much more viable cost.
So, we think even on the cost pressure side, there is a demand for our kind of products. But I'd say Q1 is a very small quarter. Any numbers seeming percentages and trends on Q1 may not be a fair thing to take. So, we are also learning how the U.S. market is going to behave to our new kind of offerings. So, I think the process is -- it's half done. So, we can't draw conclusions on that.
Sumeet Jain: So, are you a bit cautious on your U.S. geography demand in the coming quarter? Should we take it like that?
Virender Jeet: Okay. The way I would say it is quite diversified. And last year base is quite small. So, we should be able to do substantially better than last year. But in terms of overall, our perception of building long-term U.S. businesses in terms of GSIs or large-sized banks, I think it's going to be a while before we'll be able to comment on that.
Sumeet Jain: Okay. Got it. Next, I wanted to just ask around this INR35 crores 5-year deal that you mentioned towards yesterday. When will it start ramping up and in which geography and vertical will be to you?
Virender Jeet: Yes. Sumeet, this is a deal from India, 1 of the Indian public sector banks. It's for our new offering, which is trade finance. And this project needs to be executed immediately. I think, the large part of this revenue will come in the next 18 months. And then the part of this revenue, which will follow up ATS/AMC. So, it's a very good sizable deal, and we are very excited about the trade finance offering.
I think last quarters also, we have already communicated, we have won substantial deals in this, or both India and Middle East. And there's an interest in other markets also around this product. So, I think our digital lending and trade and especially larger accounts are driving very different deal sizes, which is also helping our growth.
Sumeet Jain: So, will it take 1 to 2 quarters? Will you see the ramp-up of this deal in your revenue profile? ~newgen

Virender Jeet: I don't think this deal on its own change the revenue profile, because at the end of the day, if you take 70% of this deal, which is g

oing to be executed over 18 months. 18 months and divide it on
quarters. So, this is just another deal for us. But I think you're absolutely right. I think next
quarter onwards, we will be executing.
Sumeet Jain: Got it. Got it. And next I wanted to -- just around your debtor days like, you expect 120 debtor
days, typically higher than what you have reported in the past years in Q1. So, any particular
reasons why the debtor days are much higher this year?
Virender Jeet: No, nothing much. I think, it's our traditional markets where we are having some challenges. But
I think the bigger issue is what has happened in Q1, the last year closure, Q4 and Q1, I think
there's been substantial amount of billing. And that billing is to do with also a lot of revenue,
which is not realized in terms of our subscription advances, our ATS advances as well as the
growth rate has been much higher in these 2 quarters.
So, some amount of provisioning is getting created even for day 30 and day 90. So, you have
the DSO increase. But also on the other hand, we have a traditional problems in some markets,
and on some accounts is getting -- which have added roughly around 10, 15 days of DSO. We
are on it. And as I told it, I think in some period of time, we are trying to bring this to near 100
days and then even go below that.
Sumeet Jain: Got it. And just last question to squeeze in. Your gross margins are expanded by almost 400
basis points Y-o-Y. So, is it a function of higher license revenue sales this quarter? Or is it that
your wage hikes come in the next 9 months, and we will see a bit of a pressure there? How do
you see the gross margin trending over the remaining 9 months?
Virender Jeet: Yes. Sumeet, it's very difficult for me. I think, we're slightly going out of my subject. But as
you're saying, you're right. Since the percentage of annuity as well as the license is high on this
quarter, the gross margins will look much better. But I think in subsequent quarters, other
schemes start kicking in. A lot of the implementation milestones start kicking in Q3 and Q4,
which have other service profile, which start balancing the gross margin.
But having said that, I think this year, we have a high-cost base because on the previous year
cost, we have multiplied it for 4 quarters, we are on high-cost base. So, we do see margins to
remain slightly healthy, but I don't think they will expand 400 basis point for the year.
Moderator: Thank you. The next question is from the line of Rushabh Sharedalal from Equirus PMS. Please
go ahead.
Rushabh Sharedalal: Congratulations on a great set of numbers. My question is pertaining to the regional banks of
U.S., only the -- again continuation with the previous participant. So, you did mention that we
are moving from the smaller end of the regional banks towards the larger. So, the mid-size
regional bank. So, what kind of a competition are we seeing from the larger IT companies? And
how do we actually plan to play this competition? If you can give some color on? ~newgen

Virender Jeet: So, Rushabh, in regards to the banks for our kind of products, the competition has remained
similar. The competition landscape does not change from the size of the bank. We still on the
horizontal side, have the same competitions like Pega, Appian, OpenText. And on the vertical
side, there are the same competition like companies like Ncino and all. So, I don't think that
dynamic changes.
The only dynamic what changes is that the larger banks can see better value for our platform,
our NewgenONE. We can position ourselves better for the holistic end-to-end journey of
automation, where we think we have a stronger play. And also, with traditional case studies in
terms of reference ability across the geos in the world, showed those better examples out there.
And also, the bigger issue was about lifetime value for a customer

, which we thought that in
smaller banks, we were not able to realize that in 2 years, 3 years, where we see a good potential.
But just to answer your question in a short, the competition landscape does not change very
drastically from a midsized bank to a large bank.
Rushabh Sharedalal: Okay. Okay. And -- how big is this pie? So, like in the U.S. regional banks have heard that there
are some 4,000, 4,500 regional banks. But how many Indian IT services companies would be
going for the same business? And how big is the industry size? If you can give some color on
the industry size?
Virender Jeet: You see, the financial entities in banking and credit unions are roughly around 5,000 out there,
and they keep on -- but I think, what we had targeted earlier was a section of those banks about

USD2 billion assets which was roughly around 800 in number. I think we have committed to a much smaller number, which is roughly around 150 to 200 accounts.
Now in the 150 to 200 accounts, other regional players also participate. Because these are typically banks above USD 20 billion -- above 50 billion asset size. So, in other banks, if you said 4,000, I don't think there are very niche software players who really play in those.
Rushabh Sharedalal: Okay. And just 1 question on the generative AI thing that is going around in the market. So, are our clients also expecting us to provide some kind of efficiency in terms of delivering the projects when generative AI tool we use? And does it disrupt the industry, the sector in any way? If you can give some color on that, too.
Virender Jeet: Yes, that's a very wide question, but I'll try to answer it in a small what is relevant for us. We are already in the business of assembling solutions at a very fast pace through a No Code/Low Code kind of technology.
I think, most of the conversation when it comes to demand or optimizing demand is about code generation. We are already in the game, we are code -- generation needs to not be done. But generative AI also adds further value to our products and offerings, which we are trying to put in the road map for the next 12 months.
Right now, the value which we are delivering to the customer is not around people and costs, it's around the solution, the benefit, it's around the product. So, we don't see those pressures right now in terms of cost becoming coming on generative AI. But there's a huge opportunity on our ~newgen

product side and on the solution tax side, where how we can use AI and generative AI to give better value to the customer.
I think that those road maps are already being drawn. We're working on many of such areas as we are ready to release, we'll release them to market.
Rushabh Sharedalal: Okay. Okay. And just a small bookkeeping question, if you can just quantify the accretion rate for the quarter?
Virender Jeet: I think, I'll ask Deepti to respond. Because she can give you exact number, but I'm not very sure.
Moderator: Thank you. We have the next question from the line of Dhawal Doshi from IDBI Capital. Please go ahead.
Dhawal Doshi: So, my question was on the revenue growth. So, if you look at the last quarter, we grew, let's say, 18% to 20% Q-o-Q. And we ended FY '23 with 25% growth. Now when we look at Q1 performance, it has been healthy on a Y-o-Y basis, 30% plus. So, do you see FY '24 growth to be similar with as FY '23 growth?
Virender Jeet: That's a difficult question to answer, but what we are saying that the way last year was looking right now, we don't see any headwinds like you see in service companies around our growth.
We think there are enough areas for us to keep on doing business. And you're absolutely right. I think on Q4 is stronger always. And we expect this year also the Q2, Q3, Q4 sequentially to be better than Q1 in the previous quarters. So that kind of trend, there is no reason why we should not c

ontinue that. But what -- absolute growth rates, we said, at the end of the year, I think we have to wait for that.
Moderator: Thank you. We have the next question from the line of Sarang Sanil from RW Investment Advisors. Please go ahead.
Sarang Sanil: Congrats on great execution. First question is, have any GSI deals been converted this quarter? And how is the pipeline like? And is it coming as per expectations for the company? My second question would be, if you could give some more color on how Generative AI see application to your NewgenONE product. Has there been any deal that included this? Or are you still exploring the space?
Virender Jeet: Yes. Thanks for the question. So, on the GSI, we did have some deals in the U.S. this quarter, but not a significant number. From our expectation, we are very, very far from the number. I think, we have done the investments. I don't think they are showing the reasons right now. I think, you have to be on it for some time before things start becoming better. And so that's -- on the generative AI side, I think it's too early in terms of what we are going to do and what things we are going come to the market. So far, generative AI is not part of our any deal. As I said, we are already working on an area which is typically about assembling of applications on a low-code platform. ~newgen

So, most of the conversation in field is about how the code generation can happen through AI.

That's not where we are right now. But as I said, we are finding a huge amount of opportunities, both on our solution side as well as product side to introduce generative AI and other AI capabilities. And in next couple of quarters, we'll be launching many products in that area.
Moderator: Thank you. The next question is from the line of Akshat Khemani from Carnelian Asset Advisors. Please go ahead.
Akshat Khemani: Yes, sure. So, I largely wanted to understand the section on the trade finance side. If you can provide some color as to what is the pipeline on the trade finance, specifically India and Middle East, what kind of opportunities are there? If you can quantify that, the number of deals, kind of traction, what kind of the potential value, that will be really helpful.
In the next 2 to 3 years, what kind of inquiry pipeline are you building on trade finance? And how is our solution placed when compared to competition? I mean, what is the differentiated section which we are offering on that side? That will really helpful.
And my second question was just on the perpetual license as part of the fees. And at the start of the call, you mentioned that some of the business is shifting to perpetual license. So, if you can provide why is that happening? And how do you see that traction for the balance part of the year or maybe for the next 2 years? Will perpetual license will be higher and why is that situation happening in the market? That will be really helpful in that. So those were the questions.
Virender Jeet: And there were quick questions and a lot of questions within a question. So let me try to answer them and then probably if I miss something, you can ask me. See, first of all, I'll talk about the trade finance. So why Newgen -- I think on trade finance is 1 we realized, Trade Finance is document in intensive and Newgen is very, very strong in any process centric versus or document-centric process automation. So, we've been traditionally strong, and we have been providing some parts of trade solutions to our customers over a long period of time.
Last couple of years, we have gone in and built a full trade product. And I think, we got early wins from some very, very large accounts in India and Middle East. I think some of the largest banks in this territory, which has established us as 1 of our prominent players in the markets, which now we want to complete, especially, as you said, Mid

dle East and India is our market
where we are competing strong.
In terms of trade, I think we do expect to close every year, at least 4 or 5 deals on trade. And -- but in terms of these cases that sometimes long gestation, and they are -- as you see the deal sizes are pretty large compared to our traditional thing. So, I think it's so early. And if I'm not wrong, I think we have already around 5 to 6 customers on trade now. And I think we do expect by this year-end, we may have another 3, 4 orders of trade.
Now coming to the second part of, this perpetual license. See, what we have seen lately in many markets, we have seen that -- I don't know whether it's a function of pressure on cost right now or over being oversold on subscription licenses. Some of the customers are demanding perpetual license sales. So, what that actually means they want to pay lower annuities. They don't want to ~newgen

pay very, very high annuities -- so this has been a conversation going on, has been always in India and markets like India, but what we have seen is happening in Southeast Asia, we are certainly happening in Middle East and U.S lately.
So, I do see that a perpetual license sale will continue to be part of our segment, revenue segment. But as I said, I think the growth of that will not meet the growth of the company. So, it will be slightly always lower than the growth of the company because our other heads like subscription, compounding annuity, our support heads will grow faster. And -- but it will continue to be part. How big and -- what percentage of growth may be difficult to predict. But last year, I think when we grew at around 24%, 11% was the growth on licenses. I think this year, if we continue doing that, we will be able to do slightly better than that.
Moderator: Ladies and gentlemen, we take that as the last question for today. I would now like to hand the conference over to Ms. Deepti Mehra Chugh for closing comments. Over to you, ma'am.
Deepti Mehra Chugh: Thank you so much for participating in the call. For any further questions, you can connect with me, or you can go to our website. Thank you.
Moderator: Thank you, ma'am. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. ~newgen

Call: Oct 2023

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Date: 23rd October 2023

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Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q2 FY'2 4

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 1 0th October 202 3 regarding the Conference Call of the Company, which was held on Tuesday, 1 7th October 202 3 at 04:00 P.M.(IST), please find enclosed herewith a copy of the transcript of the said call with t he Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Encl. : a/a

"Newgen Software Technologies Limited
Q2 FY2024 Earnings Conference Call"

October 17, 2023

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND
MANAGING DIRECTOR - NEWGEN SOFTWARE
TECHNOLOGIES LIMITED
MR. T.S. VARADARAJAN – WHOLE TIME
DIRECTOR - NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER
- NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER - NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD (INVESTOR
REL ATIONS) - NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
 Please note that the transcript has been edited for accuracy purposes
Moderator: Ladies and gentlemen, good day, and w elcome to the Q2 FY2024 Earnings Conference Call of Newgen Software Technologies Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Deepti Chugh from Newgen Software Technologies Limited . Thank you and over to you , madam.
Deepti Mehra Chugh: Thank you. Good evening everyone . I am Deepti Mehra Chugh – Investor Relations , Newge n Software Te chnologies Limited, and I welcome you all to the Q 2 FY20 24 results of the company. Joining with me today on the call is the management. Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Whole Time Director; Mr. Virender Jeet, Chi ef Execut ive Officer and Mr. Arun Gupta, the Chief Financial Officer .
Before we move on to the discussion , let me highlight that this call may contain certain forward -looking statements concerning Newgen's future busin ess prospects and profitability, whic h are sub ject to a number of risks and uncertainties and the actual results could materially become incorrect from the forward -looking statement. Past performance may not be indicative of future performance. The company does not undertake to make any annou ncement i n case any of these forward -looking statements become materially incorrect in future or update any forward -looking statements made from time -to-time by or on behalf of the company. For further details, you must please refer to the Investor Re lations sectio n of our website.
I would now hand over to Mr. Nigam

for presentation of the results, which will be followed by a Q &A.
Diwakar Nigam: Good afternoon and thank you all for joining us for our Q2 FY 2024 financial results call.
We are pleased to shar e that we are making significant strides towards our long-term vision. We continue to build upon the business momentum with four consecutive high growth quarters now. In Q2, we witnessed revenue of Rs.293 Crores up 30% Y -o-Y with robust growth across mos t geograp hies. In the recent months, we have witnessed a significant pickup in the market activity in digital banking space across different geographies. Banks are seein g enhanced business opportunity across the lending and trade finance spac e, that are ou r sweet s pots. As a result, we have been making deeper penetration through our digital lending platform in the banking ecosystem. We are becoming a preferred and trusted
 platform for leading banks for accelerating their lending business and simultaneousl y reducing the associated risk s.
We have received a number of high value orders during the quarter for this platform. Apart from this, during the quarter, we have also witnessed growth in order intake for the trade finance solution. We expect this market mo mentum t o continue in the coming years.
Talking about the different geograph ies, in India region, we witnessed a revenue growth of 38% Y -o-Y during the quarter . We received significant order from both public and private sector Indian banks. A significant mi lestone f or us ha s been the recently announced order from a leading public sector bank for development and management of their complete

digital business platform o f Rs 68 Crores . It is the largest order in terms of value f or us so far, and an indi cation of how our solutions have found resona nce with leading banks across the country. We are also working with one of the largest bank s in India for their Agri lending solution.

In the EMEA region as well , the digital banking acceleration is happening , and we are making deeper inroads and witnessing strong growth momentum. We have a revenue growth of 34% Y -o-Y during this quarter. In this region, we have been winning large value deals progressively. We are expanding business with our existing customer s through additional cross selling opportunities, especially in the Saudi Arabia region. We have also added marquee new logos in this region.

During the quarter, we signed a large project for a specialized banking under Central Bank of Saudi Arabia for dig ital bank ing. To further expand our footprint in this region through a local presence, we have established a new sub sidiary in Riyadh recently. Also, another interesting new logo added in EMEA includes a leading private sector bank in Egypt where we are ag ain workin g on a d igital transformation project for business banking loan origination s.

In the America's region, we w itnessed revenue growth of 30% Y -o-Y. We are buildi ng additional business with mid -size banks and credit unions . We have a lso added a significant new l ogo - a leading global analytic s and technology provider to the insurance industry for our content management offering on cloud. In addition, we have recently opened an office in New York to tap the market in that region .

APAC has been relatively weak this quar ter. However, the deal pipeline looks positive and overall, for the H1 we have still done great progress.

 Overall, we are witnessing a strong growth in booking and billing in the first half of the year. This includes large order s from existing cus tomers as w ell as new logo s. We added 14 new logos across geographies in Q2.

Our annuity revenues are growing at 26%, and we were at Rs. 179 Crores comprising of subscription revenue of Rs.

90 Crores. License revenue continued to remain strong at Rs.51 Crores duri ng the quar ter. Building upon the license and subscription growth in the past, our implementation and suppo rt revenues are growing as well.

Coming to the product. At Newgen we are developing thoughtful solutions power ed by content, AI, and analytics to au tomate work flow within a single platform. Helping enterprise to eliminate reliance on legacy point solution and becoming efficient. Our major initiative in banking AI is coming of age and is expected to give us rich dividends in the near future. Our innova tion and d eep understanding of the unique challenges , and requirements of customer help in adding capabilities and functionalities on our platform to meet the ever-evolving needs of the customers. From lending platform that streamline credit processes to s ophisticat ed trade finance solution s, we are empowering bank s to take a lead in this dynamic environment. In insurance, we have transformed areas like policy issuance , grievances, redressal, etc. We are happy to share that our SME lending accelerator has matured, and we see immense opportunities in this area give n the large addressable market. Moreover, our accounts payable solution has been recognized in the Gartner market guide for accounts payable invoice automation 2023 reports.

We have also expanded our integrat ion portfolio through partnership with leading ERP, CRM, banking and insurance and cloud providers and being listed on their marketplace. This enables our customers to leverage our platform capability through their existing applications, making them effici ent and more productive.

We are now a global team of 3900 people working towards a common goal. In the last few quarters, we have been extensively focusing on retraining and retaining o ur young employees and building additional capabilities and efficiencie s across different domains, especially product and delivery. With the attrition level stabilizing now across the market , our team is now maturing and working extensive ly in efficient implementation.

On the sales and marketing front , we are fur ther buildin g upon the strengthening our partnership network. We are working with global consulting partners to give impetus to our sales in the m ature markets. We have recently elevated our partnership with Coforge to deliver transformative insurance lifec ycle managem ent solution. We are also streamlining our direct sale s team through strategic hires.

 During the quarter, we participated in leading industry events globally and had a successful customer meet in Philippines .

We delivered healthy growth in profits and ex panded margi ns during the quarter compared to the same quarter last year.
Profit after tax was at Rs.48 Crores witness ing a growth of 59% Y-o-Y. Durin g the quarter, apart from investing 11% of our revenues on R&D initiatives, the company invested 21% of the rev enues on the various sales and marketing initiatives. On the balance sheet front , our net cash generated from operating activities for the six month s period ending September 30th was R s.146 Crores . Our net trade receivables were Rs.316 Crores at the end of September, which resulted in a net DSO of 105 days.
Last but not the least, we have been honored with the prestigious Mahatma Award for Social Good and Impact towards Quality Education showing our commitment to sustainab ility and community development. In an ever-evolving competitive financial landscape, our banking software solution s have not only thrived, but also have become indispensable to our customers. We have strategically positioned ourselves to be their trusted partners in navigating emerging tre nds in the f inancial technology sector. Our progress and positioning reinforces our optimism for the second half of the

year. Thank
you. We are now open for Q&A.
Moderator: Thank you very much, Sir. We will now begin the question -and-answer session. We wi ll take the f irst question from the line of Baidik Sarkar from Unifi Capital. Please go ahead.
Baidik Sarkar : Hi, good evening and congrats on a very strong show. How should we interpret this phase of your momentum , is this an outcome of our regular go to m arket invest ments that just happened to fructify at this point in time today clustered together in a small time frame or the momentum that you a re witnessing from the demand side of the genre that we have not seen earlier, to that extent that the super cyc le that is fresh and to that extent unique. I am just trying to understand how we should interpret this momentum that probably you may not have witne ssed before.
Virender Jeet : The momentum which we are witnessing, of course as a product company, you will have to invest deep and sometimes the returns do come at various different points. But today, what is happening, predominantly our traditional geos are performing very well and some part of activity in the India landscape is around, banking, lending, trade , as Mr. Nig am spoke in his address. But also, some emerging markets like Middle East, APAC are also perfo rming very well for us. So, it is broad based in terms of what we have been doing. There i s nothing new as an initiative or something. The only thin g what i s happ ening , our positioning in our

 core verticals like insurance and banking, we are widening that. We have more offering s for customers and the time also in the market is very right and the customers a re responding very well to that, and we are hav ing larger dea l sizes that is reflecting in the overall growth of revenue as well a s the pack.
Baidik Sarkar : How long or deep do yo u think the cycle will be right, and does the numbers of H1 change the historical 40 :60 split that we ha ve seen an nually? No rmally we see a flush of spends in Q3 and Q4. Is that direction still on or is th e cyclicality curve smoothening.
Virender Jee t: It is smoothening, but not to that extent. So, I think still we expect Q3 and Q4 to be much larger quarters for us. Becaus e some of the r evenue streams are bucketed like that, renewals are bucketed around that, milestones are bucketed around that. But we have been trying deliberately to smoothen a bit of that growth curve with more sub scription, more mature market revenue, th ose streams have not really picked up at that speed. So, as I said, the traditional streams of license sale and emerging markets are still strong. So, till that time that remains strong, some amount of seasonality will continue in the business. So, I do expect that Q3 , Q4 to be larger quarters than our Q1 , Q2.
Baidik Sarkar : Last question, given that typically your sales cycle in this industry with the genre of 9 to 12 months, i f is not higher and we are already pass ed this fiscal right. You mentioned in your opening remarks that y our position in the core verticals are widening. So, does that indicate to you that in the fiscal 2025, the demand saliency, your execution saliency could probably be better than what we ha ve seen in 2024?
Virender Jeet : It is very difficult. I think we have not really gone that far and can accurately predict that. But what I can tell you right now, the current order book positions over the last three quarters have been much stronger than the revenue. So that i s reflecting, and that mom entum is continuing. Our order book growth for last Q1 as well as Q2 have been high. We do from the funnel and the deal pipeline, we also look at, at least Q3, Q4 to be strong for us. Now we ar e looking into 2025 maybe a bit difficult for us. I think we will have to wait for that. We still do not have that.
Baidik Sarkar : In Q1 I

think you quantified the pace of your order book growth was about 30% even though your revenue growth was what it wa s. Is it still in that genre? I a m just trying to see the pace which your order book is growing.

Virender Jeet : Still growing at a faster pace than the revenue growth.

Baidik Sarkar : Thanks, Virender. My best wishes and I will be in touch. Thank you.

 Moderator: Thank you. We wil l take the next question from the line of Aditi Patil from ICI CI Securities. Please go ahead.

Aditi Patil : Thank you for the opportunity and congratulations on good set of numbers. My first question is on implementation revenue, which has grown strongly both on Y-o-Y and Q -o-Q basis. So, is it th at the strong license revenue in last quarter has led to more implementation work in this quarter and like what is the sustainability of this growth, a nd secondly on margins? Has strong implementation revenue like translated to lower employee expenses as a percentage of revenu e and thus led to strong EBITDA margin improvement on a Y-o-Y basis, and my third question is on revenue guidance. So, after strong performance in H1 with 30% plus growth, it seems like for the full year we can grow around that 30% ran ge. So, would you like to increase your guidance from current 20 % to 25% to 30% growth for FY 2024? My fourth question is around the pricing structure on the deal, the 68 Crore s deal, which you have announced. So, is it license based deal where like license and implementation reve nue will get recognized in the few initial years, maybe two years and then you will have support and services revenue for the rest of the year ? These are my questions.

Virender Jeet : It is a long list, I never answer ed so many quest ions in my exam s too, so nonetheless, thank you for your time and I think on the implementation revenue growth you are absolutely right. The order book which has been strong over last three four quarters, on license now it is culminating into more and more execution and fulfillme nt of those orders and projects which is growing. So, I do expect the implementation revenue to continue to remain strong as the license order is preceding and that growth has been higher for the H1 of this year also it was more than 50% compared to last year. So that will also reflect on the downstream that will convert into more and more implementation revenue and execution revenue.

On the margin structure I do not think the margin structure has anything do with the implementat ion revenue. Margin struc ture is more about at the beginning of year, we do our costs are frontloaded and we do estimates of growth on cost. So, if we hit more topline our cost do not vary that much because there is a large part of the revenues still linke d with the cost because of the high gross margin business. So that is why there is a margin expansion in the Q1 and Q2 which have been traditionally very lean quarters for us, so it is not a factor of implementation , it is more a factor of higher growth ra te. On the issue of guidanc e I do not think we provide any guidance, but we keep on saying that aim for the company is to really accelerate growth and we believe that we have a potential of growing at a much higher growth rate than our traditional growth r ate, so we have grown at a g rowth rate of 30% for last three quarters I think Q3, Q4 are larger quarters for us and we do expect to keep our growth momentum up, but whether it is going to be 22%, 25% or 30% or more I

 think we will have to wait and watch for that. On your last questio n about pricing. You are absolutely right this is a license plus implementation deal with some amount of residual thing coming in terms of ATS and AMC larger part of this revenue is going to be realize in

somewhere around two yea rs and then it is going to be typically smaller part of the revenue which will be realized over next year s. I hope that answers all your questions.

Aditi Patil : Yes. I just had one last question. Thank you for answering the first four. My last question is on can you provide some det ails regarding how the partnership with Coforge is progressing and like how many new logos or deals you have won so far through this partnership.

Virender Jeet : Partnership with Coforge, it is an initiative which we have launched in terms of taking things to market. Right now, we do not have too many deals, we have good funnel going on, but these partnerships generally take longer time to mature, and success of these partn erships will eventually reflect ing more gr owth in the matur e market. That i s where we are targeting these partnerships. So, it is too early to quantify it in terms of resul ts, funnels or orders.

Aditi Patil : Got it. Thank you.

Moderator: Thank you. We will take the next question from the line of Vikrant Gupta from ICICI Pru Life. Please go ahe ad.

Vikrant Gupta: Hi. Congrats on a good set of numbers. I had two questions. Firstly, can you talk about whether anything incrementally has happened in the US geography between Q2 and Q1?

You had talked about the Q1 numbers in US being strong on a low ba se as well as some perpetual licenses being sold that you did not really think was sustainable. So has a nything changed in Q2 versus Q1 the growth number is still pretty strong. So that i s one , and second, can you provide some context on how one should int erpret the bookings number? Is this something that executes over the next one year, two years or how should one read that number? Two questions. Thank you.
Virender Jeet : On the US geo, I think the situation is not very differ ent than Q1. So, we do continue to win deals in US. I think we hav e got some very good deals this quarter as well but the overall growth mome ntum in terms of numbers, so it i s roughly around 30% for H1. I think I would still call it on a more leaner year l ast year. So that i s why the nu mbers are, looking at 30%. The growth in the US is not at the same pace as we are growing in India or Middle East. So, this is still sporadic and on a lower base . Our lot of investments and our lot of restructuring and reorga nizing is happening in that region, and we do expect that the real growth momentum starts coming in next couple of years. But right now, I think it is not any incremental thing. It is more sustained what ha s been happening. We did pivot to larger
 banks, and we are closing now deals in large r banks and smaller banks. So, deal sizes are slightly better, but a lot of these deals still are not converting into revenue. So, I think we will have to wait for that. So, I would still say that what I said in Q1 in ter ms of US growth looking on account of weaker last year, last few years is still true. So rather than any drasti c jump in the business momentum. On the booking side, our bookings are generally our deals are not very, very long -term and when we are talking o f growth of 40% booking, we are talkin g of growth of booking which can be executed in next 365 days. For most of the growth of booking should be executed in next 365 days. There could be some delays, but that i s how we look at booking numbers. We do not lo ok at multi year bo oking numbers most o f the time.
Vikrant Gupta: Got it. Thank y ou. Great. All the best.
Moderator: Thank you. We will take the next question from the line of Arvind Chetty from Tata AMC. Please go ahead.
Arvind Chetty : Thanks for taking my question. Sorry, to harp on the growt h for second half . So, what I understand is our order book growth is growing faster than our revenue growth and most of this order book we anticipate t

o get converted into revenues in next 12 months. So, is it fair to assume that our growth in H1 Y -o-Y basis would acce lerate from where we are today?
Virender Jeet : So, it is absolutely right. There are two ways to look at it . One is that of course the business which we acquired in H1 of this year would get executed over next 12 months and some part of that rev enue would come in Q3 and Q4. But what we have to be conscious of the fact is that Q3 , Q4 are very large quarters for us, and a lot of that revenue is driven out of jerky license sales. So, our ability to still win n ew deals and new large license deals is ve ry essential for growth of Q3 and Q4. The prev ious booking will add something, but they cannot sustain the traditional growth rates of Q1 or Q2. So, we wi ll have to still wait for new deal s as well as order booking s in Q3 and Q4 for higher growth. Yes, the book does not automatically translate into 30% growth in Q3 , Q4.
Arvind Chetty : Just to follow up on that. For the last couple of quarters, we have seen license revenues also growing significantly better for us. S o, if that trend sort of continues in Q3 an d Q4, our growth should look much better or maybe similar to what it is at least in H1 , right?
Virender Jeet : Yes, if we continue to sell licenses at the same and in fact much higher pace is what is the requiremen t of Q3 , Q4 we can achieve the same growth rate. But it is very difficult. As I said these are larger quarters and out of our 4 engines generally two to three are only firing, not all are firing. So , we will have to really watch and see how we progress in that. But broadly as Mr. Nigam also said, I think that most of the parameter s in terms of funnel, deal
 size the market is looking very good and there is no reason why we cannot maximize for at least next three, four quarters.
Arvind Chetty : Just one last q uestion on margins. We have been in that 17 % to 18% PAT margin for most of the years barring one in last few years. This year at least in first half we are trending much better on the Y -o-Y basis and if I heard it rig ht, most of the investments we hav e don e in H1. So, the margin benefit should accru e in H2. So, to that extent on a Y -o-Y basis for full year , the margin should look better, a nd can we grow higher than 20% kind of PAT margin for the b usiness on a sustainable basis?
Virender Jeet : See generally the H2 of the year does compound to the most of the annual margin. So, in spite of Q1 , Q2 being high, but Q3 , Q4 is the real quarters and if we can maintain a high top

line beyond our budgeted top lines then we should be able to expand better margins for t his year. So, the estimate s are anywhere between, 18% to 21% EBITDA and 18% P AT. If you are able to hit any growth, which is about 26 %, 27%, the margin should expand.
Arvind Chetty : Great. Thanks a lot. That answers my question.
Moderato r: Thank you. We will take the next question f rom the line of Mihir Manohar from Carnelian Asset Advisor. Please go ahead.
Mihir Manohar : Thanks for giving the opportunity and congratulations on great set of numbers. I mean, these are very good numbers typ ical in this environment . Largely wanted to un derstand which parts of BFSI are driving the growth beca use when we see global scenario, I mean, BFSI specifically on the IT spends are challenging. So just wanted to understand what is exactly driving this gro wth in BFSI? Are these big market banks or this small market banks? How to understand them? And what can be the sustainability of this growth that will be important. My second question would be the traction on the trade finance side , last time we were ment ioned there are some five to six clients which we have already onboarded in the trade finance part of the piece, and you were looking at some four to five clients this

year also. So, what is the update over there? What number of clients or what kind of inquiries are you seeing on the trade f inance side and is it higher or lesser than what y ou were previously seeing? That i s my second question , and third question was on the BPO IT part of the piece. When I see BPO IT, I mean, it has come down over the last t wo quarters. So, is it a conscious effort that w e do not want to grow this particular part of the business? BPO IT and if so, then what is your success over there? I just wanted to get an understanding around that. So those were the questions.
Virender Jee t: I will try to answer one-by-one. See on the B FSI side, while g lobally in mature markets there i s a pressure on BFSI, but our traditional emerging markets the B FSI is doing well,
 especially in countries where there is the growth rates, the econom ic activ ities are better. There i s huge interest in look ing at transforming their processes, especially on the digital side, reduce the cost of lending to give a very differentiated experience to the customers. So like if you take markets like India, Middle East, as well as some in APAC , there is a huge interes t in the BF SI and when you a re talking about this market you are talking of typically tier one accounts, you are talking of the larger banks , that does not exactly reflect also in the markets in US and Europe because our penetr ation is very thin and we are trying to pivot, but we have realized even in the same span in last two quarters, we have been able to acquire banks in those mature markets as well for the same kind of problems . So, the India story of what we are trying to le ad with digital India we are able to build similar products to the markets like US and Europe. So overall we think that the opportunity for digital transformation in banking especially in the space of lendin g is extreme and I think it can sustain over a pe riod of time . On trade, I think it i s an area where we are very excited about it. We are winning deals and in fact this quarter as well we have won some deals , we do expect that in next two quarters also we are able to close another few deals out there. Bu t trade deals end up being very large. So it is not like the deal velocity or what you call in terms of size of the funnel is going to be very different and we have to be very selective about taking these d eals because they are more complex they are more c ritical for the banks typically the larger banks or the customers for trade and we do think that over a period of time we can make a substantial inroad in this whole segment of trade both in markets like India, Middle East, AP AC as well as there i s a poten tial to go with larger banks in the US and Europe. On your third question of BP O IT, I think BPO IT is that typically and what we call enterprise BPO IT / shared service segment. I think the market itself doe s not have the same potential as the banking becau se banking is a pretty large market. So that i s why if the growth rates are not very high out there as well as , as a company we are growing, our d eal sizes are growing, typically the BPO IT do not end up gi ving us the same size. We are still excited about the enterprise market in India and in Middle East. So, we are pursuing that, and we do want to really kind of realizing products out there and build and so the effo rt is on. But yes, right now it i s not gro wing at the speed, which is expected, but I think we are investing beyond banking. The other segment is insurance where we are finding a lot of traction and the same kind of digital journe y can be replicated out there.
Mihir Manohar : Sure. That is really helpful. Just to follow up on the deal sizes and you have mentioned that deal sizes are going up for us. So if you can just throw some color as to how are the deal sizes

moved in the last 12 months or last 18 months per s e that will be helpful and just a second follow up on the banking side, what are the kind of people or companies that we a re competing with while getting these contracts? Just two follow -ups, over there.

 Virender Jeet : I think we would send you more information exactly the deal size is how much percentage but sub stantially I think the dea l size s would have grown by 30 %, 40% year -on-year, but I think we wi ll get you more information on that. Sorry, I could not hear the other question .
Mihir Manohar : The last question was basically while winning the banking contracts what are the kind of companies that we ar e competing with while getting this contracts?
Virender Jeet : So, the competition in banking is about some players who are operating in digital banking side and this c ompetition is prett y fragmented. On the more structured side, the competi tion globally is aro und with companies like Ncino, Sales force of the worl d as well as horizontal players, which are the Appian and Pe ga of the world. But on some regional side, you have also very regional local competition out there in terms of very different co mpanies in every country. So, it is quite fragme nted that way, but I think right now we are luckily operating in a space that the com petition is not really affecting us at all. We are able t o really convert most of the deals we are fighting.
Mihir Manohar : Sure. Got it. Thank you very much, Sir, and best of luck for the futur e.
Moderator: Thank you. We will take the next question from the line of Pranav Mashruwala from D olat Capital. Please g o ahead.
Pranav Mashruwala: Hi. Thanks for the opportun ity. My question is the one is on N ewgenOne comprehensive solution which you launched in July 2021. So, I just wanted to know about the progress of that comprehensive solution rather than individual so lutions per se , how is that progressing? Some color on t hat would be helpful .
Virender Jeet : So, the current flags hip platform we have is the Newg enOne and most of the accelerators or the solutions which are being built are b uilt around that. So that is the primary platform which we are carrying to the ma rket. So, it is on one side is helping us to really accelerate the speed by which we can deliver these products, vertical products to the banks, insurance industry. On the other side, we are getting e xtremely good traction from the GSI's and partners who ca n build products and solutions around the same thing, w hether these are relationship with Coforge or Infosys or other companies whom we are trying to pursue and trying to build this part of their stack. So, we are excited about the product. The product has been well adapted, in many, many implementations we are trying to use this product s out there. So, we are excited about that. So, it is going to be the fl agship product. So basica lly, it is going to be the one which will be selling for most of our users .
Pranav Mashruwala: Thank you. My next question is how many clients do we have at present in terms o f 100 million plus billing? Let u s say today as of Q2 versus previous year.

 Viren der Jeet : Sorry, what is the number you are saying in terms o f…
Pranav Mashruwala: The number of clients of 100 millio n plus billing, e arlier I think we used to provide that data, but I think now we are pro viding 50 million plus clients.
Virender Jeet : Actually, we do that at the end of the year because during the ye ar the billing periods are very different for clients, so because we do not have a service revenue stream . So, the revenue streams are jerky. A client could have a license sale, or it could have an ATS renewal dates. So, on the service side, it is very smooth . We

can p rovide it quarterly in terms of, but I think we provide this data early, but in case you can ask D eepti and she can provide you w hat is the situation right now.
Pranav Mashruwala: Sure. I will take that, and lastly, how is your hiring strategy go ing forward? Hiring, we plan to because we are seeing a good robust order book.
Virender Jeet : We are seeing a growth momentum, and we are c ontinuing to hiring. We a re hiring aggressively bot h on the lateral side as well as campuses. Last year we honored al l over campus placements and we have more than 600 people coming in the campus site. This year we have a plan of hiring roughly around 550 to 600, I do not know exactly, and these numbers ca n also increase, if we look at the business momentum in Jan. So, we are very excited about the business. So, we continue with hiring momentum, and I think we are as a company we have never dropped our campus offer whether it was 2008 or whether it was 2000 . We meet our commitments of campus and so we think it is very essenti al and i t does help our company to grow and so we will be going ahead and honoring all our commitments and in fact all the commitment s from last year are already in. The people are alrea dy working and for this year we are going again of hiring roughly around 550 people from campus.
Pranav Mashruwala: Sure. Just to follow up on that . What was the time from conversion of fresher campus in a product comp any like ours to billing cycle?
Virend er Jeet : See, when people come into our company, I think there are mul tiple areas they go, they go into the product areas, they go into supporting our customers, they go into building our

accelera tor, and some go i nto delivery and implementation, and large part of the delivery and implementation is also fixed cost. But generally, it depends on individuals everybody is different, but we are very happy that some people are very productive as quickly as three months and some people can be pr oductive in three t o six month s.

Pranav Mashruwala: That i s it from me . Thank you, Sir .

 Mod erator: Thank you. The next question is from the line of Chirag Kacharia from Ashika Institutional Equities . Please go ahead.

Chirag Kacharia: Congratulations for the good set of numbe rs. A couple of questions. On GSI front, what is the development in the current quarter and second in last two quarters revenue, what contribution is coming from GSI side? And third as we have done a deal with, we have tie-up with the Coforge . So, which ar e other player which can be potentially there on GSI funnel from domestic market.

Virender Jeet : Our revenue mix between partners and N ewgen is still remaining around 20:80 . So, it continues to remain at the same level. Our partnership with Coforge , we hav e also similar partnership with most of the Indian GS Is and we continue our focus on the partnership is predominantly mature markets, but we do have relationships in all emerging markets as well. So that i s the way the GSI work for us. We do not have specific relations for specific markets. Generally, our aim is when we are talking about GS Is, we are talking of matured market relationships and that i s where we focus. Does that answer your question?

Chirag Kacharia: Yes. One follow up qu estion on same, whenever any partner empanel for GSI related stuff, what is generally the ti me cycle to deliver the project. If you can share it?

Virender Jeet : The GSI relationship or partnerships are more strategic in nature. Sometimes they may have an account in view, sometimes there is no account in view. So, once you go to th e market you end up winning cases, then the execution cycles are normal execution cycles. But we are continuously investing with G SI to train their resources, so they are prepared in both sales as well as execution

cycles and in case also there are challeng es then we have a large execution team. We augment those GSI effort and help G SIs to execute better. But it i s not linked with the partnersh ip signing agreement with the GSI.

Chir ag Kacharia: Thank you. All the best.

Moderator: Thank you. The next question is from the line of Harsh Shah from Dimension al Securities. Please go ahead.

Harsh Shah: Hi, good afternoon, Sir. A broader question, just wanted to understand which part of the business are we seeing more traction , is it on the content service side, the OmniDocs part of the business or is it more on the Low Code /No Code automation? Just wanted to get understanding on that.

Virender Jeet : The traction in the business is predomina ntly from core verticals, which is like banking, insurance and banking also o n digital. The platforms which are built based on our

 NewgenOne platform which encompas ses both Low Code capabilities as well as content service s. So, most of the use cases which are about digital transformation end up using more than one prod uct, underlying product. So, business orchestration is a need for every platform , Low Code capabilities are essential these days as well as content is very essential, are part of every solution. So, they become the fundamental pillars, on which we build the digital lending platform or a trade platform or a claims system. So, all those cases, our core products are used in all those cases. The biggest traction right now is from the ve rtical side and in those verticals both the platforms are always used.

Harsh Shah : If I want to understand the size of the market where we operate in a traditional market as well as U.S. market. So, if you can quantify what is the addressable ma rket size. Just to get an understanding of what is the headroom to grow? That would be helpfu l.

Virender Jeet : I think we operate in a market which is very, very large. You can estimate it if you take the ECM or the content and the Low Code that itself is more than $ 30 billion and we are not even at a percentage, but if you look at Low Code capabi lities and look at application stacks and Low Code then another $140 billion and there i s no proper estimate and you can see many reports of this we can share some reports wi th you where you can understand the market. The core message is there is so much o f headroom to go, and we are still operating in a very small part of that market. So, our ability to execute is the only constraint and especially our ability t o execute in t he mature market.

Harsh Shah: To get a better understanding. So, is it that we need t o grow by taking market share from someone or is it that the demand which is getting created or this is the new industry in itself which is creating a market for players l ike us?

Virender Jeet : So, the general, the traditional areas of ECM/ BPM are growing a t 8%-9%. So, the market itself is expanding, but the digital use case market we are typically what you a re seeing is happening in banking or insurance. These are creating new use cases. Now these use cases are somewhere in a parallel expanding the market. So, a large part of it is around new use cases. But also, we are into the business of ECM replacement modernization where the old solutions are getting obsolete. We have new tech stack where we are trying to replace both on content services side and Low Code side. So, it is a combination of both, but very difficult to really answer this at a size when we are less than 1% of the global market. These questions are relevant w hen you are having 15 %-20% of the addressable market size.
Harsh Shah: That is all from my end. Thank you so much.
Moderator: Thank you. The next question is from the line of Devang Bhatt from IDBI Capital. Please go ahead.
 Devang Bhatt: Hi, thank you for taking my questions. Just one thing that you said that 17 %-18% of PAT margins are based on 20%-25% growth. So, if you grow higher than 25%, what is the BPS increase in margin for every 1% increase in revenues do you have that quantification? My second ques tion is what kind of order book do you need , order book growth for you to grow at 30% consi stently? And the last question is how many logos have you won with GSI this year. This qu arter.
Virender Jeet : Sorry Devang, I am not financially so literate to answ er these questions, they are too mathematic , but just to answer the correlation is simple. It is basically our costs as you look at Q2 cost base is typically the standard cost base which will be maintained in Q3 , Q4 with small variations, so if y ou have already the cost and you can look at the top line targets of Q3, Q4, you can clearl y estimate the potential margin which can be depending on whether it is a 26% gro wth or 30% or 24% . But we do not have a correlation th at for every 1% top line growth this much of percentage will get executed . I do not think w e look at business even that way, we look at still how do we meet growth and what are the best ways of investing the money for the growth. On the booking again, on t he correlation of what booking will lead to what kind of revenue downstream is again a ques tion depending on deal composition, whether you got a sub scrip tion deal or you got a n upfront license deal or there is a larger service component. Again, we do not track it that way unfortunately, but if you can articulate your questions more detail than p robably Deepti can work and create some data for you on that side. Does that answer your question?
Devang Bhatt: Yes Sir. Just that how many logos you have won this quarter.
Virender Jeet : Around 14 logos this quarter across all fields.
Devang Bhatt: With GSI.
Virender Jeet : With G SI, we had two deals this quarter.
Devang Bhatt: And last year DSO days were how much Y-o-Y basis we have 105 this quar ter. Last year same time it was?
Virender Jeet : For September 111 to 105.
Devang Bhatt: Okay . Thank you for taking my question.
Moderator: Thank you. Ladies and gentlemen, t his will be the last questio n for today, which is from the line of Sarang Sanil from RW Investment Advisors . Please go ahead.
 Sarang Sanil: Good evening, Sir. Congrats on setting up a new office in New York considering the presence of large banks in the region, do you think it i s tim e we divert our focus from selling through the GSI route and go sell directly to these bank s? If so, are we expecting an increase in the marketing spend considering also how US players usually do the business there?
Virender Jeet : Thank you. It is a very g ood question and I think the idea of opening the New York office about being close to the e cosystem where we can succeed, especially in ba nking and insurance. So, when we a re working in G SI, it is very important to understand that in the larger accounts, G SI's ability to execute and implement your product is very essential for success . Because custo mers do have relationships an d some of these programs need G SIs to execute that. But that does not mean that we do not have to sell. We are aggressively looking at actually putting ou r own sales team on the ground, increasing our expense in marketing, whe ther that really how much of expense or overhead it creates for the company, I do not think it is going to be very large initially. We still are generating very hig h gross margins and with the slightly better growth rates we should be able to aggressively invest in US to do all that and again, we are looking at market share where we are looking at larger accounts which can quickly turn into profitable c

ustomers. So, we are not looking at the US
mode of expansion where we are looking at only account acquisiti on and burning cash. We
are still looking at profitable business what we can expect.
Sarang Sanil: So also, great to see the DSO drop ped significantly and move tow ards the plan target. So,
what has really changed in this quarter despite seeing good growth in the Indian market and
IMIA where customers usually slack on their payment? Is there a change in the way deals
are structured or has the efficie ncy in the collec tion improved?
Virender Jeet : Proficiency of collection is improved, and we will try to take som e credit that we are doing
our job better and also you have to look at the DSO generally in this quarter are much
lower. Because these are also relatively lesse r billing quarters, of course they a re large, but
compared to Q3 , Q4 they a re much low. So, we wo uld expect that we are improving the
hygiene of the whole system. We are following up with clients more aggressively and we
keep on improving it and our target to meet roughly around 90 days of DSO in next one,
one and a half years we want to achieve that.
Sarang Sanil: So happy to see Newgen celebrating even before the festival season has begun. So, congrats
and all the best for the future.
Virender Jeet : Happy Diwali. Thank you.
 Moderator: Thank you. As that was the last question for today, I would now lik e to han d the conference
over to Ms. Dee pti Chu gh for cl osing comments. Over to you, madam.
Deepti Mehra Chugh: Thank you so much for attending the call. For any further questions, you can connect to me,
or you ca n go to our website. Thank you.
Moderator: Thank you, members of the management . Ladies and gentlemen, on behalf of Newg en
Software Technologies Limited, that concludes this conference call. We thank y ou for
joining us and you may now disconnect your lines. Thank you.

Call: Jan 2024

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Date: 22nd January 2024

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Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)

Sub.: Outcome Transcript – Conference Call – Q3 FY’24

Dear Sir/Ma’am

As intimated earlier through our letter dated 10th January 2024 regarding the Conference Call of the Company, which was held on Tuesday, 16th January 2024 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Encl.: a/a

“Newgen Software Technologies Limited
Q3 FY’24 Earnings Conference Call”
January 16, 2024

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
D IRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
L IMITED
M R. T.S. VARADARAJAN – WHOLE TIME DIRECTOR –
N EWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
R ELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
L IMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY 2024 Earnings Conference Call of Newgen Software Technologies Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you, ma'am.

Aditi Patil: Thank you, Muskan. Good evening, everyone, and welcome you all to the Q3 FY'24 results of Newgen Software Technologies. We have with us today from the Newgen management team, Mr. Diwakar Nigam, Chairman and Managing Director, Mr. Varadarajan, Whole Time Director, Mr. Virender Jeet, Chief Executive Officer, Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head, Investor Relations.

I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Thank you so much, Aditi. Hi, everyone, and happy new year to all. Before we move on for the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future businesses prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect in future, or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I would now hand over the call to Mr. Nigam for presentation of the results, which will be followed by a Q&A. Thank you.

Diwakar Nigam: Good afternoon, everyone, and wishing you a very happy new year. Thank you for joining us for our Q3 FY'24 financial results call. Newgen has always endeavoured to deliver consistent business performance in this quarter continues to be in that direction. We witnessed a record revenue quarter with revenue reaching of INR324 crores with a growth of 27% Y-o-Y.

During the quarter, we also saw robust profitability and significant cash flow generation, highlighting the financial strength and resilience of our operations. Our revenue growth remained diversified across various geographies, specifically in our traditional markets of EMEA and India regions.

In the India market, we are witnessing significant opportunities in digitization in the lending space, especially for MSME segment, where many customer journeys need to be described,

including integration with public digital infrastructure. Additionally, corporate and commercial lending, previously automated in part, is now moving towards end-to-end automation.

Other area of focus includes trade finance automation, digitization of supply chain financing, and agri lending digitization. The India region witnessed a revenue growth of 29% Y-o-Y during the quarter. We are expanding our presence, growing the value share, and fostering stronger relationship through cross-selling opportunities in our installed base of public and private sector Indian banks.

During the quarter, we further strengthened our collaboration with one more Indian public sector bank by providing the crucial trade finance supply chain finance solution with a total order value of INR18 crores. We also won an order from the leading player in the financial services industry, offerin

g asset and liability product solutions for providing our Loan Origination System platform. India region, we witnessed robust revenue growth of 42% Y-o-Y during the quarter.

As we have highlighted earlier, in the Middle East region, there has been a notable surge in requirements for innovative banking solutions. Financial institutions in the region are actively deploying advanced technologies and digital platforms to offer more efficient, secure and customer-centric banking services. Newgen is helping customers in this region by delivering solutions and services that cater to their unique requirements.

In the APAC region, we witnessed the growth of 17%, and in Americas region, we had a growth of 13% Y-o-Y. We have extended our relationship with existing customers in these regions, including a large order from a leading global multinational bank in the Singapore region and one of the leading banks in Philippines as well as a leading health care company in the U.S.

We continue to witness upward trends in our order booking from existing bank customers as well as healthy new logo additions. We added 11 new logos across geographies in Q3. For the year till date, we have added 38 new logos. During the quarter, our annuity revenues were at INR191 crores, comprising of subscription revenues of INR96 crores. Our implementation and support revenue grew at a faster pace during the quarter.

Newgen has been at the forefront of modernizing technology stakes, leveraging ambitious innovative tools and frameworks like generative AI, open APIs, micro services, and intuitive UIs. These investments have enabled us to make application development faster and smarter, meeting the evolving need of businesses in a rapidly changing digital landscape. We are extremely delighted with the response our products are getting from customers across different geographies as well as recognition from the industry analysts.

We have been recognized in October 2023 in Gartner's Magic Quadrant for Enterprise Low-Code Application Platforms fourth time in a row. We have also been recognized as a strong performer in Forrester Wave, a Digital Process Automation Software. Newgen is also

positioned as a leader in Everest Group's Low-Code Technology Providers in Insurance - Products PEAK Matrix Assessment.

Underscoring our commitment to delivering effective and innovative solutions, we have recently introduced NewgenONE Marvin, a Gen AI powered enhancement to our end-to-end automation platform, NewgenONE. NewgenONE Marvin is set to support organization in rapidly transforming customers' digital journey through faster and smarter application development, automation of customer journey, as well as the help in building better customer engagement framework.

Marvin combines the power of low code with Gen AI, empowering business users to bring best practices into business by creating the necessary elements using Gen AI. This will help us in rapidly developing different state-of-art use cases across sectors. Our multi-versatile team plays a crucial role in delivering excellence across various aspects of our business operations. We are harnessing the combined powers of our global workforce that has expanded to 4,000 people now and steadily growing and maturing in line with business growth.

On the sales and marketing front, we continue to work on enhancing the customer's engagement, strengthening our team and partnership network, expanding our digital presence. We have recently partnered with Duck Creek Technologies, a leading provider of comprehensive property and casualty insurance software and services for insurers, to offer NewgenONE OmniDocs Contextual Content Services platform to insurers.

Our recent customer meet in Mumbai, EkAM 2023, was a resounding success, providing an invaluable platform for meaningful interactions with our stakeholders. The event

served as a
testament to our commitment to customer engagement, fostering a positive environment of networking, knowledge sharing and showcasing the strength of our product team and relationship with our valued client base.

On profits and margin, we delivered healthy growth in profits and expanded net margins during the quarter compared to same quarter last year. Profit after tax was INR68 crores, witnessing a growth of 45% Y-o-Y. During the quarter, apart from investing 10% of our revenue on R&D initiatives, the company invested 21% of revenue on various sales and marketing initiatives.

On balance sheet, we witnessed a strong cash flow generation with our net cash generated from operations activities for the nine months ending 31, was INR193 crores. Our net trade receivables were INR342 crores at the end of December, which resulted in net DSO of 106 days. Keeping in mind our shareholders interest, we have recently declared a bonus in the ratio of 1:1.

In the nine months ending December 2023, our revenues were INR869 crores, witnessing a growth of 30% Y-o-Y. Profit after tax was INR146 crores, witnessing a growth of 51% Y-o-Y.

We are looking forward to an exciting 2024, energized by the prospects of continuous growth,

innovation and success. We continue to be committed towards building cutting-edge solutions
and focusing on customer centricity to achieve newer milestones. We are now open for Q&A.
Moderator: Thank you very much. We have our first question with Aditi Patil. Please go ahead.
Aditi Patil: Congratulations on good set of numbers. So at the start of the year, you had mentioned that
order book is growing faster than revenue at around 30% plus growth. Can you provide some
color on the order book growth momentum currently? And like based on this order book
growth, do you expect a 25% plus growth in revenue to continue in the near term, like for next
two to three quarters?
Virender Jeet: Good evening, and thank you, Aditi. Aditi, it is right, I think, over the last few quarters, the
order book has significantly grown and that's also on account of larger deal sizes we are doing
with the customers. And some of these order books are typically one year or multi-year as
well. So right now, I think for the first nine months, our order book growth has been roughly
around 20% for nine months period. However, the order book which we have already
accumulated over the last four quarters, there's a significant part of that yet to be executed over
the next two, three quarters.
We do see generally, our growth will be more determined from our deal velocity and in terms
of new deals which we win in the market. And out there, we're convinced that as the market is
right now looking both India, Middle East, and also the markets where we are trying hard, like
U.S., all are showing good traction. And we find that the growth momentum can continue.
Exactly what the numbers would be, as I told last time also that our Q3, Q4 are significant
quarters. We've seen a higher growth rate in the Q3 quarter. It has given us more confidence to
have a strong Q4. But we'll have to wait for exactly what the numbers are going to be.
Aditi Patil: Okay. Got it. So in this quarter, there was a Y-o-Y decline in the license revenue. But like Q3
is traditionally has been seasonally strong for license revenue. So was this because of already
you have recognized a good amount of license revenue in first half of FY'24?
Virender Jeet: You're right, I think. So basically, what there are two parts of license revenue. We are also -- at
the beginning of the year, we said that license growth rate is going to be lower than the
company's growth rate because we are also looking at subscription-based revenues coming in,
which are part of coming in annuity.
Still for the year, we have grown the license for nine months for a period by around 25%,
wh

ich is -- and then the subscription has grown by around 33%. So it continues to grow. So we
don't see that as a concern. Q3 has been strong, but last year Q3 was phenomenally large on
license deals. So if you compare quarter-on-quarter, it looks flat. But on the year basis, it's
growing at more than 25%.
Aditi Patil: Okay. Got it. And the growth in subscription revenue, is it largely driven by growth in U.S.
geography, or in other geographies also you are able to get subscription based deals?

Virender Jeet: I think U.S. predominantly is the larger base, but other geographies are where we are adding
the new logos and new customers out there in subscription. So right now, the growth is
determined as an outcome of total company's revenue across all geos.
Aditi Patil: Okay. Got it. And -- so this quarter we also saw good growth in the government and health
care verticals apart from BFSI. Can you give some color on what is adding growth in these two
verticals?
Virender Jeet: I think right now, for both these verticals, I would not say that, they have been growth drivers.
But what has happened, some of our existing contracts or existing accounts have been
significant deals, especially in health care in U.S., we've got a substantial deal, which has
reflected in growth in that account. Government, I think right now the base numbers are very
small, and any deal every quarter can change the number significantly. I will say that still the
growth is being driven by financial services for us, that too banking predominantly, and all the
other segments are following that.
Aditi Patil: Okay. Got it. And one last question on the Gen AI based new product which you have
launched. So what is the interest among clients for this product? And are you able to price
higher for NewgenONE Marvin?
Virender Jeet: So basically, what's happening globally, all products are looking at leveraging AI to drive use
cases and drive functionality. And with the kind of innovation and the interest markets have
seen in Generative AI over last, it's a natural expectation from all product categories to
leverage that.

So our Marvin is an extension for the same in terms of we are looking at how we can enhance the low code capabilities of our products, how we can enhance the content management capabilities of the product. So these are horizontal capabilities added to our products, which will just make our products better and more competitive in the market.
Some of these components are priced separately if the customers buy, but most of these capabilities get bundled as part of the enhancement of the product in that. So we are not looking at Marvin on its own to drive revenue streams, but we are looking at it as essential capabilities to augment our product to make it more competitive for both mature markets as well as our existing customers.
Aditi Patil: Okay. So like all the new deals which you will be winning, they will include this Marvin by default as part of the default offering?
Virender Jeet: Most of the time, it will be priced as a component or it may be part of the default offering.
Aditi Patil: Okay. Got it. Thank you.
Virender Jeet: Thank you, Aditi.
Moderator: Thank you. And the next question is from Baidik Sarkar from Unifi Capital.

Baidik Sarkar: Good evening and congrats on a very strong quarter. So Virender, clearly, we are in the midst of a new technology refresh cycle. How do you reckon we understand where exactly we are in the cycle, right? Are we significantly early days or do you reckon that we're closer to a more mature phase because refresh cycle perhaps started right after COVID? How do you reckon we imagine that, firstly? And secondly, how should we deconstruct the growth in your annuity business between newer logo additions versus ramp-up in existin

g users that we've already won, say, over the last few quarters?
Virender Jeet: Thanks, Sarkar. So you see on the tech cycles, I think every few years, I think, we have some major announcements happening in tech cycles globally, and they are determined from various factors. Right now, I think you'll see more coming from what's happening in AI and how it's influencing. But also previously, whether it was around cloud service platforms or mobility, generally, it's part of the product companies to be slightly ahead of the tech cycle, because when your customers are buying products, they are buying it for typically long-time usage. And they don't want to buy something which is not more contemporary and is not going to keep them slightly [0:19:31 inaudible] tech for technology innovation curve.
So it's a structured process in any serious product company to stay slightly ahead of tech cycle and then invest right in time, so that you are not left behind or your products don't become obsolete. So I think we are quite comfortable. And what we think with AI the way AI as well as Generative AI, the way they are leaving changes in some of the ways the customers are going to consume the system or how the new use cases are going to be delivered, that's why we've a lot of investment in our -- the number theory acquisition was part of that plan, our generative AI launch is part of the plan. And more and more use cases are coming. So we think we are quite comfortable and in fact we'll be leading in some of these areas with our customer base.
Baidik Sarkar: So if I can just position that question in a different way, right. So we know that EMEA and India is the bulk of our customer base, and we kind of know what the end user demand there is, right? So what do your conversations with the decision makers in this geography entail? Is this a refreshed budget that will continue for the foreseeable future, just given how much anecdotally we know digitization remains to be done in the system? I mean, if you could just give me a more granular sense of how your conversations in especially these two geographies not progressing, EMEA and India?
Virender Jeet: Predominantly, if you look at India and Middle East, I think they are on the journey of basically doing what we call end-to-end digitalization. They have done a lot of digital initiatives over the last four, five years, which has been in, what we call, pieces or parts. And they are looking at transforming the complete customer experience or what we call the digital journey out there. And this is a use case which is happening across all major financial industries in these markets.
Now where we are saying right now I think the largest business or the interests where they touch consumers is happening in the areas of specifically lending, and that's where the first transformation is happening. So lending still has got a lot of areas. Like Mr. Diwakar

mentioned, MSME lending is very important. Commercial lending is very important. Retail has always shown interest. So there is a cycle of that going on right now. And I would say we are at kind of half of that cycle being executed in India, but early stages in other markets. But then what is happening beyond this lending, then there are other areas opening up, which again need to be digitalized for that, where there's going to be next cycle there.

Now the drivers of spend are determining how the business cycles of these financial like banks in India are right now spending on these cycles. So I think the business is moving forward. In some markets, they may lag by one or two years. So I would say that on this wave of even the digital journey, which we are right now writing off, we are probably in the early 20%, 30% of that cycle. And it may last next three to four years in different areas, unless there are more macro situations which affec

t spend patterns in the market. Does that answer your question, Sarkar?

Baidik Sarkar: Yes. I mean it does. If I could just squeeze one last question which is tangential to this, which is getting to the new financial year, right? We noticed H1 versus H2, the absolute seasonality kind of contracted this year, FY'24, which means H1, to that extent, has a bigger base to be defended the next year. You do think this is a base we can defend comfortably as we step through the next fiscal, or would you caution saying that given how low the gestation period, I mean, it's something that is really not into bad just things I have today?

Virender Jeet: See, one of the issues of any time you grow faster, you've got a next quarter challenge of growing faster than that. That becomes the dynamics of business. But having said that, in our business, there is some amount of annuity getting generated, which gets some compounding effect, whether it's through annuity revenues or through compounding ATSs. And generally, the relationships, once you start there long term, so they keep on continuing.

So somehow, we are always comfortable going into next year, as the base of the business has increased substantially. Having said that, we strongly depend on our ability to go and sell again, which is the reason, post-COVID, we have really grown faster as the markets have opened up. So we'll have to still go and execute our business plans next year. But we don't see the market as a constraint. We don't see -- right now, the conditions in the market seem to be quite favourable, and our products and services are being received well. So I don't see any reason. But yes, there is lot of hard work for growth, which we need to still do.

Baidik Sarkar: Thanks. Thanks, Virender. And all the best.

Moderator: Thank you. The next question is from Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Thanks for giving the opportunity and congratulations on a good set of numbers. Sir, largely wanted to understand the U.S. part of the business. I mean, we have had a strong growth in the last three quarters. This quarter, the U.S. business was soft, both on a Y-o-Y as well as Q-o-Q basis. So if you can give color why did that happen? And what is the movement which is happening in the U.S. strategy, specifically GSI part? That will be helpful.

My second question was on the fact that, I mean, when we see the last year, last year specifically was a year of uncertainty. And even in that situation, I mean, we were able to have such a handsome growth. So just wanted to get your sense, now situation getting more certain with U.S. interest rates expected to remain in a certain range, how are you seeing the client conversations? And do we expect acceleration in growth given the fact that even in a bad period, you had a good growth. So some color around that?

My third question was on the large logos. If you can throw some light. And have we added Tier 1s across any of the geographies, maybe APAC, maybe EMEA or maybe India, that would be helpful?

And just last -- fourth question was, wanted to understand the deal size. What is the average deal size which is there currently? And what it used to be there, let's say, two years before, three years before? That would be helpful here.

Virender Jeet: Mihir, thanks for these rapid-fire questions. I need couple of more drinks to remember all of them. But yes, I'll try. So see on the U.S., you are absolutely right. I think our aspiration to grow in U.S. is even much higher than the company's growth rate. And we think because that's a larger market and we've got an entitlement to do that. Having said that, we have grown by around 25% Y-o-Y in US this year. What is happening is in the other markets, we are receiving far better traction, and that's why we are still leading that growth.

So it's not th

at the U.S. is not growing. But U.S. is not growing at the level of our own expectation, our own business plan. And so some amount of our GSI initiatives are still work

in progress. Some amount of work in towards from midsized banks to larger banks is still work in progress. Opening of insurance vertical is still work in progress. So there's a lot of work happening. They have not yielded results on that. So I would say, U.S. is still work in progress, but we have still grown -- when we say work in progress, we've still grown at 25% in U.S. this year for nine months' period. For...
Mihir Manohar: Sorry to interrupt, sir. Just a clarification. I mean, U.S. this year is triple-digit growth, right -- for this quarter, sorry, both on a Y-o-Y as well as Q-o-Q basis?
Virender Jeet: So on Y-o-Y basis, for nine months, for U.S., we have grown at 25%, 24.96%, and 13% on quarter-on-quarter compared to last year.
Mihir Manohar: Sure, sir. Sure, sir.
Virender Jeet: Are we clear?
Mihir Manohar: Yes. Yes.
Virender Jeet: Now the second thing is about the certainty of the market. So if you look at the uncertainties people are talking about transferring of age, it's typically a mature market phenomenon. So one thing is, I think we hope that if the mature market starts delivering, our mature market

business, our GSI business, as well as the U.S. business should see a better traction once we are out of that, as we are also pivoting to larger accounts.
But since our business predominantly is still driven -- the growth is driven from emerging markets, like India, Middle East, APAC, that's why we've been able to still substantially grow when there was pain in those markets. Now if the pain is less in those markets and we are having the same traction in our existing markets, we can also keep on growing faster or make better results happening in U.S. and Europe.
On the large logos and large deals, I think the accounts which we have mentioned in both our press release and our investor deck, they're all typically Tier 1 accounts in India and Middle East. We're talking about Tier 1 banks, one of the top 10 banks. Similarly, in Middle East we are talking. In U.S., the order which we have got from the health care is a Tier 1 account. So there -- but we have not added large Tier 1 accounts in U.S. They have been existing accounts. So in APAC, Middle East and India, we have added Tier 1 accounts, but not in U.S. U.S. predominant business which has come, has come from existing accounts, which are Tier 1 accounts.
So on the deal size, I think I will have Deepti to give some details, we can give you more details. But generally, we keep on expanding. As you see, the number of logo wins are not changing substantially, but the growth rates are changing. So that's a function of our average deal sizes going up substantially. I don't have the numbers exactly, but I think we can share those numbers later.
Mihir Manohar: Sure, sir. That's really helpful. And lastly, just on the GSI strategy. I mean, any uptick over there?
Virender Jeet: I think it's work in progress. So I think GSI, there are multiple things right now. As you rightly said, GSI was predominantly focused on mature markets. And there's a lot of pain happening in those mature markets. And I think as a result of that, we have got some traction from them, but it's not as per the expectations the company had. So we're still working on it. I think our partnership with Duck Creek, Guidewire, those are going to help the whole GSI ecosystem. We are working on three more partnerships. So it will take a bit more time.
Mihir Manohar: Sure, sir. That's it from my side. Thank you very much.
Virender Jeet: Thanks, Mihir.
Moderator: Thank you. And your next question is from Ashish Chopra from Goldman Sachs Asset Management Limited.
Ashish Chopra: Thanks for the opportunity. Just a question as

a follow-up on your previous comment. Could you just explain in a little bit more detail the model that you would have in a partnership with someone like a Duck Creek, which itself would be an insurance product platform. So is it like a product that is having features from you, and hence you make revenues as they sell? Or what

would be the business model? And also the potential opportunity size that you foresee in such a partnership?
Virender Jeet: Ashish, thanks for the question. So what happens, whenever we are talking of Guidewire, Duck Creek, or any Mambu for that matter, these are typically product-to-product alliances.

There what we are trying to say that the use cases of Duck Creek in terms of what are -- the digital journeys which are implemented on our product have better support of working on Duck Creek platform. So what gives comfort to the customer is that any customer who has a Duck Creek platform and wants to reinvent low-code digital journey, Newgen becomes a better choice because the integrations are already established. So these are product to product integrations.
The way we influence the market is that all of a sudden, the Duck Creek ecosystem becomes our prospect. And then we can run joint go-to-markets with either Duck Creek or with any other partner like the GSIs who have Duck Creek practices on that. One of our initiatives over the next two, three years is going to be to seed insurance in a big way in both the U.S. and EMEA.
So in that, the property and casualty insurance is where Duck Creek plays strongly. And this is one of the areas where we are going to work both on claims and onboarding journeys. And that's where our product-to-product integration is one. So it's early stage. This is what I would call basic steps to go and enter these markets. And then subsequently, we'll have to do all other things to make sure we win those cases. Ashish, does that answer your question?
Ashish Chopra: Yes. Yes. So just to ensure that I understand it correctly. So your contextual services platform becomes as one of the options that can be integrated into a Duck Creek platform is what is the messaging that you have given to the Duck Creek clients and hence that's an opportunity?
Virender Jeet: Yes. Insurance customer who has Duck Creek as a platform, he is looking at content services, he is looking at workflow services, or he is looking at automation of digital processes. So we have automatically an alliance formed where the products work and talk to each other.
Ashish Chopra: Understood. Understood. And which could be the other maybe large potential partnerships even in the banking platform, if any, that would exist today?
Virender Jeet: So in banking, we don't go the same way, because in banking, over the period of time, we have already done integration with most of the core banking in the world. So we are already -- their credentials are quite established that we sit on any core banking and product solutions and services. But in U.S. -- when we went to the U.S. market, we did with all the U.S. core banking, we did these integrations with that.
And on the Duck Creek side or Guidewire, which is another insurance player, this is what -- so insurance is a new area where we are going and implementing and solving larger use cases. So we're focusing on that segment to do that integration.

Ashish Chopra: Understood. Understood. And my second question was around the license revenue segment in the overall revenues, which has grown now in excess of 70% over the last two quarters. So should that be construed as the flow-through from the high product license deals that we had in the prior quarters and hence which was normalized in line with the license deals that we witnessed? Or is there some other element to it that we should

take note of?
Virender Jeet: No, I think -- so difficult to exactly answer that question, but I think we do still expect the license revenues in the coming quarters to be substantial for us to grow. And so there's no rationalization. You could say that last year, Q3 license was very high, so this year we won't see the growth. But on a Y-o-Y basis, you will see license revenue growing. So as part of our growth still, since the number of deal acquisitions are still in the same traditional range, we still need lot of license deals for higher growth rate.
So as the markets which are showing more traction are India and Middle East, there are going to be a lot of deals that are going to be license-based days. So we do expect even Q4, and even next year, to continue on license growth momentum. But having said that, some amount of still deals are going into subscription revenue and which will get accumulated in the revenue later, which will be the base of the revenue.
So there is going to be some amount of -- so in the beginning of the year, I said that our target is to -- that license revenue will grow by 10%, 12%, and still we should be able to do a healthy growth, about 24%, 25%. So I think even next year, we should be in the same range. But our base of ATS will keep on growing and other subscription revenues will kick in.
Ashish Chopra: Sure. I was referring to the implementation revenue growth because that is running far ahead of what probably the license sales growth is. So I wanted to know what other elements would be drivers of that?
Virender Jeet: See, I think one of the reasons for implementation revenue growth is the larger deals which we are accumulating. So what happens, in larger deals, the ratio between license and implementation changes. So historically, in a 500 or 700 case deal, it would have been a 60% license and 40% implementation. But on a three million deal, it becomes reverse, or even the license becomes smaller. So that means we accumulate more implementation revenue, more

support, more services revenue. And that's what's building growth in last quarter.
I think this may continue for some, because the order books have grown over the last two quarters substantially. So some amount of implementation revenue may continue growing and support revenue may continue growing. But we do intend to increase the deal velocity and to keep our gross margins intact. So in the short term, it may have kind of a jerk for one or two quarters, but typically, in a slightly long term, generally, the annuity revenues will go faster than the, what we call, implementation and service revenues.
Ashish Chopra: Understood. And just one last question from my side. So when we look at the very strong growth Y-o-Y this quarter on revenues, 27%, typically, in that scenario, we would have expected, let's say, the margin expansion to be higher versus the 70 basis points that we see

this quarter at the EBITDA level. Like you had mentioned in the past that beyond 15%, 20% growth, margins should expand. So just if you could maybe help us with a breakup there in terms of whether this is really the gross margin where we might have seen some adjustment? Or is it more on the operational expenses side so far?
Virender Jeet: See, we have grown for nine months around 30%. And as we say, our budgets generally are always at that -- in the beginning around 22%, 23%. So any higher growth for that should get adjusted in the, what we call, margin expansion. But we have aspirations of growing even faster, so we keep on investing more. We did some -- I think we had a disclosure of doing a large consulting exercise in one of the Tier 1 consulting companies. There was almost near about $1 million cost which we have taken.
There's also kind of some amount of one-time cost in SG&A, which is typically a supply of hardware, which has come in

this time, which is added to the cost. So there is some amount of,
say, $1 million, $1.5 million extraordinary cost this quarter. Otherwise, the margin could have expanded slightly. But I think, as we said, the guidance of typically a net margin of roughly around 19% and EBITDA of 23% is what we -- because we do want to invest again next year for higher growth. So that's where we are. But you're right, beyond 23%, 24% of cost, anything -- higher revenues will always expand margins.\
Ashish Chopra: Understood. That's helpful. Thank you.
Moderator: Thank you. The next question is from Chirag Kachhadiya from Ashika Institutional Equity.
Chirag Kachhadiya: Congratulations on good set of numbers. Sir, I have a couple of questions. So if you look at the net logo addition on year-on-year, it's showing a similar trend that what we have two years back also. So what's the strategy going forward to add the logo addition? Yes, I understand your comment that in absolute terms, on per logo bill, the business has expanded in value terms, but from a diversification perspective and reducing the concentration risk as we move forward, how are we going to add more and more logos, so customer client risk can get mitigated?
And second, on annuity revenue growth perspective, what strategy is there to maintain this growth trajectory going forward? Yes.
Virender Jeet: Thanks, Chirag. I think you're right. On net logo for all multiple years, our typical logos additions have been similar. And what we have said is that's part of function of how we are operating the business. We are pivoting away from smaller deals. We're pivoting away from typically the small banks, which we were trying to win in U.S., and we are going for larger deals and it's a conscious effort.
Having said that, our ambition is to bring logo win rates higher than this. But that's a function when all markets perform equally. Right now for us, we can say, out of four markets, three markets are performing, one is very slow right now, because the mature markets are not firing back yet. So as other markets and we start diversifying slightly more into other verticals, we should be able to get better logo rates.

So you are absolutely right on that, but our targets would still remain at probably take this logo rate to 60 logos a year or 65 or 70. Not really, really high. We don't have concentration risks. I think we are typically one of the most least concentration of revenue or concentration of segments in that. So typically, we have got this kind of a revenue, INR1,000 crores revenue last year by roughly around 520 customers, and no customer contributes more than 2%, 3% of the revenue.
So there is no concentration risk in our business. And when we say logos, these are net new

logos added in that year. So we have also all the other logos. So I don't think the concentration is a risk. On the annuity front, as we clearly said, part of our license business, some amount of compounding of annuity happens through ATS and AMC, but also some of the license deals are shifting to subscription-based deals, which are automatically adding to the annuity.
We do hope that our annuity licenses will keep on growing faster than the company's growth rate. I think this quarter is slightly an exception. But generally, if you look at historically, that has been the rate. And we may be back -- next quarter or next to next quarter, we may again come back on the same trend.
Chirag Kachhadiya: Yes, just one follow-up question, sir. I would just say, the economic scenario spanning out in the Western world, and second, in the last seven years, we almost made a 3x jump in our top line. So will this trajectory continue going forward? Any qualitative comment would be useful. Yes.
Virender Jeet: So I think economic scenarios, what we have -- I think we are still operating in markets at a much small

er level. And we have seen the European pain. Europe businesses have really been slow for us. And some amount of also U.S. uncertainty in larger accounts has been there. As everybody is sharing, we are seeing also things are coming out. Customers are asking for proposals, they're asking for -- RFPs are coming out.
We hope that things change. But I don't have the exact answer to that and I don't think anybody has on that. Yes, we have done phenomenally well over the last seven years, and there is no reason we should not do the same thing. But beyond that, I will not be able to state exactly how much it will -- whether we can do next 3x in three years or seven or 10 years is difficult to predict.
Chirag Kachhadiya: Okay thanks. All the very best.
Moderator: Thank you. And the next question is from Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain: Thanks for the opportunity. I just have one question to Mr. Nigam's comment where he said we are working on helping banks related to some public digital infrastructure side. So can you slightly elaborate more what exactly we are doing out here?
Virender Jeet: So I think, just to clarify, what we said, a lot of public sector banks, we are working on their digital journeys in terms of when they are trying to digitalize, their journeys to improve their

quality of service, improve their speed of service and skill, that's what we are helping. And I explained that, examples are like transforming lending end-to-end.
A lot of work has happened and the government has invested in digital stack, India digital stack, how to leverage that and transform the digital journey for lending or a business loan. That's what we are helping Indian banks in that, and that's where we have got a lot of traction from these banks, and we'll continue to do that. Just a clarification.
Rahul Jain: Understood. That’s it from my side. Thank you.
Virender Jeet: Thank you.
Moderator: Thank you. And the next question is from Sarang Sanil from RW Investment Advisors. Please go ahead.
Sarang Sanil: Sir, the implementation segment has performed very strongly this quarter, and you had mentioned that large deals would be a driver for this. But apart from that was there any lumpy project undertaken on the implementation side during the quarter, like a one-off?
Virender Jeet: No. Sarang, thank you for the question. Sarang, no. So if you look at service revenues, you can't have lumpiness because of the nature of -- they're related on the execution, and you can't just ramp up execution for a quarter. So they are more sustained and slightly long term. There is no single client which is driving large numbers or value. So we added some large clients over the last 1.5 years. And those have -- the implementation and execution of those is driving this. But those clients continue to be added and we continue to do business with them.
Sarang Sanil: Sure, sir. Also, in general, how is the demand environment in the U.S. geography? Tier 1 IT companies aren't seeing -- it's not very bright to them. And has there been a strong progress in this geography after opening up the branch in New York?
Virender Jeet: So Sarang, I think this is a question typically which is -- see, I think the Indian industry discourses around services and how the service industry is completely depending on the mature market. And I think slightly, we are into a challenger ecosystem. We are a product-based company. We do keep on servicing our customers. And what's important for us is to be in front of the customer. We have seen lately things improving in U.S., not account of opening office, but in terms of some amount of customers, especially our pivot to larger banks and larger banks looking at redefining and reinvesting in their digital journeys. That's where we are seeing some renewed interest in that. But I think we'll have to wait a b

it to see how it pans out.
Sarang Sanil: Sure, sir. So do you see any inorganic opportunities in pipeline?
Virender Jeet: Our strategy around our core products and our core verticals, we are staying on that. Any opportunities which can augment that journey, we are looking at some of them. But right now, there is nothing exactly finalized or something.
Sarang Sanil: Sure. So just to clarify, did you mention that the order book growth in nine months was 20%?

Virender Jeet: Yes.
Sarang Sanil: Okay. Okay. So could you put a number to the growth and margin expected in FY'25? Any upward revision from the 25% growth? Or do you see -- and on the margin side, do you see also reinvesting back into the business and maintaining the 19% net profit margin?
Virender Jeet: Yes, so on the margin, we have kind of an understanding which we have built internally that in spite of investing for business, we should be able to keep on delivering those. But if we find opportunities to invest aggressively for growth, I think we can go out. There's no commitment or a defined value. That's what we have said. This is a number we can easily reach, and then over a longer period, we can expand that.
See, on the projection of what's going to happen next year, I think it's too early. We will not be able to comment on that. And I think a lot of things will depend on in terms of our ability to execute our business plan. And right now, we are very, very hopeful that we should have good years. There's no reason we can't continue this growth momentum.
Sarang Sanil: And I hope this year also goes well for you.
Virender Jeet: Thank you very much.
Moderator: Thank you. As further there are no questions, I would like to hand over the conference over to the management for closing comments.
Deepti Mehra Chugh: Thank you so much, everyone, for joining. For any further questions, you can connect with me, or you can go to our website for further details. Thank you. Thanks all.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: May 2024

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Sub.: Outcome Transcript – Conference Call – Q4 FY'24

Dear Sir/Ma'am

As intimated earlier through our letter dated 24th April 2024 regarding the Conference Call of the Company, which was held on Tuesday, 30th April 2024 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available at the website of the Company under the URL https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Encl.: a/a

"Newgen Software Technologies Limited
Q4 FY'24 Earnings Conference Call "
April 30, 202 4

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MR. T.S. VARADARAJAN – FOUNDER AND WHOLE
TIME DIRECTOR – NEWGEN SOFTWARE
TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Conference Call of Newgen Software Technologies Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms . Deepti Mehra Chugh. Thank you, and over to you, ma'am.

Deepti Mehra Chugh: Thank you. Good afternoo n, everyone. I am Deepti Mehra Chugh , Investor Relations Newgen Software Technology Limited. And I would welcome you all to Q4 FY Q4 results of the company. Joining with me today on the call is our management, Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Founder and Whole time Director; Mr. Vire nder Jeet, Chief Executive Officer; and Mr. Arun Gupta, Chief Financial Officer. Due to bad throat of Mr. Nigam, Mr. Varadarajan will take up presentation of the result.

Before we move on to the discussion, let me highlight that this call may contain certain forward -looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual re sults could materially vary from the forward -looking statements. Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward -looking statements become material indirect in future or update any forward -looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I would now hand over to Mr. Varadarajan for presentation of results, which will be followed by Q&A. Thank you.

T. S. Varadarajan: Good afternoon, everyone, and thank you for joining us for our Q4 FY '24 financial results call. As we reflect on the past year, it has been another remarkable year with our financial performance reflecting considerable strength and resilience. We witnessed revenue of INR1,244 crores, leading to a growth of 28% Y -o-Y. The year saw many milestones and opportunities to get deeper engagement with our clients. We have also witnessed robust profitabili ty and healthy cash flow generation. Customer relationship s have been always key for us and have been instrumental in our growth across all geographies, particularly EMEA and India, where we have witnessed growth of 39% and 33% respectively for the year.

In India and EMEA markets, we are automating end -to-end for our customers by tying up the front, middle and back -office processes for them. We have seen strong interest and increase d acceptability of our solution s, including trade finance and digital lending, customer onboarding, card origination and supply chain finance solutions. In the APAC region, we have booked our largest ever project of INR 97 crores with a technology organization in Singapore. In the Americas region, we have been resetting our strategy for the market.

As part of our client portfolio, we are happy to share that with deeper engagement with our clients, we have seen a notable increase in the business size per customer.

We saw an increase in the number of customers with billing of INR5 crores from 51 last year to 65 in the current year. The average revenue per customer has gone up by 29%. This underscores a conscious emphasis on catering to larger scale clients and those who significantly contribute to our business. We are pleased to see ongoing g

rowth in commitments from our existing banking customers as well as healthy new logo additions to our portfolio. We have

added 51 new logos in the year, 11 of which have come in Q4.
For the year, our annu ity revenues were at INR750 crores, comprising of 60% of our revenues.
Coming to our products. Over the past year, we have continued with our commitment towards innovation, constantly refining and expanding the capability of our platform. This year was filled with excitement with new version launches of several of our platforms and deeper work on our solution. We have launched the AI -enabled version of Ne wgen One platform called Marvin during the year. We have also launched newer version ECM and CCM platform.
We have released our next -generation low co de trade finance solution, IDP Studio, IDP standing for intelligent document processing with advanced machine learning algorithms and Newgen AI Data science studio. In the new version s, we have incorporated inputs from our customers, industry leaders, analysts and et c, enhancing our platform 's features and functionalities. We have worked on different aspects, including use of artificial intelligence, cloud and micro services, security and empowering system integrators and partners and migration.
This enables our platform to build next generation use cases, new ways to design the application, enhance the user experience and optimize growth usage. Our vertical solutions and digital lending and trade have done well, and we continue to build on that base. Further, we are penetrating into insurance vertical and strengthening the team for the same.
During the year, we continue to be recognized by industry analysts - Gartner in the magic quadrants and Forrester in the wave report s. We were also recognized for the first time by Everest Group.
Despite the challenges, including the recent cyber securit y incident, we have demonstrated resilien ce and came out stronger. We are leveraging the collective strength of our global workforce, which has grown to 4,500 individuals and continue to expand and mature in alignment with our business growth trajectory. Central to our commitment to organizational success is our steadfast focus on talent management and learning initiative. We believe that by empowering our employees with the skills, knowledge, and tools they need to succeed, they can foster a culture of excellence and drive innovations and growth. We are constantly working on increasing our global footprint and brand presence. We've opened our offices in New York and Saudi Arabia during the fin ancial year. We also continue to work on enhancing customer engagement, strengthening our sales team and partnership network, and expanding our digital presence.

On profits and margins. We delivered a healthy growth in profits and expanded margins during the year. Profit after tax was at INR252 crores, witnessing a growth of 42% Y -o-Y. We continue to prudently invest in R&D and sales and marketing initiatives. During the year, we have invested 9% of our revenues on R&D initiatives and around 22% of revenues on the various sales and marketing activities. On the balance sheet front, we witnessed a robust cash flow generation with our net cash generated from operating activities for the year at INR281 crores.
Our net trade receivables were at INR444 crores as of 31 March '24, which resulted in net DSO of 130 days. Our collections for the year have improved by 34% Y -o-Y. We have declared a dividend of INR 4 per share post bonus issue of 1 :11, which is INR8 on pre bonus shares.
Looking at Q4 results, we are happy to close Q4 with the strongest revenue ever for a quarter at INR375 crores increasing 23% Y -o-Y. Our PAT has also crossed INR 100 crores for the first time in a quarter. As we start the new financial year, we remain steadf

ast in our commitment to
delivering value, innovation, growth and providing superior customer experience. Thank you very much. We are now open for Q&A.
Moderator: Thank you very much. The first question is from the line of Baidik Sarkar from Unifi Capital. Please go ahead.
Baidik Sarkar: Congrats to you and the team on a strong quarter and what's been a phenomenal year overall. Multiple things are firing for us today at the same time. I think the best way to synthesize all of that was last year in your words like you said this in the past few quarters, is your order book and the pipeline is perhaps growing at a pace that is faster than your revenue booking pace. And given where our order pipeline today, where do you thin k we are in this cycle, right? Are we -- I mean, do we reckon we're in the middle of the cycle or perhaps moving towards the end of the cycle in terms of how banks and financial institutions are thinking about their digital journeys and how that's relevant to us?
Virender Jeet : So, you're right. So basically, order book gives us kind of an insight in terms of how the business is shaping up. And we have expanded our order book to roughly around INR1,560 crores from previous around INR1,300 crores. So, there is a growth -- healthy growth out there. Our order book is, as you rightly said, just one of the dimensions. The other dimension is about the growth in our new deals, which is about mining and new sales . Out there we have also a substantial

healthy growth in that order book.
On the order pipeline, clearly, as of now, we still see good traction in the coming year, both in India and financial services and what we are doing in the Middle East. And in fact, we find the next year to be as a very strong APC recovery year. U.S., I think we are working -- there are a lot of moving parts out there. There's a part which is about our strategy, where we are trying to reset, trying to move away from the smaller entities to getting larger entities and reshaping the market. And it is also about the whole market in terms of being slow, whether it's the European market and U.S. market.
So I think that's a moving part. We are still working very strong. At beginning of every year, we are very, very hopeful to really make substantial inroads in everything. But at the end, the

outcome depends on various factors. But going into next year, I think the pipeline is quite healthy on the traditional space. It is very similar to what it has been last year on the U.S. side. There i s not too much of a great jump by which I can predict a much higher U.S. revenue growth.
But on the other 3 markets, which are traditional markets, we are finding the pipeline to be very healthy. We are building the U.S. pipeline. I think we are making forays into both larger banks and insurance. But it's still early to call it out. And also, there is an outline in terms of our ot her markets, which are just -- we ar e see ding like Australia and U.K., we closed some deals last year. This year, we expect to close few more deals. So overall, we still look at next year, there's no reason why we can't maintain our growth momentum .
Baidik Sarkar: Sure, sure. So obviously, multiple moving parts, and I will not get into details here, but I think you had highlighted a level of about $500 million by the end of FY '27, right? So if we have to slice that into the products and the initiatives that will he lp us get there, how should we imagine each of these ports better?
Virender Jeet: See, I think every company has a n aspiration of doing large numbers. And as a product company, we always believe there's going to be a time when we can even extrapolate the growth rates beyond what we have. Our growth momentum for all whether it's a 500 million plan or typically next year's plan is still based on the core verticals we are

driving. The only thing what we are
doing is we are opening up insurance in a major way. That's where a lot of investments are happening. So you should see that in the next 3 quarters, 4 quarters to see a healthy funnel and some deal clos ure happening in insurance beyond the banking, which has been our traditional strong space. There's an organic growth in government segment .
But on the market dy namics, we clearly see, for a 500 million picture to realize in the time space we are talking about, our mature markets have to fire, which is still a kind of a work in progress for us and a lot of investment is happening in those areas. I think there's a healthy push coming from the markets where we are strong and especially in this era where IT companies are struggl ing on the growth front, we are doing substantially well because our customer bases have been in the markets which have been less affected. And our solutions have resonated in this time period as well in all these markets. So I think we are sitting well on that. But the business composition does not change much. It changes slightly with more focus on insurance to open up as another substantial vertical and it focuses on mature market expansion more quickly. I hope that answers your question.
Baidik Sarkar: Yes. Just last one before I get back to queue. The pace of growth has been so momentum that investment means that our operating leverage aspirations have probably been faster than what you expected, right? So just keeping that growth in mind, how should we read your margin profile in the year ahead?
Virender Jeet: See, I think as you know, most of the cost planning happens at the beginning of the year, there's little variabilization which happens beyond some tactical manpower or SG&A expenses. So I think we have been given that we don't aspire to generate very large margins beyond this healthy 20% net margin or 21%. But it's going to be a function of that year. So in terms of -- at the

beginning of the year, we are targeting, say, X percent growth but we end up doing slightly more than X than the margin expansion would happen. So today, we are targeting growth ranges just similar to our past years. And so I think we should be able to mai ntain the margin.
The other thing on the net margin side, I think maybe Arun will also comment or you can get more data. I think the tax rates for us next year are goin g to be differen t, I think because on the SEZ side, I think this is the lowest tax slab . Next year, we'll be on at least 2%, 3% higher tax or

more than the current year. So this on the net margin, while on the gross margin or the EBITDA
side, you will still see expansion happening. On the net margin, we'll be able to maintain that
kind of ma rgin.
Baidik Sarkar: And just in terms of seasonal visibility, Q1 has always been a step down. I mean, obviously, that
correlation was broken last year, Q1 of FY '24, given how things have shaped up for us the last
2 quarters and you're already a month into Q1 '25. I mean, wil l you revert to the previous
relationship of a step down? Or how should we read that?
Virender Jeet: We hope to keep on reducing seasonality. It doesn't go away. I think I don't expect Q1 to be
bigger than Q4, even this year. But I do expect the Q1 growth rate to be slightly higher than our
average growth rate. The way you've seen this year, I think we ha ve had a higher growth rate on
Q1, Q2, and then slightly lesser should , not lower numbers, they're still very l arge numbers, but
not at the same level. On an average, we expect next year also to have the same behaviour .
Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.
Mihir Manohar : Congratulations on good set of numbers. Sir, I wanted to understand the growth in the order
booking . I mean at this time, the

presentation we mentioned that the growth in the order booking
is 20% versus this number was 30% last year same time when we started the year. So should
you see a normalizing of growth rate happ ening because this year has been quite a stell ar year .
So should we see us coming back to 20-22% kind of a growth because given the fact that now
we are starting the order book at 20% growth, last time, it was 30% growth, so some
understanding on that?
Virender Jeet: Your question about order book is right. I think the order book growth on the previous base of
last year was a much more muted year for us. It was a very small year for us. And on that we
had a substantially large order book rate. So basically, it is -- it jumped from, I think, 17% to
24%, 25% to 27%. So the order book of last year also has got s ome residual revenue which is
going to come in this year as well.
And with the growth of order book of last year, what we have built from we've taken the order
book, again, from a very high base of INR1,300 crores to INR1,560 crores. We don't see order
book as a constraint to not meet our next year's goals. We don't intend to fall back to 20% growth
target. We want to maintain them at a higher level. But what higher I think that is how the future
will unfold. While I see order book is one of the dimensions, but it's not to be taken in isolation.
So we still feel that this year can be a much larger number than the 20% now.

Mihir Manohar : Sure, sir. And how should one understand the new dimension. I mean you mentioned order book
is not the only thing to repair for the growth rate. So I mean, because of the other dimensions
that you are mentioning, if you can provide some clarity around that, that will be helpful?
Virender Jeet : I think we -- it's the same thing. The order book is one. I think new logo acquisition and average
deal size per logo. So we have 29% growth on the revenue per customer . That's where we are
able to convert maximum. Our new logo addit ions are at a substantial pace. And all the new
logos are at a much bigger size than the previous new logos. So these are some of the factors.
Mihir Manohar : Sure. Understood. Sir, second question was on the insurance. I mean, you mentioned that
insurance you expect this year to be quite strong. Can you provide some more color around this
or what kind of conversations you have -- are you having with the clients ? Is it life insurance or
is it P&G ? And what kind of quantum can we see beyond the lead times or the revenue side for
insurance?
Virender Jeet: See, we are working on the strategy. So we have like -- I think while we have expanded to a
large kind of wallet share in banking for our major accounts. We have not been able to do the
same size, though we have insurance as our customers, but their deal sizes are pretty small. So
working both in life, general and health there are offerings which we are generating, where we
can have a larger deal size. This is work in progress, and we expect this to be a substantial part
of our reve nue i n coming 2 to 3 years.
So it's early. So I think once we have a better visibility into the funnel generation part of it and
deal sizes, I think we should be able to highlight more. But we are quite excited about it, and we
are aggressively investing right now, building teams, bu ilding capabilities, competencies,
products around that and then taking to the market in the next 6 months' time.
Mihir Manohar : Sure. So what is the growth in order book for insurance? I mean the company level, it is 20%.
So for insurance, what could be the ballpark numbers?
Virender Jeet: I don't have that. But I think insurance, we are just building right now. So I don't think insurance
growth rates right now, I think even for the last year, banking has been the primary driver of the
growth, with more than 30% of

the growth happening. So all other segments have been either at
30% or less than that.
Moderator: Next question is from the line of Ashish from JM Mutual Fund.
Ashish: Any comments on the M&A strategy? And where are we in the G SI led strategy if you could throw some color?
Virender Jeet: So as I said, for merger, I think we are looking at tactical acquisitions for speed to market and access to market, predominantly in major markets. We have not identified any targets yet. I think the work is going on, and we do expect that in the next 1 or 2 years, we should be able to make some amount of acquisitions for -- typically for making sure in the mature markets, we are able to get some speed. But right now, we don't have any update on that otherwise from its work in progress on that side. Sorry, what was your second question?

Ashish: So the GSI -led strategy, how is that shaping up?
Virender Jeet: See on the GSI -led, I think while we are working on enablement side and I think our product to product tie-ups are happening, and that is growing. The funnel we are targeting still in mature markets. I think on mature markets, the business for the GSIs, as you've seen, has not been that strong. And I think that also has resulted that we also have not any large growth in the funnel. Yes, some interesting cases, but I think I would still say it's not picked up to the speed or expectations which we wanted it to have it.
Ashish: And in the past, we were also thinking of exploring the system integrators to get into the U.S. market. Any development, are we in discussion with some of the SIs?
Virender Jeet: No, no. I think we have a lot of alliances, partnerships. So I think we have -- in fact, we have expanded beyond the system integrators to the consulting company, the top -tier consulting companies to form alliances on that. So that work is going on. I think I wil l not be in the position right now to comment on the size of business or the size of funnel becaus e of that. I think it is early.
The GSI tractions have not shown the speed. I think the deal ge station sizes are very, very long. I think we are still working on deal sizes, which start from $500,000 to few million dollars. They are very different appetite. And I think if you become a part of that larger deal, the closure cycles are not under control. We are looking at different ways to reset that whole strategy as well as working with consulting companies in early stages of funnel building. So let's wait for a few more quarters to see how it shapes.
Ashish: And just lastly on -- so your confidence of organic revenue growth to be 20% and more. So where is U.S. in this entire context, do you say that U.S. will continue to grow at a much lower rate than the console business?
Virender Jeet: No, not really. I think even in the weakest of the year in U.S., we still are around growth of 17% or 20% or 22% , last year was much higher than that. So what I'm saying is that -- so while on the organic side, if U.S. does not give us great acceleration, we still can maintain high growth rates out in the U.S. But when we expect to grow to a size of $500 million or $1 billion company, the mature market has to fire. So at one moment, our business plans have to see that the U.S. executes at a much faster rate. That is the moment we are waiting for. So in the meantime, all our markets have great potential to grow organically. And what organically is we expect a minimum to go at 20% or more organically. So all m arkets can follow that.
Ashish: And anything on pricing environment? Last question, sorry. Anything on the pricing environment?
Virender Jeet: Yes. I think one is you see globally, the prices have changed for everything. And I think both in IT products and as well as for the large IT players or small players. The cost itself for manpowe

r
and other service s has also gone up. So we are gradually looking at evaluating various components of our products, services and looking at working with customers to keep on revising the rates right now.

We will be working on some more serious initiatives over the next few quarters on pricing and resetting some of the pricing. I mean, it's a continuous job. I think I will be able to give you mor e clarity of that on the next two quarters.
Moderator: The next question is from the line of Ashish Chopra from Goldman Sachs Asset Management.
Ashish Chopra: I think last year, we saw the Y -o-Y growth starts from 34% and then end at 23% in the fourth quarter. You highlighted that the trajectory this year also probably should be the same in terms of the way we should expect it. I was just wondering why should that be the case? And what

was it last year as well that growth is phenomenal?
Virender Jeet: So Ashish, I think simple function that our business is quite seasonal. Q1, Q2 on the total revenue side are much smaller than Q3 and Q4. As the growth is driven from new deals and what you're seeing the new acquisition is quite linear these days now. So we are able to still get higher mining as well as sales in all quarters laterally. Since the base numbers of those quarters are lower the growth percentages are much higher. So you understand for business and control, which is very linear in terms of renewals, is they're very linear. So they get divided over equal 12 months. But your deal velocity. It's not as lopsided as it was previously. So we are able to do closures in Q1. We are able to do closures in Q2. So the quarterly growth rates because they are at a lower base, they end up having higher revenues. Does that explain ?
Ashish Chopra: So just to reconfirm if I understand correctly. So while the linear business obviously is sort of ready state. You're saying that the closures of deals now happen in a more spread -out fashion, versus probably the previous year?
Virender Jeet: Exactly.
Ashish Chopra: Got it. And secondly, and you mentioned about a couple of vertical solutions that are doing well for you, like digital lending, trade finance. Just wanted to understand as to what would be the nature of solution in the insurance vertical as well, which we are looking at in terms of the problem point that will be -- the problem statement that you would be looking to solve? And also -- I mean, the vertical solutions today, what percentage of your revenues would be coming from very specific indu stry solution?
Virender Jeet: So Ashish, I think you're right on the vertical side of our recent platforms, which are actually also built on low code. So we're trying to reinvent products on traditional banking, whether it's a digital lending platform or a trade finance or a supply chain on the low code approach to do them as a next -generation product.
So on the insurance side, we are exactly targeting very similar. We are talking about journey led solutions, where we are right now automating the whole process, whether it's a claim or onboarding both in life and general and health. And what has happened, why these solutions are being reinvented and rethought, there's a lot of digital ecosystems in stacks, which have got evolved in all countries.

And people want to have a very differentiated journey in terms of how they are able to onboard their customers or issue policies or to the claims for that. So very similar to what we have done in banking, but on the insurance side. On the point of how muc h of business is driven predominantly, so what has happened, a large part of our business today is also driven from solution stack beyond horizontal. I don't have the exact number. But we can -- I can just we can provide those nu

mbers in terms of for each accelerator, what is the kind of business.
But for every sale, whether it's horizontal or a vertical sale , a large part of that sale is a horizontal product sale for us. Those customers end up buying our -- these accelerators with the hope that they can build more products over that. So at the end, we are always a horizontal play in an account with an entry s trategy or a solution -led sales focus around vertical accelerator. Does that Ashish answer to your question?
Ashish Chopra: Yes, yes. Yes, it does. And you mentioned that you expect APAC next year for APAC to be a very strong recovery year. Is that on the back of the largest deal that you signed in that region? Or are there some more relevant also that are contributing to the t hing?
Virender Jeet: See, Ashish, if you look at last few years, APAC has been always a strong growing market for us. I think last year has been anomaly in terms of a lot of misses on deals in terms of closure, contract cycles and also market being not responding to us in term s of closure rates as we expected.
I think even just recovering back to a normal stage would give us a healthy home. I'm just relying right now on that. The deal, which is there, of around INR90 crores, it is a five -year deal of subscription and an implementation. There will be some revenue, but it will not going to make a material difference to the growth rate. So we still feel in terms of our velocity of deal clo sures and growth in that market to be on the recovery rather than the last year approach.
Ashish Chopra: Understood. And just lastly from my side, on the DSO, as we exited the year at around 130 days. So on a fourth quarter basis, is that the kind of number the continued kind of growth you tend to witness in the last quarter, would that be on the expected lin es? Or do you think that it may have coming higher than what we would have been targeting?
Virender Jeet: No. I think DSO is on the expected lines because I think we had a kind of a DSO miss on Q1 because it was slightly higher last year. And then we substantially brought it down. I think comparing to a Y -on-Y quarter. It has come down on an average. Because Q 4 is always a large quarter, so the DSO number is much larger. But on the average other quarters. So I think we

should be on an average DSO of 120, 125, I don't know exactly the number. Our target is to reach 100 days. That's our immediate t arget as an average DSO. That would mean a Q4 DSO of 115 days or something like that. So but this year, I think it's in line with our expectations, but we are taking a lot of majors to even building further down.
Moderator: The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited.

Jyoti Singh: Yes. Sir, if you can just give an idea on the BPO segment that very small for Newgen 2%. But what are the impact that we are seeing because of the GenAI? And what are expectations from here onwards?
Virender Jeet: So BPO segment is a segment because it has been a traditional segment where typically people are doing -- we were a great partner for one of the most of the BPOs set in India in terms of when they're looking at a fresh stack because they didn't have platfo rms. Suppose that segment has been typically the APAR segment, the accounts payable and accounts receivable, either it's in the captive or non -captive which are, the BPO -based segments. So it's a potential market for us for horizontal play has not shown some technical traction in India for us or outside India. So we are looking at ways to look at more horizontal play.
Coming to GenAI in BPO, I think it's typically wherever you can bring efficiency in operations using technology. I think the processing centers become the first typically the place you would pay out like if you are an RPA or the BPM. Similarly, I t

hink both on Generative AI, a lot of use
cases in terms of automating some of the routine tasks would happen out there. We are excited about the platform play in our product. We have created our product offering in all three products, which are our horizontal lin es.
There's a GenAI offering, both for whether it's content, going deeper into content, content summarization, in content management, BPM automatic rule building or exploiting the speed by which the processes can be deployed. And CCM also which is customer co mmunication, how fast you can do a multilingual communication depending on different personas. So we are excited about that portfolio. We are right now looking at those cases to be taken across all verticals, not limiting to BPO. So yes, but BPOs do have s ome use cases, which can be exploited on that. But right now, I won't have more than that insight about that subject.
Jyoti Singh: Okay. And sir, next question is on the GenAI side. So like, since when we are starting, it will be a revenue generation for us?
Virender Jeet: So GenAI, basically, GenAI is a technology and there's any horizontal grade technology, product companies end up leveraging that and creating more offerings. Finally, those offerings are deployed with the customers to either optimize their businesses or dr ive growth. So what we are excited that with Marvin, which is our GenAI launch and the Number Theory, which is the AI platform, we should be able to accelerate our use cases and growth of those use cases in general. But specifically on reven ue generation or not on revenue generation, those will depend on how end customers end up deploying the use cases.
Moderator: The next question is from the line of Tushar Sarda from Athena Investments.
Tushar Sarda: I have two questions. One is you said mature market now to fire much higher. So what kind of growth rate would you look at to reach your aspiration month targets? That's one. And second, because markets are not doing well, M&A should be much easier in this kind of market. So your thoughts on that?

Virender Jeet: So when I say mature market have to fire well, it's typically for our long -term exploration of the company to be reached $500 million or $1 billion. So because that is where the addressable market is. Today, I think at a growth rate of about 20%, mature ma rkets keep up that pace. Then eventually, we will not be able to do justice to the addressable market size in mature markets. So we expect to be much higher. For some years, it can be 30%, 40%, 50% growth in mature markets. That's quite doab le for a company like us. So it's more about how -- where the addressable market is and where our share of how do we increase our share of that addressable market.
On M&A strategy, I think, as I told you, our M&A strategy is typically localized around to get access to market so that we can do speed of our sales process established in the country. We have not found too many prospective options right now, depending on different market conditions should generate sometimes opportunities and sometimes challenges. I am not really in a position to really comment on that because I've not really felt about that there's too much of

availability right now. We have not selling t hat.
Moderator: Next question is from the line of Shubham an Individual Investor.
Shubham: Would you be providing any kind of guidance for the next financial year, sir?
Virender Jeet: No, Shubham. I'm sorry. We don't provide any guidance, but we -- as we always say, we intend to meet our -- keep on meeting our growth momentum and do the historical rates which we end up doing. We don't see a challenge. In case there's kind of a delta whi ch is very different than what we did last year or both upside and downside, and we will inform you as soon as we have more insight into that.

Moderator: The next question is from the line of Devang Bhatt from IDBI Capital.
Devang Bhatt: Just one question that you had highlighted that you are resetting you sales strategy in the U.S. So from the past, what different are you doing? Like you have already tapped GSIs and all to the mature markets. So what kind of resetting in sales strategy yo u are doing in the U.S.?
Virender Jeet: When we are talking about resetting our sales strategy, which is about what was working for last three, four years, we are pursuing banks which were typically in the lower size or typically asset basis of $2 billion to $20 billion bank, which is a large nu mber of roughly around 850. We saw that -- I think the account acquisition cost was much more higher than the lifetime cost of the customer. And because the U.S. banking also is kind of in terms of either consolidation phase or they are havi ng a lot of issues raising deposits. these accounts, even after acquisition did not have a lot of upside for us. And for our exploration and the numbers we are talking those company, we thought that it is important to pivot towards larger banks.
So when we are talking of changing strategy, we are talking about pivoting from the smaller bank sizes to a larger addressable bank, which are banks above $20 billion or $50 billion up to $200 billion, which is typically around 100 accounts. So we are foc using on those accounts now. And of course, there is an entry barrier to those accounts. It needs GSI support. It also needs

various other things. But I think the lifetime value of those accounts will be much more meaningful for our company. That is the change we are talking about.
Devang Bhatt: Sir, we have been trying this. I mean, previously also, we were doing this of targeting the larger banks. So in terms of -- I mean -- now for targeting larger banks, have you -- I mean do you have come out with some other sales strategy that was not workin g in the past, and now it will work?
Virender Jeet: Yes, absolutely. I think, first of all, even in the larger segment, we have at least been able to ge t three or four accounts. It's not that we've not got inroads in that. The second strategy is about to keep on accelerating that. And I think we have built up a different sales team. We are looking at product definitions, which are more suited for that. We are looking at working with consulting and SI companies to target those. Yes. But having said that, you're absolutely right. that has not reflected in the numbers of growth right now. So that's why I call it work in progress. But I'm very hopeful that we should be able to track it. We take a few more quarters, but we should be able to make that.
Devang Bhatt: Great, sir. And last one thing. Would you be targeting any M&A in this mature market, which will help you in garnering these larger banks?
Virender Jeet: Yes. I think we have a plan to look at some inorganic expansion for the segments which we want to address and tackle so that we get more inroads or kind of more feet on the ground out there rather than building it organically. And that is one of our pursui ts. Right now, we don't have any final contenders, or anything localized, but we are in the process of that.
Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.
Mihir Manohar: You mentioned with banks about 50 billion somewhere your larger accounts are, how many banks are there, which are more than 50 billion as of now? I mean how many clients are we having?
Virender Jeet: So we are targeting the banking base of roughly around 90 banks which fit in that. They're not megabanks and they are not the smaller banks. They are about 50. These 90 banks should be able to good enough market. And our target is to make sure that in the next three years, we have at least more tha

n 25 to 30 such accounts.
Mihir Manohar: Okay, sure. And as of now, are there any accounts over there in that range?
Virender Jeet: I think we have three accounts in that range.
Mihir Manohar: Okay. And these three have been entered last year or how was it?
Virender Jeet: No. I think last year, in that range, we have been only able to acquire one, right. One of...
Mihir Manohar: Sure. Sir, I just wanted to understand this fundamentally. I mean, as we move the value chain up to larger banks, do you need to fill more product gaps or anything around that? Or is the same product offering your applicable for larger banks? I mean, how w ould you see that?

Virender Jeet: In fact one of the reasons why we are seeing our product offering was more applicable to larger banks rather than because the platform -led play where people have want to buy platform for future users beyond the current solution. Because the smaller banks w ant to fill a need with the most price effective solution, while larger banks are looking at technology and platform for long - term use.
So we are implying that the current offerings that we have, of course, we'll be looking at complementing that, working on integration ecosystems, building more complementary features for that market. . The issue is we think the relevance of what we do is more to larger accounts than smaller accounts. That's why we made this correct.
Mihir Manohar: Okay. Sure. So basically what I understand that is the gap, which is there in GTM strategy and not product per se?
Virender Jeet: Yes, absolutely. We don't. So there will be incremental things to be done in the product. But right now, the gap is predominantly on the GTM side.
Mihir Manohar: Sure, sure. My second question was the on the trade finance revenue. What's the trade to finance revenue in FY '24?
Virender Jeet: I think we would have crossed INR100 crores or something. I'm not knowing sure, but I think if we can send you the data. But we did get around 6 deals in trade finance. And I think all deals are above INR10 crores or some of them are much larger than that.
Mihir Manohar: Okay. So 6 to 7 deals with rough INR100 crores of revenue?
Virender Jeet: But I think you can ask Deepti for a more number.
Mihir Manohar: And what was this number in FY '23?
Virender Jeet: It started maybe two deals or something towards three deals in that maybe INR40 crores to INR100 crores, that kind of a jump.
Mihir Manohar: And what kind of traction? I mean, what kind of inquiries are you seeing incrementally for FY '25 in the trade finance side?
Virender Jeet: Yes. So I think the product segment is quite hot. So there is an enquiry, but I think we are going little bit because I think it's unlike our traditional products, which don't have large implementation cycle. Trade seems to have a much larger implementatio n cycles. We are really choosing narrowed again narrowing down early our set of targeted accounts, frankly, going only after larger deals and trying to make sure that we have the right fit for all the markets.
So we are like now focusing on Middle East and India. We are not expanding drastically. So we are evaluating whether we should do it in APAC or in Europe or in U.S. Those things are on hold here. So India and Middle East itself has a large potential. So f or next year, I think that is where our focus would be and then we can look at also beyond that.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments.
Vinay Nadkarni: Just wanted one question. How has the Marvin being accepted by the AI and what is the channel response to it? And what is the revenue that you have earned out of it this year?
Virender Jeet: So see, Marvin is an expansion of Generating AI cap

ability for our own products. And it does not have a different alternative monetization stream, but it eventually creates more use cases where the product can be serviced right now. So we launched some time not maybe a few months back. I think right now, as the whole industry is damn interested in anything which is AI led or Generative AI added.
So there's a lot of interest in those use cases. We are seeing a lot of interest in horizontal matur e market use cases around AI, and sometimes also use cases lead to Generative AI. But I will not be able to -- we don't think of monetizing it separately. W e think of opening more opportunities. But at the end, we are still selling our BPM, ECM and CCM platform for solutions built around that. It's Marvin capabilities to enhance the value to the customer.
Vinay Nadkarni: Okay. One small booking question. You have 9% expenditure on R&D has been expensed out in the books, correct? That's the way you have been doing...
Virender Jeet: We always do that. Yes.
Vinay Nadkarni: And lastly, just more forward -looking things since between banking and insurance, almost 77% of your revenue comes from these two industries. I understand you're focusing on that as a primary driver. But going forward, is there any other areas that you are looking at? Because your health care and BPO has not really taken off much. So are we going to be hitching our star only on banking and finance going forward?

Virender Jeet: So you're right, banking and finance will continue to be the global leaders for us across all verticals. Healthcare is typically healthcare, healthcare insurance, which is very similar to healthcare but it's a completely a different segment, and this marke t only exists in the U.S. So we think we can build out anywhere between $15 million to $30 million business of that over the next two, three years. But beyond that, I think government is one important area where we see we can build more inro ads.
After that, our horizontal products have quite wide application across, but that is what we are looking at, either through partner sales or channel sales or through GSI, should take us to other verticals. So we do believe that our horizontal sales, which i s across beyond the banking and financial service verticals should also pick up. But we are looking at that as a different channel sale rather than a direct sales model in that.
Moderator: As there are no further questions, I would now like to hand the conference over to Ms. Deepti Mehra Chugh for closing comments. Over to you, ma'am.
Deepti Mehra Chugh: Thank you so much, everyone, for joining in for the call. For any further questions, you can connect with me, or you can go to our website. Thank you.

Moderator: On behalf of Newgen Software Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

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(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies
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Sub.: Outcome Transcript – Conference Call – Q1 FY'25

Dear Sir/Ma'am

As intimated earlier through our letter dated 13th July 2024 regarding the Conference Call of the Company, which was held on Thursday, 18th July 2024 at 3:30 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary

Encl.: a/a

"Newgen Software Technologies Limited
Q1 FY'25 Analyst Conference Call"
July 18, 2024

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
D IRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
L IMITED
M R. T.S. VARADARAJAN – WHOLE-TIME DIRECTOR –
N EWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
R ELATIONS – NEWGEN SOFTWARE TECHNOLOGIES

Moderator: Ladies and gentlemen good day and welcome to the Q1 FY '25 Analyst Conference Call of Newgen Software Technologies Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Deepti Mehra Chugh. Thank you, and over to you, ma'am.
Deepti Mehra Chugh: Hi. Good afternoon, everyone. I'm Deepti Mehra Chugh, Investor Relations, Newgen Software Technologies Limited and I welcome you all to the Q1 FY '25 results of the company. Joining with me today on the call is our management: Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Founder and Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer and Mr. Arun Kumar Gupta, Chief Financial Officer.
Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.
Past performance may not be indicative of the future performance. The company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect in future or update any forward-looking statements made from time to time on or by behalf of the company. For further details, you will please refer to the Investor Relations section of our website.
I will now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A by Mr. Virender Jeet.
T. S. Varadarajan: Good afternoon everyone and thank you for joining us for our Q1 FY '25 Financial Results Call. With the start of the new fiscal year, I'm pleased to report another strong quarter, showcasing significant revenue growth and robust financial performance. Revenue for the quarter reached INR315 crores representing a 25% Y-o-Y growth. There was good business growth across regions with EMEA region growing at 25% Y-o-Y. India at 20% Y-o-Y. APAC has come back on the growth path with 65% AOI in the quarter and U.S. region was at 13% growth.
Historically, the business has been seasonal in nature, with Q1 being the leanest quarter, though the impact of seasonality is slowly reducing to a certain extent.
We had good additions in our client portfolio and added 13 new logos in Q1. Upselling and cross-selling to our existing customer base has also contributed significantly to our revenue growth. We are seeing increased adoption of our trade, digital lending and supply chain finance solutions, driving significant revenue growth. With substantial license revenues in Q4 of last year, the current quarter marked significant uptick in implementation revenues. For the quarter, our annuity revenues were at INR201 crores.

Key orders during the quarter include: Order for retail loan origination system or a large Indonesian State Bank with an order value of INR11 crores. We are providing business financing solution to a leading Malaysian government-owned bank with a total order value of INR10 crores. In the U.S., we entered into an agreement with a commercial and retail bank for the digital account opening solution, again for INR10 crores. We are also providing a fintech on-boarding solution to a large bank in Qatar for INR10 crores. One of India's leading engineering conglomerates selected Newgen for implementation of its loan origination system.
Coming to our products and solutions, we are really excited

with the good traction and customer
response received by our vertical solutions in areas of trade, lending and supply chain finance. We continue to work with customers in understanding their evolving requirements to innovate and improve our solutions and support our customers in growth and management of their financial operations more efficiently.
Further, we are working on strengthening the insurance vertical by expanding our team, building the product and deeper solutions into the space.
During the quarter, we launched a new product, LumYn, and are very excited about taking it to the market. Newgen LumYn is a ground breaking Gen AI powered hyper personalization

platform designed specifically for the banking sector. This innovative growth intelligence system is set to enhance profitability and significantly improve customer experiences for the bank worldwide. LumYn understands and adapt to customers' evolving preferences, behaviours and live stages in real time to drive deeper engagement and drive business growth, while ensuring data privacy and security.

We continue to receive accolades and analyst recognitions, underscoring our ability to deliver value to our customers. During the quarter, Newgen was recognized in Gartner Market Guide for state and local government grant management solutions. The company has also been reaffirmed the short-term rating of CRISIL, A1 for its debt instruments.

We continue to build on our global workforce and have made additions to the senior management across the globe especially on the sales and marketing side. The quarter also saw new hiring, both campus and lateral to support our growth plans.

Strategic partnership with leading technology firms and industry alliances is helping us in broadening of the market reach and increasing the global footprint. During the quarter, we partnered with Finastra, a global financial -- provider of financial software application to offer best-in-class banking solutions for existing customers and also jointly expand the market base.

Reinforcing our commitment in nurturing talent and fostering inclusive growth, Newgen unveiled the pioneering initiative aimed at accelerating the skill development and digital prowress of women in underserved communities. The company inaugurated a dedicated skill development center in New Delhi to serve as a hub for imparting skill training and essential digital education to the mothers of students associated with the company's flagship social project, Newgen Digital Discovery Paathshala.

On profits and margins, we delivered a healthy growth in profits and expanded margins. Profit after tax was at INR48 crores for the quarter, witnessing a growth of 58% Y-o-Y. We continue to prudently invest in R&D and sales and marketing initiatives. As we had indicated earlier, the sales and marketing investments are being increased on account of key strategic initiatives being undertaken by the company.

On the balance sheet front, our net trade receivables were at INR402 crores as of 30th June 2024, which resulted in net DSO of 112 days. Our collection for the quarter has witnessed a growth of 18% Y-o-Y. We remain committed to delivering exceptional value to our customers, and stakeholders while driving sustained growth and innovation. Key focus areas for growth in the coming quarters for us include continued product innovation, scaling of operations and increased global reach, especially in the mature market and enhancing our banking and insurance solutions.

Thank you and we are open for Q&A.

Moderator: Thank you very much. Our first question is from the line of Ansh Suri from Systematix. Please go ahead.

Ansh Suri: I want to ask sir, like what was your partnership during the quarter of FY '25, like I mean this quarter partnership like the growth, what like partnership led to growth in the quarter?

Virend

er Jeet: Sorry, I'm not able to get exactly what are you referring to in terms of percentage of revenue, which has driven by partners?

Ansh Suri: Yes.

Virender Jeet: So generally, I think it remains static on an annual basis, at around 20% of revenues, which is partner-related and 80% is still direct. So with the growth is both the engines, there is not a significant shift that the partner one is going at a faster pace. So it's still at the same level as the company is growing.

Ansh Suri: Same level. Okay. My next question is that what is PAT margin?

Virender Jeet: Yes. So for the quarter, it is roughly around 15% being a seasonal quarter, it's lower in top line, while the costs are slightly more flattish for the year. But I think as you see, historically, it keeps on accumulating as the annual revenues become much larger.

Ansh Suri: Okay. So 15% for this quarter, the PAT? What is the ROE -- the return on equity percentage?

Virender Jeet: Return on the quarter, I don't have a number as the business is seasonal, but I think if you can write to Deepti on the investors, she can send you the details or you can look at the presentation.

Ansh Suri: Okay. Also I remember in the webinar, you also claimed that you launched in your product, right, this quarter that accelerated your sales and the revenue.

Virender Jeet: No, I think the products are generally very early leading stages of revenue. So predominantly banking is a prominent sector for us. So we keep on expanding our portfolio of offerings and services. And since AI as well as Generative AI, are driving most of the use cases and frightening them. So it was important that we augment our product stack. So we have launched a product for almost a couple of months back and it's an early stage of adoption. We are doing at least proof of concept with at least 2, 3 customers globally. And I think it will help overall build all product portfolio and strengthen our revenue streams going forward.
Ansh Suri: So you think that the product you launched a few months ago will really streamline the growth of the company in the next few months, right?
Virender Jeet: Yes. So I think for product companies, it's essential to keep on launching new products to be ahead of the market and ahead of the curve. So I think while some segments like if you open products in insurance or other verticals, which will expand, but in your core verticals also in core segments, you have to keep on expanding the portfolio.
Ansh Suri: Okay, I got it. And I just have one more question. I was going through it and you also said that -- so yes, this quarter launched a very significant growth, right, like a very high growth compared with the previous quarter in the results?
Virender Jeet: No, not really. I think it is in trend, it's in line with where we have been going for the last 8, 9 quarters and we have been growing in the range of 24% to 30% in last 8, 9 quarters. So it's a line with that growth.
Ansh Suri: That's very good growth. And you said your relationships with clients is good, like that's something that's contributed to growth, the consistent growth?
Virender Jeet: Yes.
Ansh Suri: We also think that you established an agreement on banks, if you remember like some agreement you established?
Virender Jeet: Yes. So I think what we also referred in that of significant deals which were acquired this quarter and that conversation was in reference to the deals we had in Indonesia, Malaysia, Qatar, U.S., India. So these are some of the significant ones. Yes.
Ansh Suri: So your global deals had an increased outreach?
Virender Jeet: Yes. We do get roughly around between 10 to 15 deals quarters. So we have 13 deals. So these are some of those significant deals.
Ansh Suri: 14 deals a quarter, but you've got 15 this quarter?
Virender Jeet: 13 this quarter.

Ansh Suri: Okay. 13 this quarter. I also -- one thing. I'm sorry for so many questions, but you also had -- talking about some inaugurated skill development center in Delhi that you -- this quarter, you launched, Delhi you will launch some center skill development center?
Virender Jeet: Yes. Ansh, that is basically a part of our CSR initiative, where we have a Newgen Discovery Digital Paathshala, where we help not only students, but even their parents to upskill themselves. So we launched a large program where we help the parents of the students to upskill themselves so that they can really contribute to the society.
Ansh Suri: Call Paathshala?
Virender Jeet: Newgen Digital Discovery Paathshala.
Ansh Suri: What did you tell Digital Discovery Paathshala. Okay. I'll just need a note on that. Digital Discovery Paathshala.
Moderator: Mr. Suri, may we request you return to the question queue for any follow-up questions as there are several other participants waiting for their turn.
Ansh Suri: Okay, anyway I'll return to the queue.
Moderator: Thank you. We have a next question from the line of Ashish Shriram Thavkar from JM Mutual Funds. Please go ahead.
Ashish Shriram Thavkar: Yes and thanks for the opportunity. Sir we had said that obviously, in mature market the product companies are not able to penetrate to an extent that they would have like to, but then on the other hand we do have a huge Middle East market also wherein also we have a very important play. So how do you compare these two markets especially given the fact that you as a company are targeting 20%, 25% top line growth and US could be a critical component of that overall growth aspiration?
Virender Jeet: Ashish, thank you for your question. You are absolutely right. So what has happened while we have kind of a leadership position in our traditional markets let us say India, Middle East and we continue to grow at a much higher pace. Our aspiration to be a larger company and capture global market that is both in US and Europe continues to be where we lead most of our initiatives of marketing and sales.
So we have grown in the US to a threshold of 75 accounts and we are pivoting the business to

really find where we get footholds to growth. This is an early stage for us also and I think though our -- this quarter's growth in the US is around 13%, but we have not really got up a handle to do a real exploration now.
Having said that, we have launched multiple initiatives, restructured our teams out there. There's a lot of strategic work happening for mature markets. While that's happening, our traditional markets continue to perform extremely strong. This time of whole crisis of IT has been completely decoupled from four regions like India and Middle East and we have grown at a

substantial pace during the last three years, four years in fact which has helped the company to maintain.
While we continue to leverage and maximize our traditional markets our aspiration to be a global leader in our area of business continues to be there and we'll continue investing in that.
Ashish Shriram Thavkar: So sir the initiatives that you talked about possibly we ended FY '24 with around 22% EBITDA margin, how much of the incremental margins are you willing to invest into all these initiatives?
Virender Jeet: Generally I think-- as you said this company delivered a very healthy gross margin because a large part of our business is a high gross one. It’s a license or an ATS or a subscription business.
So we keep on with growth, we keep on expanding margins. We have said that generally roughly around 20% PAT and roughly around 23%, 24% EBITDA that's kind of a target number we are carrying today on our mind.
And anything beyond that we keep on aggressively investing for growth that's the guideline. But as times and situations keep on ch

anging and evolving in the market we can reassess where we go. But the purpose -- the broader purpose is to build for investment, grow business to invest that for further growth, both in mature markets and our traditional markets.
Ashish Shriram Thavkar: Sir, lastly in terms of first half is usually like 40%, 45% of our full year and in terms of making our business more annuity based, when do you see our business becoming more annuity based?
Virender Jeet: So it's happening, but happening at a gradual pace because we are still driving top line growth at a much higher number about 20%, 25% which also means there's a large dependency on upfront license revenues. So I think that more and more revenue contribution coming from mature markets will shift it. Right now the primary growth drivers seem to be our traditional market where the business model is still license-based.
So the shift is not happening at the speed which we expected, but as the revenue share from the mature market starts accumulating and the size of the company grows you will see that generally it will get more smoothened out.
Ashish Shriram Thavkar: Yes. This is helpful. Thanks and all the best.
Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.
Mihir Manohar: Yes. Thanks for giving the opportunity and congratulations on good set of numbers. Sir, I mean, I wanted to understand there's a new product that we have launched Newgen's LumYn. So what is it exactly catering to and what problem is it solving in which area that would be helpful.
Second one is the Western geography. I mean IT services companies are talking about the improvement in trends specifically for Western geographies. So what does your take specifically US and EMEA region?

Do you see these geographies doing well for us for the balance part of the year versus what time we have been previously over the last 6 months? And the third question was on the fact that you just indicated about the PAT margin number of 20%. I mean earlier we used to get 18% to 18.5%, 19% kind of margins. Does it mean that our new numbers that we are looking at should be considered at 20%? Those are the questions?
Virender Jeet: Thanks, Mihir. Nice talking to you. So I think the LumYn is basically an AI-based hyper personalization platform where you can go in the hyper personalization for individual customer behaviours for upsell and cross-sell, predominantly targeted for banks in terms of either product recommendations or any other recommendations by which they can maximize their sales to their end customers in terms of whether the products could be about loans, accounts, credit cards.
So we have fine-tuned the product not as a horizontal layer of AI, but basically verticalized layer of AI where we are able to go to a bank, help them in terms of what is the information we seek them for and what is the outcome they can and where can they integrate that outcome.
As you know we are already very strong in digital lending platform and this product sits on over

the digital lending platform to add more services and finally help customers drive the banks and drive better customer revenue or better wallet share per customer in terms of upselling and cross-selling more products, that's where we are targeting it.
This product is an extension of our family. The core platforms which we have are again the NewgenONE family platform which has data sciences platform and this is one of the flavors which is an integration of data science and GenerativeAI. It is one of the cutting-edge products which has been launched I think, in the market.
There are very few products like that. So a lot of excitement in the market, but you are saying as any new things there's a lot of excitement, a lot of POCs and the business can follow over a period of time. I hop

e that answers the first question. Regarding the Western geos, I think as you are saying most of our growth over the last two years, three years have been driven around the emerging markets which is our Middle East and India and some part of APAC.
U.S. though we have grown, but it has trailed the growth rate. Right now for us as you are rightly saying there are early signs of revival of our banking the large because the large banks is one of our target customer portfolio. We see some hope, but we have not seen a big momentum shift right now out there.
So I think we will be still for this year, we'll be a bit conservative in the US. We'll still target our growth which can be healthy rate, but I don't think substantially the equation for us has changed. And again I may not we are not probably the best judges of the market because we are slightly away from that business, not like service companies.
The third is about PAT margin. You're absolutely right. I think we were looking at 18% to 19% or 20% -- roughly around 21% to 23% EBIDTA. Clearly, what is happening that as the company is growing our cost basis, our ability to -- with stabilization of manpower there is some amount

of advantage in terms of margins right now because there's not too much of churn and you are able to deliver get better productivity of your team.
So because people do affect our business in a long way. So I think we should be -- if we are able to extend our growth rates above 20% and between 20%, 25%, we should be able to expand our margins and bring PAT to roughly around 20%. I hope that answers your question.
Mihir Manohar: Sure sir. That's really helpful. Just on the Newgen's LumYn side. I mean is this product like this development which is coming, is this development coming after having interactions with the customers in the Western geography or after having interactions with the India and Middle East clients? I mean what this product will be most suited for? Will it be most suited for large clients operating out of US or operating out of digital India?
Virender Jeet: It's a difficult question to answer. The product has been originated from our current core geos not from the use cases. Though it is equally relevant in all geos, but we are right now fine-tuning in our traditional markets, India and Middle East. But we have already enough cases running with customers in US who are trying to evaluate the product for that. So it is still built from home and taken out but we hope this product is quite horizontal, sits very neatly on any kind of a digital lending platform and should be able to deliver considerable value to the end customers.
Mihir Manohar: Sure, sir. And just one last question. Are our deal sizes going up over the last 6 months, last 1 year, if yes by what percentage broadly?
Virender Jeet: So I think our average deal sizes last year has substantially grown I think, from -- around 20%, 25% because our number of deals were at the same level, but the average deal size has grown substantially. I think on this quarter it will be too early to judge about because it's a smaller quarter with smaller number of wins. So it won't make an effect on deal sizes, but I think towards the end of the year we still hope that, that trend continues.
Mihir Manohar: Sure. That’s it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.
Bharat Sheth: Hi sir. Congratulations on good set of number and thanks for the opportunity. Sir can you give some color how much currently our revenue mix if you can say which is on the annuity base and how much is AMC that do we get or do we get any AMC revenue?
Virender Jeet: Bharat thanks for asking the question. I think the revenue mix will be better to look at annual basis, but I can tell you exactly what it is roughly around

. Yes. I think annual basis Deepti could you please answer.
Deepti Mehra Chugh: On an annual basis we have the annuity revenue...
Bharat Sheth: Your voice is -- I'm getting a lot of echo. .

Deepti Mehra Chugh: We have about 60% of revenue coming in from the annuity streams. We have three annuity streams which is the ATS, AMC, the SaaS revenue and the support revenues together they comprise 60% of our revenues on an annual basis. We have about 18% to 20% in any particular year coming in from the license revenue and then we have the implementation revenue which is a service component which is again 21%, 22%.

Virender Jeet: You will have enough details if you go to the investor presentation, there's a quite a good big section about the percentage of revenues coming from various streams. .

Bharat Sheth: And sir how do we see that those are growing in which line? I mean see how much of say license revenue we are expecting to grow and second thing that within that how much it could be an annuity base and how much would be your up fronting and AMC. So if you can give some color on that also?

Virender Jeet: So Bharat the way it is right now since as I explained earlier in the question that since our business is driven both from mature markets as well as emerging markets. The emerging markets tend to follow the same revenue streams which are traditional, which is perpetual license sales followed by ATS followed with the implementation and some newer use cases and new markets are going to subscription sales.

So I don't think a large shift is going to happen in terms of distribution of that. This will continue to grow all streams at the same level, but what happens with subscription/ ATS there's a compounding effect. So generally every year a bit of that increases. On the other hand as your deal sizes are growing the service part of the business which is the implementation is also contributing to large order side.

So the implementation is growing at a much stronger pace. You will see that also in Q1 which is also balancing the growth in the subscription. So I would say for this year the overall numbers may look very similar to what they been last year as a distribution.

Bharat Sheth: Okay. And sir, what are we doing to grow in a faster pace in the mature market. I believe the profitability is much better. Is that fair understanding in a mature market than the emerging market?

Virender Jeet: This is a service gap if you put on yes because the per person realization is more, but what happens in mature markets the cost of sales and marketing and R&D are disproportionately large. So generally if you look at our peer companies spend roughly around 40% of the revenue on sales and marketing.

So it is not that the mature markets are going to be cheaper or have better margin profile. They have better gross margin profile, but in terms of net margin they are also very expensive markets. So we have done the hard work. We have already been investing for 7 years, 8 years and our base is quite strong. So what we think is right now margin is not going to be that important. We can continue with these margin profiles, they are very healthy anyway, but our growth -- so we're spending most of the market in dollars for growth and revenue.

Once the revenue reaches a particular threshold the margin will expand automatically. So absolutely right what is happening right now the most of the investments the delta investments are happening for mature markets whether they're for horizontal product sale or whether we are opening up a new vertical in insurance. So you see last 3 years, 4 years we have opened subsidiaries in Australia. We have strengthened our U.S. office. So those are the things we are doing out there.

Bharat Sheth: And sir, last question sir, what

ever I mean expenses we incur for the new product development. So do we capitalize or we write it off in P&L itself?

Virender Jeet: We expense off always in P&L. We don't capitalize any expenses.

Bharat Sheth: Thank you and all the best, sir.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited. Please go ahead.

Vinay Nadkarni: I just wanted to check up -- I have got 4 questions.

Moderator: Sorry to interrupt, Mr. Nadkarni you're sounding a bit muffled if you're using the speaker phone, may we request to use the handset mode, please.

Vinay Nadkarni: Sorry for the trouble. I just wanted to check out for the revenues that you have made this year, around INR315 crores in quarter one. What would be the breakup between the first time orders and those which are repeat orders?

Virender Jeet: So Vinay, generally at the annual basis the existing customers contribute roughly around 80%

to 85% of our business. So that also means new deals in those orders. It does not mean the repeat of business because you have to sell more. And for the same year because if you book also orders you may not be able to realize all. So for the same year, you will be only able to get around 15% in a great year between 15% to 20% revenue is the max we can get from the new logos. We call them new logos, so basically.
Vinay Nadkarni: Correct. Okay. And these new logos that you have roughly they are more in the same banking and health sector or you're getting some new logos in some new categories?
Virender Jeet: Generally, predominantly in the focus verticals, which is typically banking, financial service followed with insurance and then some amount in terms of shared services, BPOs and government. So those are our verticals and I think we continue to get logos in the same vertical.
Vinay Nadkarni: Okay. Quickly on the hiring side, how many people have we hired in quarter one? And how many -- is there any layoffs made?
Virender Jeet: No. I think we are a fast-growing company, so we need people. So what has helped, I think we have hired roughly around 500 campus people since January to until now. So they are already on board most of them maybe. There is some tactical hiring laterals going on.

Vinay Nadkarni: Okay. What is your order book size, sir now on 30 June?
Virender Jeet: So we don't have an order book at the quarter. We do provide eventually annual order book sizes at the end of what it was. So I think that you already have. Quarterly, we have the number but it does not mean anything because there is a lot of renewals which happened in different periods of time.
Vinay Nadkarni: Okay. And do you have a cash and cash equivalent number as on 30 June?
Virender Jeet: Cash and cash equivalents?
Deepti Mehra Chugh: INR850 crores with cash bank and investments put together.
Vinay Nadkarni: 800 and?
Deepti Mehra Chugh: INR850 crores.
Vinay Nadkarni: Okay, thank you very much.
Moderator: Thank you. The next question is from the line of Deepak Rao from Qber Asset Advisors.
Deepak Rao: Yes, can you hear me?
Virender Jeet: Yes, Deepak. Please go ahead.
Deepak Rao: Yes. I actually have 3 questions. First 2 questions are regarding seasonality. So could you tell us in FY '2024, what was the revenue breakup in each of the quarters? And you also mentioned that, that seasonality is getting diluted now. So like compared to, say, FY '2023 and the next year, what are the changes happened in the seasonality pattern?
Virender Jeet: Yes. So I think broadly, I can -- but you can look at the exact numbers but if I remember right I think we have moved from the Q1 generally falls between roughly around 17% to 21% of our annual revenue for the same year. And from 17% to 20%, 21%, we have moved over the last 3 years. So there is a 3%, 4% shift happening every year and Q1, Q2 are leaner quarte

rs in Q2 and
Q4, Q4 being the largest quarter. So I would say that this has been the shift has been not more than 4% over last 3 years.
Deepak Rao: Got it. So it's basically, say, 20, 20, 30, 30 or so.
Virender Jeet: Yes. So something like 20, 22 and then followed by.
Deepak Rao: The second question I have is that when we say 60% of revenues annuity, why should annuity would not be seasonal, right? So is that also seasonal?

Virender Jeet: No, you're absolutely right. Annuity is completely non-seasonal. But then- the growth is driven from the new deals which you make within the quarter or what you have done in previous quarters. So annuity basis remain the same. They almost get in revenue realization divided by 4.
Deepak Rao: Is it therefore the product sale that gets pushed to quarter 3, quarter 4.
Virender Jeet: Exactly. So basically, with all software companies globally in the license model typically, Q3 and Q4 are the large negotiated deals were they end up closing. So the lumpiness will come from predominantly the licensing across quarters as well as corresponding milestone revenues, which are linked to those licenses and really milestone revenue realization also happened in Q3, Q4 more.
Deepak Rao: I have one more short question if I'm allowed to.
Virender Jeet: Sure. Go ahead please.
Deepak Rao: The third question I have is related to the ESOP scheme. What your objective, who are the people

given this what is the scheme? And what is the impact on the bottom line over the next few quarters and years?

Virender Jeet: So see, predominantly, we have been doing this for the last 15 to 20 years making employee participation as a part of the growth of the company. And the last 2, 3 years, we have been making -- again trying to do a very broad base ESOP scheme where there is a more kind of a time based ESOP allocation to all employees predominantly on their performance, promotions and other such activities.

The quantums are small but we believe that the people who stay for long term the overall aggregate values will become bigger for them. I think what we have got, I think in the last 3 years, we have got roughly around 2% and 1% permission from the Board to add to the ESOP scheme.

Exactly on the financial terms, what is going to be the impact over the next 1 or 2 or 3 quarters on that? I think you can write to Deepti and she can exactly give you that information. But it is not very different than what we have done in the last 3 years. So there's not going to be any incremental P&L impact just because of any ESOP or a long-term incentive scheme.

Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: So actually, I wanted to understand your perspective at how your go-to-market strategy has been evolving around 2, 3 aspects if you want to address on those lines. Firstly, in terms of our expanding product offering right from LumYn, Marvin, NewgenONE and so on. And also the way we have upscale our solution scoping, we do compete lending or supply chain versus a much smaller element of the process we were doing earlier? And thirdly, from a developed market strategy perspective where our past efforts towards driving that market which not played to be out expectations. So from these perspectives, if you could share your thought?

Virender Jeet: Yes, Rahul. So thank you for the question. You almost answered the question. You explained exactly our GTM strategy. But yes, I think on a more serious note, you're absolutely right. There are 3 elements to that. I think on the horizontal product expansion, it continues to be relevant and fewer products to be considered at a global stage is top 2 or 3 or 4 products, you have to keep on investing in that.

And as you're investing, yo

u're also making the spectrum of what they cover wider, but we don't want to move away from the areas of content management, local or business process management and customer, these are the 3 areas on horizontal. So whether analytics comes Generative AI comes or any other technology comes, they get expanded and added to the same stack, which makes them relevant and also increases the deal size value because you're adding more functionality to the product.

But the larger part of our growth strategy or which comes from typically the GTM, there is typically expanding our vertical offerings. So, if you look at 4 years back predominantly around origination and account opening and lending, that was all. Today, I think we have expanded into trade as we've seen supply chain financing, some amount of what we are doing also in service request management, which is typically a large area emerging in banks.

So expanding our offerings in banking solutions as well as now we are investing currently also to go deep on insurance, both on health and general both on claims as well as origination offering. So these products are being developed and co-developed with customers right now. So this is the direct material growth driver for us because we are able to get per account realization as well as go and penetrate into more accounts.

Third, which is the most important is the geo expansion. And for this, that is typically the mature market penetration. Out there, there are at multiple strategies, how to put the horizontal product sales through partners or then how do you exactly go again like in India or Middle East? How do you go and talk with 100 banks and get the wallet share among that?

So all these 4 strategies do almost operate in parallel and at different times, they have different returns. What has fired really for the last 2 years, 3 years has been the second strategy, which is our additionally -- adding our solution sales products in banking and insurance. The other things will take time to fire or will have a different time line when they will fire.

Rahul Jain: So, I got the pulse. Just with one more element if you could share, like how you would define and redefine your sales team because -- if you generally, we see companies are either horizontal or vertical, we have markets to play where horizontal and vertical. So is it everybody carries a different type of quota from the horizontal, vertical and geo perspective? Or it's like 1 strategy for market or all?

Virender Jeet: So the GTM pursuits are completely predominantly for us verticalized. So our sales engines are almost verticalized because it's a named account targeting, which we do. So predominantly, we don't expand our named accounts beyond insurance, banking, financial services and government.

So everything else come in the bucket of either partner-led or an inbound led case for us.

So for us it's typically in our mind, there are 2 things. One is about what we go out with that means we take an x number of things, and that's what we sell very aggressively as a named account, and then there is another, which is a channel strategy or a partner strategy or an inbound strategy, which is a more horizontal product sale.
Out there, we are slightly agnostic to the vertical because the partner may have a vertical capability and we may use horizontal platform to sell our product. And this is an area we are very hopeful as the time goes, this will start contributing to a larger share of our business over the next 3 years, 4 years.
Rahul Jain: Thank you and best of luck.
Virender Jeet: Thank you. Rahul.
Moderator: Thank you. The next question is from the line of Dr. Nisheeth Patel from Nischay Healthcare Private Limited. Please go ahead.
Dr. Nisheeth Patel: Congratulations for the good set of numbers, sir. I just want to ask you one question that the new products he

re, you have launched this LumYn and NewgenONE Marvin that you have been launched last year. So how this is going to impact your top line and bottom line in the future? And how much you are expecting the revenue growth from this both products?
Virender Jeet: So thank you for your question. So I think as I already answered, just generally, when you expand your horizontal product offerings, they are typically to be more competitive, more relevant and increase the overall offering size for that. These products on their individual lines to drive a delta revenue, that happens over a more significant time.
It may take 3 years to 4 years to evolve the funnel on an individual product. So right now, we are in the early stages of these products. We hope that once the sales is being driven through these products and that picks up, we surely think that we can add to a delta. But right now, I think at the time of launch, attributing the dollar value is too premature for that.
Dr. Nisheeth Patel: And what is the basic difference between the NewgenONE Marvin and NewgenONE LumYn, is it both a different vertical or the same vertical or horizontal?
Virender Jeet: So Marvin is our Generative AI addition to our horizontal product offerings. So wherever you are doing concentration, process definition, any other capabilities you're adding when the Marvin helps you to define it better and uses the large language models to make it more efficient and very fast. LumYn is targeted for banking specifically to help them on hyper-personalization. So they are proved different that almost targeted to different areas of product.
Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. I would now like to hand the conference over to Ms. Deepti Mehra Chugh for closing comments.
Deepti Mehra Chugh: Thank you everyone, for attending the call. For any further queries, you can go through our website or you can connect with me and ask your questions. Thank you.

Moderator: Thank you. On behalf of Newgen Software Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

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(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q2 FY'25

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 1 0th October 2024 regarding the Conference Call of the Company, which was held on T uesday, 1 5th October 2024 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at https://newgensoft.com .

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary & Head -Legal

Encl. : a/a

"Newgen Software Technologies Limited
Q2 FY'25 Analyst Conference Call "
October 15 , 202 4

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR– NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
MR. T.S. VARADARAJAN – FOUNDER AND WHOLE -
TIME DIRECTOR– NEWGEN SOFTWARE
TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER–

NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MRS. ADITI PATIL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '25 Analyst Conference Call of Newgen Software Technologies Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to M rs. Aditi Patil from ICICI Securities. Thank you, and over to you, ma'am.
Aditi Patil : Thank you , Good evening and welcome you all to the Q2 FY '25 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen who are here with us today to discuss the results. W e have with us Mr. Diwakar Nigam , Chairman and Managing Director; Mr. T. S. Varadarajan, Whole -Time Director; Mr. Virender Jeet, Chief Executive Officer , Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head – Investor Relations . I now hand over the call to Mr. Deepti for further proceedings. Thank you, and over to you, Deepti.
Deepti Mehra Chugh: Thank you, Aditi. Good afternoon, everyone. Welcome to the Q2 FY '25 results of Newgen. Before we move on to the discussion, let me highlight that this call may contain certain forward -looking statements concerning Newgen's future business prospects and profitability which are subject to a number of risks and uncertainties and the actual results could materially vary from the forward -looking statements.
Past performance may not be indicative of future performance. The company does not undertake to make any announcement. I n case any of these forward -looking statements become materially incorrect or update any forward -looking statements made from time -to-time by or on behalf of the company. For any further details, you may please refer to the Investor Relations section of our website. I would now hand over to Mr. Varadarajan for presentation of results, which will be followed by a Q&A. Thank you.
T. S. Varadarajan: Good afternoon everyone, and thank you for joining us for a review of our Q2 FY '25 performance. Newgen delivered another strong quarter driven by continued momentum across our key markets. Revenue for the quarter reached INR361 crores representing a 23% Y -o-Y growth. Revenues in EMEA region witnessed a growth of 21% Y -o-Y and India region grew by 19%. APAC continues to be strong for the second consecutive odd quarter with 53% Y -o-Y growth.
We believe these markets will continue to be a sustainable driver of long -term growth. Revenue growth in U S region was at 17% Y -o-Y as we continue to work on our restructured strategy of tapping larger accounts in that market. We saw a substantial increase in license sales during the quarter, witnessing a growth of 52% Y -o-Y followed by implementation revenues.
Annuity revenues grew were at INR205 crores. While banking and financial services continue to be our core vertical, we saw an increased traction in the insurance and government segment in the quarter. One of the most significant growth areas this quarter was cross -selling within

our existing customer base. We continue to see customers expanding their adoption of our platform and solutions. This is a testament to the value of our platform offer and request our customer base in our -- as a strategic partner.
We have closed many significant deals during the quarter which includes a project of about INR 25 crores from a large insurance company in India for building their system of engagement. Providing enterprise content management solution for one of the top financial institution

in US with an aggreg ate order of value of about USD 1.5 million. Received an order from a leading financial leasing company in Saudi Arabi a with an order of value of USD 1.5 million for loan origination and collection system.

In India, we received an order from a large infrastructure financing services company with a value of INR 16.9 crores. In APAC, we entered into a contract with Singapore's leading financial institution. We added 8 new logos in Q2. Coming to our products and solutions, we are seeing continuous traction across our existing accelerator line including customer onboarding, SME lending, supply chain fina nce, payment hub and trade finance .

As part of our ongoing efforts to strengthen Newgen's footprint in the Middle East market, we have launched the Islamic retail and SME financing too. In India, our focus has been on expanding our p resence in the captive finance segment, particularly with our leasing capabilities. During the quarter, we released new versions of our enterprise content management products which are OmniDocs and OmniXtract. We also enhanced video KYC, an essential part of all digital onboarding processes.

We also increased NewgenONE Marvin APEX version. This is expect to further streamline complex workflows, enhanced customer engagement and ensure secure AI integration. We continue to receive accolades and analyst recognition. During the quarter, we were recognized in Forrester's Task -Centric Automation Software Landscape for Q3 2024. We were also recognized among notable vendors in the Content Platform Landscape of Q3 2024. We remain focused on executing our long -term strategy in building key competencies across our product line and customer -facing and implementation teams as businesses increase embrace digital transformation.

We are ensuring that we are all well positioned to support them with the right skills, expertise and product innovation. We continue to invest and build internal capabilities in critical areas such as AI, Gen AI and machine learning which are becoming essential to modern enterprise software. We continue to invest in and develop our global workforce and their training and development programs. Continue to work on our strategic partnership with lead ing technology firms and industry alliances.

During the quarter, we announced continuation of our strategic partnership in Fadata a trusted core insurance solution provider. The partnership is aimed at helping insurers achieve centralized systems and effectively handle complex and content -rich processes. On profits and margin, we witnessed a growth in profit and expanded margins. Profit after tax was at INR 70 crores for the quarter witnessing a growth of 47% Y -o-Y.

Our increased investment in com petency development is reflecting in our R&D and sales and marketing expenses. R&D expenses were at 9% of revenues for the quarter and sales and marketing expenses were 22%. On the balance sheet front, our net trade receivables were at INR442 crores as of 30th September 2024 which resulted in net DSO of 117 days. For the 6 - month period, our revenues were at INR676 crores witnessing a growth of 24%. Profit after tax was at INR118 crores witnessing a growth of 51%.

As we look ahead, we remain focused on driving innovation, expanding cross -selling opportunities, adding new logos an d continuing to grow profitably. Thank you very much. We are now open for Q&A.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Ruchi Mukhija from ICICI Securities. Please go ahead.

Ruchi Mukhija: Congratulations on a good set of numbers. I have two questions. Firstly, if you look at the APAC has seen a 50% plus growth for second consecutive quarter. Sequentially, also there is the recent growth for second consecutive quarter. Thi

s appears to be supported by a large project ramp -up. So, is this ramp -up complete or likely to continue in the near future?

Virender Jeet : Ruchi, thank you for your question. You are right. So, what has happened, the APAC has grown this year on a base which was weaker last year. And predominantly in both the quarters, we have got substantial license deals out there. So, these are typically wins which have resulted in a higher growth rate on that. Also, the orders which we have received are in the process of execution. They will be executed over the next 18 months and they will ha ve a long-tail revenue to them, b ut predominantly to reflect on the growth of the H1 is on account of license wins and new logo acquisitions out there in that market.

Ruchi Mukhija: Understood, sir. Secondly, annuity -based revenue this quarter has registered 14% Y -o-Y growth which is softer and has fallen below 20% mark after 10 quarters. So, could you explain the reason and how to think about the trajectory going forward?

Virender Jeet : Yes, I think this is slightly more comple x to discuss because there are two factors broadly there. One is predominantly our shift in US from lower accounts to larger accounts has also -- we have closed down a lot of existing accounts in small values which we re typical contributors

about the SaaS business, that's one part of it.
So, unless the momentum of logo acquisition starts in US, the annuity -- new logo acquisition on the annuity side will be softer because most of the other markets, the sales is happening still on the perpetual side. The second contributing factor is that if you look at deeper in the data, you look that the ATS growth has been a bit muted compared to historical levels. And this is on account of a lot of lar ge wins over the last at least five quarters are typically very long -tail businesses. Their execution cycles have stretched.
Thus, our ability to start realizing the ATS revenu es have been limited out there, b ut we are hopeful that this quarter and next quarter, we should be able to close some of those deals and the ATS bucket should grow. So, as Newgen has pivoted to larger deal sizes, they have

correspondingly reflected in larger execution cycles and that slightly delayed our realization of our subscription revenues.
So, two factors, mature market sales, especially in the US on licenses which is slightly less than the run rate of our business and longer business and execution cycles, which have muted down ATS. We think it's a transient af fair. It may last for one or two or three quarters, but I think we should -- the nature of the business is, it keeps on compounding annuity irrespective of what we do. So, I think as a matter, it may be -- we may be able to recover it in one or two quarters and come back to a healthier growth rate of annuity.
Ruchi Mukhija: Got it. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Aditi Patil from ICICI Securities. Please go ahead.
Aditi Patil : Thank you for the opportunity. So, I have a question on order book. How has the order book grown in FY '25? And can you give some color on deal pipeline?
Virender Jeet : Yes, so Aditi, thank you for your question. So order book, generally, if I remember the numbers right, has grown by roughly around 20%, 22% for H1 for this part of the year which is -- and also you should understand this is not the pending order book, some part of it will be executed and some would b e also pending to be execution, b ut if you look at just linear order book growth that has been roughly around 22% for H1.
On the pipeline side, I think broadly as you see the business, we have the traditional markets, they continue to grow. The deal sizes keep on going bigger as well as our financial services base is becoming slightly wider with the offer

ings like trade or service request management,
they're making the offerings wider, b ut what is more interesting or what we are excited about to slightly diversify, it is getting more business in insurance and government.
We have invested some amount of energy in the last 2 quarters in building capabilities in that, ramping up sales teams. And we think the insurance and government also in subsequent quarters should start contributing in a meaningful way to the business. So, we are very excited about the whole funnel and especially about the new initiatives we are launching with that.
Aditi Patil : Okay. Sir, this insurance vertical growth, are you -- will you be seeing that across your traditional and developed markets? And have you launched any new products or new products in pipeline with respect to insurance?
Virender Jeet : Absolutely. So, when we take a vertical, we have completely looked at the potential of that vertical across all markets. And I think we are investing in building solutions in what we call accelerated products in all markets in terms of looking at integrations and local ecosystems, looking at integration with third -party systems or core insurance providers. So, we have really built product lines, which are more fitted for these each individual market separately because what happens in enterprise product, lot of integration ecosystem changes from market to market and also the digital tax change from market to market.

So, we have invested and the work is still going on. It's not that we have completed all the product lines, but we are ready to go to the market with them now in most of these use cases.
We are opening up pipelines in APAC. We have started building pipeline in India. US is showing some early signs of good healthy pipeline.
Though we have not closed a new insurance deal out there so far, but we do expect in next two quarters, we should be able to have some good wins out there. So, it's broad -based, and we are building it as one more like -- exactly like banking, we want to build over in multiple years, a large vertical for us.

Aditi Patil : Okay. Got it. And can you talk about your progress on winning large clients in US and how many mor e logo additions have been in U S in this quarter?
Virender Jeet : Yes. So, on the US, I would broadly summarize it in work in progress. And though we have -- as I told you, on the large client side, we have already got deals. So, the ability to get these customers and as well as our products being helpful to those customers have been established. But the deal velocity in the US is slightly muted. It's a bit slow.
We are still hoping that both the insurance and banking as well as health initiatives in US start firing in Q2, so second half of this year, and we are able to get some more deals. But right now, I would classify it as work -in-progress rather than -- so right now the business is still relying heavily on our emerging markets. And we are hoping that our investments in mature markets start showing results in next two quarters.
Aditi Patil : Okay. And so, we have seen a strong traction in banking in India and EMEA, like this quarter, the banking revenue, if you see Y -o-Y growth is slightly lower than the company average growth. So, should this traction in banking sustain in the medium term, like can you give some commentary on that?
Virender Jeet : So, I think it's -- the quarterly growth rate is a factor of many things. We don't, as a company level, see any change in the market dynamics right now or the opportunity funnel size. On a single quarter, one license deal can change the number from 17% to 27%, so I think that's why the quarterly, the numbers are still. Having said that the kind of momentum, which was there for the last 2 years on financial services, especially in India, has -- is slightly because we have

also penetrated in a lot of accounts and now, we are diversifying in other solutions like we talked about capital finances. And we are looking at still larger deals in trade and captive finance area.
So, I think some of those deals will start coming in the second half of this year, and we should be able to recover the growth rate. In Middle East, I mean, I think Saudi is still not showing any signs of weakness. We are out there really, really working on very large deals, some of them should come in now. I would broadly say that right now, I don't see any concerns that there's any kind of a slowdown or a momentum shift in financial services in India and Middle East.

Aditi Patil : Okay. Got it. Okay. And I had one last question on what has been the response for the LumYn GenAI product which was launched last quarter and in general on AI and Gen AI like is there -- what has been the response of your clients?
Virender Jeet : See the client there's an enormous interest in every industry and every opportunity around AI in general and also lately generative AI in specific. So, our ability to drive these use cases through AI is really showing a great traction in it and also opening new kind of opportunities in these accounts. But having said that, there is also a kind of what we call there is an interest and then there is business. So, the interest should translate into business downstream, so we do see opportunities, all opportunities having a strong flavour of AI. But we don't see opportunity here just which are completely AI -led.
So, you have lending, which has to be transformed through AI, but you will not have an AI use case independently running in the market. Too many of these, we don't see. Health, both in claims and onboarding, there ar e great use cases of AI and Gen AI, which we are servicing. We have recently tapped into an industry, which is about what we call regulatory frameworks and how Gen AI can support those regulatory.
I think we're building a strong funnel on that, so it's a work in progress, I would s ay, but without AI today or Gen AI being in the first two slides of any corporate presentation on any account, I don't think we'll do a great job. The customer is demanding that to be at central to all the use cases he's implementing.
Aditi Patil : Okay. Got it. Thank you.
Moderator: Thank you. The next question is from the l ine of Pranay Roop Chatterjee from Burman Capital. Please go ahead.
Pranay Roop Chatterjee: Thank you for allowing me to speak. Good evening. Am I audible?
Virender Jeet : Yes, Pranay. Please go ahead.
Pranay Roop Chatterjee: Sir, this is the first time I'm interacting with your business. So if you could just help me -- and my first question is basically trying to understand your business, I've gone through all the public filings, but if you could just in simple words, for someone who doesn't belong to the sector, help me understand what is the type of client you are trying to serve and what is the exact problem you are serving for them, right? And I've seen your R&D is also high on you have various patents, so what is the IP that differentiates the business. If you could just help me understand in simple words ?

Virender Jeet : Yes, Pranay, I'll try because it's a long story, but I'll try to -- so Pranay, predominantly, we are a software product company. That's why you see a huge investment in R&D as well as patents, that's a part of. So, all our sales across whatever vertical or whatever solution we are talking is led by sale of our software licenses. And then, which eventually ends up followed up with other revenue streams like what we call services, implementation, support or any other things of that. So predominantly a license -based business.

The end cust

omers, which we are targeting are generally enterprises, the larger enterprises. So, our sales model is B2B. It's typically an enterprise sales model. And the kind of problems, which we solve for these enterprises are in financial services is the larger part, almost 70% of our business comes. So, we end up solving problems about customer servicing things like how a loan is processed, how a loan is approved, how an account is opened.

So, we sit between their core infrastructure, their systems and their users, where users, whether they're internal, external and orchestrate their journeys. So predominantly a bank would look for us to orchestrate and modernize their digital journey for -- whether in any process, whether in customer service or customer origination or any -- more complex processes like trade. That's our business.

The same product is sold to all customers and all use cases predominantly with frameworks of implementing the customer's use case over that. So, I have the same product being sold to insurance, banks, government, health or any other segment. So, I will stop here because explaining the business beyond that will take much more larger time.

Pranay Roop Chatterjee: Got it, sir. That does justice. So then continuing from that, would you say you're in a space where -- which is highly competitive and you will have to fight for a contract with multiple clients or is this a space where you are relying on specific solutions that you are developing for specific clients? And hence, the focus is essentially just on business development, that is signing new clients and then you build specific solutions. Like how is this market that you're operating look like?

Virender Jeet : So, any products -- so basically, the product space we operate is called broadly enterprise content management, business process management. This is a contested space. It's a product space. So, platform products are generally companies who have been there for 15, 20 years, they operate. In every such area, we have four or five global players who compete with us. And then what -- depending on what markets and what use cases you are strong with; you end up becoming having more stronger muscle to sell in out there.

So, it is typically, from our perspective, it's a sales and marketing -led initiatives to go and sell with R&D -based core product as a differentiator of how you solve your problems to that. So, it's a highly competitive space and you differentiate by your ability of your product and the ability of our team to service the use case.

Pranay Roop Chatterjee : Perfect, sir. Sir, my last question is what does a typical contract that you sign entail, right? So, let's take the largest segment, which is your BFSI space and a typical contract, which is like something that you do more often than not. Like how large a contract are we talking about that you usually target in terms of range? What is the contract life? And what is the recurring portion in the contract? Like which streams are recurring? And do you see over time or do you focus on increasing the recurring portion in your revenues? Is that even possible?

Virender Jeet : So Pranay, basically, what our deals generally on an average when we enter an account vary between somewhere around $700,000 to $2 million, on an average. There are larger deals and

then there are smaller, but this is an average framework. All deals initially are roughly around 60% license fee and some 40%, which is called implementation charging, which is to configure the system for the user.

Beyond that there is a 20% annuity, which customer pays on this fee to maintain and support, have right to upgrade. Thus, the nature of the business is every time you end up selling, you end up creating some compounding effect. As long as the percentage share of your license to your revenue stays in

the healthy ratio that every deal you are making 50%, 60% license say, your annual annuity keeps on growing at a better rate than your growth rate.

But if your service revenues become larger than the annuity just compound, but does not

compound at the said rate. So, the nature of any software license or a subscription business is that annuity compounding does happen. Does that answer your question?
Pranay Roop Chatterjee: Yes, so that answers my question very well. Thanks a lot for be ing patient and great set of numbers. All the best.
Virender Jeet : Thank you, Pranay.
Moderator: Thank you. T he next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.
Mihir Manohar : Congratulations on a good set of numbers. Sir, largely, wanted to understand the Newgen LumYn side. If you can throw some color as to which area is this particular offering exactly trying to solve? Is it trade finances? Is it working capital? If you can just throw some color on what is the use case and application over here, that would be helpful. And second question was on the restructured strategy. I mean, you mentioned that the restructured strategy of tapping larger accounts is playing out well. So, if you can throw some color around the internal KPIs that we are tracking to get more confidence on this thing ?
Virender Jeet : Mihir, thanks for asking that. So first off on the LumYn, so predominantly I can tell you what the product does and where we target it. Predominantly, what LumYn is a product, which let's use the traditional machine learnings, but exposes it thr ough a generative UI interface. S o that you could almost do, what we call brainstorming or you could do a very interactive discussions with the end business systems you have. So, where we position it?
We are right now positioning it wherever the customers find opportunities to either segment their information for cross -sell and upsell. So, discovering, which are the right opportunities for cross -sell. So, we have a variant of LumYn which we call Harper which is used in retail. LumYn, we are targeting predominantly in financial services f or cross -selling and upselling. So that is where the broad -- but the product is very horizontal. It can be applied to many use cases, but we are trying to go to market initially on identifying these use cases. So predominant usage is going to be in retail journey or in the journeys like collection. We are not using right now on trade. Trade, we have a very different product, which is about document analytics. That's a very different product. So that's about the LumYn.

On the shift of strategy, I think, what predominantly if you look at some KPIs internal -- and linking into internal goals and KPIs, our core strategy has been on two things. One is about changing the increasing our average deal size every year. And then also getting the number of logos from mature markets. That is broadly -- because that ties up in terms of what we want to do.
What we have shifted out is that we have shifted out from ability to what you call in terms of giving options for our salespeople to go and sell at a lower price in terms of certain accounts. That means they have to pivot towards larger accounts to make those larger deals. Now if you look at last 3 years data, our new logo acquisition or number of deals in general have been always flat, but we have grown at about 25% consistently on that and the reason it is that because we have changed the per deal size about that.
So, the KPI is not based on the strategy of shifting out, the KPI is more based on the revenue and number of logos and how the revenue in terms of annuity thresholds of those logos coming. But the result of all that is that finally, we have to make sure that we are able to get business sizes up in these geos.
So, what has

happened in that the traditional markets have responded very well to that and we have got much larger deals in Saudi, much larger deals in India, APAC. U S, we have got the inroads in some large accounts, but we have not had the follow -up sales at the same velocity as in these markets. So that's why you see the market lagging at between 16%, 17%, 18% of growth. So, it does not match the growth rate of that.
Having said that, we are hopeful that in next two quarters, we should -- with both insurance, health and banking kicking in slightly we should be able to get some more new logos and build the momentum.
Mihir Manohar : Sure. That's it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Mohit from Oculus Capital. Please go ahead.
Mohit: Sir I wanted to ask that in the opening sentence you said that you guys are seeing good traction from the government and the insurance sector. And after that you said that you have cracked some large deal worth INR25 crores from insurance companies. So firstly, are you in talks with some other insurance companies? And as you said, you are seeing a good traction from insurance sector, so does that -- does this INR25 crores order categorize a large portion of that inquiry, which you are seeing or you are seeing from other players also?
Virender Jeet : Thanks, Mohit. So Mohit, when I say that we are looking at government and insurance sector,

we are looking at building. If you look at today's revenue share of government and insurance in the company, it's less than 20% of the overall business. So, our aim is to make it to a much larger. We want the government and insurance together probably to reach around 40% of our business, which does not mean that it is tied to one deal.

So, the deal we are talking about insurance is a large deal, but that is not what we are referring to. We're referring to a broader funnel, which we are building across markets like India, Middle East, APAC and U S in insurance. And also, our initiatives of government, especially in markets like Singapore, Saudi, Kuwait and some amount of -- also in India, which we are hopeful that the market will recover.

So, we are talking these as a broader strategies to really build sizable businesses in these areas. And what we are excited about is the funnel, which we have started to build in these cases and some of the early interest and early wins we have got on that. We closed the deal of insurance this time in Middle East. We closed a deal of insurance in India of that. So, these are 2 good deals and they are sizable deals.

Similarly, we closed the deal of government, one in the Middle East, and we expect next quarter also to have some more strong momentum on this. Thus, we expect this to be a kind of a growth driver going forward.

Mohit: Okay. Also does that INR25 crores deal which you have bagged with some large insurance companies, is this from the Middle Eastern region or it is from India?

Virender Jeet : So, this deal is from India. This is from India market. A part of this revenue has come in as license, but the subsequent part will be executed over the next 18 months.

Mohit: So, it's an 18 months project?

Virender Jeet : Yes.

Mohit: Okay. And my second question is that in the Middle East sector -- in the Middle East market, you said that you want to grow and you are seeing some good footprint there. So, wanted to know that which area or which region are you specifically targeting? And in which domain do you want to grow your footprint?

Virender Jeet : Mohit, we are already in Middle East in a large way. It also -- it almost gives us 37% of business. We are almost established in all countries, so there's no new region. It is the same region, so -- but the business -- predominant business, which we do is from countries like UAE, Saudi, then some a

mount of business from Oman. And then, lately, we're also looking at Qatar and Kuwait as the market.

Beyond that also, Africa countries like Nigeria, Ghana, they have been strong countries for us. And Kenya. Kenya, we have got at least 6 of the top 10 banks. So, we are looking at that in the same market, but we are also looking at more use cases in this banking as well as getting more revenue in insurance and other segments.

Mohit: Okay. Thank you so much sir and all the best.

Moderator: Thank you. The next question is from the line of Mohit Motwani from Tara Capital Partners India . Please go ahead.

Mohit Motwani : Hi. Thank you for the opportunity. I'm fairly new to the business. I have two questions from my end. One is on your US mature -- on the mature market side, you said the US is relatively showing some weakness. So just wanted to understand if this weakness has been experienced on the industry -wide across all other -- of your peers as well o r is it -- and is it because of the tough macros?

And that is the first question. And then secondly, some of the IT service companies have spoken about some green shoots and recovery around the BFSI space. Now is it that the spending on software products comes on the lower packing order for these banking companies in these US markets o r how does it work there? If you can shed some color around this?

Virender Jeet : So Mohit, thank you. So, first of all, Mohit, our peers operate slightly in a wider and a very different business and we are still in a product business focused on typically transformative products. We are typically -- while our peers look at the larger business and their business is more mapped directly to the industry. Having said that, there are two things. One as we have pivoted to larger accounts then our peer accounts and our accounts tend to be same, so their behaviour tends to be same.

So, they have the same problems. If they're not spending, then they're not spending also on

new initiatives. So I hope that there is a correlation on that, b ut today also at the size we are and the kind of challenges we take for ourselves in terms of growth rate, we still think that we are decoupled from a larger problem in an industry we need to first make sure that we establish ourselves, get our first 5, 10 large ban ks and then replicate from that.
And then we can look at -- once the accounts are very large, then we can look at whether we are connected, so I don't really -- I'm not the right person to answer that because we don't operate in the industry of our peers. We are still a very niche product company solving problems, very specific problems to our customers on that. So green shoots of BFSI, again, I have the same opinion. We have been always with customers' interest in the product kind of which we propose has been always there.
What we have found challenges in our ability to close in terms of the conclusion of those deals happening, that's taken really a large time. So, I'm sure if the market and the economy overall recovers, if some amount of diligence cycles become fast, then we should be able to see better results. But beyond that I really don't have that much of insight into what's happening broadly in the market.
Mohit Motwani : Sure. And one more last question. So today, your revenues are largely linked to banking side of things. Do you expect that this mix will change in the coming years and your insurance and other verticals will gain up in proportion to the overall revenues in the coming years?
Virender Jeet : Yes, we hope. See, we have drawn an internal plan to kind of build the insurance and government business to a largest number. But having said that, we still think that banking will keep on being the largest segment. Whether it's 75% or it becomes 60% of the market, that will

depend on how fast we can scale the other businesses along with that. But the idea is exactly to at least have a substantial dollar value coming from insurance as well as government.
Mohit Motwani : Sure. Thank you for answering my questions. Thank you.
Moderator: Thank you. The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain : Thanks for the opportunity. J ust trying to understand that what are the initiatives we are taking to ensure that our pipeline continue to enhance given that we grew by 25% ballpark and the size of it? Also in terms of scaling up the deal sizes, what are the initiatives we are taking because as we become a slightly larger organization than what we were a couple of years ago, we need to increase the size of the deal to ensure that with a similar win rates, we end up growing much larger entity. So, any initiatives on these fronts that you could talk about?
Virender Jeet : Rahul, thanks for your question. So predominantly, Rahul, what it is -- so for us, the way it has worked in the past is exactly what we are doing in the future. As we are deeper into the verticals, we end up creating more new solutions and making our offerings very wider, especially if you look at banking or insurance, we have more products to offer.
So, what amount of our deals -- we see the products which we have created, whether it's capital finance, digital learning platforms, trade finance, these itself tend to be larger deal sizes. And then we have opportunity to not only go and upsell it in our accounts, but also go and address -- sell the same things into new logos. So, one way of increasing our funnel or deal size or what you call the overall coverage is to create more offerings in the same verticals...
The second thing which is predominantly driven over by investment in sales and marketing, which is a substantial investment is to go wider in the market and so -- because still globally, there are more than 50,000 banks, we are hardly in any number, so there's a huge market to be captured. So, we do both from geo expansion. We look at more -- many -- better penetration. In that cases, we are doubling down on initiatives, which are really helpful to do lead generation in that.
The two larger things which give returns on every company today is digital. So, our digital budgets keep on growing and our digital plans in terms of enhancing how can we get more of inbound through digital channels. And second is typically being in front of the customer, that is our ability to be in analyst quadrants, all the events, industry coverages. That is what we are doubling on. We are increasing our budgets in marketing our go -to-market activities so that we are having the larger funnel.
So, one is the broader coverage of the market as well. The second is typically deeper penetration into each of those accounts by having more solution offerings. These things have really worked for us over the last 5, 7 years, and that's what we keep on doing.
Rahul Jain : So yes, one interesting point that you mentioned is that mining the same account by scaling up more offerings within the same customer base. So, have we seen several such inferences where

people might have started with a smaller deal, but then we have sold them loan origination or
trade supply or bigger products compared to the process offering that we initially used to sell a
couple of years back. I'm sure there are good case study, but are there meaningful upsell that
would have happened? Anything that you could share on that front?
Virender Jeet : So, Rahul, exactly like that's core of our business. So, if you look at our growth targets of next
year, we almost rely on 50% of that growth coming from upsell to our existing accounts. And
that historically, if you look at

also today, number of deals, which we come up -- when we talk
of new logos, we may have anywhere between 10 to 13, 15 logos a quarter. But then if you
look at deals, we may have more than 25 deals in a quarter, and those other 12 deals are in the
existing accounts.
And those existing accounts deals are of sizable deals. And I think if you look at even the
disclosures, which come in terms of materiality, they're equally spread, both in new deals as
well as existing deals. So, there's a good evidence and history. And in fact, this is a core of our
business, our ability to go and upsell. We remember accounts, which started with the kind of
an annual revenue of INR1 crore s, a large bank, now going up to annual revenue of INR20
crores, INR25 crores. And this has what happened in one account, this has happened in at least
tens of accounts for us.
Rahul Jain : Yes, Jeet. I completely understand what you said and we appreciate that. What I was
specifically referring to some of your larger offerings that have become more recent, for
example, like trade supply or loan origination bigger -- I mean to say, cases where the deals
were much bigger relati ve to your historical benchmark?
Virender Jeet : Yes. I think 80% of the large deal both for trade or digital lending have come to existing
account, 20% have come to new logos.
Rahul Jain : Right. And there are more win rates even after going live because that is what would be the
key metrics, whether they -- are they moving from one module to more, something like that?
Virender Jeet : Exactly. So, I think that's -- because if they become still, they're not going to buy the next
product from us. So, every 2 to 3 years, you have another very large deal happening. But even
between the 2 to 3 years, there are other components being sold, whether they are horizonal
product components or oth er smaller solution components.
Rahul Jain: I appreciate it. Thanks. That’s it from my side.
Moderator: Thank you. The next question is from the line of Deekshant B from DB Wealth. Please go
ahead.
Deekshant B: Congratulations on great numbers, sir. So, my first question is basically, since we are so much
catered to the banking side of the business and we have helped them grow in a lot of ways,
that's why they keep giving us good -- bigger deals. Can you just highlight one or two
particular products that help our clients grow, that's why they are coming back to us. The idea

of asking this question is for -- we can understand that what makes them keep coming back to
us and growing this so that we can make this cycle bigger and bigger as the time goes by ?
Virender Jeet : Okay. So yes, Deekshant . So just one way to explain is to understand what we sell.
Predominantly, what we sell to the enterprise is a system which is called -- our product is
called NewgenONE or iBPS and OmniDocs. This sits between core banking, where all other
systems and all other people and interfaces.
So, what happens in any digital transformation project which they take that is broadly
implemented on this platform, for most of the use cases. So, once you implement the use case,
the way that they are buying this is, they're buying this platform to make sure that they don't
have too many software’s and too many vendors.
So, if you are able to make a successful case, it became natural to go and implement another
case from the same platform. Because finally, it's typically a low -code way of doing it. It's
loosely coupled, it's built for change rather than going and buying point solutions. So, our story
and journey for all these 15 years has been that once you have become -- you've implemented a
product, which the bank's users or insurance users are using.
Whenever there's a next opportunity to transform the journey or transform the journey in
another area of business, they end up leveraging the sa

me platform. So, we end up getting an
ability to go and upsell more licenses because of usage as well as customer ends up using the
same infrastructure and leverage the same knowledge base, which is around the system for

other processes.
So, the examples would be, if you look at 10 years back, we were selling something like around systems of centralization or what we call a BPM or workflow systems. From that we pivoted to lot of systems where we sold about what we call digital onboarding. These days, it's our end -to-end digital retail or trade or service request management or collection systems, so these are examples. So, most of our marquee clients you will at least have three or four of such solutions rather than one.
Deekshant B: So, if I'm understanding you right, is this -- so basically, we are selling them a better efficiency for their team rather than helping them gain their sales directly. So, it's indirectly because their efficiency is slowing, their team is able to make more sales by increased efficiency. Is that the idea?
Virender Jeet : Yes. So basically, we are directly putting systems. So basically, we end up selling where the customer is implementing systems for growth and the growth is driven out of two things. I think 10 years back, it was driven around centralization, which is about efficiency, what we call turnaround time. Nowadays, it is our build around engagement straight through, low -touch, no -touch.
Can you reach customer, can you solve a loan in half a day, can you open account immediately? So again, it needs an orchestration. So, to open an account instantly, you need to reach the customer, you need to orchestrate the journey, you need to integrate with all the

digital stack. You need to implement complex workflows and corporate rule engines through a single platform. So, in -- so this is exactly what we do.
Deekshant B: Okay. My last question is on our general cycle on our profitability and growth cycle, so on the accounts we see, sir, the second half of the financial year, we have more sales and earnings realizations. Is that correct o r is it -- am I looking at it the other way?
Virender Jeet : I think this business is slightly back -ended towards Q3 and Q4 where larger license deals end up happening. It's a history of every software license product company which has perpetual license. So roughly around -- our distribution today is roughly between somewhere 42% to 44% in H1 and between the corresponding remaining in the H2 part of that. So, we do expect that even this year, it's going to be slightly back -ended on that. And -- but as the company becomes a little bigger, I think, this whole SKU is slightly shifting and reducing slowly.
Deekshant B: Got it. Can I ask a follow -up question, please?
Virender Jeet : Please go ahead.
Deekshant B: So, the growth that we are expecting and that we are so much focussing on. You said that the new labels that we are -- we don't focus on new labels as much rather than we focus on making our existing business grow. In the next 3 years, is the goal remaining the same that we are going to focus more on existing labels o r is it going to be much more that we will now focus on getting new customers o r is it in tandem, both things are going to go side -by-side?
Virender Jeet : Yes, Deekshant I think, probably you got me wrong on that. I think what I said, the potential is large in existing account and we have an ability to grow, b ut our predominant effort in sales and marketing is for new logo acquisition. I think we measure our success by our ability to win new logos. And because that is where our larger -- because once you win a logo, all other stories unfold.
You are able to sell, you are able to upsell, cross -sell, b ut if you don't end up selling to new logos, you will not be able to grow beyond a particula

r point. You can grow for short term. So, our whole focus is predominantly, you can say 70% is on new logo acquisition and 30% is on mining.
Deekshant B: Thank you so much sir. Best of luck to the team.
Moderator: Thank you. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.
Chirag Kachhadiya: Congratulation on a good set of numbers. I have a couple of questions. So, a few years back we were guiding that we hav e an intention to reach around USD 0.5 billion kind of revenue in the next couple of years. Is that still intact? And by what are we aspire to be there on the milestone which we've spoken earlier?

And second, the number of logo addition, which we are providing every quarter in the presentation, how many of them are active and giving business on a regular basis at aggregate level whichever logo we have disclosed so far in the presentation? And third, what average engagement size are we looking whenev er we empanel any logo with us a nd even from the current empanelled logos and from potential on e? Yes, that's all from my side?

Virender Jeet : Chirag, t hanks. So, our ability to reach USD 500 million depends on our ability to execute. The business has got enough potential, the market segment and the addressable space for us is quite large and we have seen peer companies in other markets, especially in geo markets, in geos like US have reached revenues of 500 million a USD 1 billion and they have started almost either slightly earlier than us or slightly later than us.

So, the market potential is there. We have drawn aggressive plans for ourselves. We have aligned the strategy for that and we are aggressively investing on that. As the results start unfolding, as the areas start giving us returns, you will see that the revenue mix and we hope that our growth rates start accelerating from even the current growth rates out there, b ut pinpointing exactly a date and year is something, which is -- it's an aspirational plan.

We have to translate that aspirational plan for execution, but we have not completely translated into a target in a number of years. So, I think you will -- if you track the story, I'm sure that in the next 3, 4 years, you will see that we are not very far from there. On the logo retention, the number of new logos is or whatever number of logos are the logos, which giving this business. That's how we count it. And we don't count anything else who does not give us business. Our retention rates are pretty high for all businesses which are sizable size.

So, anybody who's giving us a recurring business of INR50 lakh, we almost will have 95% to 98% retention. So, on the smaller logos or what you call partners which we are pivoting up is a higher churn rate. But roughly, I think today we may have somewhere between 520 to 540 clients which are typically you will see they will keep on growing by 20, 30 clients every year as we are now pivoting to more larger deals.

Our engagement size of -- preference of engagement size is broadly to understand that we generate at least an annuity of 100,000 to 200,000. So that means any deal between 500,000 to 700,000 to start with going up to 2 million is the sweet s pot where we do business today, b ut then there are deals, which are sometimes smaller than that or predominantly larger than that, so that's where we are. I hope that answers your question.

Chirag Kachhadiya: Just one follow -up if I can. So, going forward the health care practice, what percentage are we looking to have in overall pie, similar to the portion that we have at BFSI rig ht now o r is the second order will remain on the health care side rather the BFSI?

Virender Jeet : So, we are predominantly looking at three verticals. One is banking and the other is insurance and health care also we look at health i

ns urance market. It is not health care as a segment. So, when we say health care, it's about payers and payers and predominantly in the US. This market is more active out there. So, these markets we expect to get us multimillion -dollar

businesses, but still we think the banking is going to be predominantly large numbers. They may struggle to reach a size of banking, unless we really hit a jackpot about some industry and we replicate very fast.

But I hope that insurance and including insurance health and government should be sizable and material businesses for us. And we do expect in the next 3 to 4 years, they come very close to banking, maybe they become -- both together become equal the size of banking.

Chirag Kachhadiya: Thank you so much. All the very best.

Virender Jeet : Thank you very much .

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of our question -and-answer session. I would now like to hand the conference over to Ms. Deepti Mehra Chugh , Head of Investor Relations for closing comments.

Deepti Mehra Chugh : Thank you so much everyone for joining us for the call. For any further questions, you can connect with me or you can go to our website. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: Jan 2025

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Date: 23rd January 2025
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(NEWGEN/INE619B01017) Scrip Code – 540900 Ref.: Newgen Software Technologies
Limited (NEWGEN/INE619B01017)
Sub.: Outcome Transcript – Conference Call – Q3 FY'25
Dear Sir/Ma'am
As intimated earlier through our letter dated 14th January 2025 regarding the Conference Call of the Company, which was held on Monday, 20th January 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.
The transcript of the said call shall be made available on the Company's website at https://newgensoft.com .
This is for your kind information and record.
Thanking you.
For Newgen Software Technologies Limited
Aman Mourya
Company Secretary & Head-Legal
Encl.: a/a

"Newgen Software Technologies Limited
Q3 FY '25 Analyst Conference Call"
January 20, 2025

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING
DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
M R. T.S. VARADARAJAN – WHOLE-TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Analyst Conference Call of Newgen Software Technologies Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note

that this conference is being recorded.
I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you, ma'am.

Aditi Patil: Thank you, Alaric. Good evening, and welcome to the Q3 FY '25 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen who are here with us today to discuss the results. We have with us Mr. Diwakar Nigam, Chairman and Managing Director; Mr. T.S. Varadarajan, Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head, Investor Relations.

I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Hi. Good afternoon, everyone, and wish you all a very Happy New Year. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.

Past performance may not be indicative of the future performance. The company does not undertake to make any announcements in case any of these forward-looking statements become materially incorrect, or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section on our website.

I would now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A. Thanks.

T. S. Varadarajan: Good evening, everyone, and thank you for joining us today for review of our Q3 FY '25 performance. Wishing you all a very, very Happy New Year. Coming to the results, we have had another consistent quarter with overall deal velocity across different markets. Revenue for the quarter reached INR381 crores, representing an 18% Y-o-Y growth. In terms of geographies, the highest growth was witnessed in APAC region at 44% Y-o-Y. EMEA grew by 19% Y-o-Y, while revenue growth in India region was 10%. U.S. region revenues grew by 13% Y-o-Y.

We saw a substantial increase in license sales during the quarter, witnessing a growth of 70% Y-o-Y, followed by implementation revenues. Annuity revenues were at INR208 crores. While deal velocity has been very good, our projects now have longer execution cycle due to the level

of complexity we are handling. This has led to the implementation cycle moving beyond one year for some of our larger projects.

While banking and financial services continue to be our core vertical, we saw increasing traction in the government segment in the quarter. We closed many significant deals during the quarter. We have won an order from RBI for implementation and maintenance of the Regulatory Application Management System with an aggregate contract value of INR32 crores. Our expertise in data science and AI embedded in our core products have contributed to our success in the RBI bid, and we plan to work with other financial institutions as well.

In India, we also entered into an agreement with Aye Finance Limited for loan origination solution for an aggregated commercial value of INR24 crores. In Saudi Arabia, we entered into an agreement for $2.3 million with a large power generation and transmission company. We are also providing Knowledge and Records Management System to a customer in Singapore with a total contract value of SGD1.7 million.

In U.S., we are working with a banking client for digital account opening, retail loans, ECM and collection upgrade for a total contract value of $1.8 million. In India, we received a contract for Newgen Remittance system for a value of INR20.8 crores. In EMEA, Newgen has entered into contract for providing digital lending and onboarding platform for retail products with a total value of $2 million. We are also providing credit automation services to a leading banking and financial services company in Africa with an aggregate value of $1.6 million.

In total, we have added 15 new logos in Q3. Over the nine months period, we have added 36 new logos. Newgen's core strength lies in its low-code platform, which automates various business applications and customer journeys. In banking and financial services segment, we are extensively working across multiple transformation areas, including lending, payments, deposits, collection, early warning system, co-lending, trade financing, lead generation, supply chain finance and many more.

We have recently launched our AI-enabled captive finance solution to transform lending and leasing operations. We are also working extensively in the insurance and health care market and have started winning new deals in this segment, especially in the mature markets. Our aim is to offer solutions in payers, provider, pharmacy, and life sciences areas of health care under one ecosystem. We continue to receive accolades and analyst recognition.

During the quarter, we were recognized as a niche player in the Gartner Magic Quadrant for Enterprise Low-Code Application Platforms of 2024. This is fifth time in a row. We are also recognized in Forrester's The Low-Code Platforms for Professional Developers Landscape.

During the quarter, Newgen has also been recognized as a leader in the IDC MarketScape Report for Intelligent Customer Communications Management and Automated Document Generation and Customer Communication Management.

We are happy to share that as a significant step towards being regarded as a trusted and employee-friendly organization, we have been certified as a Great Place to Work in India in

December. It is a matter of great pride and satisfaction that as we grow and scale our business, we are also enhancing our employee experience and workplace culture.

In terms of our long-term roadmap, we continue to focus on new deal wins and strengthening and expanding relationships with our existing customer base. We are investing heavily in terms of building our internal capabilities on our product and solutions, along with new technology areas like AI, Gen AI and machine learning. AI use is transforming from a tool of automation to a partner in intelligent decision-making through strong contextual insights.

We are revamping and stabilizing our sales team, especially in the mature market, refining our brand and product positioning to enable us to scale to the next level. During the quarter, we received a tremendous traction on our annual customer event in Mumbai, EkAM 2024. As businesses increasingly embrace digital transformation, we are ensuring that we are well positioned to support them with the right skills, expertise and product innovations. We also continue to invest in and develop our global workforce and improve operational efficiency.

Coming on profits and margins, we witnessed a strong growth in profits and expanded margins. Profit after tax was at INR89 crores for the quarter, witnessing a growth of 30% Y-o-Y. For the nine months period, our revenues were INR1,057 crores, witnessing a growth of 22%. Profit after tax was INR207 cror

es, witnessing a growth of 41%. Our investment in building capabilities across the organization for the next level is reflected in our R&D and sales and marketing expenses. R&D expenses were 9% of revenues and sales and marketing expenses were at 22%.

On the balance sheet front, our net trade receivables were at INR463 crores as of 31st December, which resulted in net DSO of 118 days. We are excited for the new opportunities that 2025 will bring, and we remain committed to executing with focus and determination. The momentum we are building as an organization across markets, combined with our strategic investments in innovation will help us in enhancing value for our customers and differentiating ourselves in a competitive landscape.

Thank you very much, and we are now open for Q&A.

Moderator: The first question is from the line of Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: Very congratulations on a good execution. My question is regarding your India and USA business. In India, we've been hearing banking deposit growth has been weak. So does that change demand narrative for you in India? And in contrast, for USA, your larger peers have been indicating that the discretionary demand is picking up. So do you see that translating into any uptick in business momentum in USA?

Virender Jeet: Thank you for your questions. You're right. I think what happened in India, I think there was a wave of lending, which started in terms of modernizing the platforms, and it is still continuing. The issue in deposit growth predominantly has been more on the -- typically, not the Tier 1 accounts, because I think they are more into -- their lending is more secure. So while we see there is a bit of slowdown in the overall momentum of digital lending projects, but on the other

hand, the new generation NBFCs, they are right now in the position to go and invest in the market to gain market share. I think if you see in this quarter also, we have gained at least two, three orders across places around in that segment.

So broadly, I think there may be a disruption for a quarter or so, but I don't see that to be a long-term disruption. The only difference I see for our business is while last few quarters or more, like last six, seven quarters, the order sizes from large accounts were substantial, the Tier 2 accounts will have smaller orders, but the numbers will be much larger, which should

compensate for that.
As for the U.S., we do see -- we are hopeful that the U.S. banking space is picking up, and I think the larger players have a very different business than ours. But we are hopeful that this quarter and next quarter, we should start winning some banking deals in U.S. And we have cultivated and nurtured these deals. I think they are ripe. I think there is a slightly positive environment momentum and we should be able to succeed in those. Ruchi, does that answer your question?
Ruchi Mukhija: Yes.
Moderator: The next question is from the line of Aditi Patil from ICICI Securities.
Aditi Patil: My first question is on the strong license sales which we had this quarter. So was this mainly led by APAC and EMEA geography? And how were the license sales in India?
Virender Jeet: Okay. Aditi, thank you for the question. Aditi, the license sales has been broad-based. In fact, I think all regions have contributed. And the license growth numbers Q-on-Q have been significant in all. So you will also see what has happened in terms of the large deal wins have been substantial this quarter. And the license growth for the year also has been healthy, almost at a 40%, while this quarter was slightly better because on account of some larger deals coming out of India, in fact, and some more coming out of APAC and Middle East.
I think the orders like what we have got in terms of records management in APAC is substantial. Simila

rly, what we have got in Saudi Arabia is an entry into utilities and energy segment, it's a significant order. But the largest of that was coming from India is the payments. It's on Tier 1 account. One of the new areas we have got into a Tier 1 accounts, which were more substantial than these two.
And then around $1.5 million, there were multiple orders, both in Middle East, U.S. and India.
So I would say it is still a broad-based license growth. What has slightly muted down the growth rate in India compared to last quarter is about the longer execution cycle. Because while we are able to get the leading revenue of the license and account wins, the long tail of the subsequent follow-up revenue, we are not able to convert at the speed we were converting before, because, as I said, the previous quarter's orders were very large in size and their implementation cycles are slightly running beyond one year. So the ATSs and the subsequent support revenue streams are not kicking in at the same speed. Aditi, does that answer your question?

Aditi Patil: Yes. And has this also -- the longer execution cycle, has that also led to decline in your implementation revenue?
Virender Jeet: It has impact on all downstream. See, our deal win is about license win. So license win eventually -- the follow-up revenues are implementation, then followed with ATS and support. So the implementation cycle is delayed, you have a problem with realization, a lot of implementation revenue, but also the bigger problem is your annuity models don't kick in immediately.
So some amount of challenge on large deals we have on that front, while on the other hand we have substantially increased our new win ratios and deal momentum. But then on a very large base, they cannot compensate too much in the same quarter on that. You're absolutely right, the implementation cycles do determine the follow-up revenue cycles.
Aditi Patil: Okay. Got it. And can you let us know the deal bookings growth for nine months FY '25? And you gave out some of the large significant deals, but can you provide more color on the traction you're seeing in health insurance and government vertical?
Virender Jeet: Yes. So I think I'll come to the deals first. You see, I think we have been deliberately trying to focus on insurance. So insurance, you would have seen up to the nine-month period, we had substantial some early win deals. We had deals in Saudi, we had some deals coming out of India.
And also, we have a very good funnel now, which we think that in this quarter, we are expecting at least two to three insurance deals getting closed and some of them being led by the U.S.
Government, you've already seen the results. I think the accounts like RBI or what we got in Singapore on records management or in utilities, they're all predominantly government license deals on low-code BPM. And they don't have the same large implementation cycles. There are typically smaller implementation cycles of three to six months where they should get translated into revenue. So government is working well. Insurance is working. Banking is still strong for us. So, overall, if you look at the deals, on the booking side, I think we are almost at a similar number on a nine-month basis compared to last year.
The difference is that the previous bookings were slightly more multiyear and larger accounts, which will get switched. The unexecuted order book of them in last quarter is still pending to be executed, while the newer bookings are more short-term orders typically to be executed in six to nine months. So I expect the translation of revenue of this booking to be faster than the older booking.

Aditi Patil: Okay. Got it. But from here on, like past two years have been a strong growth in banking sector, especially in India and EMEA. So should we see that growth moderating to some extent in next yea

r? At least we are seeing that in bookings, which is like flattish on nine months basis.
Virender Jeet: Yes, you are right. So see, what happens is, still for our kind of a business, still smaller, I think we keep on shuttling between which are the firing verticals and firing territories. But broadly, you would have seen the financial services, combination of banking and insurance always continues to lead. And similarly, India and Middle East continue to perform on that. I don't see any broad-based change is going to happen in that. So we may have a quarter of slower banking

or two quarters of slow banking, but we think still the banking insurance will recover faster than any other segment.
Similarly, if we're still seeing that India and Middle East potential are the largest potential for us, until we crack the U.S. puzzle. So I don't see this making any change in a longer-term phenomenon. But yes, on a near term, we can see some impact on the numbers. The banking growth is not at 20% growth this quarter. Similarly, insurance and government growth are much bigger, but their bases are very small. Like right now, the government growth may be more than 100%, but the base number out there is pretty small.
Deepti Mehra Chugh: And I think, Aditi, you can look at the annual numbers again for us even in terms of bookings or other aspect that makes more sense. So I think we should wait a bit for that as well.
Moderator: The next question is from the line of Abhishek Shah from Ambit Limited.
Abhishek Shah: Congrats on another strong quarter. So just to get some more understanding on the slower growth that we've seen in India and the U.S. Specifically on India, you mentioned that they are longer cycle orders, so the implementation timeline is longer. But you've also said that the newer orders you've received this financial year are actually short-cycled. So can we expect that in the quarters going forward, growth EBITDA should accelerate again?
Virender Jeet: So Abhishek, as I broadly said, so see, we still are a company where a single order changes completely the quarter numbers. So I would still say, broadly, the business should be looked at in annual terms. Having said that, as I earlier said, I continue to believe that both in India and Middle East continue to be our growth drivers. And in that, financial services, banking and insurance will be the primary growth drivers for us. I don't think that changes.
What could change is that we may pivot from digital lending to more collections or origination-based systems. We may get into more supply chain-related areas, new areas may emerge or some segments may slow down for a moment. But if you look at slightly in a larger time, may be on an annual basis, you will see they will continue to outperform.
We don't see any broad reduction on our growth prospects. We think that we can continue maintaining a healthy above 20% growth for a long period of time. So now the issue is, for some quarters, a territory or a segment or a vertical could have a slightly different number, because we missed a deal or got a couple of deals more. But I think in the broad base, it will not have any difference.
Abhishek Shah: Okay. And any color on the margins for this quarter, because they were significantly higher than we've seen in the past for similar December number. So any color on that?
Virender Jeet: Yes. So Abhishek, what happens, as we said that we always invest for growth. But for the same year, any growth which is above 17%, 18%, 19%, we'll keep on expanding margins. So our budgeted costs are somewhere between 18% to 19% or 20%. And since we are still at nine-month cumulative growth at roughly around 22%, 23%, so margin expansion is bound to happen.

Also, slightly, quarters are getting more non-lobby, in

terms of lopsidedness has reduced. So
you are seeing that the profit growth in Q1, Q2 has been significant. So they've been above -- and for the nine-month period, we are almost at a 40% profit growth, which means the margins would expand. But the Q4 is a larger quarter, and we still expect Q4 margins to slightly be better and maintain a growth rate. And that means for this year, we may have slightly better margins than we planned earlier.
Moderator: The next question is from the line of Mr. Ashish Chopra from Goldman Sachs Asset Management.
Ashish Chopra: Jeet, a couple of questions on the trends that you were highlighting. Firstly, on the fact you're

mentioning that the execution cycle of the orders you're now winning is maybe slightly shorter
in terms of tenure, but there are implementation cycles of previously won orders, which are
much larger. So the downstream support and AMC revenue is also kind of getting delayed. But
then should that not reflect in your executable order book? So while your nine months order
inflow is the same, but could you throw some color on how the executable order book as a
consequence of this is changing maybe right now versus where it was this time last year?
Virender Jeet: Yes. So I think, Ashish, you are absolutely right. So what I'm saying, when we say execution
cycle, there are three parts of downstream revenue. One is about the unexecuted order book of
the same implementation value. So typically, if the implementation value is 100, I have only
implemented 40, so 60 is the unexecuted order book. So that gets added, and I think Deepti can
provide you that number exactly what that is. But since that has not completed, my next two
orders of support and AMC have not got initiated. So that does not reflect even in the order book.
So for our business, generally, the follow-up revenues are almost guaranteed, because the
software needs to, but they are not contracted in the beginning, they have to be contracted every
year. So some of the booking value does not reflect in the numbers, because the implementation
cycles have not finished. But for the unexecuted order number, we can provide you that number.
Ashish Chopra: Yes, that will really help. That's very clear. And also on the insurance segment, so I think you
called out that as an area of focus earlier during the year, and now you've shared some highlights
of wins and the wins you expect next quarter. So it seems to be progressing quite encouragingly,
just in line with your plans. But just a couple of questions, if you could help us with, in terms
of, first, what are the segments within insurance? What's the kind of product or solution that
you're selling there versus the likes of digital lending and supply chain trade finance and
banking? And secondly, how do the order sizes here compare, let's say, from a mature insurer
versus a mature bank when you win an order there?
Virender Jeet: Yes. So I think this is quite interesting. So we have enough focus and we are thinking that
insurance will pave a very strong way for logo acquisition for us. So there are two things. What
we are selling in insurance is exactly the journey we are selling in banking, but it's more around
claims and underwriting, both in life and non-life. That's on the typical general insurance and
life insurance, but also we are playing in the segment of health payers and payers which is in
U.S. So this is a segment of insurance.

In our early funnel, we have seen that insurance does not have the appetite to pay multimillion
deals in the first entry point. But the encouraging thing is we are finding that opportunity pool
in insurance is very broad-based. Like we have found very strong traction on the ECM and CCM
front in where we've won. So we think this business will be built with multiple deals happening
in quick succession and then pivoting towards a larger

deal.
So right now, we are slightly also not that encouraged about the deal sizes in insurance. But what
it is opening up, it's opening up a large amount of accounts, Tier 1 accounts in insurance for us.
So I would say that insurance may -- the curve may be slightly slow. We may have logo
acquisitions at faster speed, but the revenue is slightly slower, but the downstream revenue can
be pretty large.
Ashish Chopra: Understood. That's helpful. And just one last question from my side on the margins. So while
you explained that it is the operating leverage of the quarterly seasonality because of which we
saw the expansion. But I guess the quantum of expansion this quarter was much higher, I think,
540 basis points Q-on-Q. And I was just wondering if that is because of the fact that in terms of
your revenue split, the product license revenues has grown quite sharply. And as that normalizes,
let's say, in the fourth quarter, despite it being the highest quarter in terms of revenue, should we
be cognizant about that maybe pulling the margins back in case the mix is not as high in product
licenses as we saw in this quarter?
Virender Jeet: You're right. But the phenomenon in every quarter is that there's going to be a large bulky license
revenue in every quarter, which pushes up the margin. The only thing is what the base revenue
determines how the rest of the costs are balanced. So I think from a long-term outlook, we always
continue that our endeavour is to maintain around 20% of net margin and 23%. And some
quarters, it can be more in some years as a total.
So since we are already sitting on close to that number, we're sitting on 19.6% and 22.6%,
broadly. So I personally feel that this will still expand maybe 0.5 basis points or 1% more by the
year. So we will reach there close to 20% and 23% what we had initially planned, if we continue
to maintain our top line moment. But if there is a slight weakness in top line, then the margins
will be muted or may remain at the same level or slightly shrunk.
Moderator: The next question is from the line of Akshat Khemani from Carnelian Asset Management.
Mihir: Mihir this side. I think I largely wanted to understand, when we see the license revenue, license

revenue has done well over the last 2 quarters...
Virender Jeet: Mihir, I am sorry, we can hardly hear you.
Mihir: Is it better now?
Virender Jeet: Yes.

Mihir: So basically, when we see the license business, license business over the last two quarters, I mean, up 25% and 30%. So I wanted to understand what is leading to higher license revenue? Is there some requirement of on-prem business being there? That was the first question.
Virender Jeet: So Mihir, I think the license is fundamental to any business. Any sale we do is based on a license sale. So what is fundamental is that we continue to have good win momentum in the market.
And as we were previously, for last two, three years, pivoting slightly to larger deals, especially on the license side as well, that is where the growth is coming from.
And this quarter, as I said, the growth is quite broad-based. It's across all territories, across multiple segments. So we do expect that the license growth momentum will continue. It's not that this is a one-time phenomenon. We should be able to. And if you look at all three quarters, you will see significant license numbers coming in all three quarters.
Mihir: Okay, sure. So this is because large banks are adopting it and they are I think more for license-based approach rather than subscription-based approach. Is that understanding correct?
Virender Jeet: This is perpetual license sale. When we are saying license-based, it's predominantly cases we are still operating on the perpetual license model, and that's why they're upfront realized and they are larger numbers. And their subscription or annuity is just around 18% to

22%.
Mihir: Understood. Sure. Broadly wanted to get a sense, with a good license, this will follow for a better AMC and a better implementation going ahead, right?
Virender Jeet: I'm absolutely sorry. If you can just slow down a bit, I can get slightly more what you're saying, because I can't get what you're saying.
Mihir: Sure. So basically, I mean, the higher license revenue, this will be followed by a better AMC and a better implementation revenue, right, coming quarters?
Virender Jeet: So better AMC for sure, because it's a percentage of license. So implementation depends on the size of the project. So I think some of the current projects don't have such large implementations there, which is good for us, because as soon as the implementation finishes, our other streams of revenue kick in, the ATS and the support things. But you're absolutely right, the better license will follow on the better downstream revenue of ATS.
Mihir: Sure. Understood. And my third question was just on the India business. India business, you highlighted there is some weakness in the near term on the domestic banking side. I mean, what is leading to this weakness, which is getting compensated by NBFCs? Some color on that will be helpful.
Virender Jeet: So Mihir, I think what I said last time. So we don't see weakness in the general market, but we see there is a change in the dynamics of the accounts we are acquiring. Last two years, Tier 1 accounts in the market went with their DLP programs. And their order and deal sizes were substantially larger, even their implementation and licenses. Now predominantly, there are some of those accounts we are still pursuing. And some of them, we are also mining by selling other

solutions. But larger DLP market is shifting to the Tier 2 accounts NBFCs and the new generation companies, like some of the ones we have already won. Their deal sizes are significantly lower, but their numbers are more. So we think that we should be able to compensate over a period of time by doing better deal velocity on that.
And then some of these NBFCs we think they should end up becoming larger accounts, either buying multiple products or eventually finally finding some ambition to become a bank or a larger financial institution. So that's how they will become. And if you look at the older phase of companies -- of NBFCs when the previous license eight, nine years back was given, now some of them are big banks right now. And that's the roadmap. So we are hopeful about the overall banking market and the lending market in India. But the point I was making, there's a difference between the type of accounts we acquired two years back vis-à-vis what we are acquiring now.
Moderator: The next question is from the line of Ashish Thavkar from JM MF
Ashish Thavkar: Sir, if you could talk about AI. So what's the development there? So we had this Marvin with intelligent document processing and all those initiatives. How are they panning out when we talk

to our customers?
Virender Jeet: So Ashish, it's a very good question and important one. So most of our sales today, AI is very central to that sale. So most of the use cases have to be either complemented or they have been centered around AI. So some of the recent deals, whether they are in the part of AI-enabled digital lending or what we got from the Central Bank, the RBI, they are completely AI-centered deals. So we are both on the ML, which is our Number Theory platform, and the generating AI models like Marvin and Harper, these are becoming central to make these sales.
But as I say, generally, we end up always selling our platform, which is our NewgenONE and the ECM platform together, where the AI gets bundled as part of the deal. So it's an enabling technology. So we are very hopeful that in more and more markets like in segments like insurance, segments like docum

ent approvals in central banks, or even in banking, I think AI will become central part and the investment we have done through the Number Theory as well as the products and platforms what we are coming out from there is going to play a very important role in that. So I think fundamentally, it's very central to what we do now.
Ashish Thavkar: Yes. And in terms of bench strength that we have on the AI side, are we good enough with the investments or there's more to come?
Virender Jeet: No. I think we don't have any bench. So for sure, we are a product company, so we are always short of good talent and resources. We have a team of roughly around 50 people right now dedicated for AI, who are creating our products and helping our customers on that. I think this team will expand organically over a period of time, and we are continuously looking at augmenting good talent out there.
This is not a game of really numbers, because we are not going to really go and provide 100 people of AI servicing to our customers. That's not our market. We still want to build products

and sell those products. But I do think over next two, three years, there will be an incremental or an organic expansion of this team.
Ashish Thavkar: Great. And just two questions on the number front. So you said we have short-cycle deals, which we will start executing in the next six months. So typically, obviously, fourth quarter is the largest for us and 1Q is seasonally the weakest. But could things be different this time around, since there are a lot of short-cycle deal execution? That is the first part. Second part, and in your overall journey of targeting $500 million revenues in the next four years, so does that stay intact?
And any update on M&A would be helpful.
Virender Jeet: Yes. So I think on the Q4, broadly, what happens is, Q4 is going to be a function of orders which we have already booked, and the new deals, we can do on license front. So broadly, a lot of this business, which we have booked up to Q3, has to be executed in Q4. And then also a lot of license, we are still dependent on a large number of license deals to happen in Q4 to meet our goal. So it's not different than any other quarter or any other Q4 for that matter.
And whatever in terms of I communicated about execution or charter cycles, they will have very small incremental effect. They will not have a drastic effect in terms of either having a higher number or a lower number. On the larger plan of our revenue, as I said, Gen AI is very central, and we look at them in a combination to solve the customers' problems. And wherever we are operating, whether it's a segment or a territory, technology is an enabler to solve the use cases. At the end of the day, we are solving use cases. And I said this is going to be very central to all those things. And we continue to aggressively look at better talent in that and keep on investing in the use cases.
Recently, we have also built a lot of AI-enabled accelerators for many of the insurance segments and banking ones. And we keep on enhancing that. But I don't think you can think what is an incremental value AI provides to the company. We think of it as a comprehensive bucket. AI is centered for all use cases. I don't think you can exist as a software company if you are not leveraging AI in all aspects.
Ashish Thavkar: Sir, like referring to your $500 million vision that you have in your business, how important is the mature markets to fire up now? And is there a shift in timelines, like is it a three to four-year or a four to five-year kind of a vision you have?
Virender Jeet: So you're absolutely right. Broadly, the larger addressable markets are the mature markets. That's where 80% -- 70% of the market remains. India, Middle East keeps us engaged and keeps us surprised, because the growth rates are phenomenal out there and

a lot of companies are coming and looking at this market as a potential. But we clearly believe still the mature market is the number one important strategy for us to fire to reach our $500 million. And we do think that our next three, four years are the timeframes where we think should be able to do things, so that we

can be closer to that goal.
Moderator: The next question is from the line of Rahul from Dolat Capital.

Rahul: My question is related to implementation. I know it's being talked around. What I want to specifically understand is that what could be the challenges as a business we might see as we scale up and there are diversity of deal and market and vertical. So is that a challenge which we might see over time on how well the implementation piece grow? And this is where bulk of the execution capabilities are getting tested, because other pieces are more like once you make a sale, a lot of things happen on its own. But implementation is something which is time-consuming and energy-consuming kind of an exercise.
Virender Jeet: So Rahul, I think you're absolutely right. What happens is the proof of pudding sometimes only unfolds in implementation. Before that, license is a commitment and finally, the implementation is when the customer gets value. See, some of the business challenges which we keep on highlighting about is to understand that what we are implementing for a customer is typically very transformative in how they're going to run their business. So if you're talking of a bank, you are saying that most of the lending, you are saying 100% of their lending is going to happen on this platform.
So now they are also leveraging the new digital ecosystem. They are leveraging the new digital architecture. They are leveraging the AI and other systems. So customer is also evolving these solutions along with us. So some of these things are not like that, hey, there is a scope and let's go and implement. There's a lot of learning, relearning and discovery along with the customer, which makes these solutions also very sticky and provide enormous value, on which we can build our business. But in the early cycle, this is always like that. And we have seen this multiple times, whenever you are trying to do transformative solutions.
And one of the things is since these solutions are very stitched with a lot of integration ecosystems, so the learning from one country to another country also changes. So the integration ecosystem changes. But as soon as you have stabilized first three, four, you are able to scale and build the business faster. So while I think it will continue to remain in challenge typically whenever you are trying to do transformative products and solutions, but it is a challenge for our kind of companies, which we have continuously surmounted and done multiple times.
But every new phase of growth, higher acceleration of deal velocity can lead to some amount of delays or some amount of, in terms of, longer cycles of implementation. But I don't think this is something which can hold us back. This is just a function of really maturing something for six, nine months, 12 months and then scaling on that.
Rahul: Right. So I got that point. What I'm trying to also understand on top of it is that how we ensure that this scales up, because given the diversity of the geography and vertical in terms of hiring of the talent, our talent across markets are that fungible to ensure that once they are done with one implementation and move to another, there is not any time lapse to that? And what we could do to avoid a situation like what we saw this time and what we are trying to do to mitigate that?
Virender Jeet: No, actually this problem of talent is going to be always there as you're scaling fast and especially in execution side, which are very execution centric. So what we have so far learned, at

least from
teams that easily -- the knowledge gets passed on from one implementation to another, one

account to another. Also 60%, 70%, there is an overlap across geos also about what we are trying to do in that. And I think luckily also there has been a huge amount of talent stability and availability of talent in market for the last two, three years.
But how do we solve it that this does not become a bottleneck in future is entirely just about internal operation issue of internally maturing our systems. I don't think this is such a big challenge. What has happened right now is our estimation of going live for larger projects, typically in public sector on Tier 1 enterprises in India, that has run out of control. Since this is the first time we are doing, and all of them started almost parallelly. They didn't start one after another. So if they have started one after another, then there would have been a lot of learning, which could have been incorporated.
So last two years, I think we would have started more than 20, 25 digital lending projects all parallelly together. So some of the learnings from one another has not been caught on so actively. But I think now if we are going to take a project today, I think we can easily deliver it in eight, nine months with the whole comprehensive things. I think we are very sure about that. But what

we have already opened on the table, we need to close that.
Rahul: Sure. And just last bit. From a client's perspective, does that change? Is there any part of SLA which leads to this kind of a conflict in terms of any delay of execution, or they are indifferent, or they are also cause of a reason for this to happen?
Virender Jeet: See, it is joined. So finally, there is no project plan which is not in sync with the client. And I think whatever you are selling to the clients are extremely critical for their business. So they want to go live as soon. So any delay does hurt them and does hurt us, both of us. But I think we are in sync with the client. But the -- see, one of the things is the value we deliver at the end of the day is so transformative. So we should be able to build substantial business over that. And that's what the customer also realizes and we also realize. So a delay of one or two quarters should not affect our business model broadly at all.
Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Equity.
Chirag Kachhadiya: Congrats on good performance. Sir, I just wanted to know as on nine months FY '25, the deals which we have signed, the growth rate is similar to like last year or it is relatively lower compared to last year?
Virender Jeet: See, the number of deals we have signed is very similar on that. A number of deals which have got license components are much higher, so 40% growth on licenses, which should translate into downstream better revenues for us. That's how it is. Total booking values are very similar, because as I said, the previous year bookings were multiyear bookings and larger account bookings, larger service delivery part of it. This time, bookings are more license-based bookings and shorter execution cycles.
Chirag Kachhadiya: Okay. So whatever we signed, can I assume that the revenue will flow in FY '26 or in first half of FY '27?

Virender Jeet: Yes. I think we should assume that 90% will flow in FY '26.
Moderator: The next question is from the line of Vinay, an individual investor.
Vinay: Just two questions. One is, when I see your H1 growth rate, it was around 24% plus, and your nine months growth rate is 22% plus. So any particular reason why this growth rate has dropped over this quarter?
Virender Jeet: So Vinay, yes, so basically, the growth rate, there is a small amount of drop in growth rate in terms of because the revenu

e realization from India business has been slightly lower than previous years, while other markets have continued to do what they have done, and we explained in this call about the problem we had in India on the execution side. But we don't see any challenges on the deal win side or the deal win velocity side.
So some amount of -- and one thing is also you should understand, at the end of the day, we always expect this company to deliver 20% or higher growth rate. But I think since it's a business, so there are going to be fluctuations, and we're still at a business of roughly around INR1,000 crores, INR1,500 crores, in that range. A single deal changes a lot of percentages in every quarter. So that's why we advise that this business should be looked at more at an annual basis.
Vinay: The reason why I have asked this question is because you mentioned that the deal sizes are now getting a little longer in terms of execution. So longer execution would necessarily entail bigger team sizes, right? So if I look at your -- how many employees do we have? And what is your kind of hiring for the quarter?
Virender Jeet: See, we are roughly around 4,500 employees as of now. And since this year, our hiring targets, we have taken much lesser numbers, because we have previously hired. Because the deals which we are talking about are longer, have been all from previous two years. And so the resource ramp-up has happened drastically over the last two years. So we are already sitting on a lot of capacity to execute these and the teams are already in place.
We still rely on a lot of manpower to come on campuses. So we continue to go to campuses to get good quality talent, and we'll continue to hire from campuses this year, both in Jan and then in March. So I think the people does not seem to be as important issue as it was in COVID and post-COVID immediately after that.
Vinay: Okay. The last question is on what percentage of your revenues in this quarter is coming from existing clients? Or you can give us nine months, whichever...
Virender Jeet: Yes. If you look at it, around 80%, 85% comes from existing clients. Because even a lot of new license deals are from existing clients, because they're about mining of those records. But broadly, it should be in that 80%, 85%, but you can write to Deepti, and she can send you exactly the numbers.

Vinay: Okay. And lastly, whenever the licenses are signed in a particular quarter, when you get a new logo or new licenses revenue, it gets booked in the same quarter or it gets postponed to the next one?
Virender Jeet: So most of the times since it's perpetual and as soon as the licenses are delivered to the customer and customer acceptance is taken, they get realized in the same quarter. But if it's about subscription or linked licenses to payment, then they get realized proportionate to the term of the license.
Vinay: Okay. So we can't just extrapolate logo additions this year or this deal sizes into the license revenue?
Virender Jeet: Yes, you can't extrapolate the license revenue and multiply it by 4, no, that you can't do. That's the jerky part of the business.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Deepti Chugh from Newgen Software Technologies for the closing comments.
Deepti Mehra Chugh: Thank you, everyone, for joining us today. For further questions, you can connect to me or you can go to our website, and we've shared all the details there. Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
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Sub. : Outcome Transcript – Conference Call – Q4 FY'25

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 25th April 2025 regarding the Conference Call of the Company, which was held on Friday, 02nd May 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary & Head -Legal

Encl. : a/a

"Newgen Software Technologies Limited
Q4 FY'25 Earnings Conference Call "
May 02, 202 5

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING DIRECTOR– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. T.S. VARADARAJAN – WHOLE -TIME DIRECTOR– NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER–
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES

Please note that the transcript has been edited for accuracy purposes
Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Conference Call of Newgen Software Technologies Limite d, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Aditi Patil from ICICI Securities. Thank you, and over to you, Aditi.
Aditi Patil: Thank you, Pooja. Good evening, and welcome to the Q4 FY '25 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen. We have with us today Mr. Diwakar Nigam, Chairman and Managing Director; Mr. T. S. Varadarajan, Whole Time Director; Mr. Virender Jeet , Chief Executive Officer; Mr. Arun Gupta, Chief Financial Officer; Ms. Deepti Mehra Chugh, Head, Investor Relations.
I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti .
Deepti Mehra Chugh: Thank you, Aditi. Good afternoon, everyone. I'm Deepti Mehra Chugh, Head, Investor Relations, Newgen Software Technologies Limited. And I welcome you all to the Q4 FY '25 results of the company.
Before we move on to the discussion, let me highlight that this call may contain certain forward - looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties and the actual res ults could materially vary from the forward -looking statements. Past performance may not be indicative of future performance. The company does not undertake to make any announcements in case any of these forward - looking statements become materially incorr ect or update any forward -looking statements made from time to time by or on behalf of the company.
For further details, you may please refer to the Investor Relations section of our website. I will now hand over to Mr. Varadarajan for presentation of the results which will be followed by a Q&A. Thank you.
T. S. Varadarajan: Good afternoon, everyone, and thank you for joining us today. We are pleased to report our results for full year and Q4 of FY '25. FY '25 was a year of healthy revenue growth and margin expansion for Newgen. We witnessed revenues of INR1,487 crores, leading to a growth of 20% Y-o-Y. The year unlocked new opportunities for us, identifying fresh revenues for expansion. We witnessed strong growth in our license and implementation revenues. License revenues witnessed a growth of 41% Y -o-Y. This is expected to generate further downstream revenues moving forward. Implementation revenues grew by 25% Y -o-Y. For the year, our a nnuity revenues were at INR834 crores comprising of 56% of our revenues.

Our business model is well diversified across geographies, with each geography meaningfully contributing to our growth. APAC has been the highest growth market for us during the year, witnessing a 59% YOY growth.
The year witnessed some landmark wins in banking and in the government sector for records management in the region, strengthening our market position further. India and EMEA continue to be the largest cont ributors to our revenues. As digital transformation continues to accelerate, banks are facing increased pressure to adopt AI, automation and data revenue decision making. With adoption of Newgen solutions, banks are able to enhance business volume, improve operational efficiency and provide better customer experiences. Our efforts have started yieldi

ng
results in US region also. The region witnessed a strong growth of 20% Y -o-Y in the revenues and we have seen some early success with deal wins, especially in the insurance sector in the last quarter of the year.
We expect these early wins to open the door for broader regional adoption. Continuing with our emphasis on catering to larger scale clients and those who significantly contribute to our business. We saw an increase in the number of customers with billing over INR5 crores from the last -- from the 65 of the last year to 87 in the current year. Moreover, we added 62 new logos during the year.
Coming to our product, we embraced AI as a core enabler transforming it into a tool that augments human intelligence, automating classification, extracting insight and streamlining of workflows. As part of our AI -first strategy, we are making significant i nvestment in AI -driven products and solutions. We are moving towards conversation, agentic frameworks where voice will play a central role. By leveraging AI, we can help boost productivity, decision quality and even employee engagement with these enterpri ses systems.
During the year, we have launched our groundbreaking AI agents, Lum Yn, Harper, and Marvin. Lum Yn is a growth intelligent agent. Harper is a conversion intelligence agent to boost engagement and sales. Marvin is a productivity agent for task automation and efficiency enhancements. These products are designed to deliver cost -effective and cost -efficien t -- efficient value while prioritizing transparency and governance.
These agents have already demonstrated their potential through several promising and rich use cases. Some of our compelling use cases include an AI -based case management solution to streamline, automate and enhance the management of cases. These would be e xtremely critical in reducing the processing time significantly across knowledge industries and regulatory authorities and so on.
Another interesting use case based on our AI agent LumY n includes an AI -first early warning system for corporates, financial institutions and SMEs which has been designed to proactively monitor and identify potential risks such as credit default, fraud, liquidity issues or systemic threats in order to take pre -emptive action. These systems use machine learning, data analytics

and real -time monitoring to detect warning signs from various data sources across around 1,500 parameters at account and borrower level.
In the insurance sector, we are working in the agentic work space for underwriting and claim processes to enhance the decision -making and making it more straight through by clearing anomalies in exception, underwriting cases, data -driven models for faster, more accurate and more consistent decisions. We anticipate further growth and innovation in AI -led journey as we build upon these use cases and successes.
We have provided to a vertical first go -to-market focusing on various journeys, clusters on the basis of their revenue potential, product maturity, investment and portability across geographies. Newgen's transformative growth vision include targeting banki ng at scale across these regions and expanding in insurance and government segments. We are also strengthening our partnership with advisory firms, system integrators and independent software vendors.
In Q4, Newgen has been named A Leader in The Forrester Wave Content Platforms report Q1 2025. NewgenONE Contextual Content Services received the highest possible scores in 10 criteria including metadata, search, content migration, life cycle management, intelligent data extraction, document generation and digital process automation. The r eport recognized that Newgen continues its solid innovation strategy with a focus on AI automation and app design capabilities.
Our culture of innovation, combined wi

th deep domain expertise is what truly differentiates us.
Out of our global workforce of over 4,600 professionals, we have more than 600 people scanning -- spanning product development, AI engineering, domain consultin g. During the year, we have added senior leadership talent to strengthen go -to-market, delivery and innovation capability also. We are proud to be recognized as a Great Place To Work. This certification is a certification -- is a testament to our unwaveri ng dedication to fostering and empowering dynamic work culture, where our people thrive and deliver outstanding results.
Coming to profits and margins. We delivered healthy growth in profits and expanded margins during the year. Profit after tax was at INR315 crores which is 21% of revenues. We continue to prudently invest in R&D and sales and marketing activity. During the year, we have invested nearly 10% of our revenues in R&D initiatives and around 21% of revenues on the various sales and marketing acti vities. On the balance sheet front, we witnessed robust cash flow generation with our net cash generated from operating activities for the year at INR215 crores. We have declared a dividend of INR5 per share.

Looking at Q4 results, we crossed quarterly revenues of INR400 crores for the first time. We witnessed 15% Y -o-Y growth in the quarter to reach the revenues of INR430 crores. Our profit after tax reached INR108 crores in this quarter. We are excited about the future and expect to continue to maintain the growth momentum with our unique solutions in the financial services, insurance, government sector and innovation in AI -led journeys. These solutions and our results - based services help our customers with t heir revenue enhancement, optimization and efficiency improvements.

Our strategy is built around the full life cycle of our users. And that journey -led mindset is paying off in stronger engagement, retention and growth. While we remain mindful of the broader market conditions, we are confident in our ability to continue de livering value to our customers and shareholders. That's all. Thank you very much, and we are now open for the question and answers.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ruchi Mukhija from ICICI Securities. Please go ahead.
Ruchi Mukhija: First, if I look at the annuity revenue mix, it's been trending down even when I look at the annual number. Could you help us understand why we are trailing behind or why the annuity revenue mix is trending down?
Virender Jeet: Ruchi, thank you for your question. You're absolutely right. What -- the growth on this year, especially this quarter, has been predominantly on license and implementation. And as you understand, the annuity revenue is typically a downstream revenue. And i n our last quarter, we had clearly mentioned that some of our larger deals have delayed annuities kicking in. And we had given a projection that by Q3, Q4 of this year, we should be able to restore our healthy annuity growth rate. So it's a temporary phenomenon. We don't see as a normal, but the business automatically compounds annuity. There is not a question about that.
But yes, in the short term, so the license growth rates and the implementation growth rates are a higher side, we don't see the annuity growth rates up proportionately. We do think that in next 2 quarters, we should be back on the track so that the growth rates can be restored on those annuity side of it.
Ruchi Mukhija: Secondly, if we look at the growth number this year, we saw a successive growth moderation for FY '25. Q1 we had 25% growth rate. Now we are ending Q4 with 15% Y -o-Y top line growth. So when you look into the deal wins, what do you see the near - to medium -term growth that Newgen can have?
Virender Jee

t: Yes. So while you look at the 15% growth, this is a large quarter for us. And if you look at our deals and momentum, I think this has been one of the very good years for us. In fact, we have won 62 large logos this year and which is significantly much high er than in previous years. Not only that, our -- some of the challenges in the U.S., they have been addressed in Q4 with almost 10 large deals in coming from U.S. and APAC can grow. On India and Middle East, which are primarily large markets . I think we just recall that last year, our growth rates were almost 40% in the Q4. So relatively, their growth this quarter was muted.
But going on, in terms of looking at number of deals which we have won, the larger license growth of 41%, we do -- we're confident that downstream revenues will start kicking in. And the way the market currently is shaping and in spite of uncertainties, si nce our revenues are pretty diversified. They are now equally -- APAC is playing a very important role in the revenue. It has reached a significant number. India, Middle East continue to be large markets for us and U.S. kicking in. We are still positive t o maintain a growth momentum going into next year.

Moderator: The next question is from the line of Aditi Patil from ICICI Securities.
Aditi Patil: My first question is on EMEA market. what -- specifically in Q4, what has led to year -on-year decline in EMEA? Was there any unexpected ramp down?
Virender Jeet: No, Aditi, not really. I think we see -- I think this is -- Q4 is a very large market. And I said last year, we had like a 40% growth. And a lot of them were license deals. This year, I think we missed some of the deals coming, which were about to come in Q4. And that is the number. Since on a quarterly basis, and when you divide the whole annual number to quarterly and then you also divide by regions, few deals make huge difference in performance. They are not the true reflection of the market is behaving. We have not lost any major deals. We have just been able to close less number of license, which were anticipated to be closed. That is it. So there's

no -- nothing bigger than that in that.
Aditi Patil: So do we expect these license deals to close in like Q1 or Q2 of FY '26?
Virender Jeet: We do hope that. We do hope that, but unless the deals come in, we are all waiting. But yes, the market is still -- we got -- this is a strong market for us, especially in government and financial services. We expect the growth momentum to continue out the re. And we have built some very, very large deals in last year. Some of them should surely come up in Q1, Q2.
Aditi Patil: Okay. Got it. And I have a follow -up on the question, which Ruchi asked. So if we see for Q4, the support revenue has dipped Y -o-Y. So if -- I understand like the support revenue run rate should continue like because, I mean -- can you just help us underst and why the support revenue has dipped?
Virender Jeet: It's a marginal dip. I think it is a kind of a correction in certain accounts. We have some -- in terms of quarterly adjustments. We are still looking -- working with the customer to get those revenues back. But right now since they were held by the custom er for a particular Y -o-Y. So again, if you look at it on a quarterly basis, a single deal or a single case makes the difference in the revenue. We don't read too much into that. And we...
Aditi Patil: Okay. So, like, we haven't seen like a drop on Y-o-Y basis in support revenue since FY '22. So that is why I was curious to know, like, does it mean that the client has not renewed or support, or is not going to renew them further?
Virender Jeet: See sometimes the timing of the contract happens. Sometimes there's an adjustment or sometimes there are also -- see also there is an element of churn in the business anyway. But those churn

s are in a minor 1% or 2%. So they are not the effect. So there is no major change or a major loss of client. So it is more about adjustments or more about in terms of the timing of the deal happening of renewal.
Aditi Patil: Okay. Got it. And on the implementation revenue. So for Q4, we did see a strong growth both in Q-o-Q and Y -o-Y. So does it mean that the deals which were stretched for our Indian PSU

banking clients, the implementation that was stretched, that is progressing well. And so when should we expect a major part of that to get completed?
Virender Jeet: Yes. So, I think we had a strong implementation revenues projected coming into Q4. We are still in the process of executing some of those projects. I think most of them will be in the more final stages in Q3, Q4 of this year. And that is where we're hoping to kick in the more support revenues and the ATS revenues we should get.
Aditi Patil: And can you remind us what is -- typically what is the percentage of support and implementation revenue as compared to -- sorry, support and AMC revenue as a percentage of your license revenue?
Virender Jeet: So there's -- so basically, ATS/AMC have direct correlation. They're somewhere between 18% to 22% of our revenue when they kick in. Support is depending on more about complexity of engagement. So clients could have disproportionate. So clients could have a support team of 5 or they could have a 50 support team. That's more to do with the kind of work and where they are rolling out. So it does not have a direct correlation.
Aditi Patil: And can you share the order book number as of end of FY '25. How much it has grown?
Virender Jeet: I think at the end of FY '25, our order book stood at -- yes, it is INR1,664 crores. The order books don't give the complete picture. I think the way we look at it is we look at order book and the unexecuted order book, which is going into the next year. I think we expect a more healthy growth on the unexecuted order book side going into the next year which results in more business and control, which is typically either renewals or unexecuted order book. So we are seeing growth of more than 20% in the business and control part of our business.
Aditi Patil: So can you share what has been the unexecuted order book number?
Virender Jeet: I think Deepti can share those numbers accurately. I don't have right now on that, but she can share it for the next -- last 3 years.
Aditi Patil: Okay, sure. And last one on -- so we have seen a moderation in the banking revenue -- we have seen a strong growth in banking for last few quarters. And now we are seeing the growth moderating. So is it because for our large clients in India and EMEA we ha ve implemented our key solutions and the demand is now saturated. Can you share growth outlook going forward over here?
Virender Jeet: You're absolutely right. I think you're seeing this year, there's a higher jump in insurance and government growth and banking growth is more at, I think, 11%, 14% of growth, if I'm correct, 15% growth in banking rather than close to 20%. And you are right , I think last 2 years, there's a huge momentum around public sector spending on banking, especially also on the digital lending side, which we are trying to do in both India and Middle East.
Some part of that has been serviced, but still the unserviced part is very, very large. I think it's

still -- since our growth rates last year were very high, and we are still in process of executing

some, we see slightly muted. We don't see that for the next few years, still banking is going to be the predominant growth driver for the company, while insurance and government will start taking up some market share where we can do -- we're going to have accelerated growth.
B

ut for the company to grow, we still expect the banking to do extremely well. We have cases going forward, both in India, Middle East this year. And we don't see a challenge there to maintain the growth momentum. I think this current year saw 15% growth v is-a-vis 20% growth in banking, I would still treat as an anomaly rather than the -- that is the trend going forward.
Aditi Patil: Okay. So can you talk in a bit detail about the unserviced part or like which client segment or which solutions comprise this?
Virender Jeet: See, I think while -- even on the core product of lending, we have covered most of the public sector and maybe some Tier 1 banks. There's a huge set of mar kets still, which is typically d oing second generation of transformation on those products. So private banks are available to us. And then there's a large list of, what we call, finance companies or NBFCs, which are there . Last year, we got around 6 of them. There are still in India, roughly around 30 more which is an addressable market for us.
Beyond that, we sold some of things like payments and trade in some Tier 1 accounts. So there's a huge probability of multiplying those businesses across all -- both in India as well as in Middle East. So I would say continued momentum on lending, plus mor e to do in payments and trade in Tier 1 banks is going to provide a wider market for us and then supported by the deals which we can do in financial non -- what you call, NBFCs.
Moderator: The next question is from the line of Pranav Mashruwala from Dolat Capital.
Pranav Mashruwala: Yes, just one on the broad revenue and revenue outlook, considering the overall macro situation, any pockets of headwinds that we are particularly seeing in terms of the delays. So we've seen certain delays coming out in our SaaS and also in some of our licenses. So any headwinds th at you'd like to call out for FY'26?
Virender Jeet: Sorry, I think there's a lot of disturbance . Again if you can go ahead.
Pranav Mashruwala: Yes. Is this any better?
Virender Jeet: Thank you. So, Pranav, I think as you were rightly saying, I think right now, the whole -- everything is pretty uncertain, and we don't know how things are going to shape. Having said that, as I said, we are pretty diversified. There's not a single market or a single client segment on which we are dependent. And some of our markets do seem to be less affected initially. I think our markets like Ind ia are less affected right now.
We are also working in APAC. And the third thing is the financial services companies where we are dealing predominant and insurance. They probably have second degree impact and third degree impact.

So we are -- in the beginning of the year in our planning stage, we are clearly driving for growth this year. We don't see any larger challenges hitting our way. Having said that, I think we'll be cautious. We'll be assessing situation every quarter. But a s of now, in the beginning of the year, we are looking at our historical growth rates and trying to do better than that.
Pranav Mashruwala: Agree. Also, just doubling down again on the growing the SaaS business. So we expect SaaS to recoup some of the slower growth in FY '26 considering some of the deal pipeline and that we have been building in base as well as marketing teams in U.S.?
Virender Jeet: No, I don't see that. I think some of the momentum, which has come in U.S. and also momentum in other geos like Australia and U.K. should push the SaaS revenue up. And we are hopeful that I think in next year, we should do a better number on SaaS. So SaaS is, again, it's a kind of where we are providing both software service on cloud. But beyond that, our license deals are equivalent to SaaS deals. So in U.S., we are doing a combination. Some Tier 1 accounts are looking at even license deals, but mostly are looki

ng at SaaS. So any growth in U.S., Australia,
U.K. and even some in other markets is trending towards SaaS. So I don't see any challenge in SaaS business per se next year.
Pranav Mashruwala: Great. Sir, just also one on the margins aspect. So we are really right now exiting Q4 on a high note. How would you see margins trending over for the next year?

Virender Jeet: See, I think we have been always maintaining this. For our company, we always operate for higher growth mode. So we initially upfront, we have cost loaded. And somewhere between 16% to 18% is what we load cost in the beginning of year as a part of the plan . So any growth which we hit in above 20%, our market -- margins should keep on expanding.
And I think unless we are more aggressively able to invest in growth. But in any eventuality, we fall below 17%, 18% of growth, we may have flat margins or contracted margins. So margin is a function of our business. We have at a gross level about 64% marg ins. So as long as we can maintain a healthy growth rate, the margins will keep on expanding.
Pranav Mashruwala: Finally, on the expected tax rate for FY '26. So Q4, we exited with around 23% and Q3, we had about 16.5%. So some color on that.
Virender Jeet: So this is the base now. I think it's because of the SEZ full benefits and no w partial benefits coming in. Now the current base of 23% is going to be the likely base which will continue going forward. And so last year, we had roughly around 17.5%, I think more close to 18% tax. This year, we are operating at 23%. So this is the new base. I don't think it can never go back unless we have some change in government policies. So this is going to be the new norm on operating at 23% tax.
Moderator: The next question is from the line of Akshat Agarwal from Jefferies.
Akshat Agarwal: I have 2 questions. Firstly, a follow -up on one of your other participant's questions where you said that we should take about a couple of quarters for the annuity revenue growth to come back to double -digit levels or mid -teens levels? So if the first half is going to be in single digits and

annuity forms a bulk of your revenue portion, is it fair to expect that you would be able to grow 20% in FY '26? That's the first question.
Secondly, when I look at the region -wise margins, India margins have gone down from mid -20 levels to 15% levels in FY '25 versus FY '24. What will be the key reasons for this? Those are the 2 questions.
Virender Jeet: Akshat, nice talking to you again. So, Akshat, what is -- the issue is while I'm saying annuity margins recovery is we are talking of where all our ATCs start kicking in back and the support revenues start coming in. While that is happening, we still are s elling aggressively more licenses and more deals. So like in this quarter, also in previous quarter, we have continued to sell more licenses and our license growth rates are 40%. I do hope that while the annuities take some time to pick up, our new deals and our -- what we call deals in existing accounts should be able to compensate for that, and we should be able to maintain a healthy growth momentum on that.
On the region -wise margin, it's the same function. I think India has not grown at the pace we expected it to grow. It's more like a growth rate of, I think, 14%, 15% this year, while the cost in India has grown at 17%, 18%. So there's a margin contraction out there. But yes, so I think it's, again, at the beginning of the year, if you take a call again this year, we will be taking a call of growing our cost at 16%, 17%.
But we are planning that India should be able to go back to the 20% or above 20% growth mark. So I think these are momentary things. But I don't think annuity holds us back for the larger growth. I think what -- if you look at Q4 phenomena about growing at 15%, is a function of also ver

y high growth rates last year on Q4, plus the annuity things not kicking in, in terms of some of the larger deals.
I don't think both of the problems are in Q1 and Q2. Q1 and Q2 are relatively smaller quarters for us. Large deals can -- new license deals can compensate for a lot of growth rates and slowdown in the annuity side. And in the meantime, also, we are looking at multiple ways to enhance the support revenue stream and enhance the ATS support. So we are looking at rate revisions. We are looking at again price renegotiation in certain cases. This should also give a few percentage points going into next 1 or 2 ye ars.
Moderator: The nex t question is from the line of Heenal Gada from UBS.
Heenal Gada: So a couple of questions. We have seen that quarter 4 is typically a stronger quarter in terms of license revenue booking, but we don't see this panning out in the current quarter. And I'm cognizant that quarter 3 was a good quarter in terms of these booki ngs, but then is there any other reason which has attributed to this deceleration?
Virender Jeet: I think on a Q4 basis, it has been always a strong quarter for us as a percentage of annual revenue. So this year also, if you look at our annual revenues and divide cross quarters, Q4 is the largest quarter for us. So it has grown. The challenge has been that Q4 last year has grown at 40%, both on Y -on-Y and also sequentially to a very large number. When it comes to license sales, I think

if you look at this year license sale Q4 to Q4, let me look at this number, we have grown at 31% Y-o-Y on the license sale. So license sale momentum has kept up.
The point we were discussing about some of the annuity streams have not caught up with that same thing, which is to do with our -- in terms of our ability to execute large projects and make them live. So it's a momentary challenge. We think in a couple of quarters, we should be able to see that. But, however, you can clearly see our deal momentum in Q4 are the highest. I think this is probably the highest. We have gone up to INR97 crores of license sales, which is our highest ever license sale. And in Q3 w as very strong at INR93 crores or something like that.
Heenal Gada: And so a follow -up to that. So you mentioned the implementation, which got delayed, which has kind of impacted our revenues. Are there any corrective measures which need to be taken from our side probably to avoid the same in the future? Like, if you could just help us understand what exactly has caused this delay?
Virender Jeet: Yes. So okay. It's a longer story. I think if you look at a couple of years back, I think last 1.5 years, we've entered into much larger deals, which is more traditionally and there are also deals which are more complex and more large, in which the downstr eam revenues, which typically start accumulating after the projects complete, finish, have started got delayed. Our typically projects used to be 6, 7 months. Now they are 1.5 years to 2 years. So that's -- it was a part of great wins, and t hen this is the impact of that.
What is happening right now in most of these projects in next 2, 3 quarters, we are towards more closure of those projects. We are almost now closing at the same time. And the next stage of large deals are also coming at a faster execution cycle because now we have done most of them. We are trying to compress the time line. So this is a function. It's a onetime impact, which came to our business. And it was a bit of a surprise becaus e we assume that annuity automatically compounds, did not compound. And we do hope that as soon as our projects get live, we should be able to restore most of that revenue coming from those clients.
Heenal Gada: Sure, sir. And so in the current quarter, we saw a couple of large deals being closed in the U.S. So I just wanted to understand what is

the strategy that we are using here? And what is the potential opportunity that we're looking in this geography? Maybe if you could give some time lines?
Virender Jeet: Yes, so Heenal, so in the U.S., we have been investing very aggressively for a long -- in a long time. We created a strategy with one of the consulting firms to address 3 segments: banking, health insurance and insurance market. We had hired -- at the beginning of last ye ar, we hired complete teams to drive these markets. And now we are getting the early results of that , we have broken into cases this quarter in enterprise. We have broken into health insurance. We have broken into insurance a nd then also a large deal from bank. So almost all 4 areas have fired this quarter and resulted in deals.
So in fact, this was the first quarter we got 10 deals from U.S. and some are very marquee deals. Now that we have got these wins, we expect now the growth rate and the momentum to continue

building. But we'll have to wait for a few quarters seeing how consistently we can go. We are hoping that next year, U.S. should be our growth driver. And the market for us out there, th e global area we are targeting.
In banks, we are targeting roughly around 80 large banks. We have pivoted away from the largest set of 1,000 banks. Similarly, in insurance there are 120 companies. And again, in the health insurance, we are another 40 to 60 companies. This is a universe w e are targeting and we are trying to build much deeper relationships and build a multiyear contracts with these kind of customers. Does that answer your question?
Heenal Gada: Absolutely. And how about in India? So I mean India has traditionally been a growth driver for us. So what is the TAM that we are looking here? What is the kind of scope that we do see to further mine the existing clients that we already have?
Virender Jeet: See, I think we don't have really very detailed reports of the TAM, but I think we are one of the larger players in the market where we do expect our market share is at least more than 20% in the whole of the space we operate. But the market itself in India is expanding and we're expanding it by getting into more and more areas.
The way we internally look at it is that all our territories have large potentials. So I think we really would like that India it is 1,000 crores in the next 2, 3 years. That's our plan. So I don't think the market opportunity size is a limit. It's our own ability to execute. And we are going after that in a very aggressive way about the whole market.
Heenal Gada: Understood. And sir, lastly, just I mean, more of a very long -term question. So GenAI has been

one of the big tech disruptors. And then is there a case where we probably see this could cannibalize Newgen revenues probably on the content management or the B PA? Like is there a possibility of that?

Virender Jeet: I think this is a question for service companies, not for product companies. Technology is our enabler to sell. GenAI has actually reinvented all the use cases across industry for kind of things which we sell. In fact, using AI for content ingestion is one of the most hot cases right now in the market by which the last quarter around 6 deals we got in U.S., 3 to 4 are just around the AI capabilities of our product, which is typically a combination of ML and GenAI.

See, we are leading this right now. I can confidently say, I think we are one of the most content management and low -code AI -led products in the market with our Marvin, with Lum Yn and Harper.

Most of the cases, we have won in the last 2 quarters, AI has played a very important part of that. So the way you see the content management and GenAI complement each other. So far, people used to retrieve content. Now they can discover more value out of that content. That's why the GenAI works on tha

t content, either through RAG or vector embedding or many other technologies like that. So there is a renewed interest in the enterprise content management space globally, right now, both on the ingestion and the management and knowledge management side of that.

We got 2 orders in Singapore government, which are to do with kind of things we are talking about. We got one of the largest orders from the primary regulator media, which is AI -led content management. And similarly, we've got 3 to 4 orders in the U.S. aro und insurance companies, which are around document ingestion, which is AI. So in fact, this is what we are excited about, not threatened about.

Moderator: The next question is from the line of Baidik Sarkar from Unifi Capital.

Baidik Sarkar: Virender, Congrats on a good year overall. Well, there was a time in the previous years when you specifically called out that order book growth was higher than your revenue booking, right? Obviously, that was more sentiment led given how strong FY '24 was. If I just backtrack to just the current quarter, not perhaps Q3, but the first month of April and Q4, how does that sentiment look on the ground today? I ask in the context of oil price s in the Middle East, the U.S. led issues. And broadly, probably cessation of banking products like demand in India. So just keeping this in perspective, how would you define that sentiment as things look today?

Virender Jeet: So I really don't have an answer that I can look at only our business and what I tell you our Q4 order book was pretty strong. I think in fact, for -- we had a Q1, Q2, Q3 was a weaker order book than the Q4 order book. It was predominantly -- in fact, our maybe it grew by around 30% or something Y -on-Y on Q4 order book. Q1 order book, I can only tell you after the end of Q1 because 70% of our business comes at the end of the quarter in last 3 weeks of that. This is the nature of the license b usiness. See, everybody is cautious right now. Most of the customers we talked about, nobody has given an indication of holding back the project, especially in the spaces we are.

But they are cautious about. So there may be a kind of an impact of wait and watch. But right now, I think in for our -- in our sales planning and in terms of what we hear from the market, we have not seen too much of an impact. And I hope that it remains the same way for the year.

Baidik Sarkar: Sure. I understand. In terms of the complicated 18 -, 24-month projects, that kind of long gestation period, which were the primary geographies that saw that? And is it fair to assume that in H1 of this year, sorry?

Virender Jeet: So India and Middle East are the primary geographies, which are typically having those large gestation projects running for us. I think most of the Middle East ones, we are close -- we are very close to closing and some of the Indian ones will take a couple of more quarters to do that. So these are the geographies where we have. Other geographies we don't have such a problem.

Baidik Sarkar: So my question was, given that you specifically called out that H2 of this year will be a far stronger year in terms of revenue booking, is it fair to expect some kind of a Y -o-Y margin compression as far as H1 is concerned, given that we have fixed costs to be taken care of and we can't pull back on SG&A commitments. I'm just trying to get an understand about margin propensity in H1 this year.

Virender Jeet: No, I don't think so. See when you are saying Y -on-Y, it will not have a compression. I don't think there's any reason because our costs are flat, and we are still growing at a good healthy growth momentum. See the margin compression only happens. And I think we look at margins typically at the annual side because on a quarter

ly, they can change because still there is a kind of a revenue distribution, which is not very even while the cost dis tribution is fairly even on that. We are slightly being cautious about looking at our investments along with the returns which come in quarters. So we should be able to manage this. And unless there's a huge surprise on top line, which we are not seeing, I don't see a challenge on margin.

Baidik Sarkar: Right. Right. So baking in the H2 estimates, you're still saying that there's no risk to -- I mean, we ended this year with about 20% growth, which is a healthy number. So that number of between 22% to 25% is -- will that continue be a sanguine expectation for at least '26 in terms of top line?

Virender Jeet: See, I don't know exactly what we'll end up doing because we end up always planning a lot and then delivering something. We've historically delivered about 20% or near 20% growth. In this year, we don't think our plans don't change much. We still expect to do that. And we internally would end up trying to do a much better number. But surely when it comes to budgeting, we do plan for that much of growth and that expenses accordingly. But what will happen at the end, we'll all have to wait and watch.

Baidik Sarkar: And very lastly, Virender, is -- will growth say for FY '25 and onwards, will that be driven by our investments in new product use cases? Or is it the deepening of the market for existing products that we have. How should we read this?

Virender Jeet: So, I think, we look at growth from 2 areas. One is about expanding our coverage in a vertical. So getting more deeper into banking, selling more solutions to banking, insurance. The second is also getting better penetration in mature markets. These are th e 2 areas we are looking at. So how much more revenue contribution can come from markets like U.S. or Europe? And then how many more new logos they end up winning.

And then also in the same logos per account realization, how can we improve. You can see why we have lot of smaller accounts out of business. You will see revenue per account has constantly grown. Accounts of greater than INR5 crores revenue have constantl y grown at a much higher speed. That is the churn we are driving, and this is driven from 2 things about going wider into each account and selling more to them and also getting a healthy number of new logos, which are sizably large.

Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Sir, you mentioned about the 10 deals, 1 in the U.S. So this 10 deals are for the full year or are they for the quarter?

Virender Jeet: So these deals are generally for us in perpetuating because customers have long -term relationships, but generally, these are license plus implementation which may have a cycle of 7, 8, 9 months, 10 months.

Mihir Manohar: And sorry, 10 deals were during the year or during the quarter?

Virender Jeet: Okay. The winning is for the quarter.

Mihir Manohar: Understood. Out of these 10 deals, I mean, how many of these deals would be with larger Tier 1 accounts where you can have a bigger revenue potential?

Virender Jeet: See, all these 10 deals are sizable. See what -- we have already, Mihir, pivoted towards only large accounts. We don't do small account deals anymore in the U.S. So we are telling these are either Tier 1, Tier 2 insurance companies, banks or health insurance companies. So all of them are large accounts for us.

Mihir Manohar: Understood. Sure, sure. And is that coming largely from insurance -- I mean, insurance and health insurance side, right? Banking will be lesser as of now? Or how is it?

Virender Jeet: So I think 3 from banking, I think 3, 4 from insurance and a couple from health insurance. I think that -- this we can send you as a distribution abou

t these accounts.

Mihir Manohar: Second question was on these -- I mean, annuity kicking in for one of the deal -- some of the deal businesses in India and Middle East. Now when annuity starts kicking in, in the second half, does the annuity percentage which you mentioned 18% to 22%, that remains the same or that changes?

Virender Jeet: So that is the percentage payout of annuity for ATS on licenses. So that broadly remains the same. It has not changed. The only thing what happens. It starts kicking in that means now it is due and we can recognize the revenue from that onwards.

Mihir Manohar: And the third question was on the new product. I mean this is like 2, 2.5 years back, they were looking at a $500 million of a business. Naturally, the progression has happened well over the

last 2 years. Just wanted to get a sense for us to have that $500 million kind of a number. Do you feel any specific products need to be developed, product gaps needs to be addressed? Any development or any color around new products that will be really helpful.
Virender Jeet: So, Mihir, I think this is a work in motion. So last year, at the beginning, we defined a strategy about where we need to invest. We have to verticalize our insurance products across domains and then across geographies. I think 80% of that work has been al ready done. We expanded our banking portfolio like in Islamic banking and then also building banking integration. We expanded our insurance portfolio with integrations with companies like Guidewire and all that. So a lot of that has been alr eady in place.
Beyond that in last 2 quarters, we have doubled up on -- in creating the AI road map for the old products because what we are seeing, the AI is driving most of the use cases. So a lot of our investment while increasing our vertical products and making them more relevant for the market is one dimension. The other is creating the AI -led interfaces for our most of the content management, the low code as well as customer communication products. I think between these 2, there is enough market and now it's our a bility to go and execute and sell.

Mihir Manohar: Understood. We will be looking at the core banking part of the piece to enter the corporate core banking is part of the piece?
Virender Jeet: No, we have not. We have not considered that, and we are not interested in that. I think we work in the layer of innovation where most of the action is happening about that, which is about journeys, processes reinventing them. And core is where we end up m aking sure that we sit on integrated with the core and keep on expanding the functionality of the core. Core is a different business. It takes hell lot of a time to build credibility in the core and then build systems and core. So we are not interested in core.
The only thing what we are slightly interested in some in health space. And in insurance space, we are interested in building policy administration services, which are kind of the semi core out there. Those we already have some products and then we are try ing to expand out there. But in banking, we are not interested in core.
Mihir Manohar: Sure. Just one last question from my side. What was the order booking growth for the full year on a Y -o-Y basis?
Virender Jeet: I think our order booking was at INR1,664 crores. which was almost 10% or around compared to last year same time.
Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.
Chirag Kachhadiya: I have a question on order book only. Like, what is current value of unexecuted order and -- as well as the new one which we received during the year.
Virender Jeet: I think we can -- if you can write a mail, we can send you those because those number s, I don't have the unexecuted exact sizes. But as I said, our unexecuted order

book compared to last year
same period has a healthy growth. I expect more than 20% growth in that.
Chirag Kachhadiya: And this unexecuted order book likely to come in execution in FY '26 or it will extrapolate for 1 in FY '27 as well?
Virender Jeet: We have been talking generally unexecuted order books, which are relevant for this year.
Moderator: The next question is from the line of Aditi Patil from ICICI Securities.
Aditi Patil: I have a question on Singapore -- sorry, the APAC market. So it has grown strongly for us in FY '25, what has -- which verticals and which countries have driven this growth? And how do we see growth outlook over here for FY '26?
Virender Jeet: Yes. So Aditi, what -- you're absolutely right, APAC has grown strongly, and I think they've got -- the business has gone in 2 areas. One is around government. We have consolidated our position in the Singapore government space. I think we have won some ma rquee accounts out there, and we expect that momentum to grow into next year. I think some of the strategic deals

out there, we have been able to close. The wider market is still banking insurance for us across all these markets.
And in APAC, I think predominant market is around for us. Malaysia, Indonesia, Philippines, Singapore and then we are also trying to do something in Vietnam and other areas. But this is the market. So most of these deals which have come in banking and gove rnment space, which has given us that. It has become a substantial part of our revenue. It is almost now reached around 15% of our revenue, which is a good thing. And we are quite hopeful that I think the APAC can

maintain a growth momentum. Also having s aid that, I think if you look at last year, APAC growths were much muted.
And since they didn't have high growth, this year numbers almost jumped almost 60% of their growth which is -- but I think there is a considerable improvement in what our entitlement to win in government and APAC, especially in Singapore, and that's what w e can ride on next year.
And some of the marquee banks which were acquired, we should be able to expand both in Malaysia, Philippines and Indonesia and in some more countries.
Aditi Patil: Got it. And one question on the DSO days. So DSO days increased by 7 days in FY '25. So what led to this increase? And what is our target range?
Virender Jeet: So I think the culprit was EMEA out there. And so some of very large payments got delayed out there, which I think some part of them has been already recovered in some. I think that has been predominantly. Rest, I think the larger deals that we have got in to slightly our -- the improvement in DSO for the last year was more flat. But on Q4 since some large payments got delayed, I think that's why the DSO jumped out there. I think we should be able to do fine in the next couple of quarters. We should be able to bring it back on track.
Aditi Patil: So what should be our target range for DSO like -- once last year, it was 130 days?
Virender Jeet: See our average, we look -- it will keep on coming down, now that since it's a smaller quarter because Q4 is very large. It always goes very high on that. But on the -- so we think an average for around 120 for a year, and then we can improve it from there . So I think it will keep on becoming better for next Q2, Q3, but Q4 again becomes high because of a very large amount of our billing happens in Q4.
Moderator: This was the last question for today. I now hand the conference over to the management for closing comments.
Deepti Mehra Chugh: Thank you so much, everyone, for joining in. For any further questions, you can connect with me or go to the website. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

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(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q1 FY'2 6

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 12th July 2025 regarding the Conference Call of the Company, which was held on Thursday , 17th July 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary & Head -Legal

Encl. : a/a

"Newgen Software Technologies Limited
Q1 FY '26 Financial Results Analyst Call"
July 17, 2025

MANAGEMENT : MR. DIWAKAR NIGAM – CHAIRMAN AND MANAGING DIRECTOR– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. T.S. VARADARAJAN – FOUNDER AND WHOLE - TIME DIRECTOR – NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER– NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. ARUN KUMAR GUPTA – CHIEF FINANCIAL
OFFICER– NEWGEN SOFTWARE TECHNOLOGIES
LIMITED
MR. TARUN NANDWANI – CHIEF OPERATING OFFICER
– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

Please note that the transcript has been edited for accuracy purposes

Moderator: Ladies and gentlemen, good day, and welcome to the Newgen Software Technologies Limited Q1 FY '26 Financial Results Analyst Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepti Chugh, the Head of Investor Relations at Newgen Software Technologies. Thank you and over to you, ma'am.

Deepti Chugh: Thank you. Good afternoon, everyone and welcome you to the Q1 FY '26 results of the company. Joining with me today on the call is our management: Mr. Diwakar Nigam, Chairman and Managing Director; Mr. Varadarajan, Founder and Whole Time Director; Mr. Viren der Jeet, Chief Executive Officer; Mr. Arun Kumar Gupta, Chief Financial Officer; Mr. Tarun Nandwani, Chief Operating Officer.

Before we move on to the discussion, let me highlight that this call may contain certain forward - looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties and the actual re sults could materially vary from the forward -looking statements.

Past performance may not be indicative of future performance. The company does not undertake to make any announcement in case any of these forward -looking statements become materially incorrect or update any forward -looking statements made from time to ti me by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.

I would now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A. Thank you.

T. S. Varadarajan: Good afternoon, everyone and thank you for joining us today for the Q1 FY '26 Earnings Call. It has been a muted quarter for us given the uncertain economic and geopolitical environment across the globe. We witnessed revenues of INR321 crores during the Q1 . As mentioned in the past year, Q1 is traditionally a seasonally weak quarter for us in terms of business, which is further accentuated by current condition s. The U.S. tariffs and global conflict have led to a complex mix of consequences for customers and industries.

While the pipeline is healthy and holds up well, we are experiencing that customers are taking more time and being cautious in decision -making and the project starts. As a result, the funnel conversion is lower than initially anticipated at the start of t he quarter. These deferrals and closure delays have led to slow license sales and subsequent implementation in Q1.

However, our subscription revenue growth is getting back on track. During the quarter, we witnessed a growth of our SaaS, ATS/AMC revenues, which reached INR121 crores. These revenue streams saw a 19% Y -o-Y growth compared to Q1 last year. We see the dema nd of our BFSI solution holding up and being resilient.

Overall, we won 12 new logos during the quarter, which will add up to the revenues in the coming quarters. However, the average deal sizes have been lower in comparison to earlier. Our key wins, include working with a bank in the EMEA region on the enterprise workflow and content management, the aggregate value of the order being USD2.5 million . Working with a finance company in Saudi Arabia to develop end -to-end financing system, the aggregate order value is USD1.6 million . Added an insurance and health care customer in Philippines for developing health claims and OCR systems. In India, working w

ith a Small Finance Bank for a
loan origination system for personal loans.
Coming to our product s, as part of our AI strategy, we are making significant investments in AI -driven products and solutions. Our platforms are leveraging AI, especially machine learning and Generative AI to drive decision -making, automation, personalization and intelligent user experiences across the entire workflow. The AI -led use cases are driving deals and customer discussions across all verticals.
As mentioned in the last quarter, we are continuing on the path of the vertical first go -to-market, focusing on various journey clusters across banking. Insurance and government segment s. The journey clusters are decided on the basis of their revenue potential and product maturity, investment and portability across geographies.
During the quarter, we were granted a patent for inventing a system and method for data compression. The invention addresses efficient data compression for large volumes of data files, where the majority of content is similar with a smaller amount of vary ing data. It aims to reduce storage space and improve speed and efficiency of data handling in a much better way than conventional data compression technique.
This is especially relevant in industries handling volumes of structured document, forms or system -generated report, enabling them to save storage at costs and faster data handling. In total, we have 25 patents already grant under our name .
During the quarter, the company was also recognized in the Gartner Market Guide for U.S. Health Care Provider Credentialing and the Forrester's Digital Process Automation Software Landscape.
As an organization, we are adapting to the evolving environment with focus on improvement in growth trajectory and maintaining profitability.
Our profit after tax for the quarter was at INR50 crores and net margins were at 15.5%. We expect that in order to retain good quality employees, our wage costs would increase. However,

this would be balanced by enhancement of productivity through automation and AI. This would help in optimization and maintaining our profitability.
We continue to prudently invest in R&D and sales and marketing. We have invested 9% of our revenues on R&D initiative and around 26% of revenues on the various sales and marketing activities. On the balance sheet front, we witnessed a robust cash flow gen eration, with our net cash generated from operating activities for the quarter at INR81 crores. Our net trade receivables were at INR504 crores as of 30th June, which resulted in net DSO of 123 days.
We began FY '26 in a challenging but transitional environment. During the year, our strategic focus would remain on AI -led transformation, optimization of effort and building resilient client relationship.
We believe that our funnel continues to be strong and closure would gradually improve in the quarters -- in the coming quarter, leading to improvement in overall growth in the second half of the year. In addition, the annuity revenues will continue to pic k up growth with project closures. We remain focused on our growth path and disciplined execution.
That's all. Thank you very much and we are open for Q&A.
Moderator: Thank you, sir. We will now begin the question and answer session. The first question comes from the line of Rahul Jain from Dolat Capital.
Rahul Jain: Firstly, if I look at the logo win data, it is still healthy at 12. But the sale of product did not do well much. So is it that we have seen a smaller size deal, maybe in the insurance where probably the size of the deal are lower? Is there something to lo ok into that?
Virender Jeet: Thank you, Rahul. And yes, we can hear you clearly. Rahul, you are absolutely right. So basically, if you look at overall deal wins, the deal win rates has been the same a

nd it has been
across all geos, we have won deals. And the deals have been both in in surance, financial services, government, in all 3 segments, we won considerable amount of deals.
Yes, one thing which has changed is compared to last year or at least last 5, 7 quarters, the larger programs which customers were deciding, those programs are getting slower. So in terms of the tactical deals, which are in the range of somewhere between I NR4 crores to INR8 crores, INR9 crores are getting decided.
But the deals which were in INR20 crores, INR30 crores, or INR50 crores ranges, we are seeing slight amount of slower pattern decision -making in that. So the current ratio of the license sale being lesser than last year's licenses is on account of having deals but not at the same value as the last year.
Rahul Jain: Interesting. And also another impact that we saw was on the implementation revenue. So is this a slower ramp -up that has in the existing deals or this was more of a balance schedule, which we saw in this quarter on the implementation side?

Virender Jeet: Yes. I think implementation is more this quarter specific and it is on account of 2 things. One is also that the new deals also have some residual implementation, which we typically used to get billed, which has slightly been muted as the deals are much sm aller. The second is also that some amount of our previous large orders, they are still in kind of a slow -going execution mode.
So not much has been realized from the previous order book in that case. So we think -- but on the implementation front, we think that it should balance themselves, next quarter it should become automatically better.
Rahul Jain: Okay. So we should see a stronger implementation in Q2 irrespective of our new win momentum in Q2?
Virender Jeet: You see, the new win momentum will determine the largest outcome. So next quarter, I think the current momentum and the previous momentum should drive slightly stronger implementation.
Rahul Jain: Right. And there was another comment that we should see a better deal momentum in H2. So are we seeing that the slower decision -making impact to sustain in Q2 and Q2 may also be seen as a weak quarter for us?
Virender Jeet: See, the way I see it is, Rahul, that predominantly, the funnel is quite strong. And significant -- we have significant number of large deals in the funnel. What we have experienced slightly a slowdown in conversion of those. And I think that right now, th e way the status is projecting a great turnaround in just next 30 days or next 60 days seems to be difficult. That's why the commentary of the H2 seem to recover is more logical rather than saying the Q2 may see a change.
Rahul Jain: Okay. So in that light, what kind of an outlook one should see for this fiscal or you think our typical 20% kind of an outlook could still be achieved? Or we think, for -- given the macro that should be pegged lower at this point?
Virender Jeet: See, Rahul, see, we are still pegged, whether in the end of March or now, we are still pegging the whole year for the growth and that's what we are investing in across all places. The number 1 challenge for us right now is the deal size. And that is the on ly difference which has happened in the business. We don't see too much slowdown in the overall business momentum.
We'll see closures. Whether we can reach 20% higher or lower than that, it will be very difficult to project right now for us. So right now, we'll have to hold on to that and see how the year shapes up.
Rahul Jain: And just last bit from my side. Let's assume a scenario where we might be seeing this lower conversion of the smaller deal to remain more in stay. You think our other expenses or SG&A side investment might go slightly lower and may drive the margin up for us in this year? Or you think we would r

etain the previous year margin on a broader basis?

Virender Jeet: See, I think right now, there is enough variabilization of cost build up to a certain extent. But I think as we have been telling that we are always a growth -led company. So we do have upfront costs and then eventually, we end up making sure that we meet o ur targets. So if we achieve any reasonable sense of growth, we should be able to expand margins or at least retain the margins.
I don't see margins becoming a challenge as of now because we are still pegging for a growth for this year.
Moderator: The next question comes from the line of Aditi Patil from ICICI Securities.
Aditi Patil: My first question is on -- so what has led to the smaller deal sizes, is it more structural in nature? And also, could you give color on the client behavior across Middle East and India?
Virender Jeet: Thank you, Aditi. So think about, Aditi, what has led to smaller deal sizes, predominantly, I think what we have seen over the last 3, 4 quarters is the momentum of typically the larger DLP programs, from public sectors or even enterprises, is getting conv erted into more single journey cases now.
So we see the larger programs being lesser in terms of compared to what there were in funnel 1 year back. Having said that, there still are at least, both in trade and lending, we have a large funnel of large cases which are bound for conversion. So we're hoping that some of them will close there.
In India, specifically, it is the public sector momentum of DLPs is slightly lesser but it is picking on other areas like trade and other things. In Middle East, we see overall, generally slightly, we are seeing a slightly slowdown of spend in banking for us. In that case, what happens, the tactical

deals are still able to sail through and the larger deals are slightly having an elongated sales cycles. So that was the first. Sorry, what was the second part of the question?
Aditi Patil: Yes. I think you have also covered the second question about client behavior in Middle East and India. So is this specific to the banking vertical?
Virender Jeet: Yes, predominantly. If you see our larger deals, predominantly come from banking. And I think the insurance market for us has been small. It's always tactical deals. Government has both, they can be sometimes large and sometimes small. We don't see change in out there in that behavior. But the larger behavior since banking is almost 60%, 65% of the business. So any impact on that does have an impact on the company.
Aditi Patil: Yes. So this come back of the larger deals, especially the deals in -- larger deals in trade finance and distress lending. So do you think that this may take some time and like a recovery may happen only like towards the end of this year? So like how shoul d we look at the full year growth? Should we consider Q1 as a base and then model based on the Q1 run rate?
Virender Jeet: See, Aditi, I think for us, it's also a difficult question because we are always poised for growth. So we treat this quarter as an exception. And we will again go with full momentum to recover growth in second, third and fourth quarter of that. Having said that, what I see right now, there

is globally also, not only in India but in other markets, we do see that customers are slightly pulling back across all major decisions.
So we are still hoping that if that behavior slightly improves, our larger deals also can close apart from the smaller deals. So I don't think that Q1 will become the base. A lot of our existing business for which we don't have to get any orders also is sp read slightly lopsided. So Q2, Q3, Q4 are much larger than Q1. Though the dependency on large license sales is across all quarters but still the base of the business is

not -- Q1 is not the base. So Q2, Q3, Q4 have a different base than Q1, like in the pr evious years.
Aditi Patil: Okay. Okay. Got it. And our other vertical has grown at a healthy rate since last 2 quarters. So which sub -segments are growing in this? And is it a focus area or it would be one -off growth?
Virender Jeet: No. So I -- as we said, insurance and both enterprise are becoming focus areas for us. The funnel in that is becoming wide. AI is driving a lot of new cases and innovation in the, typically which was very stagnant use cases. So the funnel out there is -- the only difference in that both insurance and enterprise, you will see the deal sizes to be a very average value.
They are not substantial, deal sizes. So what we are expecting to increase the overall velocity of wins. We want to really improve our velocity of wins from 60, 70, to all the way to take up to 100, right.
Aditi Patil: Okay. Okay. What I was referring to is, so we gave out verticals split as BFSI, health care, insurance, government and others. So others has done well since last 2 quarters. So which sub - segments are included in others?
Deepti Chugh: Enterprise is part of others segment .
Virender Jeet: Yes. So others is enterprise, yes.
Moderator: The next question comes from the line of Hardik Doshi from White Whale.
Hardik Doshi: On your comment on the slowdown in decision -making and just because of macro uncertainty. I just want to understand, I mean, because most of our business comes from India and the Middle East and Asia. And in general, I mean, I understand the slowdown in U. S. and Europe. But why this would impact especially like countries like India and Middle East, where there's not been that much of an impact. So what are you -- what are the clients talking about? And why do you expect this to come back in the second half?
Virender Jeet: No, Hardik, these territories have more localized issue s. Like in India, the issue we are facing is about slightly amount of pullback in retail lending across in terms of the risk exposures, how the market is seeing and then how do you pull back in. So larger segments of unstructured lending are pulling back.

So -- but still on secured lending side, there is still some momentum. So that's why I said the single product journeys are still going on in the market. Middle East is also -- it's -- I think Middle East has multiple issues. Middle East does not have the same issue. So surely, the oil prices stay still but also the geopolitical turmoil, like I think one of the challenges we faced in the Q1 of this quarter, all the visas for Saudi were blocked.
So there was hardly any business travel or any execution travel which could happen in Saudi.

So though this problem has nothing to do with the turmoil, it was to do with Haj or something around that.
So there are local issues which are affecting these. And so they don't seem to be major, larger. That's why I'm hopeful that as slightly the temperament or mood changes, like in -- I think we don't have the Saudi issue now this quarter. We're hoping that the visa restoration will happen this quarter. So they will -- this will get normalized on that.
Similarly, in India if the retail lending or lending pushback slightly goes away, we still have a lot of cases and a lot of banks to address where we can go and sell our product. Trade is decoupled with these but trade, again, is an issue which takes larg er gestation cycles of closure of deals.
So overall, you're right, the larger global issues have a lesser impact in India and Middle East. But I think, what we have sensed in last 2 quarters, there is a slightly organic slowdown in decision -making across all places.
Hardik Doshi: Got it. Also, I think in the last quarter or a couple of quarters, we've been talking about delayed implementation of some of the

large PSU Bank orders that we had. So where are we with them?
And like, I mean, will that help in the kind of revenue recognit ion over the next 1 quarter or so while this decision -making is slow?
Virender Jeet: Yes, I think you will see that. I think, as I said, that it may take 2, 3 quarters but I think this progress is happening on that, both on ATS, which is typically the revenues, which starts after the implementation, you will see there's a substantial growth this quarter. In fact, I think the revenue is less. But on the bill ing side, we have given a much higher growth rate on ATS.
So the subscription part of the business, the compounding part has started growing. And I think it will continue growing in Q2 and Q3 this year. It will provide some cushion but it will not provide enough cushion if we don't do large license sales.
Hardik Doshi: Okay. Got it. Just one last question is, I think in one of the slides, we talk about the AI agents that you've introduced, I think LumYn, Harper and Marvin. Can you just talk a bit about how have you kind of embedded these into your products and how this h as enhanced the application?
Virender Jeet: See, Hardik, what we realized, especially with the traditional AI, the ML models, as well as the GenAI with end uses. So lot of use cases where customers were stagnant in the area of ECM or the customer communication management. They have got reignited. Cu stomers have started looking at even the last mileage of automation, which was left out of that.

So all -- what we call the intelligent document processing use cases are getting induced, both in enterprise as well as in segments like insurance and banking. What we have done is, we -- our products have anyway are slightly ready. They have been ready fo r some time out that. But in terms of our GTMs are getting more stronger about that, getting mind share, our ability to demonstrate, execute these projects. That's what we are building right now on that.
One thing is clear, most of the use cases we are driving now, I think 70%, 80% of use cases, AI is either a very central part of that or is a very substantial part of that. Even on lending use cases, we are having AI as a substantial part of those cases. So we have been -we have made ourselves ready for that. And we are hoping that, that should lead us to getting even larger number of deals on the table.
Moderator: The next question comes from the line of Shaleen Kumar from UBS Investments.
Shaleen Kumar: So sir, this -- the growth has been a bit on the surprise side. Are there any cancellation that have happened?
Virender Jeet: No, we have not got any cancellation based any impact in this quarter.
Shaleen Kumar: Because you've impacted -- even during the quarter, it doesn't feel like that it was -- doesn't feel like a sudden surprise to you as well, if somebody just doesn't happen?
Virender Jeet: So as I said, we have been -- we have a very long history of growing consistently. And I think this has been a surprising quarter for us. I think what -- it has happened also there is -- I think broadly, if you understand the contours of the business for u s, I think we are still dependent on large amount of license sale for the growth every quarter, which is the jerky part of that.
So there has been some amount of mutedness on that. And which also the implementation, which is a result of that license, there has got a some impact on that. But the impact on implementation is only -- not only on account of that, it's also on account of some delayed executions in our existing projects and other things, which I think has slightly started recovering, which will also recover next quarter on that. Yes, it is a surprise, but the surprise is predominantly based out of our ability to go and get new orders.
Shaleen Kumar: One is you're saying that customers are

taking longer but then those deals you couldn't close in
June are you able to close…
Moderator: I'm sorry to interrupt, Shaleen, you are not quite audible. Could you at least move to an area where the cellular network is better?
Shaleen Kumar: Is it better?
Moderator: Yes, better.

Shaleen Kumar: Sir, I was asking, so some of the deals which you were not able to close in June, were you able to close them in July? Were you -- are you able to saw then that those will be coming back in July or this quarter?
Virender Jeet: You see, it's a natural thing. Every quarter, if some deals slip, some of them do come in July and some of them vanish. But what I'm worried about is still about the larger deals coming in. So I have not still got any -- in July, we have not got any of tho se larger deals yet in. We are still projecting some of them to close this quarter. So if we can close those 2 deals or 3 deals this quarter, I think we can do a better quarter compared to Q1.
Shaleen Kumar: Right. Sir, I got dropped off in between. What -- did you talk about any guidance for this year?
Virender Jeet: No, sorry. I think we never talked about guidance. This is the only guidance I can tell, which is internal. We still are projecting for a growth here. We are going to still go in investment mode in sales, marketing, our ability to ramp up, build our produc ts. And we will always treat some of these quarters as some intermediate jerks, which we can either springboard on or at least recover fast.
Shaleen Kumar: I mean you have a very strong history growing close to 20%, sir, 18%, 20%, right? So from that perspective, how should we think about like, can we still think of like mid -teen kind of a growth despite muted 1Q?
Virender Jeet: We have never given any guidance. We have only a history. But in history unless it is proven wrong, it's always becomes a history. But as I said, I can only tell you what we exactly think -- internally, we are planning for a growth year. We are not planning to manage at a flat or a muted growth year.
But I think right now, the way the environment is unfolded for us, we think slightly there's a huge uncertainty. So right now, commenting on guidance may not be the right thing to do. And just give us a few more months, I think we should be able to give yo u much exactly. We get the hold of whole situation and try to move forward from there.
Shaleen Kumar: Right, sir. Sir, anything else like an external factor that could be affecting our growth like a competition or change in customer behavior towards our product?
Virender Jeet: See, right now, I think from looking at my funnel and my opportunities on the table, we don't see any threat or any losses which have been. So we have not lost too many cases. That is what would -- or we have not seen the funnel shrinking. So right now, we have a healthy funnel growth compared to last year.
And also the conversations on closure, there are a lot of conversations on closure. And so I don't see any big change, external factor. What has really happened, only 2 contributing, large deals, lesser conversion of large deals and typically slightly amou nt of slower decision -making That's all what we are looking at right now.

Shaleen Kumar: Sir, what could be the possible -- is there -- can there be a case where these large deal customer decided not to go ahead? I mean, is there an alternate for them? Like -- or is just that they can keep on delaying it and they have to come?
Virender Jeet: See, I think in enterprise B2B software, we have realized that the competition to any deals are multiple front. And I think one of the competition is always status quo in case of uncertainty. So it's also what happens and when the overall momentum is more positive, more custom

ers are
deciding, more deals happen. And when less customers are deciding, or slightly reluctant, less deals happen. Those deals won't go anywhere for us.
But they may change from 1 quarter to -- they get deferred for 3 quarters or 4 quarters sometime if you lose to the customer. So I don't see broadly any customer behavior, which is very different. We have seen this always in uncertain times. We scale it th rough either more acceleration in sales, more better deal conversions and getting more number of logos. That's how we fight it out.
Moderator: The next question comes from the line of Grishma Shah from Envision Capital.
Grishma Shah: I'm curious to know how the U.S. market has done in particular? And what is the outlook, given

that quarter 4, we had seen very good deal wins in the U.S. market? That's the first question.
Virender Jeet: Grishma, thank you for the question. I think the U.S. market, we are staying invested. I think we have -- that market also has not been very different on growth compared to this last year. Though Q4 of that, we are able to close 10 deals, some in existing and 6 deals in new.
In Q1, we had just, I think, 2 major deals coming from existing accounts, 1 in insurance and 1 in one more segment, I think. We have a good funnel both in U.S. and around U.S. market in both insurance, health, as well as banking. Out there, we are also run ning after some very large deals and we hope that at least few of them will close in this year.
But yes, right now, we'll have to slightly wait for some more time for the market to really kick in for us. It is not -- right now, it is not helping the growth. It is staying at the same rate as other markets are.
Grishma Shah: Yes. The other question that I had was on the margin outlook, given that we would also have wage hikes and the growth slowing down, so the operating leverage in the business also gets impacted. So what's the range that one should look at in terms of operat ing margins? Or if you could give some color on the wage hike impact, either way?
Virender Jeet: See, right now on the operating margin, we have historically maintained that our net margin should remain at around 20%. But also I think there is one important thing. We are -- since we are already pivoting for growth every year, so our costs are slightly front -loaded in terms of our manpower. Though we have a lot of -- depending on sales performance, we have a lot of variabilization on that. So that should kick in. So I would still go and hope that in this year, we should still be able to m aintain our margins as we are saying.

But if the growth rates fall substantially, then the margin will get affected irrespective of what we do in that because internal levers are much lesser on a slower growth rate for us. So we are not poised that we can maintain margins at 1% or 2% growth. That's not the way the company can handle right now.
So on the wage hike, so I think we have not taken a final call on that. There is going to be surely wages increase for our campus people and certain level -- up to a certain level. We will decide that exactly in next 1 month or so. And I think in next qua rter, we can give you a more clear picture about that.
Grishma Shah: Okay. I mean any color or more color on the competition? Do you see more competition emerging in certain geographies which, like the Middle East or the African region? I mean, is there some new competition emerging, if you could throw some light on that?
Virender Jeet: See, nothing material. So what happens is we have these global players who are competing all the time in like the ECM players and the BPM players. And then on a local basis, you have local competition in every country, depending on what vertical use cases are there.
And then there is always a third competition, which is about the startup ecosyste

m, AI -led
companies which are -- so I think that remains the same. I don't think there's any big -- and right now, competition is not determining any threat to us or any chall enge, which is, we are losing too many cases to competition.
So I wouldn't say there is too much -- the only what is structured, the larger platform players are entering our traditional market areas like you have more and more players coming to India, more and more players coming to Middle East. So there is a some a mount of slightly crowded market out there.
But then both our platforms and our vertical focus is helping us win those cases because we are still very specialized for banking, very specialized for insurance. Those things give us that strategic advantage against that competition.
Grishma Shah: Okay. And there hasn't been any pressure on pricing as such, right?
Virender Jeet: Nothing more than which has been usual. I don't think any -- anything.
Grishma Shah: Yes. Okay. And can you also just tell us about the tax rate that we would have for the next 2 to 3 years?
Virender Jeet: I think around 23%, 24%, tax range.
Management: Yes, it's 22.5%.
Virender Jeet: 22.5 %.
Moderator: The next question comes from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Sir, you mentioned about large deals pipeline, I think, [inaudible 0:36:51]. When we see the

India business, okay, I mean on the India side, there was PSUs which was -- there was rationalization coming on the PSU side, some saturation also you had mentioned?
Deepti Chugh: Mihir, can you repeat your question once?
Virender Jeet: Mihir, sorry, it was not audible. Can you just repeat it? I think are we dropped or?
Moderator: Mihir, please go ahead with your question and unmute your line in case if you are on mute. Since the participant has dropped, we will move to the next participant.
And the next question comes from the line of Ruchi Mukhija from ICICI Securities.
Ruchi Mukhija: I have 2 questions. First, was the slow -decision making persistent throughout the quarter?
Virender Jeet: Yes, Ruchi, I think we have seen this not only this quarter, we saw it also last quarter. I think last quarter, I think some of our deals did were back into that slow decision -making process. So we have seen this slightly creeping in from Q3, Q4 and now sl ightly more prominent because the Q1 is also a smaller quarter for us. The results become more prominent in Q1. I don't think it is -if you're saying has it been consistent for the quarter, yes, it has been consistent for the quarter.
Ruchi Mukhija: And could you help us, what are the signals that we are watching to monitor this case of client decision, what steps you're taking especially to ensure it's not getting worse?
Virender Jeet: So Ruchi, sorry, I couldn't get your question. Could you just repeat it?
Ruchi Mukhija: What are the signals or signs we are keeping a watch in order to monitor this health of client decision -making, especially any indication to keep a tab that it's not worsening?
Virender Jeet: Yes. So I think what -- this is typically a part of the sales process. We are looking at our conversion rates. We are looking at, I think, stage movements of cases. Finally, also the contract phases and the time span of cases. So you can -- so see, there a re 2 ways to look at it. One, we look at it at a holistically across the enterprise statistically, because that is where the larger data comes from the sales management system.
But also for our core cases, they're projection for closure. We look at accuracy of that projection in terms of commit accuracy. And that is where we get exactly like in terms of are we at 70% of commit accuracy, 80% or 40 % of commit accuracy.
That gives us that indication how the market is moving because when we are talking about slowdo

wn, we are talking of in cases which are at the decision -making, which are at the closure stage, which is called negotiation stage or a closure stage. Both -- we are tracking on both ways. I think we do get a fair amount of indication about when things start changing their -- either momentum either way.

Ruchi Mukhija: And if this slowness persists, do you think some strategic change in terms of what kind of work we seek out in the market? Maybe if the small deals is what we are getting in the market as we try to reach out to more customers so as to make up good revenue numbers?
Virender Jeet: Yes, Ruchi, absolutely. I think we can't just hope for things to change. We change them ourselves. I think right now, the core focus is slightly expansion of our target market and increasing the velocity of the deals which are typically in that sweet spot. So rather than targeting 60 deals, we think that we should target more like 100 deals and try to compensate for if there is a slowdown in the larger deal segment.
And also, as last year, we diversified into insurance, we opened that vertical. Enterprise is also showing some traction. So we are expanding the addressable market as well as looking at more velocity. So -- and also the plans will be very specific to ever y geo and every account how we want to solve it.
Ruchi Mukhija: Last question. Now when compared to large deals -- now between the large deal and a small deal, could you talk about how does it change the profitability economics for the company?
Virender Jeet: See, I think large deals have large license components, which are much absolute better margin. So typically, however we meet our license targets, I think will have the same impact. Whether we do the revenue from 3 large deals or 30 small deals, if the lice nse amount is same, then it does not change the profitability of the company, it is at the same thing.
So as long as we meet the high gross margin revenue streams, which is the license, ATS/AMC and subscription, the percentage of that revenue to the percentage of the overall revenue does not shift significantly. Our gross margin positions don't change.
Moderator: The next question comes from the line of Mridul Goenka from CLSA Capital.
Sumit: This is Sumit from CLSA. Just 2 questions, Virender Jeet. First is, sir, wanted to understand, is there any structural impact of AI agents or Agentic AI on low -code, no -code industry altogether? And the second question is, I mean, are you still holding on to longer -term growth potential of 20% for your business given that the overall TAM is pretty big and you have a very small market share?
Virender Jeet: Sumit, thank you for this question. I think this is a very important question. So what -- you're

absolutely right, the Agentic AI space or the GenAI space in general is also disrupting lot of code generation initiatives. And of course, since it also, in a way proposes a very different way of low -code or no -code so in terms of reducing the overall development cost, there is an overlap. But in our use cases, if you understand our GTM is predominantly determined on verticalization of offerings u sing low -code or no -code as a technology.
So what we ride on is similar. So basically, now we are saying that you can build our loans origination system through a low -code platform, which also uses Agentic AI or GenAI to augment the code building part of it.

So we don't see a challenge on that. So there is no direct competition between Agentic AI, GenAI and low -code. I think what low -code plus augmented low -code with GenAI is the new offering, which most of the people will be proposing, including us in our of fering. So I don't see a concern, I also see, it may also accelerate low -code in terms of GenAI may

add one more capability, the whole low -code just accelerating the whole low -code initiative in the market.
On the overall, I think you're absolutely right. We still -- since the total TAM is very, very large and also our aspiration is to go deeper into U.S., Europe and other things, we don't think there is going to be any kind of a muting down our overall aspi rations.
Our overall aspiration is to even accelerate the growth rate above our historical growth rates to reach higher. So I don't see there's any challenge. We may have 1 or 2 quarters, few quarters and every 5, 7 years like this but that does not change the ove rall outlook of the company.
Sumit: So do you think this is more like a phenomena where certain deals and projects are being pushed out rather than being canceled? So you're over a 3 - to 5-year period, the growth will still be in high teens or low 20%, similar to what you have been deliverin g for the last several years?
Virender Jeet: Absolutely, I don't think -- whether the reason is that or not but I think, yes, over the long -term outlook, we don't see any change in the long -term outlook. Whether these deals are pushed out or there's an overall delay in deals, I think we -- what -- as a sales company, we'll find ways to really overcome that and start selling more.
And because as you rightly said, the overall addressability of what we have is very, very wide. We'll have to really find -- the market is not a bottleneck. We have to prepare for more markets, more use cases and go and sell them.
Sumit: Right, right. Because I think the only problem, the issue we face is, I mean, like if you look at the Indian banks or Middle East banks or the economy, they have been still humming well. The earnings growth has been resilient, not that bad. So that perform ance for you guys from Middle East and India and the banking sector is a bit of a, I would say, an outlier in that context where we don't know what's happening with the competition or on the product side. So that is, I think, the main concern from t he investor community from this results?
Virender Jeet: No, I can understand and appreciate that. But I think, no, what happens is, we have seen few quarters because of various reasons. But as you rightly said, they don't change the overall picture about that. We still don't have any larger challenges in the ma rket, we -- at least in these 2 markets, we are the player where everybody has to fight.
That picture has not changed. So I think we'll have to just get some of the large deals in this market in place, which we'll address. But on the larger time, we'll have to get the U.S. story going. Europe story going and the Australia story going.
Moderator: The next question comes from the line of Mihir Manohar from Carnelian Asset Management.

Mihir Manohar: Yes, sure. So really wanted to understand the large deal pipeline. I mean, you mentioned that for India side, specifically, there was some situation which is there on the PSU. But why is the large pipeline getting shrink, specifically, I mean, Middle East as well as Middle East, U.S. and Europe? Some color on that will be helpful.
Also, you made a comment, in the second half, you expect the numbers to turn around on a better shade. I mean, from an external perspective, let's say, how to get confidence around that? Some color will be helpful.
Virender Jeet: Yes, Mihir, thank you. I think 2 things you are rightly saying. So when I said large deal, I think the bigger concern is not the pipeline but it's about the closure. So what we have seen, that our large deals have not closed. And what I was saying that I t hink what last year and 2 years, we had a huge momentum of public sector orders which were decided, which were very large in size.

I think overall, the addressable market of that public sector also has closed. We ha

ve almost
implemented most of them. I think there are 3, 4 left, which we are probably going to get in next quarter or next quarter or next quarter, something like that wou ld happen.
But it is that whole addressable market itself. While that has closed, we have opened opportunities in payments and trades, again, in those things. But I think, again, the pipeline in payments and trade is not as strong as the DLP program was pipeline. So I think there is 2 issues in large deals. One is about overall pipeline in India of large deals. The second is also the closure rates and across market in large deals. So both of these are -- have added to the problems of this quarter…
Mihir Manohar: Sorry, can I interrupt?
Virender Jeet: Yes, sure, go ahead.
Mihir Manohar: In terms of India, there is this DLP program, which got completed, which is true. But what's the reason for the large deal pipeline getting lower in other geographies?
Virender Jeet: See there, if you look at very large deal pipeline is happening only in India and Middle East. Those are our big markets. Rest, there are large deals but they are similar, they will be in INR6 crores, INR7 crores, INR8 crores, INR9 crores only.
In Middle East, as I said, I think this quarter, we had one strong phenomena and that in Saudi, we were not able to travel for sales or for service delivery. That did impact our ability to close, our ability to move on to those deals. So we think we should be able to recover from that going forward in next quarter or next, next quarter.
So come to the second part of your question, I think why we are confident because we are still generating more cases and we're still generating more new deals, which are large deals. So overall demand situation, we have not seen very difference. The only difference we are seeing right now our ability to close the large deals.

So we are hopeful that things should change for us going forward in next quarter or in the next half of the year. But I think we'll have to wait and see how the market behaves. And as we get more into -- in a few more months, we'll get more insight into e xactly what's happening and how do we mitigate the current situation.
Mihir Manohar: Understood. Sure, sure. And just last 2 questions. I mean have we lost any customers in the top 20 accounts or on the sales team side, our sales team, is there any churn which has happened, which could be a point of concern?
Virender Jeet: I don't think we have any churn, which is impacting revenue. But I think I can ask Deepti to send you the top revenue contribution from top 20 accounts last year versus this year.
Deepti Chugh: They keep changing in anyway.
Virender Jeet: They keep -- the names keep on changing. So there's no big account churn, which can make a material difference to our business in such a large way.
Moderator: Does that answer your question, Mihir?
Mihir Manohar: Yes, yes. I had just one question, which was there. Have we lost any customer in top 20?
Virender Jeet: See, we have some churn of customer, at least smaller -sized customers, which are typically the channel partner customers every year. I think historically, we have 2, 3 customers we end up losing every year through contracts or through cancellations or some times through mergers and acquisitions, change of priorities. But none of -- nothing which is very different from last year.
In top 20, we don't lose anything.
Moderator: Does that answer your question, Mihir? Mihir, are you there? You're not audible.
Virender Jeet: I think his line is not fine.
Mihir Manohar: That does answer my question. Actually there is some disturbance in my line. I'm sorry for that.
Moderator: The next question comes from the line of Debashish Mazumdar from Svan Investment.
Debashish Mazumdar: So sir, I have 3 questions, 2 at the macro level and 1

at the company level. So the first question
I have is, there is a concept that because of AI coming in and the implementation to -- implementation cycle to cost benefit of an enterprise software business will change significantly for a client.
So do you see that happening at the ground level or is there any change happening that your cost -your period of implementation is coming down so that your cost to a customer comes down and that's why the acceptance goes up? That's my first question. I wil l come back with 2 more questions.

Virender Jeet: Yes, Debashish. I think you're absolutely right. See, one of the biggest advantages of GenAI is about -- in terms of the speed by which the software development cycle can get affected, both in the coding and other stages of software development.
So what we see happening is that with AI, overall, what people can execute with the same amount of time and resources will substantially change, will change by a large magnitude, which would, for use cases, make compressed execution cycle and will provide material advantage to the customers.
But what it triggers is also is the faster innovation cycle. So you now end up opening up more projects and more execution. And you end up -- customers end up automating or digitization or using AI for more and more cases. So overall, from my outlook, I t hink the overall spend on IT or projects would keep on increasing. But yes, for the same project, the cost may substantially improve.
Debashish Mazumdar: And do you -- are you kind of seeing this kind of trend that because of this thing, the acceptance is going up? Or it is still early for us?
Virender Jeet: See right now, I think right now, I think at the top level, there's a communication, people expect optimization, people expect use of AI. But I don't see right now the tangible it has translated in some amount of expectation of value and numbers. But we ar e not very far from that. I'm very sure in next 2 quarters, you will see this conversation happening on all existing projects and all existing contracts of how to optimize them.
Debashish Mazumdar: Understood. The second question is and pardon if you have already answered this question, I have joined little late. If I see my product or license growth this quarter, there is a sudden drop.
I understand there's a kind of seasonality here.
So is it more to do with the macro challenge with -- especially with the BFS segment and some of the other segment clients? Or there is some lesser acceptance of our product or moving into more updated version or stuff like that, which is more transitory i n nature?
Virender Jeet: So see, right now, we see the traction for our products overall can be determined from the funnel and the funnel side. We don't see any challenge. We also don't see any challenges in terms of number of opportunities which are coming to closure. That's why I think our license sale is dependent on 2 things.
One is about number of new deals and number of mining cases we create in existing accounts.
But also, it also depends on the size of those cases. While you see on the number, we are very close to what we did last year.
But on the size, we have shortened and that is the result because we didn't get any substantial large license order this quarter, which we think will not stay same going down the quarter. We should be -- because the funnel has a lot of cases which have la rge license deals. I think in Q2 or H2 of this year, we should be able to recover that.

Debashish Mazumdar: And one last question is, if I see my support revenue, which is more service in nature, it is kind of stagnant for last 4 quarters. Now if I understand correctly, until last quarter, my license growth was significantly higher. So why it is not getti

ng perc olated into higher support revenue and why
specific de -growth in last quarter and very anemic growth this quarter?
Virender Jeet: Yes. So I think we had explained this. I think this was one of the concerns last few quarters in our revenue, both support and ATS. Since we said a lot of large projects have not reached the closure stage, this revenue stream has not triggered. So this is still an opportunity for this year for both our AMC, support and subscription to grow much more faster than last year.
And I think some of these projects are coming in the stage of closure. So the first thing you will see that the AMC will grow out of that abyss. And the second subsequent next few quarters, you will see the support revenue growing on that.
Debashish Mazumdar: And sir, this delay in closure is largely to do with the longer execution cycle because of the general uncertainty in the market?
Virender Jeet: No, no. Sorry, there are 2 parts. One is about license deals. The value of license is impacting…
Debashish Mazumdar: Yes. That part is understood. Why there is a delay in execution in existing license implementation or the service revenues?
Virender Jeet: Yes. So I think that's what I'm saying. Last year, we had, over the last 2 years, got very substantial large orders, which had substantial part of execution. So some of these executions have got delayed. They were planned for 9 months, they have taken 1 ye ar, some have taken 2 years.
So which has affected this downstream revenue, which is the ATS because as soon as things -- the customers go live, then only they start talking of ATS and subsequently, they start talking of extended support. So these 2 streams, if you see last year also had not grown substantially for

us.
Now we had advised that from this quarter and next quarter, you will see that these 2 streams will start substantially growing because these projects are now coming more to fructification and some of these customers are getting to next stage of orders. So that's what I was saying. This year you will see -- you should expect that both ATS and support to grow.
Debashish Mazumdar: Okay. And one last question, if I may. You were talking at the initial part of the call about increasing competition from global peers. So can you just help us to understand who are these players? And what kind of competition you're seeing there in which a reas of the business?
Virender Jeet: See, generally, what has happened that typically, we are seeing the markets where we are strong, like India and Middle East, in multiple countries, also in APAC. We are seeing there is a substantial investment done by all major global players like who are either in the ECM quadrant or the BPM quadrant to enter the market. And that the overall competition dynamics of every account is changing. So there are 2 things.

One is, there are more global players coming to the market. And second is also the local competition is emerging in terms of new start -ups, local vertical companies. So this is -- but this phenomena has been there for constantly some time. And I think -- so what we see is that in our strong markets, we still have a very strong strength in terms of both referenceability, proven track record and our products are much more recognized because of our vertical knowledge and expert in that. But overall, yes, the c ompetition, in general, is increasing in all cases.
Debashish Mazumdar: So sir, are you saying that this new competition is basically the traditional BPM players who are trying to productize their services?
Virender Jeet: No, not only traditional. It can be platform players like Salesforce is also entering spaces like digital lending or you can have companies like ServiceNow entering the operation, which was not prevalent very much in India, now it's more prevalent. You hav e companies l

ike Mendix,
OutSystems also entering the market, which were not there 2 years back.
So these are -- so the market in the whole space of low -code is also getting very cluttered and not defined. That's why we have always pivoted in terms of our strategy going with vertical - based approach and using low -code platform as a way to accelerate th e engineering cycle.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Deepti Chugh for the closing remarks.
Deepti Chugh: Thank you so much, everyone, for joining in. For any further questions, you can go to our website or you can connect with me. Thank you.
Moderator: Thank you, ma'am. Ladies and gentlemen, on behalf of Newgen Software Technologies, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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Sub.: Outcome Transcript – Conference Call – Q2 FY’26

Dear Sir/Ma’am

As intimated earlier through our letter dated 17th October 2025 regarding the Conference Call of the Company, which was held on Tuesday, 28th October 2025 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company’s website at https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary & Head-Legal

Encl.: a/a

“Newgen Software Technologies Limited
Q2 FY’26 Earnings Conference Call”
October 28, 2025

MANAGEMENT : MR. T.S. VARADARAJAN – WHOLE-TIME DIRECTOR –
N EWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –

NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. TARUN NANDWANI – CHIEF OPERATING OFFICER
– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
R ELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
L IMITED

MODERATOR : MS. ADITI PATIL – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Newgen Software Q2 FY '26 Earnings Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask a question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Aditi Patil. Thank you, and over to you, ma'am.
Aditi Patil: Thank you, Saisha. Good evening, and welcome to the Q2 FY '26 Earnings Call of Newgen Software Technology. It's my pleasure to introduce the senior management team of Newgen.
We have with us today Mr. T.S. Varadarajan, Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Tarun Nandwani, Chief Operating Officer; Mr. Arun Gupta, Chief Financial Officer and Ms. Deepti Mehra Chugh, Head, Investor Relations.
I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.
Deepti Chugh: Thank you, Aditi. Good afternoon, everyone, and welcome to the Q2 FY '26 results of the company. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements.
Past performance may not be indicative of future performance. The company does not undertake to make any announcements in case any of these forward-looking statements become materially incorrect in future or update any forward-looking statements made from time to time by or on behalf of the company. For further details, you may please refer to the Investor Relations section of our website.
I would now hand over to Mr. Varadarajan for presentation of results, which will be followed by a Q&A by the management.
T. Varadarajan: Good afternoon, everyone, and thank you very much for joining us today for the Q2 FY '26 earnings call. I'm pleased to report a strong quarter, reflecting our continued focus on product innovation and customer success. Our growth momentum has been restored in Q2. This quarter, we have achieved revenues of INR401 crores, marking an 11% Y-o-Y growth. Our performance was driven by robust demand across regions, especially new and matured geographies and increased adoption of our digital solution.
Our subscription revenues reached INR126 crores, witnessing a strong growth of 20% Y-o-Y. During the quarter, we made 15 new customer logo addition. We are happy to witness new territories opening up and large break-throughs in matured market, which is expected to help us in further scaling up in these geographies. U.S. and APAC regions witnessed strong growth of 22% each during the quarter.

India region witnessed a growth of 7% and EMEA by 3%. We are working on expanding wider in India and Middle East market. Increasing focus on Make in India initiatives is expected to give us advantage vis-a-vis international players in the Indian market.
Further, we are deepening our presence in the banking vertical and working on building customer journeys in private enterprise. Moreover, we have also witnessed early success in the insurance past segment across geographies. Our key wins in Q2 include we won a project of approximately GBP3 million from a major life and pension consolidator in the U.K. market to provide an enterprise content management and customer communication management platform.
Newgen signed a 5-year contract worth of EUR4.2 million with a major retail group with diverse

portfolio of food and non

-food segment in Europe for a modernized cloud-based enterprise
records management platform. We secured a 5-year contract valued at $5.6 million from a Ghana-based conglomerate for implementing a loan management system. The company also entered a 2-year USD1.6 million deal with the bank in Americas region for supply, installation and implementation of the Newgen enterprise content management system platform.

We signed a 3-year agreement valued at approximately USD2.6 million with a leading U.S. healthcare company for annual software subscription, cloud hosting services and implementation. Newgen was awarded a 5-year INR21.24 crores deal by a general insurance company in India for policy administration system. We were awarded a multiyear INR8.9 crores deal for licenses of BPM platform and its implementation for the PAN 2.0 initiative in India.

Coming to our products, we are working on creating viable use cases in AI through significant investments in AI-driven product and solution. By leveraging AI, we can help boost productivity, decision-making, quality and employee engagement with enterprise system.

During the quarter, we also launched the Newgen Developer Community and received an overwhelming response with over 500 registrations on day 1.

During the quarter, the company also registered as a strong performer in the Forrester Wave Digital Process Automation Software in Q3 2025. We have also been recognized in Forrester the insurance agency management systems landscape. We have also been recognized as a representative vendor in Gartner Market Guide for Commercial Banking, Cash Management and as a sample vendor in Gartner Hype Cycle for Bank Lending 2025.

We are happy to share that we have been selected in the Forbes Asia Best under a billion issue publish in August 2025 for the second time in a row. Our profit after tax for the quarter was at INR82 crores and net margins were at 20.4%. We are working on various steps of enhancement of productivity of our workforce through automation and AI. We continue to prudently invest in R&D and sales and marketing initiative. We have invested 9% of our revenues on R&D initiatives and around 21% of our revenues on the various sales and marketing activities.

On the balance sheet front, we witnessed robust cash flow generation with our net cash generated from the operating margin activities at INR90 crores during the 6-month period. Our net trade

receivables were at INR521 crores as of 30th September 2025, which resulted in net DSO of 124 days. This quarter has been a testament to our resilience and agility.

Despite evolving market dynamic, we have delivered strong financial performance, expanded our global footprint and deepened client relationship across key vertical. Our strategic wins in U.S., APAC and EMEA regions underscore the relevance of our solution and the trust our clients place in us. Our funnels continue to be healthy and strong, and we see improvements in project closures, especially in new and matured market. We are hopefully of continuing the momentum in the second half of the year as well.

Thank you very much. We are now open for Q&A.

Moderator: Thank you very much. The first question is from the line of Ruchi Mukhija from ICICI Securities Limited. Please go ahead.

Ruchi Mukhija: Many congratulations to the management on a wonderful quarter, excellent delivery. Could you help us understand, last quarter, we commented that there has been some delay and change in the large deal momentum. How that has played during the quarter, we heard a couple of large deals, but most of them are from developed geography, Europe, U.S. So, now how the situation in India and EMEA stand, if you could comment, especially regarding the large deals?

Virender Jeet: Ruchi, thank you, and thanks first for congratulating on the result. You're right. I think wha

t we
had indicated at the end of Q1 that while the business momentum and deal win momentum was strong, typically, there was a significant delay on large deal closures, especially in territories like EMEA and India. I think a large part of the challenge still remains. We are -- while we are closing lot of deals and the EMEA and India large license deals are still fewer compared to last years.

So we have done a good significant around INR70 crores of license this year out of this, a significant part comes from India and Middle East. Most of the large win this quarter have been also from matured markets. So, their revenue recognitions are quite delayed. So they are not really factored in the revenue, while the deals which come from India and Middle East, you are able to realize because they are license-based revenues.

So, I would say that partly the challenge has not completely been resolved. But as I said that we are focusing on more deal velocity, organically expanding our use cases and also trying to get into newer verticals and using AI to drive some of that momentum. We should be able to also

weather these tough times and still register growth. And that's where we are right now.
Ruchi Mukhija: This quarter, even the profitability was a surprise. Is it fair to associate the better profitability to the growth from the mature or the developed market, which comes with a better margin profile? And if we see similar growth mix across geography to continue, the margin -- upward biased margin should hold on. Is that right interpretation?
Virender Jeet: Yes, because I think as you previously mentioned that any -- our costs are typically very standard at the beginning of the year. This year, I think since the market momentum was not very strong,

we were slightly more cautious about spend and some of the costs also about manpower expansion were not needed because the services and deliveries are getting optimized and there's also advantage of some amount coming from the AI. So the manpower additions were much muted. And the better margins due to the distribution of revenue coming from Geos is an organic thing.
We clearly understand as the subscription revenue becomes larger part of the revenue and the matured market sales where we have better realization for the same deal, we should be able to further expand margins. But margins are also a function of how aggressively we want to invest. So I think our indication of we can do something between around net of 20% of margin will continue. And the business organically as it grows, does expand margins and thus, we have an ability to deliver higher margins, but we would prefer to invest that in growth and accelerate the growth.
Ruchi Mukhija: Got it. And the last one, this quarter, we saw a significant jump in other expenses. Could you add more color to how this expenses got inched during the quarter?
Virender Jeet: I'm not very sure because significantly, we did not, as I remember, there is one sale of hardware, which has an impact of roughly around INR6 crores to INR7 crores, which could be -- maybe that is the case or I don't see there's some consultant fees which came on this quarter, but they're not very different from what we have been doing in previous quarters. So, but I think Deepti can send you more detail about -- we can exactly tell her share more details about. Nothing significant…
Ruchi Mukhija: I was trying to correlate, I mean, have we increased marketing events and given our expectation that the larger geography...
Virender Jeet: Slightly, not substantially, slightly. I think in next couple of quarters, we will start again increasing them, but nothing significant. I think there will be more incremental as to the investments.
Moderator: The next question is from the line of Aditi Patil from ICICI Securities Limited.
Aditi Patil: My first question is

on the order book growth. Can you give some qualitative sense on how our order book has grown in H1?
Virender Jeet: Aditi, thank you and yes, Aditi, we have -- last year, we said that the order book at the end of the year is a better reflection. Right now in the middle of the year, it is looking quite strong. I think the numbers are above 20% on the order book growth, in fact, mid of 20s or even higher than that. But I would take that data in the context of looking at -- because some of the order flow between H1 and H2 can be also to do with where the ATS has got renewed, where the subscriptions got renewed.
But it is surely better than last year, clearly for the same period by a significant number. And I do think over next few quarters, that should reflect in the conversion of that business. But I

would say the order book numbers at the end of the year are a better indicator than in between on a quarter level or at a half year level.
Aditi Patil: Okay. Got it. And so last quarter, towards the end of the quarter, we had signed a couple of large deals. So did they get converted to a license revenue in Q2 because we see a Q-o-Q strong jump in license revenue.
Virender Jeet: No, not really. So, what happens in any license deal, whenever -- whichever quarter it is closed and it is built and revenue is realized. So, I don't think orders of last quarter of license would have reflected. These are typically all the orders which would have been closed this quarter. It could have some amount of service delivery revenue or some coming from those orders.
But generally, slightly all orders take a bit of lead time. Beyond license values, they all take slightly at least a quarter or sometimes 2 quarters to ramp up and start execution and some revenue started coming in. So, I would say that most of the non-license revenues from Q1 and

Q2 orders are yet to be realized. They are not in the system.
Aditi Patil: Okay. And my last question would be on -- so globally, we have seen large software companies seeing strong growth in their AI features. What are our plans on growing AI-led product revenues? And like what traction have we seen so far? And also, you mentioned about AI-led productivity helping lower employee cost or the increase in the employee cost is lower. So, can you share how our employee headcount has grown on a Y-o-Y basis?
Virender Jeet: Yes, Aditi, I think there are 2 parts of this question. First of all, for global companies, typically most of the conversation, at least in the context of India is around service companies. And their challenges, their problems and opportunities are very, very different than ours. We are -- so -- as a product company, generally, we have to pre-invest in AI to be relevant in our products. So, most of our use cases are AI-led and AI delivered.
So, product capabilities are getting enhanced or have been done for last 3 years. We have also clearly have GTMs around 5 different AI product area like credit decisioning, the trade document or IDP based cases or there are cases in insurance. These are our GTMs which are trying to drive sales, and we got some successes in Q1 as well and some in Q2.
So, I think our strategy is still about using -- leveraging interest in AI, transform use cases and enhance the digitalization of businesses. And that is where our products fit in. We are not into looking at overall AI demand and servicing that demand because I only service the demand through my products and my use cases.
So, I think we are hopeful that this over a period of time, product companies end up being net benefit of any large digital movement. And -- but we'll have to file for the space because again, in that space, I have to compete against rest of the product companies, not against the service opportunities.

So, for the AI-led productivity, I think clearly, with the generative AI, one of the biggest advantage of use cases is what gets deployed in the whole software engineering and development.
And I think so far, the data is that people can expect between 20%, 30% productivity once they deploy all the tools. It may take time to reach that. So, we have taken an internally a target, ambitious target to make sure that we optimize and there are some pockets of zones where AI is being deployed.
So, clearly, I think in next 2 to 3 years, we think for the same revenue, we should be able to lower our service delivery, execution and product cost by 20%, 30%, which some of them will get also translated to the client. We have not added manpower compared to last year. In fact, we are roughly around 100 people less than the last year right now. So, Aditi, does that answer your question?
Aditi Patil: Yes, that answers my question. Thank you for patiently answering.
Moderator: The next question is from the line of Rahul Jain from Dolat Capital.
Rahul Jain: Yes, hi. So I was asking about this the deal win data. If we just go by the calendar period during this quarter that we have announced, the wins look, hello, I can hear some background. Hope, I'm audible?
Virender Jeet: Yes, Rahul, we can hear you clearly. You can go ahead, we have no noise.
Rahul Jain: Yes, yes. So I was saying that from a signing perspective, it's meaningfully higher even if I have to compare about whatever we have announced in the previous fiscal overall basis. So, I want to understand this from your perspective, from a demand confidence point of view because I think I heard that you mentioned somewhere that the challenges still exist. So how we are comparing these 2 element and how we are seeing market in general?
Virender Jeet: First of all, thank you for the question. So you're absolutely right. I think we had a significant quarter of new deal wins. And one of the things you can understand realize this time, a lot of deals were outside India. They were more in matured markets.
We had deals coming from Australia, U.K. and some from U.S. And compared to other quarters, these were significantly more for the same period. Now these deal wins are generally -- most of them are subscription-based deal. So they don't have any immediate effect on the revenue for that quarter.
While previously, our deal acceleration was happening in markets like India and Middle East, which had upfront license revenue realization. So, while I said that we have overall business momentum is looking good, our products are having more relevance, we are winning more and that deal movement. What is missing, the India and Middle East market, the large license deals are still lesser compared to the last year or almost same as last year. While we generally have an expectance that we should grow at least 30% in license revenues in these markets.

So that is the challenge and the challenge is also in the area where there are typically larger deals getting signed where there's a slight amount of delay or there's not faster decision-making. So, both the realities are true. Our deal momentums are great. We are winning more and more deals in matured markets. But the other part of that in India and Middle East, our license sales are not as per the expectation we want. We want to accelerate that over the coming next quarters.
Rahul Jain: Sure, sure. Now one more question. So basically, what I'm trying to infer is that we might see a better traction in SaaS kind of a deal -- SaaS kind of a segment momentum, while license, of course, will grow, but given the mix, SaaS could see a better traction. We also observed that there were a couple of deal that came from the SI channel, and they were from a size perspective, also relatively more compared to what we typically announced. So, any colo

r in terms of how
you are seeing this channel driving momentum to us?
And the deal value that we announced to the SI includes some part of their revenue also as a subset of this deal value or this is just a value that gets into our books and there is no pass-through element for SI in this space?
Virender Jeet: Yes, I'll handle the second part first. I think we -- all our deal based net to Newgen. There is no any other component of SI or anything. So, SIs may have a different order or maybe having the similar order. So we have nothing to do with. This is an order which is placed by customer or through SI to Newgen for the Newgen value. So that is around the size of the deal.
So, in terms of better traction on SaaS is a function of where we are selling. For us, typically, all sales outside India and Middle East and some in APAC are in SaaS model. So, we have a higher acceleration of growth and order book in those markets, it will lead to better SaaS revenues. But so translation from deals to revenue will take few quarters at least because initially, they're not upfront loaded. They will be proportionately realized over 12 months, and then they will go over a few years.
So, some of the momentum which comes into the business, if it comes from the SaaS side is slightly lagged into revenue. So that way, yes, it is better because it is more even. It increases the subscription and the annuity side of the business, which is more predictable, but also as a challenge that it does not give you immediate returns in that quarter, does not give you the credit, adequate.
So, for us we have to focus on license to look at our quarterly P&L. And so India and Middle East markets since they have more habitual to purchase in licenses, it works in our favor. And all other markets, subscriptions are 90% of the cases, but also some are licenses, but I think that is the case. Rahul, does that answer your question?
Rahul Jain: Yes. Yes, it does. And just one last follow-up on that. In light of if you think the mix of license versus SaaS might change in favor of SaaS, let's assume that is how the Western market would behave for us. So in that light, the 20% revenue alignment that we aim for and the margin that we have delivered last year, let's say, 25.3% EBITDA margin and we have done similar in Q2.

So, you see that number -- these numbers should also be seen in a different lens if that mix changes? Or it's too early to comment on that?
Virender Jeet: So, Rahul, we have always maintained that this issue of moderating our growth target on the account of subscription is a trap. Sometimes if you get into that, then you make a habit of lower growth. So we don't want to do that. We are clearly saying that whatever the subscription business, though it is back ended, I think we should be compensate either by acceleration in the business momentum or looking at higher license deals.
So, our focus is very clear that we still want to continue on a healthy growth momentum. And the subscription switch can happen organically over a period of time. So, if -- some of our business comes in subscription, then the only answer for us that we have to do more business.
Rahul Jain: Yes. So that's even better. It's good that if you -- then it creates more visibility as well. And just on the margin side of it because yes, you could compensate with more wins to generate equivalent revenue. But from a profitability point of view, also, there would be more SG&A involved for more deal per revenue basis. So, this 25% margin that we did last year, should that hold as a medium-term objective for us? Or you think we could be improving or going down, whatever view?
Virender Jeet: I think we are right now at not at our desired levels of top line. So, on our desired levels of top line, we said the margin would expand, and I think -- but we will keep on r

einvesting in the
business. Right now, the costs are on the lower base.
Luckily, also the people movement is lesser in the industry, we were able to maintain some cost out there. So we should be even at a lower number, be able to very close to that margin. But in the natural course of business, I think the margins would expand, but we would be more aggressive in reinvesting that in sales and marketing.
Moderator: The next question is from the line of Sachin Jain from Prahas Capital.
Virender Jeet: Yes, Sachin, go ahead, please.
Moderator: Mr. Sachin Jain, please go ahead.
Deepti Chugh: I think we can move to the next question.
Sachin Jain: Yes. Jeet, congratulations on good set of numbers. After a long time, heartening to see the traction by system integrator channel. And how do you see from here? Do you see a meaningful traction going forward from here?
Because after 2, 3 years lag, we are now seeing -- started seeing some good deal wins, particularly in matured markets. The strategy which you articulated 3, 4 years back through this channel looks like it started now giving you the desired results. So how do you see going forward this channel particularly contributing to Newgen?

Virender Jeet: Sachin, I think when we started, I think we talked a lot about it, and we were slightly over optimistic about this whole channel, and we did not realize how much effort and time it takes to build it. I think the hard work has happened over last 4 years. But we clearly realize that at the product level companies, they are still at a size where the product sales has to be done by us. And still, we need to manage all the system integrators, their competencies and collaborate them to win large deal. I think that's what's happening.
I would give a large credit to our own sales efforts in the regions and then also our partnership and alliance teams, what they have worked over the next last few years to build these alliances strongly. But it is -- I would not say that we have reached a kind of a breakout point where we should expect lot of deals coming through system integrators. We are still relying on our direct sales efforts and along with partners to go and win those deals.
So, it is -- I'm also hopeful like you are, but I would still today rely on that to -- we have to organically go and sell more. It will gather momentum surely. But when does that threshold or a breakout happen, it is difficult to predict. But we have excellent relationships in different markets with different GSIs and multiple GSIs orders have come in single regions and then across continents and countries. And there are fewer coming every quarter.
I think this quarter, we had more than a few. That's the only difference. And let's hope that the deal momentum continues. But I would not take that data and draw a conclusion. So, we are -- I think we can be together hopeful about it.
Sachin Jain: Understood. Understood. And Jeet on second, the way AI is also seen one is enabling your products, particularly adding lot of features, you can agentic AI and all you are adding to your product. But on the other side, how do you see AI as a risk? Can it disrupt the product itself -- just what are the risk you envisage, particularly taking AI into account?
Virender Jeet: Yes, see, for product companies, any major technology disruption always poses these challenges. It happened at the time of mobility. It happened at the time of when the large SaaS players started coming in or the cloud aggregators came in. So, what -- for us, generally, people who invest in R&D, they are able to convert changes into opportunities. That's a broadly a 30,000 feet answer.
Now for us, what we have seen with AI, there's a renewed interest in some use cases, which was very ideal, like in content management system use cases, the intelligent document processing systems, the

records management, governance, how to capture information, how to organize information, the AI is transforming those use cases. So more interest is getting generated in our traditional use cases.
So similarly, the product road maps can become more wider, they can cover larger cases. But at the same time, as you rightly said, there will be diverse competition. Use cases traditionally, which we are operating in a way may get disrupted by a newcomer or can get disrupted by deploying AI, customer on his own can deploy AI. So those challenges do it, they exist. We are pretty good in terms of investing upfront in using AI to leverage.

And then with the strength of roughly around 500 customers we have across the places and on the top of at least 3 verticals and use cases, we rely on that to drive our next momentum of

growth in terms of using AI as a tool and an enabler for us.
On the risk side, I don't see like typically a direct risk -- but the risks are typically around where this whole promise and flux is there. So, I think that a business, there's kind of a slowdown of all contemporary cases or decision-making because people are evaluating can they deploy AI, can they use AI in a different way? Do they really need that much of people? Should they approach.
So those are the things which are happening right now in the market. So, we'll have to go and win our own rattle and take the market forward. So typically thinking for product companies, all disruptions turn up being advantages. You are able to -- but if you don't invest and if you sleep over it and say that we keep on doing what we are doing, then you may end up losing the market share.
Sachin Jain: So, Jeet, in last 2, 3 years, whatever investment you made in AI, particularly enriching a product from Marvin or LumYn whatever product investment you made from AI-related investments, how clients are perceiving? Are there initial -- what are the initial feedback?
Virender Jeet: So, I think this is exactly what I'm saying. First of all, for me, it is not a choice. First of me, all my customer use cases when I compare as a product company are driven by AI these days because my competition has done it over the last 3 years, the global companies have done it by that. So customers do perceive that AI is fundamental to all their use cases. And second, I said that part of our funnel, there is a renewed interest in certain areas of AI, where I have started generating a better funnel.
We also converted some major orders in AI, which were typically the early movers in AI. We had the Indian regulators coming in, and that is -- was an AI case. We have a Singapore regulator, some central bank cases are with the AI.
We are also pursuing a lot of cases in banking on AI right now. So, I don't see the investments of the last 3 years, 90% of that is to not sustain you as a company as a product company because if you don't do it, then you're out of the game. And 10% provide you an advantage in new use cases and other tactical places you can go.
Moderator: The next question is from the line of Param Vora from Trinetra Asset Managers.
Param Vora: Congratulations for a great set of number. So sir, can you describe which industries or geographies are you are seeing fastest growth in?
Virender Jeet: So, Param, thank you for the question. So we have -- I think this quarter, we have done better in U.S. and APAC and if you also include these 2 also regions include some amount of U.K. revenue and Australia revenue. And generally the verticals, which is banking has been very strong for us.

It continues to do the larger part of the business, but the growth has come from government and other verticals, where I said the AI-led or the document centric cases are coming up. So, growth is more in other vert

icals rather than banking for this quarter. But overall size of the business, banking and insurance still are the major business for us.
Param Vora: Okay. And my follow-up question is regarding the patent. So with new patent grants, how are you monetizing the patents? Like are there licensing models in place?
Virender Jeet: So -- see patents are of 2 things. One is about developing the culture of innovation and making sure that you are ahead of the market. Second is about protecting yourself in certain key areas. And so they are not directly monetized. Patents eventually those technologies get into your products and over the period of time. And sometimes you have to also defend your territory in terms of doing the right thing or you have the first mover advantage.
We don't have a separate strategy to monetize an individual patent because between the issuance of a patent or working on that idea to monetizing, sometimes we have a very quick cycle and sometimes a late cycle. So, we don't have any direct aims that the patents would be monetized, but that's a culture of innovation by which we want to make sure that we protect our IP and we also stay ahead.
Moderator: The next question is from the line of Mihir Manohar from Trust Mutual Fund.
Mihir Manohar: Congratulations on a great set of numbers. I wanted to understand, sir, on the U.S. side, I mean U.S. macroeconomic situation is improving. Banking numbers also reporting good numbers, corporate profits also doing well?
So should we expect acceleration of growth, particularly for U.S. for us from here on and also when we see the order booking numbers that you shared that also GSI order booking is doing well. So should we see further acceleration of growth, especially in U.S. geography from here on?
Virender Jeet: So, Mihir, thank you for your question. And I think, yes, we are hopeful, I think with the early -- so we have pivoted around 2 years back into larger cases by walking out from smaller accounts.

That transition almost walking out is almost complete. Now it's more about growing the business in other market. What we have achieved so far is we have got the marquee customers in terms of most of -- we have got the marquee customers in health. We have got the marquee customers in insurance and in banking now.
Now it's a point of using these examples to replicate. I'm hopeful, but I would say that we have not reached a threshold that we could predict a number and be very certain about it. But we are very hopeful that, yes, the efforts of both on GSI as well as pivoting to the large accounts should start showing results. It showed results last quarter. I'm very sure in this quarter, we record some good wins in the U.S. and then we take it from there.
Mihir Manohar: On the GI side, sir, let's say, 1H FY '26, how many number of deals have we won from GSI or let's on a broad cut basis the last 12 months versus, let's say, the 12 months or 24 months before

that? Just to understand from a broader comparison, is the GSI geo traction improving us or how to understand that?
Virender Jeet: So, we have -- I'm sorry, I really don't have data online. I think on the revenue from coming from partners, clearly though there is a growth in that number compared to last year. But Deepti do you have the numbers, how many deals came through GSI compared to same financial year?
Deepti Chugh: I'll get back to you on that. I don't think there will be a significant change in the number. There are some large interesting deals that we won. So, I think that...
Virender Jeet: But we can -- I think we can come back with the number in terms of the what the exact number is.
Mihir Manohar: Sure, sure. Understood. And third question was on the Middle East and India side. India, there was a situation that you were mentioning in banking side, yes, with banking a lot of saturation.
And so

we were trying to make inroads by the NBFCs and other private banks?
How to understand the trade-off here as to if the private banks at certain point in time will become larger enough for us for the growth to compensate. And also the Middle East, I mean as far as I recollect that in Middle East, the lower growth last quarter was because of Middle East tensions and not because of any fundamental reasons per se. So how to understand the reversal for these 2 particular geographies?
Virender Jeet: Yes. So, I think let me take India first. So, I think India you clearly said that the large deal momentum in the public sector, there was some saturation. And then we focused on NBFCs and some of the new banks, which typically will end up becoming the larger banks. I think that's going on well.
If you see also in India, we have sold roughly around sizable licenses to all these accounts, and we have got a lot of wins in that. What we are missing in India is still the larger deals coming from some of the large accounts, which are large license deals, which can be realized in that quarter.
So, we think that momentum will start shifting. We have got entries into now private segment. So more deals are coming from the private segment where we can get the larger licenses. And that should follow up because that market is even wider than the public sector market for us, we should be able to build. So I'm hopeful that in couple of quarters, Indian banking can come back to its growth momentum.
EMEA, I think the challenge beyond the turmoil also was our largest growth market has been Saudi and slightly, that was shut for a couple of quarters for us. I think that has started opening up again. I think it was on account of certain things out there. Now it is starting to open up. I think and as the deal moment in Saudi starts picking up, we should be able to. We have opened more markets like Kuwait, Saudi and other markets around that where we have got significant deals. But both these markets are very important.

We have a kind of a leadership position in the areas and verticals we process. I think sometimes there is -- in preceding quarters and years, we end up doing phenomenally well, we are growing at 40% with license growing. Now to match that growth rate and also to repeat that sometimes becomes a challenge on the license because license has key value. So we are in that period where we need to settle the base slightly for a quarter or so and then the growth momentum can repeat.
Mihir Manohar: Understood, sure. And last question was on the employee expenses. When I say employee expenses, they are flattish on a Q-o-Q as well as Y-o-Y basis. Is there any deferment of wage hike, which has happened? Or is it largely because of lower employees giving a higher revenue?

Virender Jeet: So what -- so we see like employee costs are three bucket for us. I think one is around overall addition. I think we don't have any addition of employees this year. But I think the last year's base cost itself increased the cost this year because last year we added lot of people. So we have a lot of people in capacity in that sense. We will -- but on the second half of the year, we will keep on expanding.
The second is the campus. I think campus is one thing which we rely heavily. We have never in all these years of 20 years, 25 years, never declined campus offers. So we have taken all our campus people this year also. So, we have not gone back. And I think we'll be again hiring more people in January as well as March. And third is in the employee wages cost improvement, the salary.
So, for us, I think predominantly, the wage revision is due in July. This time onwards, it is from 1st of October. We have gone ahead and done the wage revision of roughly around 80%, 85% of the people in the organization. And depending on how the further quarters look

, we will be
looking at how to take care of other people.
Moderator: The next question is from the line of Sanjay Gupta from SKS Securities Limited. Please go ahead. Mr. Sanjay Kumar, yes sir, you are audible.
Virender Jeet: We can hear, we can hear you.
Sanjay Gupta: Congratulations Jeet and your team, nice results this quarter. I have a question about -- I think on last 30th September, there was announcement that there was some order passed by Qatar Investment and Trade Court where company needs to make a payment to the customer around $1.4 million plus some compensation. So is that something sorted out already and the provision for that already done in Q2 or it will be done in Q3?
Virender Jeet: Yes. So, Sanjay, this case is about in Qatar Central Bank, I think some years back, we had sold licenses and there were issues in implementation. So, the claim from them is about which we don't think can be substantiated. They've got a judgment in the lower court. We are appealing that will -- that's how -- we have the lawyer to appeal it in the higher court.
And we are hopeful that we can get better favorable judgments in those cases. I think any provisioning can be done only after the final judgment of that case is done. So in the transient,

we don't have any option to either provision or part provision or do. It will -- it's a contingent liability which will be reflecting in the books at the same level.
So, we have put the contingent liability in the book. Whatever the judgment finally comes, whether we win the case or we lose the case in the same quarter wherever legal request is not there anymore available, then we'll be provisioning it.
Sanjay Gupta: Sure. And one more question about -- during quarter 3 and quarter 4 of last financial year, there was a -- the big projects we have won, but the implementation was delayed or deferred and that time you mentioned that most of the revenue for those implementations will be considered in -- I think, after Q2, probably or Q3 on that. So those implementations are going well, going okay and then those revenues should be coming in Q3 and Q4?
Virender Jeet: Yes. So I think we have -- what the challenge we had reflected is that some of the cases which we have won, which were large deals they had not come to the stage where we could take the subsequent revenues, which are about ATS, AMC and support. Now if you see that the ATS, AMC growth this year is substantial. We have not only recovered on those projects, we have also grown ATS and AMC, and I think that momentum will come.
So, a lot of these projects are coming to a stage where they are live with the customer and customer is trading the ATS. We still have not increased support revenues because I think that will take maybe a couple of quarters more to do that. So they are going on.
I don't think the challenge we had last year in terms of the -- what you call downstream revenue lines not kicking in. I think part of that challenge has been solved. But the opportunity part in terms of generating more business, adding more support resources out there, that is still going to be happening in the next 2 quarters.
Moderator: The next question is from the line of Ashish Soni from Family Office.
Ashish Soni: Sir, Indian government is promoting homegrown software companies like Zoho and even Tata Motors signed a deal with Genesis. Are you seeing any uptake or interest in your bid pipeline from Indian private [inaudible 0:46:31]?
Virender Jeet: Ashish, this is a music to hear to all product companies. And I think we are one of the most prominent globally enterprise software product company which we play in enterprise space. So far, I think unfortunately or fortunately, I think lot of our Indian enterprise has been dependent on global software. There is clearly an interest and a direction coming in many enterprises about
loo

king at Indian software. But I think we should be very cautious that they want to run their business.
They want to get the best software for their enterprise. That is their first priority. So, the products and companies which can deliver that. So in that, we stand a very good chance. We have credible products which are best in the world, recognized globally, sold in around 70 countries.

And so there are no compromises. But clearly, if there's an interest in Indian enterprises where they could consider Indian products more favorably, it should give us an advantage over a period of time.
But I think between lot of noise and action on the ground, it takes time. There is a -- so, I do expect that if this trend continues and the direction continues, we have product categories in the area of like enterprise content management, record management, which we implement globally, but India has not ever implemented any records management or enterprise content management strategies.
So, we can get a huge opportunity in the Indian market. But for that, many things have to fortify on the ground. So we will be working on this opportunity. We'll be making more people more aware about the overall product portfolio we have. And then -- but yes, we want to compete on merit. And also, we don't want to only win in India, we want to win globally.
Ashish Soni: And regarding -- there is a news about sort of recession in U.S. and maybe slowdown in other geographies. Is your developed markets deals coming because of that? Or do you see still be acceleration because of that condition -- macro condition?
Virender Jeet: No, I don't think anything. Right now, it's -- I think there is an overall -- if you look at last 1.5 years, there's been turmoil in decision-making. Banking and some services are recovering across the globe. We think that being our primary segment, we should be able to ride on that. Europe is opening up a bit.
I think not as much as you want, but it's opening. So, some traction is coming up. Australia market is opening for us. So it's a very organic process. We are still small and most of our outcomes depend on our own efforts. And though market conditions do play, but we would still like to rely on our own efforts to go and drive the business.
Deepti Chugh: Hello?
Virender Jeet: Ashish...
Ashish Soni: Yes, go ahead. Thanks and all the best.
Virender Jeet: Yes, Ashish, did you hear me, I -- that's all I have to say, does it, is there any follow-up question you can ask.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to management for closing comments.
Deepti Chugh: Thank you so much, everyone, for joining us on the call. For further queries, you can connect with me or you can go to our website. Thank you.
Moderator: On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us, and you may now disconnect.

Call: Jan 2026

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Date : 25th January 2026

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(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q3 FY’2 6

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 13th January 2026 regarding the Conference Call – Q3 FY’26 of the Company, which was held on Tues day, 20th January 2026 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company’s website at https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary & Head -Legal

Encl. : a/a

“Newgen Software Technologies Limited
Q3 FY '26 Earnings Conference Call ”
January 20, 202 6

MANAGEMENT : MR. T.S. VARADARAJAN – CO-FOUNDER AND WHOLE -
TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –

NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. TARUN NANDWANI – CHIEF OPERATING OFFICER – NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER – NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MODERATOR : MS. SEEMA NAYAK – ICICI SECURITIES LIMITED

Please note that the transcript has been edited for accuracy purposes
Moderator: Ladies and gentlemen, good day, and welcome to Newgen Software Technologies Limited Q3 FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorde d.
I would now like to hand the conference over to Ms. Seema Nayak from ICICI Securities Limited. Thank you, and over to you, ma'am.
Seema Nayak: Thank you, Rudra. Good evening, and welcome to the Q3 FY '26 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newgen. We have with us today Mr. T. S. Varadarajan , Co-Founder and Whole -Time Director; Mr. Virender Jeet , Chief Executive Officer; Mr. Arun Gupta, Chief Financial Officer; Mr. Tarun Nandwani, Chief Operating Officer; and Ms. Deepti Mehra Chugh , Head of Investor Relations.
I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you, Deepti.
Deepti Mehra Chugh: Thank you, Seema. Good afternoon, everyone, and welcome to the Q3 FY '26 results of the company. Before we move on to the discussion, let me highlight that this call may contain certain forward -looking statements concerning Newgen's future business prospec ts and profitability. These are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward -looking statements.
Past performance may not be indicative of the future performance. The company does not undertake to make any announcements in case any of these forward -looking statements become materially incorrect in the future, or update any forward -looking statements m ade from time to time by or on behalf of the company.
For further details, you may please refer to the Investor Relations section of our website. I would now hand over to Mr. Varadarajan for presentation of the results, which will be followed by a Q&A by the management.
T. S. Varadarajan: Good afternoon, everyone, and thank you for joining us today for the Q3 FY '26 earnings call. As we reflect over the first 9 months of the year, it showcases our strong business momentum. We achieved a revenue of INR1,122 crores during the period, witnessing a 7% Y -o-Y growth in total income . Overall, in the 9 -month period, we onboarded 34 new logos reinforcing the trust and preference of global enterprises placed on our platform.
Subscription -led growth remains robust with strong contributions from U.S., U.K. and Australia, validating our geographic expansion strategy.

Q3 was a quarter of balanced performance in a still selective market environment. During the quarter, we achieved revenues of INR400 crores, witnessing a growth of 5% Y -o-Y. Last year's Q3 and Q4 were among our highest license revenue quarters, creating a naturally high base and making year -on-year comparisons challenging under current market conditions.
However, we remain confident of a license recovery in the quarters to come, supported by active near closure deal pipeline. However, we acknowledge that the larger enterprise deals are facing elongated decision cycles and traditional people -based support e ngagements are more difficult to scale in today's tight market. Despite these macro factors, underlying demand remains healthy.
Order bookings continue to scale sharply, particularly across deferred revenue streams, enhancing revenue visibility and long -term stickiness.
Our annuity revenues continue

to grow steadily. Annuity revenues were at INR250 crores during
the quarter, witnessing a 20% Y -o-Y growth. Within this, subscription revenue reached INR134 crores, witnessing a strong growth of 29% Y -o-Y. We witnessed a significant growth contribution from the U.S. geography during the quarter at 21% Y -o-Y revenue growth, while the APAC region witnessed a growth of 7% during the quarter. India and EMEA re gions were weaker in terms of growth during the quarter.
During the quarter, we made 7 new customer logo additions. Our key wins in Q3 include :
An order from a public sector bank in Saudi Arabia for designing and developing a loan origination system with an order value of INR38.6 crores over the next 2 years.
Agreement with a leading financial institution in the U.S. for enterprise content platform with an aggregate value of $5.3 million over a 2 -year period.
Providing contract management platform for a specialist insurance company in Europe, helping users across the enterprise to create and manage policy documents. The agreed order value is GBP 1.5 million.
Working with a leading bank in Malaysia to provide end -to-end project management services for enterprise content management system implementation with an order value of approximately INR14 crores.
An order from a large bank in India for supply, installation, customization and maintenance of digital lending platform with an order value of INR16.5 crores.
An order from a captive finance unit of a leading car manufacturer in India for a loan management system with an order value of INR14 crores.
Our leadership in insurance is deepening steadily with our policy administration system offering, helping us secure a strong foothold in this high -value vertical. Meanwhile, our AI -driven solutions are gaining global traction, most notably through impactfu l early deployment, establishing us a credible player in applied AI for mission -critical use cases.

We are also strengthening our offerings in our core vertical organically. Our global customer base remains extremely strong and sticky, and we are expanding our footprint, both within existing accounts and across new markets.
Looking ahead, we are particularly excited about next -generation AI -led products, which will significantly enhance customer productivity, design intelligence and automation. Examples include AI -powered document understanding, generative process design, int elligent communication automation, AI -first vertical solutions. And these innovations will not only strengthen our competitive differentiation, but also elevate customer value across industries.
AI is increasingly embedded in our deals, and we continue to work on creating viable use cases in AI through significant investments in AI -driven products and solutions. We have also launched our employee AI upskilling program to build and scale a cohort o f AI skilled talent within the organization. During the quarter, the company was recognized as a niche player in Gartner Magic Quadrant for business orchestration and automation technologies. We have also been added as a representative vendor for Gartner and Forrester in various market guides.
Coming to costs and profit. While Q3 registered a muted 5% growth rate, we maintained margin strength through improved productivity initiatives. We are accelerating AI -led engineering, automation and operational efficiency across our delivery and product t eam. Our adjusted profit after tax for the quarter, without considering the impact of the new Indian labor code changes, was at INR90 crores and net margins were at 22.5%.
During the quarter, we have considered a onetime impact of new Indian labor code to the extent of INR35 crores. In the 9 -month period, the profit after tax, before considering the impact of the labor code changes, was at INR222 crores. The profit

after tax after considering the impact was
at INR194 crores.
We continue to prudently invest in R&D and sales and marketing initiatives. In the 9 -month period, we have invested 9% of our revenues on R&D initiatives. We are also investing around 23% of revenues on the various sales and marketing initiatives. On the b alance sheet front, we witnessed robust cash flow generation with our net cash generated from operating activities at INR154 crores during the 9 -month period. Our net trade receivables were at INR530 crores as of 31st December 2025, which resulted in net DSO of 125 days.
In summary, with strong deal momentum, expanding subscription revenues, a sticky global customer base, deepening vertical leadership and the transformative potential of our next -gen AI product, we remain confident in driving long -term sustainable and profi table growth. We anticipate a healthy recovery in the traditional markets and are all well -positioned to capitalize on emerging opportunities. Thank you very much. We are now open for Q&A.
Moderator: The first question is from the line of Ruchi Mukhija from ICICI Securities Limited.
Ruchi Mukhija: This quarter, growth in our core markets was soft. As you look into your pipeline, how do we

see the health of business in the core markets of India and EMEA?

Virender Jeet: Ruchi, thank you for your question. And first of all, wishing everybody a happy New Year. You're absolutely right. I think while we had a strong deal momentum almost getting 34 new logos, which is typical to what we did also last year with a healthy growth, in markets like India and Middle East, the numbers did not add up, because though we won the deals, we did not get substantial large license deals in these 2 markets.
And I think if you look at globally, the pipeline is looking very strong, and I think we'll see some amount of -- what we are waiting for is the larger deals conver sions . So I think we are seeing slightly more deferment in large deals, decision -making. So cases are there, but the conversion of cases which are typically slightly larger is much more slower at this moment of time.
So in the near term, I think for the next quarter, we may find some conversions out of the pipeline which have got slightly pushed out, but I think next year we think things should shape up much better. Some amount of recovery and confidence in the market is expected. Some amount of uncertainty around AI has to settle down. And this is a challenge we are seeing across all markets.
When we, at the beginning of year, realized this challenge, we had really pushed for deal acceleration and increasing the funnel velocity. We have been able to successfully do that, get our both new deals and existing logo deals. But the larger ones are a challenge. And I'm not very sure how soon that challenge will get resolved. We hope that some part should get addressed in Q4, and then next year, we should get into a better shape. Ruchi, does that answer your question?
Ruchi Mukhija: Yes. You did mention that, I mean, AI is kind of leading to some kind of uncertainty. But when we look at, let's say, India and EMEA versus U.S.A., we see different vectors of growth or different growth momentum. So are we trying to suggest that in domesti c market, there is more reconsideration and maybe the catch -up, how enterprise clients think about AI, will need some maturity or some catch -up before we see similar momentum as we see in the U.S. or the developed market?
Virender Jeet: Yes. I think what is happening in -- at least this is what I feel what is happening in emerging markets, people are keen about venturing into AI -led solutions. But also on the traditional solutions front, they are looking at more AI -led services and soluti ons to solve their problem , which is creating a bit of more debate and more

of deferment rather than anything else right
now. I think as soon as -- it's also about business confidence and overall business activity. Once the business confidence is there, the decision -making cycle starts becoming better. So Indian customers are also very keen and the Middle East also, they are very keen to go up with AI projects. But also, we see on the downside that any large initiati ve, there is a slowdown in decision -making.
So it is difficult to clearly estimate what is the cause and what is the effect. But this is what we have seen in at least 4, 5 of our large deals where people are just waiting and holding on to decisions, seeing what else is happening across the world and in their own enterprise.
Ruchi Mukhija: Are smaller ticket size AI deals easy in the domestic market and EMEA?

Virender Jeet: Yes, yes. I think smaller ticket size, they are typically tactical in nature. See, all deals have an AI component nowadays. I think that's given. So those things out here, we don't see the same amount of challenges. And that's also you will see that accele ration in our deals. I think we have not gone in terms of number of logo wins or number of mining orders. We continue to cite that.
The only difference is the large license deals, which were there for at least Q3, Q4 last year, we are not ge tting the same number of large license deals.
Ruchi Mukhija: Okay. AMC revenue has caught up a healthy pace of growth. Do we see this pace of growth or momentum continue in the near -term quarters?
Virender Jeet: Yes. I think surely. This is also because AMC growth is led by the previous performance of years of your license revenues and completion of projects, which are going live. More and more projects are going live. So the AMC keeps on accumulating. So at least in near few quarters, we'll see that growth momentum continue .
Moderator: Next question comes from the line of Rahul Jain from Dolat Capital.
Rahul Jain: Basically, my question too is around Jeet, w e have seen that our order announcement even in Q2 and Q3 were pretty strong, but that translating into growth has not been the case in terms of the actual revenue. So is it that there are some nature of deals where we are not able to recognize as

much as we have been doing in the past because of the SaaS nature or any other factor?
And even from Q -o-Q perspective, I thought the implementation tailwind of Q2 strong deal win should have supported Q3 and there are further Q3 wins. But that part of the revenue stream has also fallen. So is there a challenge around companies ramping up on the decision that they have taken, or they are ramping on the schedule?
Virender Jeet: Thanks, Rahul. I think you're absolutely right. I think on the announcement front, there are 2 things. As the companies -- the materiality limit of announcements is also very low in terms of it's almost becoming equal to many of the orders which we win. So as the logo acquisition and the deal win rate is same, so the announcements will be there.
Having said that, you're absolutely right. A lot of orders of Q2, Q3, you would have seen, have come from regions like U.S., U.K., Australia, which are typically subscription -led sales, where the upfront realization is almost nothing or there's a ramp -up period before the revenue gets realized. So there's a lesser correlation directly with order booking and the revenue realized in immediate quarters. While traditionally, on our traditional markets, since licenses are realized, there's a more upfront realization of those revenues.
On the account of order wins which have happened in Q2 and the impact on the implementation revenues, I think you are right, in a way what is happening, the larger order deals, the ramp -up periods are slightly slower in terms of when the revenue will start coming in. Also on the subscr

iption orders which we have got also, it takes a little more amount of time to ramp up for the implementation streams.

So eventually, they should ramp up, because as the order deals have a significant part of implementation, we should be able to service them. So I don't see it's a short -term challenge, but implementation will start reflecting the size of typically the numb er of deals we win, orders. Significantly, it should downstream impact, the implementation revenue.
Right now, it is not showing in numbers because we are almost, for 9 months, almost 7%, 8% of implementation growth or more flattish around that. But yes, I think in coming quarters, as the more and more orders start rolling out, we'll have higher implemen tation revenues.
Rahul Jain: Sure, sure. Just one clarification. You said the implementation is lower even in the SaaS or subscription deal. Can you elaborate why you say that?
Virender Jeet: So in subscription also, I think before the order -- post order, since the revenue realized in all orders is typically you have to ramp up, you have to set up the cloud infrastructure, you have to eventually start the engagement. And only after that, you c an start realization. So it lags almost by a quarter to start realizing the implementation revenue.
And then also initially, you will start realizing very little implementation revenues, because it's going to be milestone led or some of those things. So between second to fourth quarter, that's where you will get the maximum implementation revenue for eng agement.
Rahul Jain: Okay. Okay. So we charge implementation after going live?
Virender Jeet: No. It's typically milestone based, but revenue is realized in terms of your efforts, how you realize. But the starting date, the lag between the order and the start date of implementation, there is a lag, and that lag can be almost a quarter.
Rahul Jain: Got it. Got it. And one bit more on this large deal holding up in terms of getting signed and decisioning. So how you think this would shape up from a calendar '26 perspective? What are puts and takes that could add to the confidence in terms of how the ye ar should pan out?
Virender Jeet: See, right now, the funnel does not show any weakness of large deals. The funnel has substantial amount of large deals. The only behavior in India and Middle East of not fructifying those deals is what we have seen. We are quite hopeful about Q4, and we wi ll see early signs in Q4 in case we are able to create a significant amount of those deals. If that starts happening, we'll have a confidence that the next year can also continue to have the large deals.
But again, like we have to de -risk cover. So that's one strategy. The other is about increasing the overall deal velocity. That's what we are working on. We are working on getting the number of wins, both in mining and new logos, at much higher rate, which can compensate for that. And then there are also new solutions, both in AI or in PaaS or in insurance, what we are trying to do, which are higher ticket items.
And they should also add to larger deal accounts for us. So multiple efforts are being done on that. But right now, as of now, what we have seen the challenge in at least this part of the year is in India and Middle East, the large deals -- it's not that no large deals have happened, but the

number of large deals we traditionally used to win vis -a-vis one lesser amount of deals. And also one thing we should look at when we look at numbers, it's clear just to -- if you look at last year Q3, Q4, we were the largest ever license sale quarters.
We almost reached, from our regular run rate of INR30 crores, INR40 crores of license, to INR90 crores. And so the bases are much higher. So this year also, I think we

have maintained a INR70
crore s run rate of license, and which we have to improve to like INR100 crores or INR120 crores. That's the target.
Rahul Jain: Yes. And just last bit, if I could. We have seen 2, 3 years of back -to-back pretty strong performance. And this is not a business where you -- I mean, this is a business where you have to replenish a lot of your revenue, because they are onetime in nature. So is it fair to expect this kind of a year once every 3, 4 years, because that is how it would steam out at some point of time?
And also, does this kind of a year also make you think from a 2 -, 3-year perspective, a more realistic growth that we would say from a rolling basis should be more like 15% rather than 20% plus that we were conveying, let's say, beginning of the year?
Virender Jeet: See, I think mathematically, what you're saying does make sense because typically, since there's a lot of revenue which has to be repeated and has to be replenished. So typically, if you have high velocity growth, then you have to continue to maintain high er velocity growth. So that's one way of looking at it. But I think for us, the way we look at it, we also look at it compensating with our foray into mature markets and compensating more from the subscription growth, which will give a more strong base.
Right now, last 3 years, our U.S., Australia, U.K. have not grown at the same size as India and Middle East growth. The way I look at is that we will have license growth coming from our traditional territories, but higher subscription value and higher size of business coming from mature markets, which should even it out over a period of time. The second thing, the way we look at is overall, broadly, the addressable market for us is pretty wide. So it does not matter if we have grown by 20% or 30%.
The potential for the business to continue that growth is quite clear out there. But yes, you're absolutely right, if the license part of the business alone keeps on growing for a few years, then again, you have a risk every few years that, hey, you may ha ve a slightly slower because the license does not repeat. But we think in the next phase of our growth for next 3, 4 years, our subscription mature market and cloud revenues will also grow at a thing, so that there is going to be lesser impact in terms of slightly drop on license.
Rahul Jain: Just one small suggestion. We could possibly start giving an RPO data or unexecuted book data, because now if the business keeps shifting towards SaaS, I think that would be one more data to monitor the traction, because recognized revenue could be not jus tifying the traction that the business might have because of the deferment.

Virender Jeet: Yes, that's a good idea. I think we'll just consider it and we can work with the team to bring it as part of the data point.
Moderator: Next question is from the line of Aditi Patil from ICICI Securities Limited.
Aditi Patil: Okay. My question was on margins. So our margins have held up. Like 9 -month FY '25 EBITDA growth has been in line with revenue growth. So can you help us understand how we are managing this? Because earlier, we used to guide that our cost will -- at the st art of the year, we budget for a 20% Y -o-Y increase in cost, and revenue growth above that directly flows to margins. So this year, have we recalibrated our sales and marketing expenses? And like how should we think about this going forward?
Virender Jeet: So Aditi, thank you for the question. I think you're right. So what happens on the margin front, there are 3, 4 things which have really helped on the margin front. One is about there is a great operating leverage coming out of using AIs in the general eng ineering and tooling. So the need for the number of resources typically for the same job has gone down.
And since we are still talki

ng about our growth rates which are like not very significant, so we
didn't have a lot of need of people. In terms of our number of people, it's almost flat, and has got even optimized by a bit now. So overall, the manpower cost has come down. The second amount of variabilization has also kicked in because we are typically running on very extremely high sales performance numbers.
So typically, there is a variabilization of salary buildup because of that. So that has optimized.
And broadly beyond that, if you look at our investment in R&D and sales and marketing, it's

held to the same 9% and 22%, 23%. That has not gone down. But ove rall, we have been able to manage the cost because of these 2 operating levers we have got in this.

The other things also, if you look at the high gross margin part of the revenue, the AMC, the license, subscriptions have grown, which are not direct cost related. So typically, the operating margin overall has improved for us. So though at the beginning o f the year we had planned for much more higher cost investments, but we could variabilize them looking at the business performance.

We do feel that what is happening over next 2, 3 quarters also, there is an opportunity to also still have better operating margins and as you optimize and do more AI -based enabling of various functions. So we should be able to increase our acceleration of engineering, increase our velocity of product development as well as other functions. So there is some sort of margin, which is a good thing, which has been able to have -- we have been able to hold on to.

Aditi Patil: Okay. And this quarter, did we roll out wage hike?

Virender Jeet: Yes. I think I said that for roughly around 3,000 people or something like that, yes. More than 3,000. Out of 4,500 people, almost 3,500 people we had rolled out wage hikes in October. Yes.

Aditi Patil: Okay. So our sales and marketing investments as a percentage of revenue remain constant. But as the revenue has come down, the absolute amount has also come down. So do you think you may need to increase this to like mine for, or I mean, to go for newer ar eas of growth?

Virender Jeet: So Aditi, when we look at sales and marketing and product investments, they don't take very quarterly lenses or yearly lenses. They are more long term. They are depending on opportunity in the market, also where we are able to find right talent. So we'll k eep on investing. It's not that we will not be investing.

So what happens is a cycle of -- we have been investing very aggressively for 3, 4 years. Then we have a cycle of optimization and look back. And again, I think in this quarter and next quarters, we'll keep on investing. So they are slightly more long -term views of things. They are not short -term views of things.

Aditi Patil: Okay. Got it. And the wage hikes were in line with the previous years? Or like what was the quantum of wage hikes?

Virender Jeet: Slightly less since we covered up to -- we have not covered all. So typically up to GM and above, we have not gone ahead with wage hike this year. So it is lesser in total value compared to last year.

Moderator: Next question is from the line of Mihir Manohar from T rust Mutual Fund.

Mihir Manohar: Sir, at the start, you made a comment that there is AI -led uncertainty, which is being an impediment for making a decision. Can you throw some more light over here, when we say AI -led uncertainty, is it the case that the customers want more better products , more better offerings across the AI -led space? Or is it just a deferment happening because of the uncertainty which is there?

Virender Jeet: Sure, Mihir. So let me explain what I feel like which is AI -led uncertainty. So one thing is, typically whether it's a business environment or internal landscape of IT, what we are seeing is the large

st orders across geos, at least in India and Middle East , are taking more time. And some of these orders, what we have discovered, since there's a huge interest in enterprises around AI, generative AI, all other tools .

And technologies which are emerging around that, customers are also having a re -evaluation in terms of how is AI going to impact that area of the business. So while they may have worked on the RFPs, they may have built business cases, they are slightly unsure about taking large order bets for us. This is our impression of the business.

Now on the ground, I'm not sure whether that is the real -- exactly what's happening. But clearly, what we have seen, at least in a few of our projects, even at the late stage of decision -making, customers are slightly reluctant in terms of they are lookin g, are there alternate ways to doing it? Are we getting the right technology stack?

Should they wait for a few months and see what things are happening and how the AI settles down or the tooling settles down. So that is what I meant by in terms of AI uncertainty. The degree of interest on AI, AI -led use case in POC is high. So that's not the case. The issue is, but on all other traditional cases, AI is disrupting it in a way that customers are reevaluating whether that's the right way to proceed. Does that answer y our question?

Mihir Manohar: Yes. Okay. Understood. Second question was on the Middle East side. I mean, Middle East, last 4 quarters, the Y -o-Y numbers are, I mean, on the muted side. The expectation earlier was that, as travel restrictions will get eased, we will see growth coming b ack on the Middle East. So is there a challenge on the demand side? Or I mean, is it a challenge pertaining to the supply of services?
Virender Jeet: Yes, so as I said, the challenge remains the same. I think we are winning deals, I think in the Middle East, but we have not significantly won large license deals in Middle East compared to -- our license revenue for first 9 months in Middle East has decli ned by at least 15% to 20%, if I'm not wrong, in spite of number of deal wins being the same as last year. So the larger deals of licenses we are not getting, so that is impacting our business.
So we do expect things to start improving and slightly shaping up more in terms of both our getting more number of deals on our table, but also some of the larger deals getting fructified, getting the orders, getting sorted out that. As I said also, becaus e the uncertainty which the whole AI environment is creating is creating also after the orders have got initiated.
Sometimes the orders are put on hold in execution stage because of people want to reconsider or the Board is reconsidering things. So this is some amount of uncertainty we are clearly seeing in at least Middle East and India.
Moderator: The next question is from the line of Meet Virani from M&S Investments.
Meet Virani: All right. So my next question would be around growth visibility. Despite a strong order book and pipeline, we have seen revenue growth has remained muted over the last few quarters. But what specific changes should investors track that would signal a clea r inflection of growth? I mean, in which part of FY '27 or part of FY '28, do you realistically expect these inflections to materialize?
Virender Jeet: Sorry, I got half of your question, but I'll try to answer. So I think, yes, one of the things is typically, since we have very lumpy revenues of licenses, so predicting in future about immediate growth in that quarter becomes difficult because it is based on -- at least the last year, the same quarter was completely high on license. So unless a large or significant license is recovered in the same, you will not be able to predict.
See, there are 3, 4 pillars of prediction. The growth in annuity models are quite

predictable,
because they don't go down or up so soon. They are more consistent. But the license jerkiness will be there . But if you're looking to predict it for 3, 4 quarters, I think new logo acquisition and growth in order book are 2 indicators of that.

The growth in order book can have this bias that whether they are subscription orders or license orders. So it's a combination of growth in order book, the new logo acquisition, and the jerkiness of license revenue needed to be realized in the same quarter . So these 3 factors are important to look at what's going to happen in the next 2 quarters or what's going to happen.
So in that, we may have some amount of prediction about based on the order book of previous quarters and the subscription growth, but on the license front, we'll have to rely on the performance of that quarter and closure of some deals in that quarter.
Moderator: Our next question comes from the line of Rithvik Reddy from RFI Investment.
Rithvik Reddy: Can you comment how U.S. and Australia are doing?
Virender Jeet: Yes, Rithvik, I think Australia is a nascent territory for us. What we have done is, in a few years, we have reached a stage that it's a self -sustaining territory and regular orders are flowing in. If not every quarter, but every alternate quarter, some or ders are flowing in. We do expect a few closures on that.
So this territory right now, our initial target was to build it to $5 million to $10 million territory, so that the base reference ability of customers get established, which we are very close to that number. I think this year, we may cross more than $5 million or something like that. And the potential to cross $10 million next year is quite high.
U.S. is shaping well on account of a couple of things. I think we are finding some foothold in the insurance space, which we invested heavily on that, both in horizontal cases and journey cases. We got some great deals on the health insurance side. And the n the ECM -led large banking cases are also showing some.
So U.S., because the revenue is slightly more smoothened out because of subscription sales, the performance of previous quarters is now reflecting in the numbers, and we hope to continue that going forward.
Rithvik Reddy: Okay. In general, how effective is the AI in our business segment? And within next 2, 3 years, how do you expect, like how much more effective is it going to be?
Virender Jeet: Sorry, could you repeat? Is it about how AI's effect on business?
Rithvik Reddy: Yes. How effective is AI in our current business segment? And in 2, 3 years, how much more

effective it is going to be?
Virender Jeet: See, right now, AI is -- I think everybody is excited about AI. All technology areas are getting impacted and influenced. But there is a huge interest on the enterprise side to start deploying the technology for all use cases. So for us, I think what we ar e seeing, we are excited about our AI road map, our AI -led products which are coming into the market. First, we are lucky to get our initial orders of AI, both in India and Singapore, and some of those are live now.

We are excited about replication of those use cases. So I think in next 2, 3 years, you will see AI central to all use cases just sold across all verticals or across all solution areas. So for companies like us, which are product companies getting ready for that change and preparing products to compete in th at is what we have been investing for the last 2, 3 years.
And so we're excited that as the customer patterns and buying behavior start getting settled and the business certainty starts coming back, we will see far more explanation of AI -led deals happening in the market.
Rithvik Reddy: Okay. So what I meant is, are companies

looking more effective -- the uncertainty, is this because
the companies are looking for much more effective, and that's why there is a defer?
Virender Jeet: No. I think companies are right now looking at setting up their road maps of AI in terms of what are they going to do? What tool set, what technology, which areas. So basically, we are right now in this whole great area of experimentation. From now, I thin k experimentation typically has to be converted into real benefits.
So that's where customers are trying to now make the final choices about their AI products, which projects to prioritize, how do you start leveraging, what benefits to get. So I think you will see more acceleration now in spending in the whole digital area , whether it's AI -led or around AI.
Moderator: Our next question comes from the line of Diya Brijwani from White Whale Partners.
Diya Brijwani Yes. So my question was more on the annuity part of the business. It's 50% plus of the revenues now. So any metric that we track like gross retention, net retention. The concern comes from that are we facing any pricing pressure from our legacy customers b ecause of the AI thing? And like at least the core verticals that we've got like ECM and BPM, is there any threat -- like currently, is there any threat to the products for our pricing on the annuity part of the business per se?
Virender Jeet: So I think broadly, the answer is, at least, no, we have not realized any threat to the product pricing or in terms of product categories we have. So predominantly, products in product businesses, people end up consuming typically the products which are at the top of Magic Quadrant or Gartner Wave Report -- sorry, Forrester Wave Report and Gartner Magic Quadrant, you expect those products will be always ready with whatever has happened in the technology.
So it is given that our all products are AI ready or they are helping customers use those AI use cases. So we don't see that. The pressure on annuity side of the revenue is going to come on typically, which is where we have seen, which is typically people -led revenues, streams where you are deploying people for further enhancement and upgradation and rolling out more journeys with the product. In the current environment, very few enterprises are looking to augment people aggressively.
So we have seen some amount of challenges in those cases in terms of some optimizations happening here and there, but nothing very significant. But as we roll out more and more use

cases, we'll have some amount of teams getting added at all places. So I would say this concerns a bit of concerns around support part of our revenue, but not our ATS subscriptions, which are more committed. And there's always a room to really increase the prices out there.
Moderator: Our next question is from Srinivasu K from TIA.
Srinivasu K: Yes. Again, my question is a follow -up to the previous 2 questions on the AI side. Basically, I just want to understand that there's a lot of discussion that AI is fundamentally disrupting the traditional workflows with agentic workflows, which is actually lowering the entry barriers. So from Newgen's perspective, does this disruption put pressure on our traditional BPM workflows? Or is it actually expanding your opportunity because of the new initiatives that you have taken?
Virender Jeet: Yes. I think, Srinivasu, a very important question. And I think, yes, you will see a lot of conversation happening around agentic workflows and in terms of ease of, as you rightly say, the barrier to enter into those spaces in terms of -- so there is a seg ment of market, which is

typically what we call more ad hoc or departmental or user -centric workflows, which is typically more seasoned developer.
That is an area which is getting slightly more transformed. But again, in that transfor

mation, the
traditional BPM or low -code companies are the ones who are going to win that area. But what Newgen's predominant forte is, our 90% of market share is very intense, rule -driven, business -centric, integration -heavy systems, where agentics would augment to that workflow.
So we would still use our products to deliver more and more value to the customer in those complex workflows. But on the other hand, you're absolutely right, some amount of disruption you will see in typically the companies which are working on typically w hat you call seasons development or departmental workflows, because clearly, there are multiple ways to solve that same problem, through agentic workflows, through tools which are coming from Google.
But in serious enterprise workflows, like if you're trying to implement trade or you're doing claims or underwriting or retail loan or gold loan, these are much more structured processes, where AI is going to augment the process, it's going to augment huma n in the loop. It is going to take some amount of decision -making and make it intelligent. But the core process infrastructure will be used by products like what Newgen delivers.
Srinivasu K: Just a follow -up on that. So over the next couple of years, do you see AI for Newgen as basically a margin lever because AI reduces the implementation effort? Or do you see it as a pricing lever, because agentic workflows improves the STP and reduces the tax? Or do you see it's like staying competitive, because everyone is offering AI, so it's like protecting your moat?
Virender Jeet: So I think very good question again. I think the answer cannot be one. I think it's a combination, because 2 things. One is, more and more value will be delivered out of the product and platform, we'll say. So we'll have some pricing power out there to get slightly higher value for all that. Our downstream revenues, which are typically implementation support, may have reduced, what you call, the time to market, time to implement or overall effort .

But you will be charging higher premiums to deliver that. So cost for the customer will come down slightly, but also you will get substantial benefits in the speed and velocity of go -to-market.
And as our instances grow, so there may be a time period where you will see that larger, higher basically margin revenue streams may grow faster than the other revenue streams.
Moderator: Our next question is from the line of Vinay Nadkarni from Hathway Investment Private Limited.
Vinay Nadkarni: Just wanted -- this new H -1B visa rule of $100,000, is it going to impact our U.S. revenue streams or your ability to service your customers there?
Virender Jeet: No, Vinay, we are not in the business of sending people or having manpower -based assignments.
We don't need any people movement between countries. We sell products and products don't need -- so most of the staff, we can hire locally. And in fact, even most of the staff in our sales, marketing and other service areas are locally hired.
So we can continue maintaining expansion of our business. We don't do any H -1Bs anyway.
There are very few. Most of the companies will be intercompany transfers if and when they are needed. So for product -based businesses, H -1B is not a criteria.
Vinay Nadkarni: Right. Secondly, if I see the India revenue for the last 9 months, I mean, 9 months FY '26 to 9 months FY '25 is absolutely flat. Is there no opportunity for SaaS -based revenue or subscription -based revenue in India? Or is it not something that Indians pre fer?
Virender Jeet: No, it's not either/or. I think traditionally, what has happened, Indian -based companies are more license -based companies. And that's why I think last 3, 4 years, they have grown significantly on those license sales. A lot of deals have come in. There are also subscription deals

and cloud
deals in India, but they are a smaller part of the business, because it's a very large territory. We have been here for 20 years.
So they are not a significant part of our revenue. So I think over the next few years, you will see more and more things coming on subscription even in India. But for many more quarters, we will still be dependent on license -based businesses.
Moderator: This is the last question. I now hand the conference over to Ms. Deepti Mehra Chugh for closing comments.
Deepti Mehra Chugh: Thank you so much, everyone, for joining in on the call. For any remaining questions, you can connect with me, or you can go to our website for details. Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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Date: 06th May 2026

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Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)
Scrip Code – 540900 Ref.: Newgen Software Technologies Limited
(NEWGEN/INE619B01017)

Sub. : Outcome Transcript – Conference Call – Q4 FY'2 6

Dear Sir/ Ma'am,

As intimated earlier through our letter dated 24th April 2026 regarding the Conference Call of the Company, which was held on Thursday, 30th April 2026 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary & Head -Legal

Encl. : a/a

"Newgen Software Technologies Limited
Q4 FY '26 Earnings Conference Call "
April 30, 202 6

MANAGEMENT : MR. T.S. VARADARAJAN – WHOLE -TIME DIRECTOR –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED

MR. TARUN NANDWANI – CHIEF OPERATING OFFICER
– NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MR. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
MS. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
RELATIONS – NEWGEN SOFTWARE TECHNOLOGIES
LIMITED

MODERATOR : MS. SEEMA NAYAK – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Newgen Software Technologies Limited Q4 FY '26 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Seema Nayak from ICICI Securities Limited. Thank you, and over to you, ma'am.

Seema Nayak: Hi. Good evening, and welcome to the Q4 FY '26 Earnings Call of Newgen Software Technologies. It's my pleasure to introduce the senior management team of Newge n. We have with us today Mr. T. S. Varadarajan, Whole -Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Tarun Nandwani, Chief Operating Officer; Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head of Investor Relations.

I now hand over the call to Ms. Deepti for proceeding. Thank you, and over to you, Deepti.

Deepti Mehra Chugh: Thank you so much, Seema. Good afternoon, everyone, and welcome to the Q4 FY '26 results of the company. Before we move on to the discussion, let me highlight that this call may contain certain forward -looking statements concerning Newgen's future busines s prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward -looking statements. Past performance may not be indicative of future performance.

The company does not undertake to make any announcements in case any of these forward - looking statements become materially incorrect or update any forward -looking statements made from time to time by or on behalf of the company. For further details, you m ay please refer to the Investor Relations section of our website.

I would now hand over to Mr. Varadarajan for presentation of the results, which will be followed by the Q&A by the management. Thank you.

T.S. Varadarajan: Good afternoon, everyone, and thank you for joining us today. We are pleased to report our results for full year and quarter 4 of FY '26. In FY '26, we recorded a revenue growth of 6% Y - o-Y to reach INR1,574 crores despite the uncertain market conditions. The quality of our revenue mix continues to improve materially, driven by expansion in subscription -based revenues. Our subscription revenues grew by 24% Y -o-Y to reach INR525 crores.

Specifically, the SaaS component grew by 36% Y -o-Y. This provides us with significantly better visibility for future revenues in the form of increased deferred revenues. Our annuity revenues were at INR968 crores, comprising 62% of total revenues, which is up from 56% in the FY '25.

This depicts a structurally positive transition to more predictable subscription -led revenues that improve revenue visibility.

Moving to geographic -specific highlights. Our business model continues to be well diversified across geographies, with each geography meaningfully contributing to our growth. U.S. geography continued to grow record healthy traction and witnessed revenue g rowth of 17% Y - o-Y for the full year.

In Q4 specifically, U.S. revenues were at INR106 crores, growing at 20% Y -o-Y. Our consistent wins during the year opened the door to broader regional adoption. APAC geography witnessed revenue growth of 14% Y -o-Y for the full year. India and EMEA continue to be the largest contributors to revenues. However, the large deal closures continue to be slower in these regions as customers take time to evaluate their technology strategies and due to the geopolitical unce

rtainty.
India geography, revenue growth has been muted due to low license revenues and customers holding off on making decisions, particularly on large deals. In the EMEA geography, revenue growth of performance has faced headwinds by geopolitical uncertainty in the West Asia, especially towards the end of the financial year.
This has led to delays in large deal closures. The collection from the region have also been slower on that account, which has in turn affected the overall DSO. Over the course of the year, we added a total 47 new customer logos. At the same time, we deepe ned relationship with the existing clients. The number of customers with billing over INR5 crores grew from 87 in FY '25 to 101 in FY '26, reflecting strong wallet share expansion.
Our key wins, particularly this quarter include: providing Retail Loan Origination Solution to a leading bank in Malaysia, the aggregate order value of RM 6.75 million; entered into an agreement with a leading insurance company in Illinois, U.S., for Poli cy Binding Solution with an order value of $1.6 million; executed an agreement with a leading bank in Kuwait for Corporate Finance Origination Solution, Retail Finance Origination Solution and Customer Communication Management system.
The aggre gate value of this order is US$ 2.2 million; Supply installation and implementation of the NewgenONE digital transformation platform for an insurance company in the Caribbean, again, the aggregate value is $1.5 million; building a tax compliance system for a large and reputed government organization based in UAE, the aggregate value of the agreement is AED $5.3 million.
Coming to our products, the NewgenONE platform continue to unify content processes and communication into an orchestration layer where intelligence is embedded into how enterprises operate with the trust, governance and control built in.
Continuing with the focus on innovation, Newgen has filed 12 patents during this year and has been granted 2 patents in the same period. Overall, as of date, we have 67 patent filings and 25 patent grants. Our NewgenONE platform helps in creating AI agent s that leverage customer approved data to deliver explainable and evidence -based models with full a uditability.

These agents are safeguarded by the business rules and continuous monitoring to ensure reliable performance. By embedding Agentic AI directly into its low -code fabric, NewgenONE enables organizations to move beyond process execution towards autonomous, pol icy-safe decision - making.
During the year, we have continued with our focus on selling higher journey -led deals in banking and insurance. Especially in the insurance vertical, we have successfully added customers for our policy administration system offerings, especially in the ma ture markets. It gives us immense pride to share that for the second consecutive year, Newgen has been cert ified as a Great Place to Work.
It reflects the strength, consistency and shared values of the culture we have built together. Our global workforce numbers approximately 4,300 professionals. Throughout the year, we have worked on our employee AI upskilling program to build and scale a co hort AI skilled talent within the organization. We have also added senior leadership talent to strengthen go -to-market, corporate and innovation capability.
On profits and margin, despite uncertainties, we have maintained our operational profitability through optimization in costs. Profit after tax for FY '26 was INR301 crores, impacted by exceptional items, excluding onetime statutory impact of new Labour Codes and provision for legal claim to the extent of INR42 crores.
These -- if these exceptional items are excluded, the adjusted profit after tax would have been INR334 crores, reflecting a good growth of 6% Y -o-Y instead of negative growth as refle

cted
in the books of account, which is incorporating exceptional items. The adj usted net margins are at 21.3%.
We are accelerating AI -led engineering, automation and operational efficiencies across our delivery and product teams. We continue to prudently invest in R&D and sales and marketing initiatives. During the year, we have invested nearly 8.5% of our revenues on R&D initiatives and around 22% of revenues on the various sales and marketing activities.
On the balance sheet front, we witnessed a robust cash flow generation with our net cash generated from operating activities for the year at INR302 crores. We have declared a dividend of INR6 per share. Q4 revenue was at INR457 crores versus INR430 crores in Q4 FY '25, which is up from 5.3% Y -o-Y. The Q4 SaaS component grew at 44% Y -o-Y, underscoring the momentum in our cloud and subscription -based revenues.
Our deal pipeline continues to remain strong. Our order bookings have scaled and deferred revenue streams have strengthened. All these are providing improved visibility into FY '27.

While we remain mindful of the broad -- broader market condition, we are confident in our ability to continue delivering value to our customers and shareholders.
So thank you, and we are now open for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Seema Nayak from ICICI Securities Limited.
Seema Nayak: So apart from Middle East, are you seeing any broader weakness in BFSI demand? And how is NBFC demand looking in India? And my second question is employee cost is at a multiyear low. So what exactly is driving that ? And there's one more question?
Virender Jeet: Seema, thank you for asking that. So you're right. I think Middle East also, we didn't see too much of weakness, but we saw a disruption in terms of, towards the more critical quarters of -- which are very important for our business towards the end of Q4. So that was the kind of a disruption. But on the business or funnel or in terms of building cases, I don't see there is too much of disruption over a longer period of time. Still, we continue that, we see strong traction both in Saudi, Kuwai t, UAE for our business.
On the India front, I think NBFCs, as we have covered a lot of public sector banks and banks, the larger segment of NBFCs, we are doing a lot of work on that segment. And that seems to be one of our growth drivers. Apart from seeing some challenges in are as of personal finance or something where there is kind of a slow movement, all other areas which are important in NBFCs, we are seeing a growth out there.
Having said that, in India, we had a very strong pipeline built over 2 years on account of large public sector deals. And we see there is still a challenge in terms of getting the larger deals out of the larger banks. But on typically, the momentum of business in terms of acquiring more logos or more deals in NBFCs, we are not seeing too much of a challenge.
The other part of your question about the employee cost, I think there are a couple of things driving that. Overall, I think there is an operational efficiency coming in as part of the scale. But also this year, if you look at most of the revenue streams which have grown are not service related. So need of hiring more aggressively was not there.
We also have started seeing the early advantages of getting AI -based engineering practices built in our system. We had an optimization of roughly around 7% in our manpower numbers for the year. And I think that trend, I think, will continue slowly for a f ew years. We continue to still hire aggressively from campuses because we will still need lot of people to wo rk on -- to support the growth.
But as of now, both in terms of what you call a slower demand in the implementation

revenue
stream as well as what the AI advantages are bringing on to the table, are helping us optimize the employee cost. Seema does that answer your question?
Seema Nayak: Yes.
Moderator: Our next question comes from the line of Meet Virani from M&S Investments.
Meet Virani: Sir my first question on the side of large deal conversion, as we are discussed in earlier con call that, you mentioned earlier that, do you have a large deal conversion. But Q4 we have seen

strong revenue growth, almost -- so sir can you help me quantify how much of the growth was driven by conversion of earlier delay largely and whether deal closure channels have normalized or not?
Virender Jeet: Meet, so I'm not sure I got the -- but I'll try to explain what I understood from the question is.
So the large deal conversions for last 2 years, if you look at, which have helped predominantly the license sale in our part of -- if you look at multiple s egments of our revenue, our licenses for previous 2 years have grown at a compounded rate of m ore than 30%, 40% year -on-year.
This year, since we have not been able to get the deal momentum of large deals at the same size, especially which you are on the backdrop of larger deals coming in Indian public sector or some of the larger accounts in Saudi Arabia.
Those things we are finding there is a slow take in terms of decision -making process out there.
And there are multiple reasons about the decision -making process. Some are to do with the challenges there are in the economy, but some are in terms of the unc ertainty around the AI or taking more time to evaluate whether what people are buying as the right value for the enterprise.
So there is overall slowdown in terms of larger deal momentum across all businesses that we are seeing broadly. I don't see -- I don't know exactly does it get completely settled. But what we

have in our control is we have pivoted to getting into more midsized deals and we are trying to accelerate that.
And you'll see as part of that this year, I think our deal momentum has been good. In fact, between your new logos and existing logos, we have got substantial amount of deals. And they have added to large license, but it has not been at the same rate. So d oes that answer your question or you have meant something else?
Meet Virani: Yes. I got it.
Moderator: Our next question comes from the line of Rahul Jain from Dolat Capital.
Rahul Jain: So I know -- so far what I could gather is that the challenge that we are seeing is mostly on the large deal sizes. But in the perspective of how we are seeing the market today in terms of deal sizes or in general spending behavior, how we plan to -- Virender, trying to meet the objective on the growth side and what should be the aspiration for us with this kind of a macro that we are in for FY '27 or maybe on a medium -term basis, what should be the growth band that we should be operating at?
Virender Jeet: Rahul, thank you for the question. So yes, I'll just break it in a couple of things. So one is in terms of looking at market today, I think there is an element of uncertainty in the various pockets of market. We are still not very sure about how Middle Ea st is going to behave in the fi rst quarter and second quarter.
We are not -- we are still unsure about some of the larger deals which have got pushed out, whether they're going to be decided. Having said that, the applicability of what we have in terms

of product solutions, technology, is quite wide. We are continuously expanding new solution areas in existing verticals. We are also expanding into newer geos and new markets which we have not.
So we are slightly focusing on going wide. This year, while we had challenges in India and Middle East on the reve

nue front, but we still had very substantial deals coming in those markets,
but they didn't match the license revenue of the last year. But o verall, if you look at deals, we almost did the same number of deals out there.
In the meantime, we have also added a lot of customer bases in the newer markets. I think APAC has shown strong momentum. We have also opened markets in Australia and U.K., where more deals have come in there. Most of these deals are subscription deals, so the revenues will start figuring in future quarters.
So for us, we think we are very strongly believing with the kind of product innovation and the vertical journeys we have. We have a very, very wide market. Though you may have momentary challenges in one market, that does not change overall growth story of the com pany, our company.
We are very hopeful that we should be able to push back our growth very fast. In the intermediate time, you may have a region or some other regions having challenges for a moment. But overall, applicability of our products to wider market, total -- the gro wth of total addressable markets.
We are also thinking that the whole AI is going to give us a next generation of push for enterprise content management, our customer communication products. Our insurance systems have got early succ esses we have got in that area.
So we are -- if you ask, we are completely optimistic and hopeful. In this kind of an environment, projecting a number for next year may not be advisable. I think we'll just wait for 1 or 2 quarters till we are getting a much more, better insight of what's happening in the market.
Rahul Jain: Virender ji, thanks for the color and I can understand we are in a very uncertain scenario. So it is very difficult. But we've been facing this challenge for couple of quarters. So we have been working on this aspect that where the problems are, what coul d be the potential mitigation step and all that. So with that things keeping in mind, is it like at least a double -digit growth is something we should be ensuring or you think it is so tough right now, to give any ballpark number would be diffic ult?
Virender Jeet: So any time we do any growth, which is lesser than our historical growth, we are quite disappointed. So our plans never factor the single -digits growth or muted revenue. The other problem is, as you're rightly pointing out, last 3, 4 quarters, the way we see the problem is we had a very high license jerky reven ue base in our revenue streams.
Some of that has been already rationalized. The business in control, the deferred revenue and what we call the subscription base has grown up. So inherently, the business has some amount

of compounding of growth. With even lesser challenges this year, we should be able to probably put up a growth number.
I would right now hold my horses to claim what is that number, especially, what -- depending on what has happened just in the last quarter. We were even thinking of doing much better numbers even last year. But I think the last 1 month surprised us depend ing on what -- in our major markets, we could not just move anything. So I think just give us one more quarter. I think by the end of the next quarter, we should be able to have a much more clear picture.
Rahul Jain: Just last bit on margin, if I could ask. Since we are of the view that the growth could be a bit tricky and we'll keep watching out on that front. So do you think this year, we could see a littl e bit of optimization on margin or do you think last year margin as the best indicator to see for this year?
Vivender Jeet: Yes. So you're right. And I think last year, you will see that there's a lot of work which has happened on the margin front. So the growth did not sustain, but the margins were quite optimized and with a muted growth, we are able to maintain margins. S

o g enerally, we are
always in the upfront investment zone. I think this year, we are already at roughly around 21% net margins. I think these are quite healthy.
I think we would like to still as a business focus on the top line and grow, while being conscious about not going overboard on spend this year so that the margins don't get any seriously impacted. So I would think our net picture at the end of the year m ay be similar, but it will – entirely , so if we hit a growth which is in higher teens, we may have expansion of margin for that year. But if it is on a lower teens, we may have -- we should be maintaining similar margins.
Rahul Jain: Sure. And I would just request management to consider maybe buyback kind of an option if given that the pricing has been very attractive, generally the capital in the business requirement and the capital beyond working capital is very minimal. So a meanin gful allocation there could be a good opportunity for company to reduce the equity base and help the investor to boost up the earnings?
Virender Jeet: Thank you for the suggestion. We'll surely take these all things and we'll consider.
Moderator: Our next question comes from the line of Aditi from ICICI Securities Limited.
Aditi: Congratulations on good execution. My first question is on the Middle East geography. So are we seeing any delays in new deal closures due to ongoing conflict in Middle East?
Virender Jeet: Yes, Aditi, thank you. Yes, absolutely, I think we had a serious impact last quarter. And we hope -- what has happened is all turmoil, after sometimes the business starts, like in COVID, people work around that. So we are seeing already that happening. So me amount of decision moving - - movement is going to progress. Some amount of travel has still opened up, though the re are still lot of challenges.

So there is an improvement. If it does not deteriorate, we should be able to solve some of those problems in Q1 and Q2. But if it deteriorates further, then it's very uncertain to say what happens right now.
Aditi: Can you give a color on how the order book has shaped up, growth in order book for FY '26?
Virender Jeet: See, our overall order book at the end of the year compared to last year has grown by around 13%.
Aditi: Okay. And out of this, some part must have al ready been converted to revenue?
Virender Jeet: Yes, yes. So we are comparing apple to apple. So last year also, some part would have been converted to revenue. This is the residual at the end of the day. Whatever we booked for the whole year vis -a-vis whatever we booked for this whole year, last year.
Aditi: Okay. Got it. And my last question is on, we have seen a healthy growth momentum in APAC and U.S. Do you expect that momentum to continue based on the -- based on how your pipeline is shaping up?
Virender Jeet: Yes. I think we are optimistic about it. And though I think APAC is a smaller territory, so it has -- it switches between high -growth periods and lesser growth periods. U.S., the growth is based on some amount of a lot of subscription deals acquired over multiple years. So there's not too much of jerkiness. But yes, I think both the geos have performed well for us in this uncertain time. We think that next year, most of the geos should perform for us.
Aditi: Okay. And what is working well for us in the U.S?
Virender Jeet: I think what we are seeing in the U.S., there are 2 areas which we invested in. One is typically going to the larger accounts over the last 2, 3 years. So insurance has opened well in that space for us, and we are doing a lot of journey -led cases in insur ance. Also, we got some very good wins in our ECM -led banking cases.
These are 2 things which have shown more positive results. And I think also some of that has

translated in the revenue in the last 2 quarters, which we wer

e even -- we were previously
booked. And if we continue to book strong this year, we should be able t o maintain the growth
momentum.
Moderator: Our next question comes from the line of Swechha Jain from ANS Wealth .
Swechha Jain: Sir, my first question was around the annuity revenue. Would you be able to give the breakup
between SaaS, ATS, AMC and support revenue for FY '26? You said 62%, but if you could
break that down for me?
Virender Jeet: Okay. I won't have that it's going to be too difficult mathematic. But I think Deepti can -- Deepti
would send the data to you.

Deepti Mehra Chugh: Yes, yes .
Virender Jeet: She has got the details. [Inaudible 0:28:25]. Just hold on, I think she's going to let you know.
Swechha Jain: And also, sir, in Q4, what I understand, this was 58% in Q4 FY '26. And in Q3, this was 62%.
So this has come off a little bit this quarter. So just wanted some sense on you -- how do you see
this annuity revenue moving ahead in next 3, 4 quarters? Do you think this can again come up
like -- just your guidance over the annuity revenue, how do you see this going ahead?
Deepti Mehra Chugh: So Swechha, usually, we tell investors to look at the annual numbers rather than look at the
quarterly numbers [inaudible 0:29:26]. So the annuity was 62% of overall revenues compared
to 56% last year because there are licenses in certain quarters which could lead to lowering the
percentages of annuity. So I request that if you look at the overall annual number, that will be
more mean ingful. And out of the overall 62%, about 12% is SaaS, 21% is ADS AMC, and about
28% is support.
Swechha Jain: Okay. Understood. And also with respect to the India growth, we've degrown in past 2 quarters.
So how do you see this growth coming back? By when do we see this growth kind of -- or maybe
the degrowth stabilizing in India? And how do we see the Indian mar ket for us, sir?
Virender Jeet: Shweta, I think one of the -- if you look at overall, the reason for degrowth is the sharp fall in
the large license revenue. So in India we have more like more than 20%, 30% fall in the license
revenue. And if you look at all other streams are growing.
Organically, for this year, we're on a much smaller base of license revenue compared to last year.
So in fact, just maintaining the performance of last year will still reflect in the growth this year.
So we do have that India should -- I think the worst in India is over in terms of numbers, and we
should be able to bring in a growth year this year.
Swechha Jain: Okay. Understood, sir. Sir, and just one bookkeeping question. Sir, our trade receivables have
increased compared to last year. So just wanted some sense from you, how do we see this?
Virender Jeet: Yes. So we have this problem in 2 dimensions. One is typically our ability to collect in EMEA
over the last 1 -month has drastically affected the EMEA trade receivables that. But also we have
some challenges in APAC, which are more operational. I think they should get stabilized. Again,
I think this year, we'll take an aggressive target to reduce the trade receivab les aggressively and
try to come back to the normal.
Swechha Jain: Okay. But do we see any provisioning coming on account of these in coming quarters or like we
are okay with it?
Virender Jeet: No, I think this is automatically factored in the ECL norms on that. But trade receivables will
not have any direct correlation with provisioning. Provisioning will be built as per the ECL
norms on that. Right now, whatever has been is only a delay in paym ents. There is nothing to
have payments at risk. Yes.

Basically, I think when we are talking about ECL, basically, it is an estimated credit loss model,
basically based on last 12 quarters collection trend. So accor

dingly, we provide as per the
accounting standard, and we are continuously doing that. So that risk is kind of taken care in the
books as far as provisioning is concerned.
Swechha Jain: Okay. And sir, just one last question. It's more to do with the industry and then maybe even to
us. With the whole AI thing is what I understand as the companies shift from effort -based billing
to the outcome -based billing, that's where the shift is going to happen. And in interim period,
there will be impact somewhere in the revenues, in the margins and where the company -- the
shift will happen.

The margin somewhere will stabilize, say, over a certain period of time, say, 8 or 12 quarters. So that's where the industry will shift, the company will shift. How do we see that happening for us with the whole AI thing? And how does that shift happen for us? And where do we see us as the company? And just wanted some sense from you around this.
Virender Jeet: Yes, I think the challenge is -- I think the conversation right now is going on two fronts. One is about what is happening to the service industry and service pricing model s. How are they changing? Our business is still decoupled from that. There is a solution and product. There are already multiple models of product pricing already factored in, right from consumption to usage to any other model which is linked to the business.
So there is going to be an evolution and also on product pricing. So that's another challenge in terms of will it be more in -- because when AI becomes central to the use cases, then AI -based consumption has to be factored in the product -based pricing. This is which all product companies are grappling with right now. We are also coming with more models working along with customers, which are the more acceptable pricing which is more transparent to them.
So our challenges will be more lying in the product pricing model, which are different than service pricing models. But your point is well taken, and I think already a lot of work is happening along with. So what we work on is generally as we are operating out of multiple countries. And I think customers also tend to define what are the most suitable pricing models in those jewels for those segments and verticals.
So slightly, we have a tendency to lag on pricing so that -- first is to solve the customer's problem, then also to work out the right pricing models with them so that it can be used out there. So I don't have a really a great technical answer for that, bu t I think I would go with my customers and work out a pricing model which will suit both us as well as the customers.
Swechha Jain : Right. Okay, sir. Thank you . Thank you so much. I appreciate it.
Virender Jeet: Thank you.
Moderator: Thank you. Our next question comes from the line of Dixit Doshi with Whitestone Financial Advisors Private Limited. Please go ahead.

Dixit Doshi: Yes. Thanks for the opportunity. So , couple of questions. I'm slightly new to the company. So one of the basic question I wanted to understand was, so we have -- in annuity revenue, we have a SaaS, ATS, AMC and support. So where do you record this subscription revenue in these 3 segments?
Virender Jeet: Yes. So Dixit, it is part of the SaaS where we recognize the subscription. So as you rightly saying that some of the customers take the whole SaaS service, which we are providing as part of almost consumption and some only realize the license part of SaaS is typically subscription -based licensing. So today, SaaS has both subscription -based licensing and the cloud revenue.
Dixit Doshi: Okay. And some of the subscription revenue also recorded in any other segment?
Virender Jeet: Yes, so one -- which is the ATS is typically the annuity fee on the license. It is a subscription base, but we call it typically ATS, the industry calls

it ATS. So we call it ATS, which is typically having the same margin profile as license because there is no service attached to it, but -- and the support is typically more about extended ATSs where people are deployed for the customer, and that's how this figure is annuity.
Dixit Doshi: Okay. And so just correct me if I'm wrong. So basically, what -- in the previous -- let's say, when we do a license deal, so when we sold the license, the revenue is in the sale of product. And during the implementation, it is in the implementation segmen t. And then it is linked, and then over the years, we'll get the AMC and support charges. And if somebody is not taking the license and going for a cloud or a SaaS revenue, then everything comes to the SaaS revenue. Is it right?
Virender Jeet: Perfect. You explained it better than I could.
Dixit Doshi: Okay. So AMC support and implementation is basically linked with the growth in the onetime license and so, let's say, over last 1 -year, our sale of license revenue slightly slowed down. So do you expect the AMC support and implementation also to slow down over medium term?
Virender Jeet: So, Dixit, the issue is sale of license has got a subsequent sales of implementation. So more deals we do, more implementation we do. So there is a direct correlation between both sale of license or sale of subscription to implementation. But ATS has a mo re compounding effect, which is a multiyear effect. So ATS is not only about what you did that year, you also did last to last year. And so either way, it does not slow down, it grows. It can grow at a more accelerated pace or lesser pace bec ause it's always compounded. It does not…
Dixit Doshi: Yes, yes.
Virender Jeet: Your observation about the 2 factors, which is about the implementation partially linked to license because if you don't make more deals, you won't have more implementation. But the ATS is bit decoupled. And similarly, support also is to do more -- with mo re customers go live,

they end up consuming higher ATS and support. So I would call more direct correlation is with implementation and much lesser correlation with ATS.
Dixit Doshi: Okay. And ATS, AMC and support is usually for how much tenure?

Virender Jeet: So generally, lifetime -- for ATS is kind of an insurance over the license because in enterprises, you don't use unsupported versions.
Dixit Doshi: Okay, yes.
Virender Jeet: But support varies. It can start small and grow bigger or sometimes also it could have a fluctuation of lesser continuation or more -- adding more people.
Dixit Doshi: Okay. Got it. And second question is, so usually in our previous calls, we have mentioned that due to the closure of deals, typically, our Q3 and Q4 more particularly is seasonally better in terms of revenue. But let's say, in future over next 2, 3 years, when your SaaS revenue and AMC revenues become the more bigger part of the revenue, does this seasonality will come down or even those segments have a seasonality?
Virender Jeet: So see, naturally, it should come down irrespective of what we do because as the annuity keeps on compounding, the seasonality falls. The last 3 years, we -- it has still come down, but has not come down at the pace we expected because a lot of last 3 -year growth was based on the license growth -- sale of license growth. So the compounding which happened in terms of annuities and downstream revenues were not at the same pace as the license group.
So if the license growth is muted compared to subscription growth, then this will happen faster. Otherwise, it will happen at a slower rate. Either way, it's happening because we have now reached a 62% kind of annuities. It can reach all the way up to 75%, 80% of the annual revenues.
Dixit Doshi: Okay. Okay. And one last question. So I do understand IT is slightly less, but there

are a lot of
talks about the Claude Mythos and it's mainly for the banks, and we do a large business with the banks. So if you can help us understand whether it will -- it can impact us or it can benefit us because it's -- we -- we'll have to check the vulnerabilities of all our softwares and all, so if you can just help us understand something over there?
Virender Jeet: See the impact of Mythos in terms of vulnerabilities and when it's going to be available to the rest of the world for really solving those vulnerabilities, is a different question. But what's happening, clearly, there is a huge interest across all our exi sting customer implementations to invest more aggressively in securing the systems. All these initiatives right now are not being talked in the business language in terms of orders. This is more about supporting each other and making sure tha t things don't go wrong.
But you are right, I do anticipate that downstream, it will accelerate the process of upgrading systems. It will accelerate the process of modernizing applications so that the risks do eliminate, which should impact in terms of our downstream revenues comi ng from accounts. But right now, it is more about in a firefighting mode, helping our customers and making sure that the maximum number of risks are eliminated.
Dixit Doshi: Okay. Understood. Thank you. That’s it from my side.
Virender Jeet: Thank you.

Moderator: Thank you. The next question comes from Meet Virani with M&S Investments. Please go ahead.
Meet Virani: All right. So, coming back. Sir, am I audible?
Virender Jeet: Yes, Meet, you are audible.
Meet Virani: Sir, as you have -- all right. So the company has a strong cash generation. And how are you planning to use this for business expansion, especially in areas like SaaS, AI audio market, sir? Can you elaborate on it?
Virender Jeet: So, Meet, I think the purpose of the company so far is to make sure that we are able to accelerate growth. So all the cash expansion or whatever is need, typically will help us either organically grow or inorganically grow. So the whole aim right now is t o make sure that the growth acceleration happens out there.
Meet Virani: All right. So sir, any plan we have for inorganic growth apart from our business?
Virender Jeet: Yes. So we are looking at multiple options and typically to make sure that our go -to-market can be accelerated in mature markets and also in certain areas of product complementary technologies in various areas. I think -- but nothing is right in the stage , which is more final and concrete. And once if we have things like that, we'll surely come and communicate back.
Meet Virani: All right , sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Jalaj from Prescient . Please go ahead.
Jalaj : Sir, am I audible?
Virender Jeet: Yes. Go ahead.
Jalaj: Thanks for the opportunity. Sir, I had a few sets of questions. So my first question was with regards to the license. As we see the discussions with the clients and the pipeline and the order book, should we believe that we have reached to a trough in terms of the bottom in terms of the license revenue and incrementally, we should have growth from here? Or we still believe that because the Middle East and the demand in India is still to pick up or the newer NBFCs and banks have to come up with new de als, so it will take longer time?
Virender Jeet: So what I will say, what is going to happen is that if the business starts behaving better in India and Middle East, we have use -- we can agree that we have reached the bottom of the license, and we should be able to do better. But if the business moment um or growth starts coming more from more mature markets, then we'll still sell more licenses, but they may be in the form of subscription or SaaS -based revenu

es. So it depends on what geos start performing.
But overall, if you look at addition of the SaaS and license, in all years, we'll end up growing. That's the whole idea because we always end up making more deals than what we did last year. So some of the composition of those deals change and they may no t reflect in the same year. So

I'm hoping this year also looking at both what we sell in license and what we sell as subscription licenses, we should be able to do better than any previous year.
Jalaj: Got it. But as we see the discussions with clients, has there been any sensible change in the momentum or discussions as we stand today, if you were to compare it a quarter back or 2 quarters back?
Virender Jeet: Not much. I wouldn't say like that. See -- I think the industries we are working in are always very hungry for modernization or transformation of their businesses. It's only that when the -- what you call when the -- core work about taking decisions about those deals, those we think that is getting more impacted. The conversations are always in the market. The interest is always in the market.
Sometimes just that final go ahead takes more time or there's more challenge within the enterprise to go ahead with that time. So those are more challenges. I don't see any difference in the client conversation happening as of today about changing prioriti es or reducing their spend on IT or something.
Jalaj: Got i t, got it. That explains it. And sir, my second question was with regards to the margins and specifically on the people cost. So we see that on a year -on-year basis, the people costs have been flattish. So is it largely explained by the productivity, AI -related productivity or partial ly as you alluded to, the lower license leading to a lower implementation headcount or implementation requirement? Is that being driven by that? And maybe a headcount comparison on Y -o-Y would be -- would help us to substantiate that?
Virender Jeet: Yes. So we have roughly around 6% reduction in headcount Y -on-Y. And that's an organic reduction, while we have, in all our years added around 400 campus people. Even this year, we are going ahead with adding 300 to 400 campus people. But most, as I right ly said, we have a - - there is a transformation happening in the engineering processes and there are benefits about AI, which are coming and creeping into the system. That should help us to keep on improving margins and delivering faster.
So you will see some amount of efficiency on that front also coming in this year. And we have invested very aggressively on the AI. Today, almost around 80% of all our people have access to all kind of technologies and AI agents so that they can work on that. And the whole process of engineering is getting transformed slowly. And I do t hink those benefits will keep on continuing for a few more years as the full transformation and full advantage of that transformation comes.
Jalaj: Got it. Got it. And sir, my last and quick question would be the client discussions which you are having for, let's say a relatively mature client in banking, because of AI disruption as such, are the decision -making getting delayed per se because they are not themselves sure of the -- what sort of architecture would it be, because every now and then new models are coming and some of the new introduction is happening. So is it partially or you are seeing the discussions getting postponed because of t hat?

Virender Jeet: So what is happening that -- see, we deal still a lot with businesses across all places in our customer segments. Businesses are still focused on their business outcomes, and they are expecting AI as one of the enablers to provide better value in that. So all the use cases which we are selli

ng today have a strong component of AI helping the customer in achieving their business goals.

The problems we are talking about , cases which have started in isolation, AI projects and AI POCs, which have been completed over 2 years, but don't know what next to do on that. Those are some of the things which are creating disruptions about such AI -led cases.

But typically, if you look at core business cases about modernization, digital lending, account origination, tax systems, the problem is not about the AI out there. The problem is how can you use AI to provide better advantage, better behavior in those sys tems. So those are still being considered and AI evaluations are becoming important part and integral part of evaluating those systems.

Jalaj: Understood, understood. Thank you and best of luck.

Virender Jeet: Thank you.

Moderator: Thank you. The next question comes from Rajakumar Vaidyanathan from RK Investments. Please go ahead.

Rajakumar Vaidyanathan: Yes, good evening. Can you hear me?

Moderator: Yes, we can hear you, sir. But may I request that you use your handset, sir . Your audio is slightly muffled, sir.

Rajakumar Vaidyanathan: Yes, can you hear me now?

Moderator: Yes sir, this is better. Thank you.

Rajakumar Vaidyanathan: Yes. Thanks for the opportunity. Sir, the first question is on the license model. As we know that the Gen AI agents are now kind of performing some discrete business continuously in many of the businesses. So I just want to know, are we -- Newgen is moving out from [inaudible 0: 50:27] license to the agentic work unit pricing model?

Virender Jeet: Yes. I think this is what -- there is a discourse happening globally that all SaaS companies are facing a challenge and all software licenses have to have a consumption -based pricing. We are working as -- I think if you were in the call previously, we spo ke in detail about this. So what's happening in enterprises, we are keeping our pricing models close to the business outcomes which we deliver.

And now what's happening, a lot of -- there is an agentic or what you call the token cost coming to all business use cases, and we are trying to price that as part of that. This we are working in closely with customers to evolve what is the right pricing model. So it's not -- so we assume that

the company determines pricing model. It's also the buyer who is buying them, it should be transparent to them.

So right now, this is a conversation going on. I think you will get better answers about this maybe in 6, 7, 8 months down the line when more and more transformation would have happened. Till that time, we are working with our clients to come up with the m ost right pricing, which is AI agents plus tokens plus our business value and then how we package it together.

Rajakumar Vaidyanathan: Okay. So but as of now, it's a headwind for us? No?

Virender Jeet: No, no. I think we are -- pricing is the least amount of headwind. I think the headwinds are around more about decision -making, what's happening in markets about economic turmoil. So those are -- pricing is not.

Rajakumar Vaidyanathan: Okay. Got it. Yes. So the next question is a housekeeping question. So I see your deferred revenue has gone up from almost INR220 crores to almost INR300 crores this quarter. So what is driving that? Because generally, deferred revenue will be subscriptio n or AMC revenue. So that should be backed up by license as well, right? So we are not see ing any spike in license ?

Virender Jeet: No. So, exactly. So basically, the more of a spike which has come in has come in the revenue streams, which are slightly in terms of back ended. They are not realized upfront. So any orders which have come as part of subscription license sale add to the deferred r evenue. Any large ATS renewal contracts which have come in of licens

es sold over previous years have added to the deferred revenue.

So which gives us a better insight going into the next year. So all deferred revenue is not an outcome of a license revenue. So deferred revenues are also coming part of renewal agreements in ATSs and of sale of subscription or cloud -based licenses.

Rajakumar Vaidyanathan: Okay. But there is a substantial jump. So what is causing the jump? That is the question sir.

Virender Jeet: It is the growth in business, in -- growth in business in Australia, growth in business in U.K. and

U.S. because out there, the growth is also reflected in the deferred -- more of growth in deferred revenue.
Rajakumar Vaidyanathan: Okay , okay. Got it.
Rajakumar Vaidyanathan: Like India and Middle East contribute -- India and Middle East are predominantly license -based businesses, so they don't contribute to the deferred revenue, but all other markets contribute to the deferred revenue.
Rajakumar Vaidyanathan: Okay , okay . Got it. And just continuing on that agentic model. So just want to know what kind of moat Newgen has because now with all these open source AI agents, they can build -- the companies can build their own basic workforce, right? So what do you think is the moat Newgen has in the new AI world?

Virender Jeet: I think you can go to our website also, you'll get. So what basically, if you look at what -- at the core what Newgen does is we have got broadly 3 platforms, but predominantly 2 are the most relevant ones. We are an enterprise store for content. So one, we are looking at the whole interest in AI and using enterprise knowledge along with agents and LLMs.
You need a very strong records management, content management governance process and also an extension of this content management into getting the RAGs implemented, getting knowledge graphs implemented. So this is our product out there, which really helps customers to go and implement LLMs.
The second part of our product is we have to do the journey -- journey orchestration. So we are today orchestrating between current core systems, business services and enterprise workflows. So what's happening with Agentic, Agentic is helping customer to automate further flows or automatic human activities.
So we are still looking at ourselves as an orchestration platform, which orchestrates between systems of records, agents, nonhuman entities and existing business processes. So a lot of -- a lot of industry, which is we are dealing with are regulated indust ries. So you can't let an agent loose to reject a loan or approve a loan.
So you still need traceability, you need in terms of transparency and decision -making. You need to still tie up with the core system. You need to talk to hundreds of government services. So we are the ones who do that, even for the digital journeys.
So we are excited. We are coming with the product road map about really where a customer does not have to really go out, right, from agent builders to orchestration of agentic workflow, whether it's deterministic or nondeterministic. We are having products for that.
Rajakumar Vaidyanathan: Okay. So in short, this AI is not a kind of a headwind for Newgen, right?
Virender Jeet: No, no. I think this is -- I think a lot has been talked about that AI is the only tool now with the industry group. That's not a challenge. We are looking at AI as an opportunity to accelerate growth.
Rajakumar Vaidyanathan: Okay. Got it, sir. Thank you so much. All the best.
Virender Jeet: Thank you.
Moderator: Thank you. Ladies and gentlemen, our last question for today comes from the line of Sumukh from Korman Capital. Please go ahead.
Sumukh: Hi, team. Am I audible?
Virender Jeet: Yes, Sumukh. Please go ahead.

Sumukh: Yes. So I'm no

t sure if this question is already answered. But my question is, sir, did you see any revenue deflationary impact from AI, like clients asking you to pass on the productivity that you're getting from AI? And also like what part of your busine ss is coming from the discretionary IT spends, if you want to categorize it that way? So I'm just trying to understand like if the budgets tighten, right at the client end, so what part of your revenue is at risk from that point of view?
Virender Jeet: Yes. I think what's going to happen since globally, enterprises have to invest aggressively in AI. So some amount of budget has to come from run the business or business as usual. So there is going to be some pressure across the globe in terms of optimizi ng some services which are running as is. So we are still into a product solution base. So our streams like license sale, subscription sale, ATS, is a very little impact.
Similarly, implementations are negotiated for a short period of time, they have impact. So our streams, like what are typically renewals in support for ATS. Since we are not really into large

projects, like we don't have hundreds of people working anywhere, we have very tactical teams to solve critical business problems. So we may see some amount of pressure coming in those areas. But as of now, we are not est imating more than 2%, 3% impact on these two revenue streams for this year in that area.

Sumukh: Okay. So these streams contribute how much to your revenue, sir? And where do you see ...

Virender Jeet: These two streams contribute roughly around 40% of our revenue.

Sumukh: So we have 40% -- sorry, 2%, 3%, deflation is on this 40%. Is that correct?

Virender Jeet: Yes. I think yes. It's difficult to estimate, but this is what we are factoring right now depending on what conversation going on. But at the end of the day here, you may see that these streams have grown further because we are still selling to newer customers doing new projects.

Sumukh: Okay. And so where don't you see AI impact at all in your service?

Virender Jeet: No, I think AI impact is in all areas of businesses. But I'm saying some impacts are positive. Some impacts are about change of how we are doing job and some impacts are optimization of costs, which in some areas which were sold at cost X, maybe on a -- now a delta reduced cost of that X. But selectively, we look at it as a net positive for the company.

Sumukh: Okay, sir. Got it. And -- Yes, that's all my questions. Thank you.

Virender Jeet: Thank you very much.

Moderator: Thank you. That was the last question for today. I now hand the conference over to Ms. Deepti, Head of Investor Relations, for closing comments.

Deepti Mehra Chugh: Thank you so much for your participation, everyone. For any further queries, you can connect with me or go to the website of the company. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you, everyone.

Call: Jul 2026

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Date: 21st July 2026

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Sub.: Outcome Transcript – Conference Call – Q1 FY'27

Dear Sir/Ma'am

As intimated earlier through our letter dated 13th July 2026 regarding the Conference Call of the Company, which was held on Thursday, 16th July 2026 at 4:00 P.M. (IST), please find enclosed herewith a copy of the transcript of the said call with the Investors/ Analysts.

The transcript of the said call shall be made available on the Company's website at https://newgensoft.com .

This is for your kind information and record.

Thanking you.

For Newgen Software Technologies Limited

Aman Mourya
Company Secretary & Head-Legal

Encl.: a/a

"Newgen Software Technologies Limited
Q1 FY '27 Earnings Conference Call"
July 16, 2026

MANAGEMENT : MR. T.S. VARADARAJAN – VICE CHAIRMAN AND
WHOLE-TIME DIRECTOR – NEWGEN SOFTWARE
TECHNOLOGIES LIMITED
M R. VIRENDER JEET – CHIEF EXECUTIVE OFFICER –
NEWGEN SOFTWARE TECHNOLOGIES LIMITED
M R. TARUN NANDWANI – CHIEF OPERATING OFFICER

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M R. ARUN GUPTA – CHIEF FINANCIAL OFFICER –
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M S. DEEPTI MEHRA CHUGH – HEAD, INVESTOR
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MODERATOR : MS. SEEMA NAYAK – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Newgen Q1 FY '27 Earnings Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand over the call to Ms. Seema Nayak from ICICI Securities. Thank you, and over to you, Ms. Seema.
Seema Nayak: Thank you. Good evening, and welcome to the Q1 FY '27 Earnings Call of Newgen Software Technologies. On behalf of ICICI Securities, it's my pleasure to introduce the senior management team of Newgen. We have with us today Mr. T. S. Varadarajan, Vice Chairman and Whole-Time Director; Mr. Virender Jeet, Chief Executive Officer; Mr. Tarun Nandwani, Chief Operating Officer; Mr. Arun Gupta, Chief Financial Officer; and Ms. Deepti Mehra Chugh, Head of Investor Relations. I now hand over the call to Ms. Deepti for further proceedings. Thank you, and over to you Deepti.
Deepti Chugh: Thank you so much, Seema. Good evening, everyone. Before we move on to the discussion, let me highlight that this call may contain certain forward-looking statements concerning Newgen's future business prospects and profitability, which are subject to a number of risks and uncertainties, and the actual results could materially vary from the forward-looking statements. Past performance may not be indicative of future performance, and the company does not undertake to make any announcement in case any of these forward-looking statements become materially incorrect or update any forward-looking statements made from time to time by or on behalf of the company.
For any further details, you may please refer to the Investor Relations section of our website. I will now hand over to Mr. Varadarajan for presentation of the results, and that will be followed by a Q&A by Tarun and team. Thank you.
T. S. Varadarajan: Thank you. Good evening, everyone. Thank you for joining us today for our Q1 FY '27 earnings call. To begin with, as Newgen continues to advance its vision of orchestrating intelligent enterprises, we have shared important leadership announcement during the quarter that will guide the company into its next phase of growth. As Jeet has decided to step down from his role, Tarun has been appointed as Chief Executive Officer at Newgen effective August 1, 2026. Tarun has been associated with Newgen for the past 33 years and has been a key contributor to Newgen's growth journey. He will drive the next chapter of growth at Newgen. We have also created the role of Chief Growth Officer at Newgen, and Pramod has been appointed to his -- he will lead Newgen's growth agenda with a focus on driving growth strategy, product alignment, AI enablement, global market expansion and ecosystems development.
These appointments reflect Newgen's commitment to leadership continuity and our confidence to the opportunities ahead. I would like to take this opportunity to thank Jeet for his outstanding leadership and invaluable contributions in shaping Newgen into the global organization it is today. We wish him continued success in the next chapter of his journey. With that note, we now move to the financial performance for the first quarter of FY '27.

We have started FY '27 on a steady note with Q1 reflecting continued resilience in our business model, sustained customer engagement and healthy momentum to our annuity-led revenue streams. During the quarter, our revenue from operations stood at INR357 crores, representing year-on-year growth of 11%. A key highlight of the quarter was the continued strength of our annuity revenues. Total annui

ty revenue stood at approximately INR254 crores, witnessing a growth of 14% Y-o-Y. With this SaaS and license subscription revenue continued to grow strongly, reaching approximately INR60 crores for the quarter and growing at 40% Y-o-Y.

This reinforces the increasing predictability and durability of our revenue base as more and more customers continue to engage with Newgen through subscription-led and recurring models.
From a geography perspective, we saw broad-based contribution across all markets. EMEA remained the largest contributor during the quarter at approximately INR114 crores, followed by India at approximately INR96 crores, the U.S.A at approximately INR92 crores and APAC at approximately INR56 crores.
This geographic diversification continues to support the resilience of our business and provides multiple levers for growth across markets. U.S. geography witnessed a strong growth of 27% Y-o-Y, followed by APAC geography at 12%, EMEA geography at 10%. Implementation revenues had been weaker in the quarter due to the slowest project starts across markets, especially EMEA.
We added 10 new logos during the quarter. Our key wins in the quarter include a core insurance platform policy administration system transformation project for a customer in Kuwait valued at approximately INR26.7 crores, a retail loan origination solution deployment for an automation in the Philippines valued at INR16.2 crores, an order from Annapurna Finance Private Limited in India for the implementation, maintenance of AI-enabled loan origination and collection system valued at INR15.6 crores, an engagement with a leading U.K. enterprise to implement Newgen's enterprise content management platform valued at INR14.5 crores.
Our industry mix also continues to reflect the strength of our focus on complex, regulated and process-intensive sectors. Banking and financial services remained our largest vertical, contributing approximately INR225 crores during the quarter and growing at 5%. Insurance and health care also continue to be an important growth area, contributing approximately INR79 crores and growing at 58%.
These sectors continue to prioritize automation, digital transformation, customer experience, compliance and increasing AI-led modernization. As we had mentioned earlier, enterprises today are not merely looking at digitizing individual processes. They are looking to create more connected, intelligent and adaptive operating environment. This shift aligns closely with Newgen's core strength. Our platform brings together content, process, communication, low-code, analytics and AI capabilities into a unified execution layer, enabling customers to move from fragmented automation towards intelligent orchestration.
The conversations with customers are increasingly centred around how they can operationalize AI responsibly, improve agility, reduce turnaround time, strengthen governance and deliver

better outcomes at scale. We believe this creates a meaningful opportunity for Newgen as organizations increasingly look for trusted platform that combine deep domain capabilities with enterprise-grade governance and scalability.
During the quarter, we continued to invest in our platform road map with a strong focus on AI-led capabilities. We are expanding our enterprise agent orchestration capabilities and strengthening AI governance and trust framework. Our focus continues to be on disciplined execution, stronger customer engagement, annuity-led growth, product innovation and operational efficiency.
We believe the investment we have made in our platform, people and global presence position us well to capture long-term opportunities as enterprises accelerate their journey towards intelligent operations. Coming to our profits and margins. Our profitability performance remained healthy. EBITDA adjusted for other income stood at IN

R56 crores, translating into an
EBITDA margin of around 15.7%. Profit after tax was INR63 crores, reflecting year-on-year growth of about 26% with a net margin of around 17.6%.
During the period, we have invested nearly 9% of our revenues on R&D initiatives and around 26% of revenues on various sales and marketing activities. To summarize, Q1 FY '27 reflects the resilience of our business model and the strength of our strategic direction. We are well positioned to accelerate growth and help enterprises orchestrate intelligent enterprises. Our annuity revenues continues to expand. Profitability remains healthy, and our platform remains strongly aligned with the emerging needs of enterprises seeking intelligent, governed and scalable transformation.
We enter the rest of the year with confidence while staying focused on disciplined execution and sustainable long-term growth. Thank you very much, and we are now open for Q&A.
Moderator: Thank you very much. The first question is from the line of Shubhi Gupta from Trinetra Asset Management. Please go ahead.
Shubhi Gupta: So sir, our EBITDA margins have expanded from 14% to about 15.7% in this quarter. So what are the primary cost efficiency drivers for this? And should we assume 15% to 16% range to be sustainable for the remainder of the year? And the second question is that how are we monetizing

AI agents? Like are they being added to the existing modules or it will be bundled into a new Gen 1 license like a new license?
Tarun Nandwani: I'm Tarun. So answer to the first question is that the margin expansion is a function of optimization of the AI practices in our engineering that we have incorporated. And we are -- the efficiency gains are being passed on to -- for customer success for faster implementations and operational efficiencies that we are getting. So we hope that we will continue with these efficiency gains in coming quarters. To your second question.
Management: I think 15% for the full year, the EBITDA would expand. So Q1 is the lowest in terms of margin -- so we usually have 23% to 25% EBITDA margin for the entire year.

Tarun Nandwani: On the AI product side, the platforms have native AI capabilities, which you are aware of. We have also launched AI products in our vertical streams. So AI in trade, AI in insurance, AI in health care and AI in government. Now if we go slightly deeper, the trade finance, bank guarantee import modules are -- the AI product features allow them for classification and extraction of data and analysing of documents and the recommendation of the outcome. So this is baked into the platform for auditability and governance purposes. Similarly, we have launched AI products for our insurance products in life, health and general. Our government vertical knowledge management tools has AI baked in for the knowledge management vertical product. And in our health care, we have incorporated AI products for appeals and grievances and provider life cycle management. So they are currently being sold as part of our vertical product offerings, which sit on our platform AI native capabilities.
Moderator: The next question is from the line of Aditi Patil from ICICI.
Aditi Patil: Congratulations, team, on a good execution in a tough demand environment. And congratulations, Tarun, on stepping into the role of new CEO, and I wish all the best for Jeet for his future endeavours. My first question is on what led to decline in implementation revenue? Was it because of delays in implementation or since we had lower license revenue in the past 4 quarters and hence, lower implementation revenue?
Tarun Nandwani: First, thank you for your wishes. The implementation revenue, yes, you are correct that the last financial year had decline in the license revenue. But we had a good bumper quarter for Q1 in terms of license. The implementation revenu

e is built up from the unexecuted order book of last year plus the current quarter order executed book. So what happened in this quarter is that there -- we saw some delays due to the environmental factors of our customers because of which specifically India and some part of some other parts -- but -- and that led to the decline in the quarter 1 implementation revenue, but we are optimistic that Q2, we will cover up with the current executed UOB, we will be able to cover up for the Q1 loss as well as the our quarter 2 projections.
Aditi Patil: Okay, got it. And can you share your outlook on India and EMEA geography?
Tarun Nandwani: See, the demand pipeline is healthy in both India and EMEA. India is seeing good demand in our pipeline due to large cases coming in the area of NBFCs, which is LOS and LMS and trade. This has led to good growth in pipeline for India, and we see this demand closing in coming quarters. EMEA has seen good demand in digital transformation, AI-led tools and the SaaS pieces. Europe has seen very good demand in our AI-led ECM, CCM policy binding cases. The modernization programs in Europe is showing healthy demand, and we are seeing a lot of modernization programs there.
Aditi Patil: Okay. So yes, our developed market revenue has been growing at a strong pace since last few quarters. So overall, should we see our developed market revenue sustaining and improving revenue growth in India and EMEA?

Tarun Nandwani: Yes. See, mature market revenues are all subscription-based cloud native. So we are seeing a positive side in the growth there, which will be a continued momentum. And India and EMEA have good pipeline growth in terms of the license cases and large program -- modernization programs. So we are expecting India and EMEA to come back to growth numbers.
Aditi Patil: Okay. And on DSO, so was it because of the delay in billings in EMEA that our DSOs were slightly higher in Q1?
Tarun Nandwani: See, DSO, if you see from -- DSO is a challenge we recognize, but there is a decline from Q4 to Q1, where we have worked upon our collections, we have worked upon the invoicing and contract terms. And the delay in DSO in EMEA, as you know, because of the macro

environment, certain payments were delayed because of those issues. But we are seeing a
positive trend of DSO declining in coming quarters.
Moderator: The next question comes from the line of Rahul Jain from Dolat Capital.
Rahul Jain: Congratulations for the new induction for the role. And thanks, Jeet, for making us understand this business better and driving whatever you could during your tenure. My question is for this fiscal year when we look at it FY '27, what are the -- some of the positive things that is shaping up from an industry point of view, maybe something around AI driving the tech modernization or core modernization theme. Are we seeing any delta coming from that kind of a thought process among your clientele? And also from a macro point of view, how the decision-makings are getting affected and how you plan to mitigate those challenges in the coming quarter, if you could share your thoughts on that?
Tarun Nandwani: Thanks, Rahul. See, as you know, Newgen's strategy is focused on customer success and investing in innovation. As I explained earlier, Newgen is investing heavily in horizontal and vertical product lines and our domain solutions are becoming more and more appealing and appealing to customers with respect to the AI baked into the various product lines of CASA, lending, trade finance, PaaS, underwriting, ECM, communication hub, CCM, knowledge management, which is RMS. So the AI, there will be a lot of investments going on, which are going on and the products will evolve more and more with coming times. So that is the trend that we are seeing that AI demand is coming with all RFPs that are coming today.
So to your sec

ond question, as you know that Newgen is diversified across geographies and industries. We are seeing good attraction in commercial insurance space with policy binding solutions. We are seeing ECM in retail in mature markets, RMS in -- again, in NBFC sector in mature markets. And in India and APAC markets, we are seeing good demand in our original domain-led products, which is AI-based trade, AI-based lending.
These are in good demand and pipeline is seeing good growth. Similar trend we are seeing with APAC, which is seeing good demand in government where knowledge management kind of solutions are showing good traction in various government departments in the APAC region.
And the traditional solutions of LOS, digital transformations are seeing platform where loan

origination and LMS is seeing good growth in APAC. So overall, in the broad-based all markets, we are seeing good demand today for AI-led these product lines, our offerings.
Rahul Jain: Sure. And if you could help me out with the total headcount situation at the end of FY '26 and now?
Tarun Nandwani: So we were approximately 4,200 at the end of...
Deepti Chugh: FY '26, and currently also at a similar number.
Tarun Nandwani: So headcount, we have not grown.
Rahul Jain: Yes. If I see this data, this has been, I think, 4,500 or 4,600 in FY '24, '25, respectively, which is 4,200 now after 1.5 years. I can understand there is some automation and some leverage from an AI point of view. But within the spectrum of skill that we have within this 5,000-odd people, is it more like our headcount on the implementation side has come off because of some automation and maybe the increased contribution from GSI pool, if that has increased, what could have caused this reduction?
Tarun Nandwani: You are right, Rahul. The AI benefits have come as tailwind, and we are getting, as I said, good benefits and operational efficiencies in our deliveries efforts and timelines.
Rahul Jain: But within the subsegment of responsibility, would you see the more optimization happening on the implementation headcount or it is broad-based across function?
Tarun Nandwani: The efficiencies will come broad-based across all the departments, whether these are products, accelerators or deliveries. And as I said, Newgen is focused on our customer success and investing in innovation. So we will -- our core focus remains innovating for customer success and creating more and more product lines.
Rahul Jain: And have you shared the pipeline or order growth and any such data? Sorry if I missed that earlier.
Deepti Chugh: No, Rahul, we usually share it at the end of the year. March is when we share the overall bookings number. But yes, the pipeline looks strong. The booking number is also healthy and growing like double digits. So we do see strong growth in both the aspects.
Rahul Jain: And if I see our product revenue have been coming off last year and the SaaS has seen acceleration during FY '26, and that has continued in Q1 as well. So is it safer to assume that incrementally, there are more deal which is coming on SaaS, which is affecting probably the recognition part of the revenue?
And if that is the case, then it makes a lot of sense for us to start disclosing the RPO data because that would represent the current momentum of the business better rather than showcasing the

P&L because you would be deferring a lot of license revenue into the future booking, which
may underscore the current performance. Any colour on this aspect would be helpful.

Tarun Nandwani: See, the subscription revenues are mostly coming from U.S., U.K. and Australia. And the deal pipelines, I think we take so 1 year revenue...
Management: Yes. I think as far as booking is concerned. Yes. We cover 1 year revenue, yes, I think as far as -- but o

verall, I think, Rahul, the point is that still it is a 12%, 13% revenue when we are talking about overall subscription revenue still. So it's still a smaller bucket compared to all other buckets. So yes, your point is well taken that possibly in future course, we will -- somewhere we will try to have that number also. But maybe we have to wait for some time more. Currently, it is a better parameter to show that booking growth at a yearly level. And whatever figures we can give on a quarterly basis, we will surely share that...
Rahul Jain: Please look into it because some of our peers have started sharing the RPO data, which gives a far better visibility on the SaaS revenue overall underlying growth momentum.
Moderator: The next question comes from the line of Vijay Menon from Monarch Capital.
Vijay Menon: A couple of questions from my side. U.S. growth looks quite good this quarter. Anything we did specifically there? Or have you won any large deals, which is there in the number? If you can give any clarity on that, that would be helpful.
Tarun Nandwani: See, the U.S. being majorly into a subscription-based model, the growth of last year, might be different quarters get accrued in the coming quarters, and this year wins will again move on quarter-by-quarter recognition because these revenues are recognized quarter-by-quarter. So we are sitting on a healthy base and with additions in -- with new customers and mining, this performance and momentum will continue.
Deepti Chugh: And in terms of materiality, I think we've disclosed 4 large deals for the quarter. So yes, we did get a few which were in the range of INR12 crores to INR16 crores, in the range of INR26 crores.
Vijay Menon: Okay. That helps. And in terms of the RFPs in India, last quarter, you had mentioned that RFPs are getting delayed and decision-making is taking time and large deals specifically in India are not happening through banks. So any progress there, any improvement you are seeing there in the demand environment?
Tarun Nandwani: Yes. As I said, the India pipeline has grown with large deals, and we are seeing activity into those RFPs and the client has moved forward with the evaluation and decision-making process. So in current quarter or coming quarters, we will see some closures.
Vijay Menon: And in terms of margin, any guidance for the year you would want to give anything...
Management: As far as margin is concerned, yes, I think as far as -- if you see first quarter also, you will see that there is a margin expansion. As Tarun has said that obviously, all kind of initiatives, whether it is the AI kind of optimization, which I think is coming in internal productivity also as well as there is an improved growth on the top line also.

So obviously, we -- on a yearly basis, obviously, we are seeing margin expansion also for the annual basis also. That is what we are targeting. But it is being a first quarter, obviously, it is not appropriate to comment beyond this as far as the overall number is concerned. But yes, I think we will surely maintain this 20% kind of number when we are talking of margin.
Vijay Menon: And what kind of R&D spend can we expect this year?
Management: Currently, it is around 8%, 9% of the overall -- so I think -- okay. Thank you.
Moderator: The next question comes from the line of Seema Nayak from ICICI Securities.
Seema Nayak: So my first question is on Y-o-Y basis, the growth is looking broad-based. So what is the reason behind downturn in the other vertical? My second question is on the other income, which is fairly elevated if you can throw some light on? Thank you.
Deepti Chugh: The other income, I think it's on account of market dynamics, we do have investments.
Tarun Nandwani: So I think other income is more on account of 2 things. One is obviously the treasury income and then also about the mark-to-market

gains around the treasury as well as currency also. So I think generally, quarter 1 is slightly heavier on other income. That is a trend if you have seen last year also same quarter numbers. So obviously, I think treasury income will continue in that offset only.

Deepti Chugh: And the other question, Seema, sorry, if you can repeat that.
Seema Nayak: Regarding the other vertical, so it has been slowing down for the last two to three quarters?
Tarun Nandwani: Vertical...
Deepti Chugh: So I think the focus for us, we've clarified that we have 3 focus areas, which is banking, insurance, health care as well as government. And other just comprises of the remaining 14, 15 verticals wherein we get business from. But the core areas wherein we focus on would be these 3. So as a line of business in a focus area, I think these three verticals are where we're more focused on.
Seema Nayak: Okay. And on Indian geography margin, so if you can explain what has caused the sharp impact?
Deepti Chugh: Sorry, can you repeat the question? India geography margin.
Seema Nayak: Indian geography margin?
Deepti Chugh: So I think 2 factors. One is the India market hasn't grown. The top line hasn't grown. And secondly, the cost -- the base costs have increased by around 4%, 5%. So on account of both these impacts, we have a squeeze in the margin. But again, I would request that on both the aspects, whether that is the segments or whether that is the profitability, you look at the overview

for the full year rather than quarterly because quarterly, there could be variations that we do have.
Tarun Nandwani: Then if you see the full year number, obviously, in India also, the way we expect, obviously, in coming quarters, this will improve. And accordingly, you will see improved margin in coming quarters.
Moderator: The next question comes from the line of Sonal from Prescient Capital.
Sonal: This is Sonal, sir. Thanks for having my question. Am I audible?
Tarun Nandwani: Yes.
Sonal: I wanted to understand the details of the implementation revenue since they've gone down roughly around 50-odd percent around 25-odd percent Y-o-Y. You also mentioned that the license revenues have grown. So should we assume that the implementation revenues will come and grow subsequent quarters with the lag?
Tarun Nandwani: Yes. So the -- for the current quarter, as I said, we have seen some delays in starting the projects of last 1 or 2 quarters from EMEA, which has led to decline in this overall number. But what we have seen that these projects have kicked off. And we expect that quarter 2 and quarter 3 will see the expected numbers from the implementation, and we hope we are optimistic to recover the Q1, 23%, which is amounted to some INR12 crores of revenue in quarter 2 and quarter 3.
Sonal: Got it, sir. Sir, my second question is again linked to this implementation revenue and revenue linked to support services, which is where a bulk of heavy lifting of people cost comes in. I wanted to understand the number Value to productivity gains you've seen to your clients. Just to understand how you are renegotiating your projects in the future and how the agreements are getting renegotiated? Just broadly wanted to understand this.
Tarun Nandwani: See, our pipelines are usually RFPs are fixed price contracts. So from the implementation point of view, AI efficiency gains in terms of turnaround time efficiencies to the client, gets passed on to them, the operational efficiencies come to Newgen from the implementation revenue standpoint. The support revenue is split across a large customer base of very large number of customers, and they are very few specific to handling and supporting them with their BAU activities.
So -- and that depends on what AI practices customer is adopting versus what AI practices are available to our offshore team supporting them from our

premises. So we are passing on the time benefits and efficiencies to them. But there is no such demand of any effort or cost efficiencies from our customers.
Sonal: Got it, sir. And is there a guidance on revenue you want to give right now for the full year given that we've grown at a reasonable early double-digit number? Just wanted to understand if there is a guidance on the revenue.

Management: So generally, we don't give any guidance as far as revenue is concerned with our size of company. But obviously, I think, yes, we are hoping that -- which we have talked about in earlier quarter also that we should have an improved number compared to the -- as far as growth rate what we have achieved last year, and that we have shown in quarter 1 also when you see our numbers. And we are hopeful that we will maintain a double-digit growth in coming...

Moderator: The next question comes from the line of Sanjay from SKS Securities Limited.
Sanjay: Thank you for the opportunity, and my question is about the number of deals won, right, the total deal won or the logos won is comparatively lesser than the average what we do. Generally, I think more than 12 or 13 logos we add. So how do you see that going? I mean, is it like there is a delay happening in closure of the deals and how the business scenario as well as can you just tell more about how the Middle East is having any challenges? Or are we getting the closures and more discussions happening in Middle East area as well?
Tarun Nandwani: So I will just say that in terms of the number of deals quarter-on-quarter has varied, but the deal size has grown substantially high for us. The total booking of the 10 deals with respect to what we booked in the last quarter has seen substantial increase. These are multimillion dollar deals or INR15 crores, INR16 crore-plus deals which have closed.
And in terms of the pipeline, as I said, there is a healthy mix of large deals now and midsized deals, which we expect to close. So deal momentum in terms of number can be seen in coming quarters. But the focus on large deals is there with us, and we want more and more large value deals to get closed because this helps in the revenue from the quarter point of view.
Deepti Chugh: Also, I think the business comprises of both mining of existing customers as well as new logo acquisition. So from that perspective, we continue to work on growing both these aspects.
Sanjay: Sure, sir. Can you just give more idea about the Middle East is the area, I think you have a lot of business happening there. And situation is getting better there? How are things?
Tarun Nandwani: So Middle East for us comprise of 3 regions, as we say. We have seen good mining deals coming from existing accounts in UAE, Qatar, Kuwait, we have seen a few new deals from this area specifically, if you are asking this. But in the Africa region, in the Europe region, we have seen good pipeline as well as good size deals. The mining deal numbers have grown, but I think here, what we declare is the net new logos.
Sanjay: Sure, sure. And another question is about we have now healthy cash on the books. And so is there any plan for any acquisition or any buyback in coming quarters?
Management: So obviously, I think as far as acquisition is concerned, that is a process which we are currently deliberating for last couple of years, but I think it is something where it is taking time as far as getting that right kind of fit as far as acquisition is concerned. On the other side, yes, I think we are obviously currently -- as far as dividend optimization is concerned, that is something we are -- every year, we are trying to improve on the dividend number. And lastly, on the buyback side

of it, obviously, we got that input, and we have given those input to Board. So o

bviously, we are
working on that.
Moderator: The next question comes from the line of Tushar from Shanghvi Family Office.
Tushar: Hello. Hi, team. Am I audible?
Deepti Chugh: Yes, yes.
Tarun Nandwani: Yes, yes.
Tushar: First of all, congratulations to Tarun for taking a new role. I am new to the company. So maybe a clarification will help. I just wanted to understand when we sell our products, we record our license revenues in the sale of products or in the SaaS revenues. And are we seeing that the share of license revenues versus non-license revenues that is, SaaS revenues, getting increasingly bigger. So that's why it is having impact on our sale of products. I could see that we declined -- we had a decline in sale of products in FY '22. So just wanted to understand that.
Tarun Nandwani: Thank you, Tushar, for your best wishes. The license revenue majorly is from India and EMEA region. And the mature markets are mostly subscription revenue. And whenever there is any deal wins or deal closures delays in India and EMEA, it impacts the license. But the pipeline is healthy, as I said, and we are expecting closure in the India and EMEA region. And the mature markets continue to grow with healthy growth based on our subscription deals.
Tushar: Okay. Okay. And the deals that we won in this quarter, when do we expect those deals to get ramped up in the immediate or maybe?
Tarun Nandwani: See, the deals that we won in this quarter in India and EMEA, as we said, I think we won 2 deals -- 2 large deals, which will materialize license plus implementation within 1 year and the others continue as subscription, the implementation revenues also get recognized within 12 months kind of time -- 12-months to 18-months kind of time frame.
Tushar: Okay. Okay. And maybe this is more on a long-term vision that Tarun, you might have since a new change in the management comes with the many white spaces that you might see in the company, what is -- what are our maybe revenue or the profitability targets or directionally we're thinking from next year's point of view?
Tarun Nandwani: See, our strategy has remained always to remain focused with customer success, all through our success story, and we keep investing in innovation for our growth plans. So we keep investing

in vertical products as well as horizontal products. And from the financial point of view, we try to maintain consistency and the business has resilience that even with lesser growth, we are able to deliver the margins that we plan to deliver. So that is the nature of the business that keep continuing in innovation and keep investing with customer success.
Tushar: Okay. Any challenges in the demand environment that you are seeing?

Tarun Nandwani: No. The pipeline growth is healthy. So for now, our product lines are seeing good demand.
Tushar: All the best.
Tarun Nandwani: Thank you, thank you.
Moderator: The next question comes from the line of Shaurya Yadav from Growthsphere Ventures. Please go ahead.
Shaurya Yadav: Am I audible?
Tarun Nandwani: Yes.
Shaurya Yadav: Sir, last time you mentioned that AI-led product pricing was still evolving and you guys were working closely with the customers to arrive at a transparent pricing framework. Could you share where you are in that journey right now? Have you finalized the pricing model? And what's the customer response on it?
Tarun Nandwani: We have evolved the pricing model for our AI-led vertical offerings in the product. And it is -- see, it will remain work in progress. But the individual use cases, as I explained, in trade, in insurance, in RMS, knowledge management product solutions, in ECM, the pricing is getting established. And as we sell more the AI-led product sales, I think we will -- the pricing and the acceptance from the customers will evolve and will settle down.
Shaurya Yadav: Understood, sir. And sir,

second question from my side is how are you seeing the customer decision-making evolve, especially in the BFSI sector? Because earlier, many enterprises were in wait and watch mode because of the AI models and all. And additionally, with the economics of AI interference [inaudible 0:48:03] customers now more confident than the [inaudible 0:48:10]?
Tarun Nandwani: See, there are many -- most of the central banks in most of the countries have come up with some kind of AI regulations or regulatory compliance needs. And the experiments on the AI technology has evolved to a level that customer is now ready to implement AI within regulatory and compliance framework, which becomes a sweet spot for us that in the flow that we implement for them, our AI offerings for classification and extraction for analysing and recommendations, which comes with audit trail, which comes within the compliance framework is acceptable to that for productionizing. So we are seeing deal wins, AI-based deal wins in these product lines.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Ms. Deepti for closing comments.
Deepti Chugh: Thank you, everyone, for joining us on the call, and thank you, ICICI Securities, for hosting the call. For any further questions, you can connect with me or you can go to the website. Thank you.

Management: Thank you.
Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and now you may disconnect your lines.